# 18TH ANNUAL REPORT

2023/24



Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

# ANNUAL REPORT

2023/24

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

# TABLE OF CONTENT


**Corporate Overview**

01 Our Year in Review
02 Milestones
04 Global IME at a Glance
07 Awards & Recognitions
08 Message from the Chairman
10 Message from the Chief Executive Officer
12 The Boardroom Compass: Board of Directors
14 Global IME's Presence: Global and Local
19 Key Differentiators
20 Strategic Objectives & Future Plans
23 Corporate Culture and Code of Conduct
24 Products and Services
26 Corporate Organogram

**Management Report & Analysis**

28 Performance Analysis of the Management Committee
34 Global IME's Performance
37 Segment Analysis (Horizontal/ Vertical Analysis)
40 Historical Performance Highlights
43 Market Share Highlights
46 Financial Performance Analysis
49 Global IME's Market Share Trends: FY 2020/21 to FY 2023/24

**Divisional Overview**

52 Remittance Department
52 Treasury & Fund Management Division
53 Corporate & Project Funding Division
53 Marketing Division
53 Retails & MSME Banking Division
54 Digital Banking Division
54 Risk Management Division
54 Operational Division
55 Call Center Division
55 Human Resource Division

**Sustainable and Responsible Practices**

56 Sustainability at Global IME Bank
59 Sustainable Practices and Corporate Responsibility
60 Leading Environmental Stewardship
62 Workforce Management
65 Corporate Social Responsibility
66 Commitment to Financial Transparency

**Governance & Risk Management**

68 Statement of Corporate Governance
72 Board of Directors
73 Board Level Committee
75 Senior Management Committee
80 Board of Directors' Report Fiscal Year 2023/24
90 Disclosure Related to Sub Rule (2) of Rule 26 of Securities Registration and Issuance Regulation, 2073
92 Annual Compliance Report for Corporate Governance FY 2023-24
98 Risk Management Framework
102 Grievance Handling

**Shareholder Communication**

103 Relationship with Shareholders

**106 Value Added Statement & Wealth Distribution**
**109 Independent Auditors Report**
**115 Financial Statement**
**185 Additional Disclosures and Information**
212 Global IME Capital Ltd
217 Global IME Laghubitta Bittiya Sanstha Ltd.
226 Global IME Securities Ltd

**230 Additional Information**

**235 Media Highlights**
**239 Branch Details**

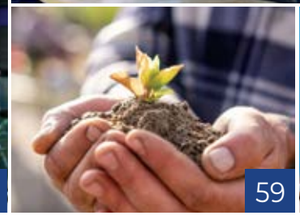


















## OUR YEAR IN REVIEW

### 01 Nepal's Economic Growth Accelerates in FY24

The Nepalese economy showed encouraging signs of recovery during FY24 as GDP growth sped up to 3.87%, supported by increased tourism, improved agricultural output, and enhanced power generation. While remittance inflows remained strong and contributed to private consumption, private investment remained weak as a result of decreased capital goods imports and declining business financing. The banking sector grappled with higher non-performing loans (NPLs) and lower profitability while capital adequacy was still in excess of the regulatory requirement.

### 02 Banking Performance Highlights Credit Growth & Lending Portfolio

International Merchant Banking Corporation adopted a conservative credit growth policy post-merger, focusing on consolidation of its credit risk evaluation. The total loan portfolio grew 4.38% to NPR 390.77 billion with retail loans growing 10.72% and corporate lending growing 12.12%. The SME loans decreased 1.97% and mid-corporate lending decreased 4.69%.

### 03 Deposit Growth

The bank recorded a major milestone, the first Nepalese commercial bank to reach NPR 500 billion deposits, at NPR 504.89 billion, increasing by 14.92% from last year. Savings deposits increased remarkably by 29.45%, while term deposits increased by 8.27%.

### 04 Investments & Earnings Performance

Total investments increased by 54.82% to NPR 158.31 billion, with strong growth in government bonds (24.19%) and other bank placements (283.36%). Interest income increased by 7.2% to NPR 51.68 billion, and net interest income decreased by 1.47%. Operating profit decreased by 1.64%, and profit after tax decreased by 8.32% to NPR 6.14 billion. Cost-to-income ratio increased by 3.50 percentage points owing to higher interest expense.

### 05 Risk Management & Asset Quality

The NPL ratio rose to 4.17% from 3.15% previous year, reflecting increased credit risk. The bank maintained a discipline of risk management, with its capital adequacy ratio stable at a level significantly higher than regulatory requirements and its credit-to-deposit ratio in acceptable proportions.

# MILESTONES

## 2007
Established as a national level "A" class Commercial Bank

## 2008
Launched Global Remit/ Card Products/ Internet Banking/ SMS Banking

## 2009
Launched Credit Card and tied up with Visa

## 2010
Selected as one of the authorized banks for various Government transactions

## 2011
Launched Global Small Business Loan with Insurance Coverage

## 2012
1st Merger with IME Finance & Lord Buddha Finance

Launched BLB

## 2013
2nd Merger with Gulmi Bikash Bank & Social Development Bank

## 2014
Awarded "The Bank of the Year 2014" Nepal

3rd Merger with Commerz & Trust Bank

Opened Rep. office in Australia

## 2015
Selected as the first handling Bank for Central Renewal Energy Fund (CREF)

## 2016
Awarded "Best Internet Bank Nepal" 2016

Opened Rep. office in India

## 2017
Acquired Pacific Development Bank & Reliable Development Bank

Number of branches crossed 100

Paid up Capital reached to Rs. 8 Billion & above

Opened Rep. Office in UK

Corporate/Registered office shifted to own Building

## 2018
Crossed 100 BLB Points

Best Employer Award 2018 by World HRD Congress

## 2019
Acquisition of Hathaway Finance Ltd.

Merger with Janata Bank Nepal Ltd.

## 2020
Launch of Global Connect

## 2021
Upgraded to "A" Rating

Awarded "Nepal's Best Bank" by EuroMoney Awards for Excellence

## 2022
Branch presence in all 77 districts

## 2023
Merger with Bank of Kathmandu Ltd. (Total Merged/ Acquired Entities: 20)

## 2024
The first commercial bank in Nepal to reach NPR 5 trillion in deposits

# GLOBAL IME AT A GLANCE

"Global IME Bank Ltd (GIBL) has been at the vanguard of Nepal's banking sector since its inception in 2007 as Global Bank Limited. We entered the market as a Class "A" commercial bank with a paid-up capital of NRs. 1 billion, the highest at the time. Since then, we have remained a dominant force in the banking industry, holding the largest paid-up capital of NRs. 36.12 billion as of mid-July 2024."



Holding the largest paid-up capital of NRs
36.12
Billion

Achieving an impressive net profit of NRs
6.13 Billion

**Global IME Bank Ltd (GIBL) has taken the lead of Nepal's banking quarter since its journey in 2007 under "Global Bank Limited." Since our commencement as a Class "A" commercial Bank in Nepal, we entered the market with a paid-up capital of NRs. 1 billion, the highest at the time we have subsequently remained a dominant force in the industry, holding the largest paid-up capital of NRs 36.12 billion as of mid-July 2024 for the past 18 years.**

With our determination to achieve our goal of being "The Bank for All," GIBL has expanded its presence not only across Nepal but around the world. Through its network of representative offices, the Bank has successfully established itself in all 77 districts of Nepal and has rolled up its international presence in London, Delhi, and Sydney.

GIBL has consolidated its position as one of the industry's most financially successful commercial banks, achieving an impressive net profit of NRs 6.13 billion. The Bank's diversified investment portfolio has driven its consistently rising profitability, which in turn has not only fortified but also propelled balanced economic growth by strategically allocating resources across a range of high-priority sectors, including hydropower, underserved lending, exports, agriculture, and microcredit initiatives.

GIBL has solidified its standing as a trusted brand among its diverse stakeholders. The Nepalese government has designated the Bank as one of the select commercial institutions entrusted to manage its revenue-related transactions.

The Bank deeply respects and appreciates its employees, they are our greatest asset, enhancing their skills, expertise, and overall capabilities is a pivotal part of our success and operational excellence. Through their dedication, along with oversight of the board of directors, the Bank has achieved a credit rating of [ICRANP-IR] A. This is a remarkable achievement given the Bank's significant exposure to the retail and SMEs (over 50% as of mid-July 2024) and the challenges brought on by the pandemic.

We have achieved a momentous growth and eminence through our focus on digitalization of our business process. Our five-year strategic plan guides digitization efforts to train the workplace and rebrand our services. Our partnership with international organizations such as British International Investment (BII), International Finance Corporation (IFC), Mashreq Bank Ltd, and KfW Development Bank are salient to our sustainability efforts to mobilize soft loans for green trade, finance sustainable development projects, and build MSMEs



## SUBSIDIARIES OF THE BANK

**Global IME Capital Limited**

As a pioneer in Nepal's capital market, Global IME Capital Limited, a subsidiary of Global IME Bank Limited, holds the distinction of being the country's first specialized merchant bank. Incorporated under the Companies Act 2007 and licensed by the Securities Board of Nepal under the Securities Act 2007, we provide a comprehensive suite of Merchant Banking and Investment Banking services. Our expertise spans Share Issue Management, Registrar to Shares, Underwriting, Portfolio Management, Mutual Fund operations, and Financial Advisory Services. Currently, we serve as the Registrar to Shares for 40 listed companies and manage a 10-year closed-ended Mutual Fund Scheme, reinforcing our leadership and commitment to excellence in Nepal's financial landscape.

**Global IME Laghubitta Bittiya Sanstha Limited**

At Global IME Laghubitta Bittiya Sanstha Limited, we are committed to driving financial inclusion across Nepal. As a national-level microfinance institution and a subsidiary of Global IME Bank Limited, we have been empowering underserved communities since our inception in March 2013. Starting as a 10-district retail microfinance institution in May 2013, we expanded to 45 districts in October 2017 before attaining national-level status in January 2019. Through our extensive reach, we continue to provide essential financial services, fostering economic growth and uplifting communities.

**Global IME Securities Limited**

Global IME Securities Limited, a wholly owned subsidiary of Global IME Bank Limited, is a trusted name in Nepal's brokerage industry. Established in 2019, we commenced commercial operations in 2023 as a fully licensed brokerage firm. Recognized as Broker Member No. 89 by the Nepal Stock Exchange Ltd., we facilitate seamless trading of securities for all listed companies. With a strong commitment to client satisfaction, we deliver efficient, transparent, and high-quality brokerage services, ensuring a smooth trading experience for our growing customer base.

| | |
|---|---|
| OUR VISION | To maintain a shared vision of 'The Bank for All' among all our promoters, directors, management team and staff, manifesting our commitment to providing the highest standard of banking services to customers from all regions and backgrounds. |
| OUR MISSION | To be reliable and have a respected market position by offering customer-centric, high-quality products and services, innovative business solutions, and technology-driven banking. The Bank endeavors to enhance our growth and profitability while ensuring optimal benefits for all stakeholders. |

We have always considered our customers as business partners and valued members of our core team. As such, we continuously engage in the exchange of ideas, skills, competencies, and information with our valued clientele.

## BUSINESS ETHICS

Our core business philosophy relies on ethical values and professional principles which include good intention, which we maintain through high ethical standards ensuring equity and integrity in all of our business practices. We adhere to directives and regulations from the Nepal Rastra Bank to improve transparency and build a dynamic internal control mechanism.

### Mutual Benefit and Trust

Our customers and stakeholders are the building blocks of our growth, through constant ethical improvement of business behaviour we aim to provide mutual benefit, interest and trust to make sure fairness and impartiality are ensured for all.

### Transparency and Corporate Governance

Building trust and confidence is a major stepping stone for the success of any organisation, at Global IME, we provide this clarity through key steps such as ensuring our stakeholders have access to all necessary information such as financial disclosure, internal and external audits. We have an effective and well functioning Anti-Money Laundering/Combating Financing of Terrorism (AML/CFT) committee that is overseen by the board and our operations are also leveraged by highly sophisticated AML software that insures accordance with Know Your Customer (KYC) provisions, and tracks investments related to money laundering and terrorism financing according to the Bank's policies, laws, and internal guidelines.

### Improving Business Ethics

While we are continuously assuring our responsibility to maintain high ethical standards, we give precedence to transparency, responsiveness and communication with all our stakeholders and customers. In the Bank, our resolution to grievance handling,shareholder communication and welcoming suggestions, plays a vital role towards ameliorating business ethics. Our grievance handling desk, which is updated with details in our website, has helped us address any issues and take responsibility and accountability in any errors on our behalf. We resolve any queries or curiosity presented by our shareholders for their decision making or to be versed with the Bank's activities, are shared through our official website, newspapers and information officer. Furthermore, we always welcome constructive suggestions from stakeholders which in addition strengthens ethical conduct, supports a culture of constant improvement and inclusivity, where feedback is appreciated and acted upon.

## OUR VALUES

### Ethics and Professional Integrity

At the heart of all our operations, Global IME Bank advocates the highest standards of ethics and professional integrity. This commitment aligns with our banking ethics such as good intentions, mutual trust, and mutual benefit. We are receptive to acknowledging mistakes and improving our behavior accordingly

### Teamwork and Collaboration

The Bank's success lies in our unwavering emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all our concerned stakeholders that we can achieve our vision, mission, and fundamental business philosophies. We have always considered our customers as business partners and valued members of our core team. As such, we continuously engage in the exchange of ideas, skills, competencies, and information with our valued clientele. This approach has enabled us to scale greater heights, not only in terms of business growth but also in fostering customer loyalty.

### Respect and Humility

At Global IME, we firmly believe that individuals can achieve their strategic aims and aspirations by embracing the virtues of respect and humility. We have always focused on creating an amicable atmosphere where we offer equal respect to various cultures, languages, races, ethnicities, social values, and beliefs. By providing equal opportunities, we aim to create synergistic effects in all its activities.



# AWARDS & RECOGNITIONS

2024
Euro Money - Nepal Best Bank

2024
Euro Money - Best Bank for ESG



2024
Highest Remittance Inflows among Banks (2079/80)

2024
Global Finance - Best Bank Award 2024



2024
*Excellence in EFT Card services, Excellence in Mobile Banking & Alternate Channels and Excellence in Digital Transactions*



2023
Visa - Payments Excellence in debit card

2022
Euro Money 2022 - Nepal Best Bank



2018
Nepal Best Employer Brand Awards - World HRD Congress

2016
IFM

2014
Bank of the Year (2014) - The Banker

2023
Infosys Transformation Excellence (Gold)





**Mr. Chandra Prasad Dhakal**
Chairman

Global IME Bank has become the first commercial bank in the Nepali banking industry to reach a total deposit of Nrs.
500 Billion

**Dear Stakeholders,**
**I am pleased to present the Global IME Bank Ltd.'s Annual Report for FY 2023-24. This report reflects on our journey together, the milestones we have reached, and the vision that continues to guide us in our motto: "The Bank for All." Global IME Bank has delivered a strong performance and ended the year promisingly despite challenges.**

As we wrap up our 18-year operating journey, we have remained unwavering in our dedication to excellence, innovation, and stability in the communities we serve. Despite being put to the test by a challenging global macroeconomic environment and a weak domestic economy, I am pleased to report that we have achieved significant milestones in terms of financial and operational performance this fiscal year. The outcomes in this yearly report demonstrate the success of our combined efforts.

## OUR ACHIEVEMENTS

- During the fiscal year, we became the first commercial bank in the Nepali banking industry to reach the Rs. 500 billion deposit mark.
- The Bank witnessed increased revenue streams throughout the year despite the contraction in our spreads and limited credit growth. During this fiscal year, the bank registered a modest credit growth of only 4.38%, while we managed a staggering deposit growth of 14.92%.
- In a challenging year, Global IME Bank emerged stronger with resilient operations and a solid net profit of Rs. 6.14 billion despite economic slowdown and rising costs. A major milestone was crossing NRs. 500 billion in total assets—a first in Nepal—showcasing our strong leadership and stakeholder trust. We remain focused on innovation, customer-focused growth, sustainable value creation and shaping the future of banking.
- Despite these challenges, the bank's asset base expanded by over 14%, reaching Rs. 604 billion. However, we remained resilient, leveraging opportunities to strengthen our comprehensive risk management, streamline processes, drive digitization, and enhance cost efficiency.
- Our recent merger with the Bank of Kathmandu, a Class' A' financial institution, has enhanced synergetic effects on our business operations, compliance, and performance. However, the full impact of these synergies will materialize over the coming years. The bank's capital position remained strong throughout the year, with all capital ratios well above the regulatory minimum requirements. Additionally, the bank maintained comfortable liquidity buffers during the period.

## OUR DIGITAL JOURNEY

As in the previous year, we continued to enhance our systems and strengthen our talent to support future growth. We remained committed to our digital transformation strategy, focusing on customer-centric innovation and operational efficiency.

The Bank invested in future-ready digital solutions to meet our customers' increasing demands, launching the Global Junior App, the Digital Universe lounge—equipped with advanced machines for automated banking—and the dynamic new Global Smart Plus mobile banking application. We are constantly exploring ways to expand, interconnect, and refine these tools to deliver a more seamless, personalized experience for our clients. Through our LAKSHYA 2025 strategy, the bank has charted a visionary path toward contributing to a truly cashless economy.

## OUR SUSTAINABILITY ROADMAP

Our achievements extend beyond financial metrics, reflecting the lives we have impacted, the communities we have empowered, and the positive changes we have made. This year, our corporate social responsibility contributions aligned with the 17 sectors identified under Nepal's Sustainable Development Goals 2016-2030, where we have made significant progress in our ESG (Environmental, Social, and Governance) initiatives.

Integrating ESG considerations remains one of our top priorities at the Bank. We continue to explore innovative solutions for investors seeking to support social and environmental change. We also prioritized upskilling our team to deliver more excellent value to clients while supporting their career growth. As a trusted partner, we responded to the growing demand for personalized financial advice, using innovative solutions to drive social and environmental change for a sustainable future.

## APPRECIATION

We maintain a growth mindset supported by the proper organizational structure and talent, providing us with the resilience for long-term success. The spirit of collaboration and our commitment to excellence will continue to drive us forward, ensuring that Global IME Bank maintains stability and excellence in the future.

In a year marked by many challenges, the resilience and dedication displayed by my fellow Board of Directors and management team led by the Chief Executive Officer have been remarkable. With great pride, I acknowledge the collective efforts that have propelled us forward, enabling us to overcome obstacles and achieve significant milestones.

I express my sincere gratitude for the guidance and support I have received from Nepal Rastra Bank, the Securities Board of Nepal, the Nepal Stock Exchange, the Office of the Company Registrar, the Ministry of Finance, the Government of Nepal, and all other regulatory bodies.

My heartfelt gratitude also goes to our shareholders and loyal customers—your support over the years has been a source of immense strength for the bank. I look forward to your continued support as we progress on this journey of excellence.

**Mr. Chandra Prasad Dhakal**
Chairman

We have always considered our customers as business partners and valued members of our core team. As such, we continuously engage in the exchange of ideas, skills, competencies, and information with our valued clientele.

# MESSAGE FROM THE CHIEF EXECUTIVE OFFICER



**Mr. Surendra Raj Regmi**
Chief Executive Officer

Global IME Bank and GCPF struck a $25 Million credit agreement to encourage climate-positive lending in Nepal.

**Dear Shareholders,**
**GIBL has remained resilient and performed satisfactorily in the review period, despite multiple challenges, including sluggish domestic economic activities and global economic volatility.**

As we look back at last year's performance, it is evident that the GIBL has proven itself as a leading player in the industry by leveraging its inherent strengths and capitalizing on emerging opportunities.

With the strategic plan "Lakshya (Target) -2025," the GIBL began its digitalization journey. Every day, the bank is moving steadfastly in achieving the goals set in various parameters and avenues envisioned within its defined timeline. Our relentless pursuit of digital transformation in all business areas has helped offset some of the adverse impacts of economic challenges.

Navigating this difficult environment has also offered us the opportunity to rethink and reengineer many of our processes and become more efficient and productive in all that we do. The key thrust of the plan is to leverage digitization and innovation as a catalyst for increasing business, diversifying income streams, and optimizing costs to elevate efficiency across the board.

Despite the challenges, the bank experienced moments of success and achievement in FY 2023/24. The first is that GIBL is the first Nepali bank to receive climate-related funding from the Global Climate Partnership Fund (GCPF) in Nepal. Last fiscal year, GIBL and GCPF struck a $25 million credit agreement to encourage climate-positive lending in Nepal.

The GIBL also achieved a key milestone by being the first Nepali commercial bank to attain Rs. 500 billion in deposits and a base of 5 million depositors. Additionally, the bank received international recognition and honours from entities such as Euromoney, Global Finance, and Visa.

## OUR VISION TOWARDS DIGITIZATION

Digitization in the financial services domain has moved at an unprecedented rate, bringing transformative changes in the way banks interact with their clients and customers interact with the market.

Given our unmatched customer reach, geographical presence, we are mindful of the role we can play in driving digital literacy among our customers. Our branches have actively been involved in financial and digital literacy campaigns nationwide. The success of these initiatives has been well reflected in our growing digital user base.

With our new dynamic "Global Smart Plus" mobile banking application, we are striving to revolutionize the banking experience for our consumers by providing a rapid, safe, and convenient banking/payment system. Thus, we are contributing to the efforts to make the economy cashless. We have seen apparent impacts, as client footfall at our branches has decreased dramatically.

The initiative to use modern technical processes has improved the efficiency and ease with which consumers can connect with the bank. Digital adaptation was further facilitated by onboarding our clients from the start to our digital platform, which provides them with end-to-end banking services. In addition to our increased digital focus, we trained our employees with a clear focus on the industry's rapidly changing needs. With the quick pace of digital transformation and financial advances, we meet our clients' hopes and expectations. Using a robust digital infrastructure, we strive to be at the forefront of business automation.

## WAY FORWARD

Having closely worked with GIBL for some time before assuming leadership, I gained a clear understanding of the institution's strengths and areas for improvement. This experience prepared me to lead during a period of global uncertainty, slow economic recovery, and ongoing post-merger integration.

Since stepping into this role, my focus has been on supporting the integration of our teams, aligning operations, and fostering a culture of collaboration that drives innovation and sustainable growth. While the effects of the COVID-19 pandemic continue to unfold, we remain committed to adapting and strengthening our systems to meet future challenges.

There is significant untapped potential within Nepal's economy, especially in the SME and agriculture sectors, which are fundamental to the country's development. With one of the largest banking networks in Nepal, GIBL is well-positioned to expand its engagement in these critical sectors. Through targeted initiatives, we aim to become the most successful and inclusive retail bank in the country.

As a leading financial institution, we take our responsibility seriously to maintain strong governance and sound banking practices. We are committed to driving digital transformation, extending our reach to underserved communities, and playing an active role in the long-term growth and prosperity of Nepal's economy.

With our new dynamic "Global Smart Plus" mobile banking application, we are striving to revolutionize the banking experience for our consumers by providing a rapid, safe, and convenient banking/payment system.

## ACKNOWLEDGEMENT

I want to thank the Board of Directors for their support and strategic vision. Not to mention the management team's tremendous efforts and strong leadership on behalf of all staff members. Our sustained commitment, dedication, and teamwork can only overcome the issues we confront today. Special thanks to Nepal Rastra Bank and other regulatory bodies for their oversight and to our valued customers, who are the driving force behind our continual improvement efforts.

**Mr. Surendra Raj Regmi**
Chief Executive Officer



**Mr. Madan Lal Joshi**
Director

**Mr. Radhesh Pant**
Director

**Mr. Ram Bahadur Bhandari**, Director

**Mr. Chandra Prasad Dhakal,** Chairman

**Mr. Narayan Prasad Paudel,** Director

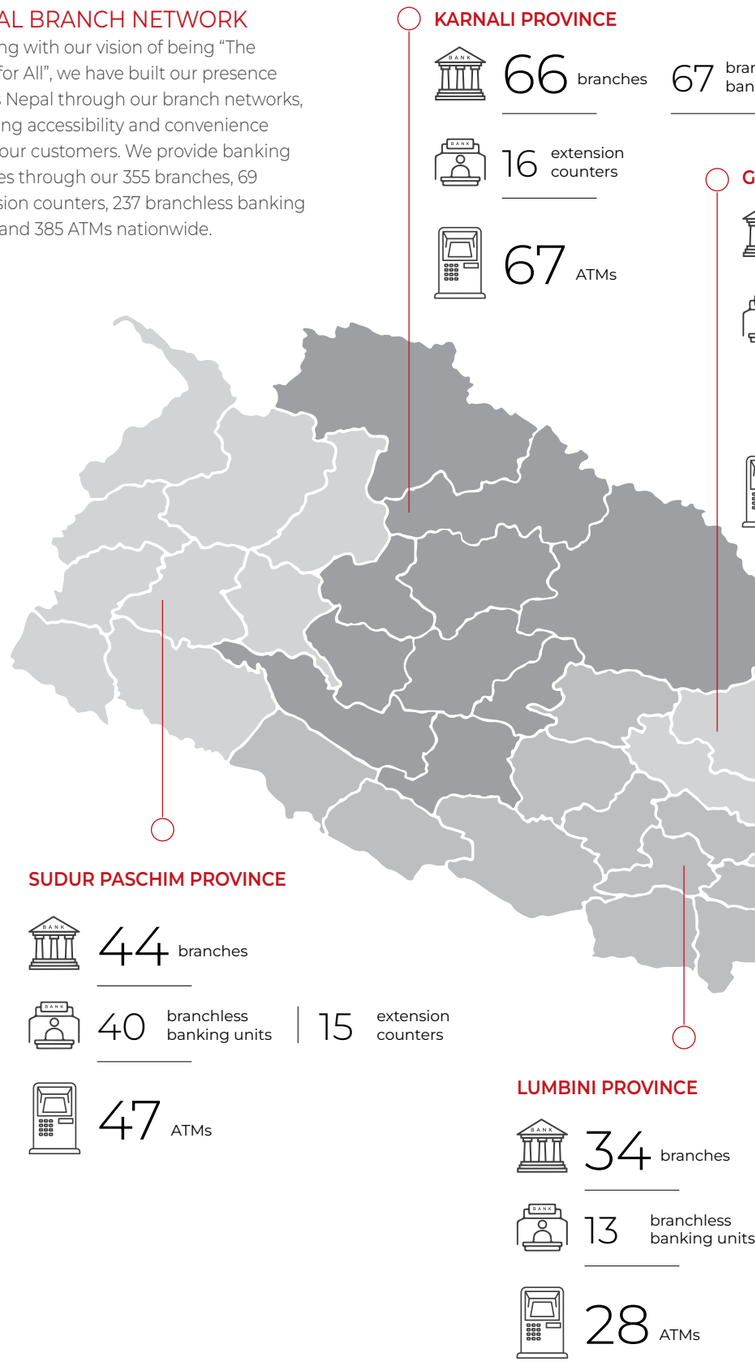
**Ms. Bhagirathi Bhattarai Gyawali,** Director

**Mr. Krishna Prasad Sharma,** Director

# GLOBAL IME'S PRESENCE: GLOBAL AND LOCAL

## LOCAL BRANCH NETWORK

Aligning with our vision of being "The Bank for All", we have built our presence across Nepal through our branch networks, ensuring accessibility and convenience for all our customers. We provide banking services through our 355 branches, 69 extension counters, 237 branchless banking units, and 385 ATMs nationwide.



### KARNALI PROVINCE

66 branches
67 branchless banking units
16 extension counters
67 ATMs

### GANDAKI PROVINCE

44 branches
40 branchless banking units
15 extension counters
47 ATMs

### SUDUR PASCHIM PROVINCE

44 branches
40 branchless banking units | 15 extension counters
47 ATMs

### LUMBINI PROVINCE

34 branches
13 branchless banking units | 5 extension counters
28 ATMs



**Kathmandu Valley-wise Network**

| District | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Kathmandu | 64 | 13 | 3 | 106 |
| Lalitpur | 17 | 1 | - | 21 |
| Bhaktapur | 6 | 1 | 1 | 5 |

### BAGMATI PROVINCE

133 branches
30 branchless banking units
20 extension counters
166 ATMs

### KOSHI PROVINCE

36 branches
46 branchless banking units | 6 extension counters
48 ATMs

### MADHESH PROVINCE

34 branches
13 branchless banking units | 5 extension counters
28 ATMs

**District-wise Network**

| Province | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Bagmati Province | 133 | 20 | 30 | 166 |
| Gandaki Province | 44 | 15 | 40 | 47 |
| Karnali Province | 18 | 3 | 11 | 8 |
| Lumbini Province | 66 | 16 | 67 | 67 |
| Koshi Province | 36 | 6 | 46 | 48 |
| Madhesh Province | 34 | 5 | 13 | 28 |
| Sudur Paschim Province | 24 | 4 | 30 | 21 |
| **Grand Total** | **355** | **69** | **237** | **385** |

We have taken initiatives that have been strategically designed to support international trade, facilitate remittance inflow and have provided banking services to Nepalese living abroad.

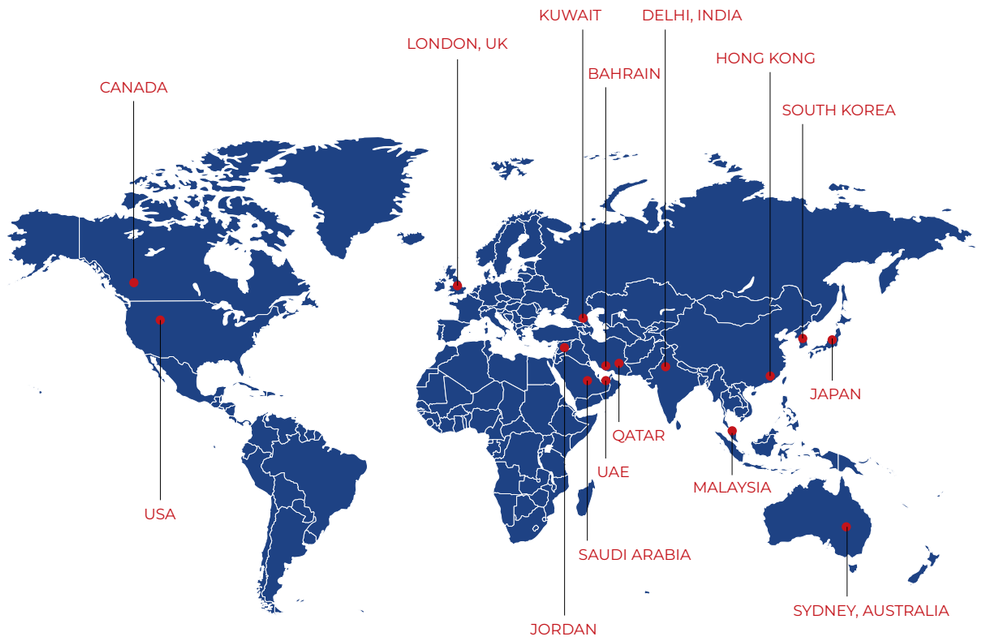
## GLOBAL NETWORK

Connecting to our international clientele worldwide we have established a global vicinity, through networks of international representative offices in major metropolitan cities like London, Delhi and Sydney, partnerships with foreign financial institutions and targeted financial products for citizens and Non resident Nepalis (NRN's) all across the globe. We have taken initiatives that have been strategically designed to support international trade, facilitate remittance inflow and have provided banking services to Nepalese living abroad.

Our offices aim to promote international trade and encourage Nepali workers and students abroad to use formal banking channels for remittance inflow. Global IME is also in the process of extending our representative office to Korea to provide banking services to Nepalese people working there. Additionally, we have deployed relationship officers in 12 different countries with the highest number of Nepali workers and students such as United States of America, Canada, Qatar, United Arab Emirates, Jordan, Kuwait, Bahrain, Saudi Arabia, Hongkong, South Korea, Japan and Malaysia, to promote and facilitate trade, remittance, and other cross-border services

Global IME harnesses banking relationships to access financial services in different regions across continents. We have correspondent banking relationships with several international banks, including Standard Chartered Bank, Commerz Bank AG, Mashreq Bank PSC, Habib American Bank, Kookmin Bank, KEB Hana Bank, and Industrial Bank of Korea. These relationships enable us to facilitate transactions in various currencies, including AED, AUD, CAD, CNY, EUR, and USD

As Nepal's capital and economic hub, the bank has the highest number of branches (64) and ATMs (106) in Kathmandu. The bank has 13 extension counters, three branchless banking units, and 106 ATMs. In Lalitpur, bank operates 17 branches and 1 extension counter, along with 21 ATMs, while Bhaktapur has 6 branches, 1 extension counter, 1 branchless banking unit, and 5 ATMs.




## MAJOR DISTRICTS WITH BRANCH NETWORK

- **Rupandehi:** 17 branches, one extension counter, three branchless banking units, and 18 ATMs, the bank serves key areas like Butwal, a major commercial hub in Lumbini Province.
- **Chitwan:** 16 branches, three extension counters, six branchless banking units, and 16 ATMs to cater to growing cities like Bharatpur.
- **Kaski:** 12 branches, four extension counters, two branchless banking units, and 19 ATMs to serve cities like Pokhara, one of Nepal's major tourist hotspots.

## BRANCHLESS BANKING (BLB)

The Bank has 237 BLB units across the country, with districts like Gulmi (23 units), Rolpa (13 units), and Baglung (13 units). These units ensure that the most remote communities can access essential banking services.

## AUTOMATED TELLER MACHINES (ATMS) NETWORK

The bank has 385 ATMs across Nepal. Kathmandu alone has 106 ATMs, while other districts like Kaski (19 ATMs) and Morang (14 ATMs) also have strong ATM coverage.

| District | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Kathmandu | 64 | 13 | 3 | 106 |
| Lalitpur | 17 | 1 | - | 21 |
| Rupandehi | 17 | 1 | 3 | 18 |
| Chitwan | 16 | 3 | 6 | 16 |
| Kaski | 12 | 4 | 2 | 19 |
| Gulmi | 7 | 3 | 23 | 5 |
| Jhapa | 7 | - | 7 | 9 |
| Kailali | 7 | 1 | 6 | 9 |
| Kapilvastu | 7 | - | 2 | 7 |
| Morang | 7 | 2 | 3 | 14 |
| Palpa | 7 | 2 | 7 | 7 |
| Bara | 6 | - | - | 6 |
| Bhaktapur | 6 | 1 | 1 | 5 |

| District | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Kavrepalanchok | 6 | - | 4 | 4 |
| Lamjung | 6 | 3 | 5 | 4 |
| Nawalparasi East | 6 | 2 | 9 | 7 |
| Rolpa | 6 | 3 | 13 | 4 |
| Siraha | 6 | 3 | 4 | 6 |
| Tanahu | 6 | 1 | 6 | 6 |
| Baglung | 5 | - | 13 | 5 |
| Banke | 5 | 2 | 5 | 10 |
| Dang | 5 | 3 | 3 | 6 |
| Dhading | 5 | 1 | 2 | 3 |
| Nawalparasi West | 5 | - | - | 3 |
| Baitadi | 4 | - | 3 | 1 |
| Dhanusa | 4 | 1 | 6 | 4 |

## GLOBAL IME'S PRESENCE: GLOBAL AND LOCAL

| District | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Gorkha | 4 | 2 | 1 | 2 |
| Makwanpur | 4 | - | 3 | 2 |
| Parsa | 4 | 1 | - | 5 |
| Rasuwa | 4 | 1 | 1 | 2 |
| Rautahat | 4 | - | - | 2 |
| Saptari | 4 | - | 1 | 2 |
| Sarlahi | 4 | - | 1 | 2 |
| Sindhupalchok | 4 | - | 5 | 2 |
| Sunsari | 4 | 3 | 4 | 8 |
| Bardiya | 3 | 1 | 2 | 3 |
| Darchula | 3 | - | 4 | 2 |
| Doti | 3 | - | 3 | 1 |
| Humla | 3 | - | - | - |
| Jumla | 3 | - | - | 1 |
| Sankhuwasabha | 3 | - | 5 | 2 |
| Surkhet | 3 | 2 | 3 | 3 |
| Arghakhanchi | 2 | 1 | 9 | 2 |
| Dadeldhura | 2 | 2 | 8 | 3 |
| Dhankuta | 2 | - | 1 | 2 |
| Ilam | 2 | 1 | 5 | 3 |
| Kalikot | 2 | - | 2 | 1 |
| Kanchanpur | 2 | 1 | 4 | 2 |
| Mahottari | 2 | - | 1 | 1 |
| Nuwakot | 2 | - | 2 | 2 |
| Ramechhap | 2 | - | 3 | 1 |
| Salyan | 2 | - | 4 | 1 |

| District | Branch | Extension Counter | BLB | ATMs |
|---|---|---|---|---|
| Sindhuli | 2 | - | - | 1 |
| Taplejung | 2 | - | 3 | 1 |
| Terhathum | 2 | - | 2 | 2 |
| Udayapur | 2 | - | 6 | 3 |
| Achham | 1 | - | 1 | 1 |
| Bajhang | 1 | - | 1 | 1 |
| Bajura | 1 | - | - | 1 |
| Bhojpur | 1 | - | 3 | 1 |
| Dailekh | 1 | - | 2 | 1 |
| Dolakha | 1 | - | - | 1 |
| Dolpa | 1 | - | - | - |
| Jajarkot | 1 | 1 | - | - |
| Khotang | 1 | - | 3 | 1 |
| Manang | 1 | - | - | - |
| Mugu | 1 | - | - | - |
| Mustang | 1 | - | - | 1 |
| Myagdi | 1 | 2 | 1 | 1 |
| Okhaldhunga | 1 | - | - | - |
| Panchthar | 1 | - | 3 | 1 |
| Parbat | 1 | 1 | 3 | 1 |
| Pyuthan | 1 | - | - | 1 |
| Rukum East | 1 | - | - | 1 |
| Rukum West | 1 | - | - | 1 |
| Solukhumbu | 1 | - | 1 | 1 |
| Syangja | 1 | - | - | 1 |
| **Grand Total** | **355** | **69** | **237** | **385** |



## KEY DIFFERENTIATORS

### 1. HIGHEST PAID-UP CAPITAL IN THE NEPALI BANKING INDUSTRY

Global IME Bank holds the highest paid-up capital of all commercial banks in Nepal, which demonstrates its stability and solidity of finances. The bank can expand its services, provide large-scale lending, and invest in innovative financial products with a sound capital base, and withstand during economic downturns.

### 2. LARGEST ASSET SIZE – FIRST TO REACH A DEPOSIT VOLUME OF NPR 500 BILLION

Global IME Bank, being one of the largest financial institutions, is the first in Nepal to reach a deposit volume of NPR 500 billion. The milestone is a testimony to the bank's solid market position, good financial management, and the faith placed in it by depositors and investors both.

### 3. LARGEST CUSTOMER BASE IN THE INDUSTRY

With its large network of branches and digital banking products, Global IME Bank has the largest number of customers in Nepal. Its widespread reach, both urban and rural, provides access to financial services for individuals, businesses, and institutions across the country.

### 4. TOP BANK IN INWARD REMITTANCE HANDLING

The bank has a basic role to perform in remittance inflows, one of Nepal's biggest strength-giving drivers. With its base of support all over the world and partnership with international remittance service providers, Global IME Bank offers speedy, secure, and reliable money transfer facilities for Nepalese overseas.

### 5. TRUSTWORTHY PARTNER FOR GOVERNMENT REVENUE COLLECTION

Global IME Bank is an authorized partner for collecting government revenue, including taxes, customs duties, and other payments. This trust from the government underscores the bank's reliability, efficiency, and compliance with regulatory standards.

### 6. DIVERSIFIED FINANCIAL PORTFOLIO

The bank offers a range of financial products and services, including corporate banking, SME lending, retail banking, trade finance, investment banking, and online banking. Its diversified portfolio caters to various sectors, making it financially inclusive and fostering economic growth.

### 7. FIRST NEPALI BANK WITH REPRESENTATIVE OFFICES IN THREE COUNTRIES (INDIA, AUSTRALIA, AND THE UK)

Global IME Bank has set the trend by establishing representative offices in three of the world's foremost financial hubs—India, Australia, and the UK. These offices offer convenience-based financial services to Nepalese expatriates, businessmen, and investors, adding value to the bank's international outreach.

### 8. PREFERRED PARTNER FOR GLOBAL LENDERS (ADB, IFC, BII, SIFEM, AND OPEC)

IME Bank has acquired the trust of leading international financial institutions, like the Asian Development Bank (ADB), International Finance Corporation (IFC), British International Investment (BII), Swiss Investment Fund for Emerging Markets (SIFEM), and OPEC Fund for International Development (OPEC Fund). This alliance enhances the bank's chances of raising capital, funding gigantic projects, and supporting the Nepalese economy's growth.

With its financial strength, innovation, and global reach, Global IME Bank continues at the forefront of banking in Nepal.

# STRATEGIC OBJECTIVES AND FUTURE PLANS

At Global IME Bank, our strategic priorities encompass a commitment to customer-centricity, secured digital transformation, regulatory compliance, sustainability, operational efficiency, and brand expansion. These strategic areas are designed to ensure long-term growth, stability, and alignment with both national and international standards.

As of mid-July 2024, we have served over

**5.1**

Million customers through 1,087 service outlets



## CUSTOMER-CENTRIC APPROACH

We are dedicated and proud of our excellence in the quality of our products and services that are cost-effective and reliable, these products and services are tailored to meet the assorted needs of our diverse clientele. Some of our initiatives include digital banking services, personalized financial products, superior customer experiences, sustainable banking products & services and service expansion by capturing untapped and underserved markets both domestically and internationally. As of mid-July 2024, we have served over 5.1 million customers through 1,087 service outlets, including branches, revenue counters, branchless banking, ATMs, extension counters, and representative offices

## SECURED DIGITAL TRANSFORMATION

Our commitment to strengthening our digital capabilities by investing and adapting to new technologies such as AI, machine learning and biometrics to respond quickly to changing customer expectations and market trends. We've upgraded our Core Banking System to Finacle's 10th version, which provides capabilities such as flexible product factories, extensive parameterization, and reusable business components to accelerate innovation-led growth. We also purchased and put into operation a Cash deposit machine to identify the physical currency to count, trim the currency and provide vouchers without employee involvement. We give utmost priority to the security of customer data and transactions. At Global IME we have employed strong authentication methods, encryption techniques, and real-time monitoring systems. We've automated AML software for managing customer information and reporting suspicious transactions to comply with anti-money laundering laws. To prepare for potential IT incidents, we've mobilized an Information Technology Incidents Response Team as per Nepal Rastra Bank directives.

## REGULATORY COMPLIANCE & RISK MANAGEMENT

We are dedicated in enhancing and strengthening our groundwork for our established cybersecurity, fortifying anti-money laundering (AML & CFT) measures, and maintaining adequate capital reserves in line with Nepal Rastra Bank's Basel III Guidelines. As we recognize the growing importance of cybersecurity we have been proactively collaborating with globally recognised audit companies to manage information system (IS) audits, to establish surveillance against threats. We have automated AML monitoring systems and we do not compromise in enforcing strict regulatory guidelines to prevent financial crimes. We meticulously monitor operating expenses and implement cost-optimization strategies to maintain financial stability without compromising service quality.

## SUSTAINABILITY & ESG

We are committed to ingraining ethical and climate-conscious financing into our core operations. At Global IME we maintain the highest standards of ethics and professional principle, we assure all our business practices align with responsible and transparent principles. As a part of our resolution to promote and encourage sustainable and a strong economy, we have adopted the principles of "Responsible Banking" while collaborating with global companies to facilitate green and sustainable funds into Nepal. Beyond that, we also support lending in compliance with Nepal Rastra Bank's directives and advocate for Green Financing in accordance with the Government of Nepal's Green Economic Strategy.

## OPERATIONAL EFFICIENCY

We persistently strive to improve operational efficiency through process automation, cost optimization, and workforce management advancement. We automate internal processes, streamline operations, reduce manual intervention and alleviate operational risk, which has led to an increase productivity and boost capabilities. Our dedication to cost efficiency is demonstrated in our strategic supervision of operating expenses and our adoption of cost-saving strategies while maintaining service excellence. Furthermore, our Human Resources Department gives precedence to skill development and capacity building through targeted training programs while centering on boosting staff productivity, increasing business per employee and increasing overall return on investment.

## BRAND EXPANSION

We at Global IME are dedicated to broadening our brand through a strong network growth strategy, with Nepal as well as globally. On the domestic front, we are focused on broadening our market reach by continuously expanding our branch network across the country. We are honoured to be the first corporate bank to launch our offices in all the 77 districts of Nepal. In the international domain, we strive to improve our services to Nepalese living abroad and to foster cross-border trade by establishing regional offices in major international hotspots including, London, Sydney and Delhi. Furthermore, we are striving to open our first branch in South Korea, further cementing our influence on the International arena.

## FUTURE PLANS

The Global IME Bank has focused on implementing cutting-edge, customer-centric digital innovations to deliver service and maintain its competitive edge in Nepal's banking sector. The strategy shall maximize returns, retain existing customers, and attract a new generation of well-versed clients using digital platforms to access banking services. We are confident this investment will deliver long-term revenue growth to the bank.

## THE STRATEGIES THAT THE BANK HAS ADOPTED INCLUDE:

- We aim to extend our reach by establishing more branches, service centers, and representative offices domestically and internationally.
- We will prioritize CASA deposits on the funding side and focus on SME, Retail, MSME, and Priority Sector Lending to enhance the lending side while emphasizing fee-based income that will provide fair and value-added services to our clientele.
- We have established a Product Development Committee to introduce more value-added financial services, implemented innovative products and embraced technology-driven banking solutions to enhance customer experience and operational efficiency.

We are honoured to be the first corporate bank to launch our offices in all the 77 districts of Nepal.

We will continue to support underserved communities by focusing on key areas such as education, healthcare, disaster relief, environmental protection, and initiatives to improve the quality of life for those in need.

- We have expanded our lending base through strategic global partnerships with institutions like IFC, BII, SIFEM, OPEC and KfW, while actively pursuing new collaborations to strengthen our lending capacity and global reputation.
- We are also focused on lending to Nepal's SME sector, supporting domestic raw materials and employment generation.
- We are committed to partnering with the construction industry to drive mutual growth amid Nepal's infrastructure expansion.
- Inward remittances from migrant workers are a key pillar of Nepal's economy and our fund base, strengthened by global partnerships and representative offices, with plans to expand our network for greater inflows.
- Global IME Bank is committed to expanding digital banking through advanced technology, ensuring seamless, customer-centric financial services.
- We are committed to reducing operating costs through automation, enhancing efficiency, and delivering superior customer experiences.
- We value our employees as our greatest asset and are enhancing training programs through digital technology for continuous knowledge exchange and growth.
- We have reorganized our operations in alignment with the federal governance structure, empowering seven provincial offices with expanded responsibilities and authority.
- As a responsible corporate entity, we will continue to support underserved communities by focusing on key areas such as education, healthcare, disaster relief, environmental protection, and initiatives to improve the quality of life for those in need.
- Since our inception, Global IME Bank has aligned with the economic policies of Nepal and actively pursued mergers to strengthen our market position, while focusing on developing a diverse and capable workforce to support future growth.
- The Global IME Bank prioritizes risk management and compliance through board-level and management-level committees, ensuring regular reviews and updates of strategies to identify and mitigate potential risks.
- Through the relentless execution of these initiatives, the Bank is poised to drive business growth, manage risks, deliver robust returns, and safeguard shareholder investments, as we have consistently demonstrated.








## ETHICS AND PROFESSIONAL INTEGRITY

The Bank's underlying business philosophy is to conduct every business practice following the highest standards of ethics and professional integrity. Our ethics and professional integrity not merely as abstract principles, but as essential components of its daily operations and long-term strategy.

## TEAMWORK AND COLLABORATION

Our success lies in its unwavering emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all concerned stakeholders, teamwork and collaboration from our employees that we are able to achieve our vision, mission, and fundamental business philosophies. The Bank has always considered its customers as business partners and valued members of its core team. As such, we continuously engage in an exchange of ideas, skills, competencies, and information with its valued clientele. This approach has enabled us to achieve our goals and scale greater heights in terms of business growth while fostering customer loyalty.

## RESPECT AND HUMILITY

We strongly believe that individuals can achieve their strategic aims and aspirations by embracing the virtues of respect and humility. The Bank's focus has always been on creating an amicable atmosphere where it offers equal respect to various cultures, languages, races, ethnicities, social values, and beliefs. By valuing diversity, listening to stakeholders, and promoting inclusivity, Global IME Bank fosters a culture of respect and humility, ensuring synergistic activities and maintaining strong relationships with its communities

## CORE VALUES AND CODE OF CONDUCT

### PROFESSIONALISM

The Bank conducts all its operations with strict adherence to the highest benchmarks of service excellence and professionalism. We offer qualitative, dependable, and safe banking services, while continuously strengthening our relationships with our diverse stakeholders. This achievement is made possible through the Bank's unwavering focus on customer-oriented, research-based innovation in its market offerings and business processes.



### CORPORATE GOVERNANCE

We strictly adhere to the directives, guidelines, and regulations set forth by Nepal Rastra Bank on corporate governance, strengthening transparency in our business operations while establishing an empowering and robust internal control mechanism.

### LOYALTY

We have consistently been a trusted partner to our diverse stakeholders, unwavering our commitment to serving as a reliable partner for our business stakeholders, especially our customers, through both good times and challenges, aiming to redefine the belief that banks are only there in favorable moments and proving that "bankers are partners at all times.

We have always considered our customers as business partners and valued members of our core team. As such, we continuously engage in an exchange of ideas, skills, competencies, and information with our valued clientele.

# PRODUCTS AND SERVICES

## Personal Banking

- Global Balbalika Bachat
- Global Jestha Nagarik Saving Account
- Global Navaratna Saving Account
- Soche Jastai Bank Khata
- Sabai Nepali Ko Bachat Khata
- Global Normal Saving
- Global Branchless Banking
- Global Nari Bachat Khata
- Global Share Lagani Bachat Khata
- Global Sambriddhi Recurring Deposit
- Meri Unilai
- Global General Fixed Deposit
- Global Top-Up Fixed Deposit
- Professional Loan
- Loan Against FD Loan
- Mortgage Loan (Personal Loan)
- Fast Loan Agianst Shares (FLASH)
- Education Loan
- Home Loan
- Nischinta Awash Yojana
- Global Green Home Loan
- Global Auto Loan - Green Drive Shceme
- Auto Loan
- EKSath5 - Saving Account, Demat, Meroshare, C-Asba, TMS
- Easy Buy Easy Pay
- VISA Debit Card
- SCT UPI Card
- Global Travel Card
- Mero Aafnai Debit Card
- Global E-COM Card - USD Dollar Card
- VISA International Gold Debit Card
- VISA Domestic Classic Credit Card
- Global Smart Plus App
- Global Junior App

Product and Services

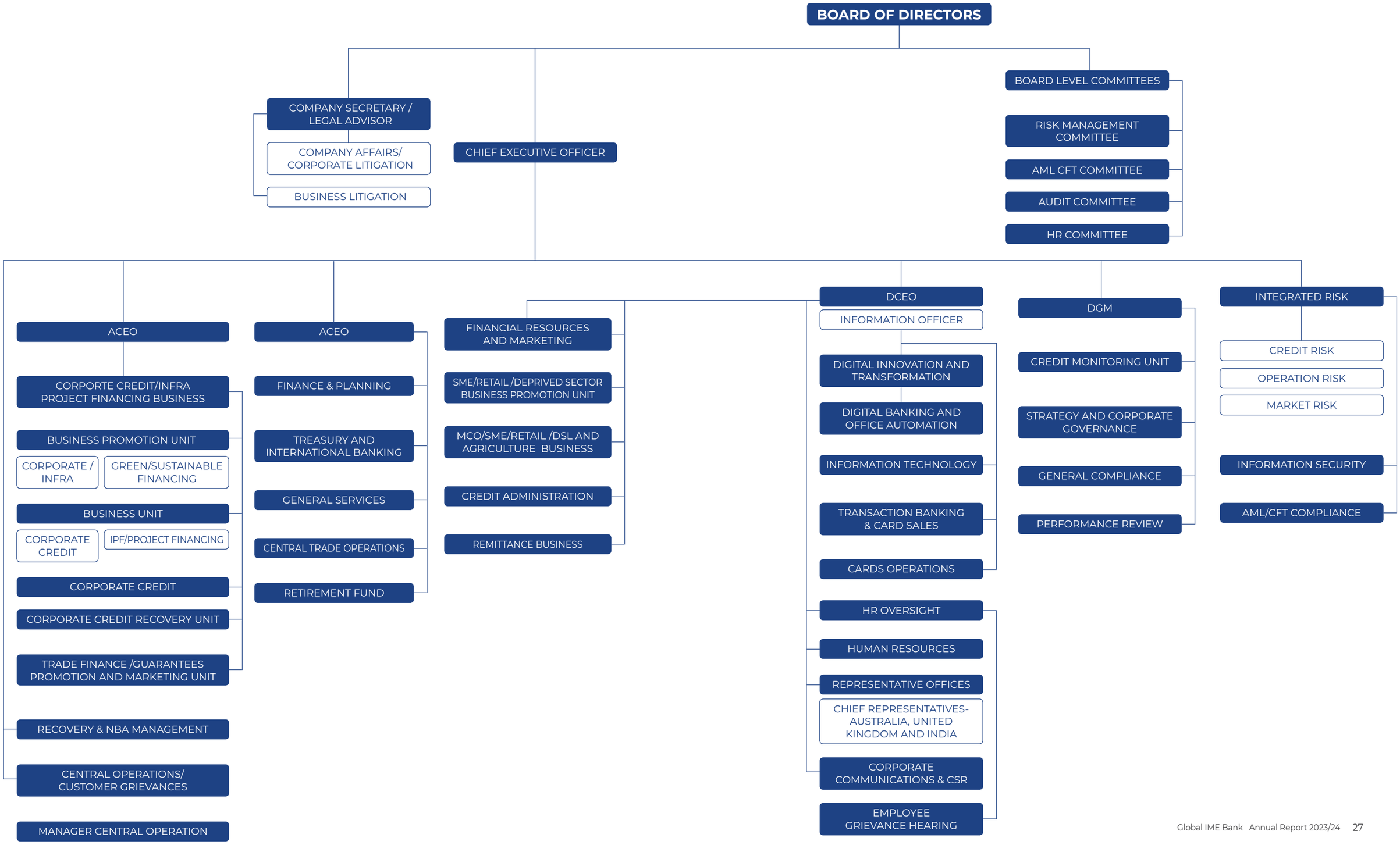
## Business Banking

| | | |
|---|---|---|
| **BUSINESS EXPANSION** | **SME Loan** | Global IME Small Business Loan<br>Global Byawasaya Tewa Karja<br>Global IME SME Loan |
| | **Agri Business Loan** | Global IME Krishi Karja |
| | **Business Loan** | Global Hire Purchase Loan |
| | **Infrastructure/Project Consortium Loans** | Manufacturing<br>Trading<br>Agriculture<br>Tourism |
| **ACCOUNT OPENING** | **Call Account** | |
| | **Current Account** | |
| **GET STABLE RETURN** | **Institutional FD** | |
| **MAKE PAYMENTS** | **POS** | |
| | **QR** | |
| | **Corporate Pay** | |
| | **Visa-Scan to Pay** | |
| **TRADE SERVICES** | **Bank Guarantee (BG)** | |
| | **Online LC and BG** | |

## Remittance

| | | |
|---|---|---|
| Remittance Account | Global Janmabhumi Bachat Khata<br>Global Remit Saving Account | |
| FD | Global IME Remitters Term Deposit | |
| Send Money from | Australia | S.Korea |
| | Bahrain | UAE |
| | Canada | UK |
| | India | USA |
| | Japan | Worldwide |
| | Jordan | |
| | KSA | |
| | Kuwait | |
| | Malaysia | |
| | Qatar | |

# CORPORATE ORGANOGRAM



# MANAGEMENT REPORT & ANALYSIS

## PERFORMANCE ANALYSIS OF THE MANAGEMENT COMMITTEE

### NEPAL'S ECONOMIC OVERVIEW:

Nepal's economy has shown signs of recovery in FY 2024, supported by strong growth in tourism, agriculture, and energy production. Real GDP growth reached 3.87% in FY 2024, nearly doubling from 1.86% in FY 2023. The services sector played a pivotal role in this growth, with a notable increase in tourist arrivals stimulating activity in transportation, accommodation, and food services. Additionally, the country's economic momentum was reinforced by rising hydropower generation and higher agricultural output, contributing to a more diversified and resilient economic performance.

Strong remittance inflows have been a key driver of private consumption in Nepal, which accounts for over 80% of GDP. Private consumption grew by 1.1% in FY 2024, up from 0.7% in FY 2023, largely due to robust remittance support. However, private investment showed signs of deceleration, reflected in lower investment commitments, a decline in capital goods imports, and reduced business credit. Public investment also remained subdued, primarily due to the government's constrained capital spending, while public consumption fell, partly as a result of austerity measures.

Nepal's current account surplus reached 3.9% of GDP, marking the first surplus in eight years, driven by strong remittances and lower import levels. Remittances reached a nine-year high, spurred by record migration in FY 2023. Meanwhile, imports of key items such as crude edible oil, rice, and gold fell due to India's tariff changes and export restrictions. Electricity exports hit a record high, and the surge in tourist arrivals significantly boosted service exports. As a result, foreign exchange reserves grew, positioning the country to cover 13 months of imports by the end of FY 2024.

In FY 2024, Nepal's fiscal deficit dropped to a seven-year low of 2.6% of GDP, despite stagnation in revenue growth, thanks to significant reductions in government spending. Recurrent spending saw a decrease of 2.2 percentage points, primarily driven by lower fiscal transfers to subnational governments and austerity measures targeting allowances, fuel, and office expenses. As a result, government revenue remained steady at 19% of GDP, marking the lowest level in eight years.

Inflation moderated to 5.4% in FY 2024, down from 7.7% the previous year, falling below the Nepal Rastra Bank's target of 6.5%. This improvement was mainly due to a sharp decline in non-food inflation, which dropped from 8.6% to 4.6%, driven by reduced housing, utility, and fuel costs. However, food inflation remained persistent at 6.5%, despite falling ghee and oil prices, as international vegetable and cereal prices continued to rise. Contributing to this was a mix of higher paddy and wheat prices, India's export restrictions on rice and onions, VAT changes, and weather-related disruptions. Additionally, Nepal benefited from India's lower inflation, aided by the currency peg between the two nations.

The Nepal Rastra Bank's (NRB) monetary policy for FY 2024 remained strategically accommodative, reflecting the need to balance economic growth with financial stability. In a bid to support liquidity and stimulate demand, the NRB lowered its policy rate by 50 basis points to 6.5% at the outset of the fiscal year, and subsequently made a more aggressive cut of 100 basis points to 5.5% in December 2023. To manage liquidity effectively, the central bank utilized the newly introduced standing deposit facility, absorbing over NPR 3.5 trillion in the second half of FY 2024. This measure kept the interbank rate within the lower range of the policy corridor.

As a result, nominal short- and medium-term interest rates in the market decreased, driven by the policy rate cuts and ample liquidity. However, real interest rates increased as inflation moderated, leading to a 6.3% rise in the deposit-to-GDP ratio, reaching 113.3%. Private sector credit as a percentage of GDP, however, remained stagnant. To spur credit expansion in key sectors such as real estate and manufacturing, the NRB implemented several policy adjustments, aimed at improving lending conditions.

The banking sector faced significant challenges in FY 2024, with deteriorating asset quality, rising provisioning requirements, and compressed profitability. The Non-Performing Loan (NPL) ratio reached a record high of 3.8% by mid-July 2024, contributing to a 29.5% increase in loan-loss provisions and an 8.8% decline in net profits. Despite these challenges, the banking sector's capital adequacy ratio (CAR) remained above the regulatory minimum of 11.5%, including the countercyclical buffer of 0.5%. Nonetheless, emerging pressures indicate that the sector's resilience may be tested in the coming quarters.

| Economic Indicators | FY24 | FY23 | Change |
|---|---|---|---|
| Foreign Currency reserve (In USD Billion) | 15.27 | 11.71 | 30.40% |
| Balance of Payment (In USD Billion) | 3.77 | 2.17 | 73.73% |
| Public Debt (Rs. In Billion) | 2,433.00 | 2,299.00 | 5.83% |
| Public Debt in % of GDP | 42.70 | 43.00 | -0.70% |
| Electricity Export (In GWh) | 1,946 | 1,346 | 44.58% |
| Electricity Import (In GWh) | 1,895 | 1,833 | 3.38% |
| Remittance (Rs. In Billion) | 1,445.32 | 1,240.69 | 16.49% |
| Nepal Stock Exchange Index | 2,240.41 | 2,097.10 | 6.83% |
| Market Capitalization (Rs. In Billion) | 3,553.68 | 3,082.52 | 15.28% |
| BFIs in Nepal | | | |
| Infrastructure Development Bank | 1 | 1 | |
| Commercial Banks (A Class) | 20 | 20 | |
| Development Banks (B Class) | 17 | 17 | |
| Finance Companies (C Class) | 17 | 17 | |
| Microfinance Companies (D Class) | 55 | 57 | |
| **Total BFIs** | **110** | **112** | |
| Deposit at BFIs (Rs. In Billion) | 6,673 | 5,939 | 12.36% |
| Credit by BFIs (Rs. In Billion) | 5,646 | 5,330 | 5.92% |

### Review Of Bank's Performance With Management's Objectives And Strategies

In FY 2024, amid a sluggish economic environment and reduced credit demand, Global IME Bank's credit business grew at a pace slower than the industry average. Despite this modest growth, the post-merger efforts to refine our credit risk assessment processes have provided us with a more comprehensive understanding of customer credit profiles, allowing for more informed decision-making during a period of subdued credit demand.

In contrast to the dampened credit growth, the bank experienced a significant influx of deposits, making it the first commercial bank in Nepal to surpass the Rs. 500 billion mark in deposits.

Despite facing the additional challenge of managing unutilized resources and a higher loan loss provision in FY 2024, our overall performance has remained strong. The strategic adjustments undertaken to optimize our asset portfolio ensured that the impact on profitability and operational stability was effectively mitigated.

The bank's financial performance for the fiscal year is summarized in the table below:

## BUSINESS PERFORMANCE

### 1. Loan Segment

Rs. In Billion

| Category | 2024 | 2023 | Change |
|---|---|---|---|
| Retail Loans | 90.14 | 81.41 | 10.72% |
| SME Loans | 90.85 | 92.68 | -1.97% |
| Corporate Loans | 97.36 | 86.83 | 12.12% |
| Mid Corporate Loans | 26.67 | 27.98 | -4.69% |
| Project Financing Loans | 71.03 | 71.05 | -0.02% |
| Deprived Sector/Wholesale Lending | 14.19 | 14.01 | 1.24% |
| Credit Card | 0.53 | 0.39 | 35.57% |
| **Grand Total** | **390.77** | **374.36** | **4.38%** |

Credit Business Mix

| Category | 2024 | 2023 | Change |
|---|---|---|---|
| Retail Loans | 23.07% | 21.75% | 6.07% |
| SME Loans | 23.25% | 24.76% | -6.09% |
| Corporate Loans | 24.91% | 23.19% | 7.42% |
| Mid Corporate Loans | 6.83% | 7.48% | -8.69% |
| Project Financing Loans | 18.18% | 18.98% | -4.22% |
| Deprived Sector/Wholesale Lending | 3.63% | 3.74% | -3.01% |
| Credit Card | 0.14% | 0.10% | 29.87% |
| **Grand Total** | **100.00%** | **100.00%** | **0.00%** |

## 2. Deposit Resource

Rs. In Billion

| Deposit Type | 2024 | 2023 | Change |
|---|---|---|---|
| Demand Deposit | 28.92 | 27.38 | 5.63% |
| Saving Deposit | 167.39 | 129.31 | 29.45% |
| Call Deposit | 30.38 | 25.24 | 20.36% |
| Term Deposit | 274.76 | 253.77 | 8.27% |
| Margin Deposit | 3.43 | 3.65 | -5.87% |
| | **504.89** | **439.35** | 14.92% |

Deposit Held by

Rs. In Billion

| Deposit | 2024 | 2023 | Change |
|---|---|---|---|
| Individual Deposit | 335.16 | 282.79 | 18.52% |
| Institutional Deposit | 169.73 | 156.56 | 8.41% |
| | **504.89** | **439.35** | 14.92% |

| Deposit Type | 2024 | 2023 | Change |
|---|---|---|---|
| Deposit Accounts | 5,142,537 | 4,565,236 | 12.65% |

Province wise Deposit

Rs. In Billion

| Province | 2024 | 2023 | Change |
|---|---|---|---|
| Province 1 | 27.26 | 22.90 | 19.03% |
| Province 2 | 22.25 | 18.32 | 21.48% |
| Province 3 | 252.03 | 216.49 | 16.41% |
| Province 4 | 33.46 | 27.41 | 22.07% |
| Province 5 | 59.30 | 49.91 | 18.81% |
| Province 6 | 6.39 | 6.01 | 6.37% |
| Province 7 | 15.22 | 13.01 | 17.01% |
| Head Office | 88.99 | 85.31 | 4.31% |
| **Total** | **504.89** | **439.35** | **14.92%** |



## 3. Investments

Rs. In Billion

| Investment Sector | 2024 | 2023 | Change |
|---|---|---|---|
| Investment in Subsidiaries | 0.73 | 0.65 | 11.94% |
| Investment in corporate equities shares and Mutual Fund Units | 3.85 | 3.88 | -0.76% |
| Debt securities | 1.71 | 1.71 | 0.00% |
| Placements with Other Banks | 19.29 | 5.03 | 283.36% |
| Nepal Rastra Bank deposit instruments | 31.00 | 5.50 | 463.64% |
| Government treasury bills | 47.67 | 41.96 | 13.62% |
| Government bonds | 54.05 | 43.52 | 24.19% |
| | **158.31** | **102.25** | 54.82% |

Earning Performance

Rs. In Billion

| | FY 2024 | FY 2023 | Change |
|---|---|---|---|
| Interest Income | 51.68 | 48.21 | 7.20% |
| Interest Expenses | 34.82 | 31.10 | 11.96% |
| **Net interest income** | **16.86** | **17.11** | **-1.47%** |
| Fees and Commission Income | 3.45 | 2.74 | 25.62% |
| Operating Income | 1.12 | 0.70 | 60.80% |
| Operating Expenses | 8.94 | 7.86 | 13.80% |
| **Operating Profit** | **12.48** | **12.69** | **-1.64%** |
| Provision for assets | 3.62 | 3.43 | 5.56% |
| **Profit Before Tax** | **8.87** | **9.27** | **-4.30%** |
| Tax Expenses | 2.73 | 2.57 | 6.17% |
| **Profit After Tax** | **6.14** | **6.69** | **-8.32%** |
| **Cost to Income Ratio (%)** | **38.24** | **41.74** | **3.50%** |

We at Global IME have remained focused on our long-term objective of optimizing costs while enhancing income streams. Although the cost-to-income ratio increased by 350 basis points, this was primarily driven by a rise in interest costs, largely attributed to the cap maintained on interest spreads. The interest cost saw an 11.96% increase for the year, primarily due to higher deposit levels. The credit-deposit (CD) ratio was managed effectively, remaining at 75.87%, well within the maximum limit of 90%.

On a positive note, fees and commission income demonstrated a healthy increase, which helped offset the higher costs incurred during the year, thereby maintaining overall financial stability.

### Risk Asset Quality

As of the end of the reporting period, the average risk weight of both on-balance sheet and off-balance sheet items stood at 59.36%, reflecting a decrease of 6.92% compared to the previous year. The bank's non-performing loans (NPL) amounted to NPR 16.31 billion, marking an increase of 38.35% year-over-year. Correspondingly, the non-performing asset (NPA) ratio rose to 4.17%, up from 3.15% in the previous year, highlighting a deterioration in asset quality.

Rs. In Billion

| | 2024 | | | 2023 | | | |
|---|---|---|---|---|---|---|---|
| Particulars | Exposure | Risk Weight | Average Risk Weight | Exposure | Risk Weight | Average Risk Weight | Change |
| Balance Sheet Exposures | 616.76 | 383.49 | 62.18% | 538.96 | 378.71 | 70.27% | -8.09% |
| Off balance Sheet Exposures | 101.57 | 42.88 | 42.22% | 97.75 | 43.28 | 44.28% | -2.06% |
| **Total** | **718.33** | **426.37** | **59.36%** | **636.71** | **421.99** | **66.28%** | |
| **Non-Performing Loan** | | **16.31** | | | **11.79** | | **38.35%** |
| Non-Performing Loan Ratio | | | 4.17% | | | 3.15% | 1.02% |

The Bank actively supports sectors such as renewable energy, energy efficiency, clean energy, sustainable transportation, agriculture, and SMEs, with a strong emphasis on equitable and responsible business practices.

### Capital Adequacy Ratio

As of the end of the reporting period, the Bank's Capital Adequacy Ratio (CAR) stood at 12.39%, surpassing the regulatory requirement of 11% by 139 basis points. Our Tier I capital ratio is 10.32%, exceeding the minimum statutory requirement of 8.50% by 1.82 percentage points. Global IME's risk-weighted exposures grew by 1.56% during the fiscal year, primarily driven by an increase in the operational risk-weighted exposure.

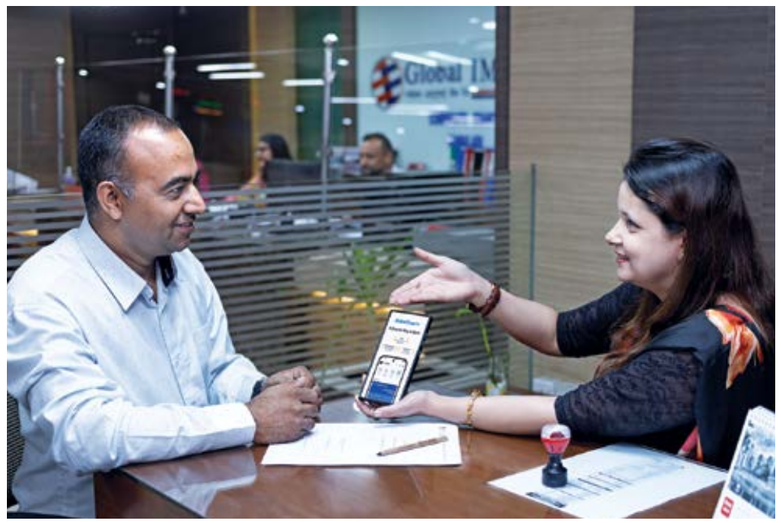
In terms of capital composition, the total capital of the Bank decreased by 4.50%, with a notable reduction in Tier II capital. Specifically, Tier I capital declined by 2.75%, while Tier II capital saw a more significant decrease of 12.35%. These changes reflect adjustments in the capital structure and risk profile during the reporting period.

### Other Performance of the Bank Sustainability and Green Banking Initiatives

Global IME Bank remains committed to fostering sustainable economic growth by integrating environmental, social, and governance (ESG) principles into our core banking operations. To strengthen this commitment, we have established a dedicated Green and Sustainable Banking Unit, aimed at promoting environmentally responsible financial practices across the country.

Our sustainability strategy is embedded at both operational and strategic levels, ensuring that green financing becomes a key pillar of our business model. The Bank actively supports sectors such as renewable energy, energy efficiency, clean energy, sustainable transportation, agriculture, and SMEs, with a strong emphasis on equitable and responsible business practices.

As part of this commitment, Global IME Bank continues to expand our financing for green projects while effectively managing environmental and social risks through a robust ESG risk management framework. In FY 2024 alone, the Bank sanctioned over NPR 3 billion in loans to retail and SME customers, supporting green initiatives such as electric vehicles and energy-efficient housing. This initiative reinforces our long-term vision of becoming a leading financial institution in sustainable banking, aligning with global best practices and Nepal's broader sustainability goals.



### Staff Recruitment and Professional Development

Global IME Bank follows a structured and strategic approach to talent acquisition, ensuring the recruitment of highly skilled professionals who align with the Bank's long-term vision and operational objectives. The hiring process is designed to attract candidates with strong financial acumen, technological proficiency, and customer-centric expertise.

To build a diverse and competent workforce, we leverage multiple recruitment channels, including job portals, campus hiring programs, employee referrals, and professional networking platforms. This multi-faceted approach enables the Bank to identify top talent across various segments of the labor market.

In FY 2024, we onboarded 330 professionals across different roles, reinforcing its commitment to enhancing operational efficiency and strengthening key business functions.

At Global IME Bank, we are committed to a structured and continuous learning framework to enhance employee competencies, ensure regulatory compliance, and improve service excellence. Our training programs cover critical areas, including **regulatory compliance, customer service, digital banking, operational risk management, and leadership development.**

To deliver effective training, we employ **a combination of on-the-job training, workshops, e-learning platforms, and role-based simulations,** ensuring employees remain well-versed in industry trends and technological advancements. Additionally, cross-functional training initiatives are actively encouraged to broaden employees' banking expertise and foster a more versatile workforce.

During the reporting period, we conducted **459 training sessions, engaging 7,764 participants** through a mix of **in-house and external training programs.** These initiatives reinforce our commitment to professional development and maintaining a high-performance workforce.

The hiring process is designed to attract candidates with strong financial acumen, technological proficiency, and customer-centric expertise.



## PERFORMANCE OVERVIEW 2024

In the fiscal year 2024, Global IME Bank demonstrated its resilience amidst a challenging economic landscape, posting strong revenue and asset growth while addressing profitability and capital adequacy concerns.

## REVENUE AND PROFITABILITY

The total income of the bank increased by 4.27%, from Rs. 20.55 billion in 2023 to Rs. 21.43 billion in 2024. Net profit decreased by 8.32%, from Rs. 6.69 billion to Rs. 6.14 billion. The decline in profitability is mainly attributed to higher provisions for loan losses and growth in non-performing loans (NPLs).

**Revenue and Profitability**

**Total Revenue** (In Rs Billion)

| 2024 | 2023 | Changes |
|---|---|---|
| 21.43 | 20.55 | 4.27% |

**Net Profit** (In Rs Billion)

| 2024 | 2023 | Changes |
|---|---|---|
| 6.14 | 6.69 | -8.32% |

### Asset Quality

In FY 2024, the bank's asset quality declined, with NPLs rising by 38.35% to Rs. 16.31 billion, from Rs. 11.79 billion in the previous year. Similarly, loan loss provisions rose by 25.64% to Rs. 17.72 billion. The figures reflect increased risk exposure and an increased percentage of impaired assets.

**Asset Quality**

**Non-Performing Loans** (In Rs Billion)

| 2024 | 2023 | Changes |
|---|---|---|
| 16.31 | 11.79 | 38.35% |

**Total Loan Loss Provisions** (In Rs Billion)

| 2024 | 2023 | Changes |
|---|---|---|
| 17.72 | 14.11 | 25.64% |

## CAPITAL ADEQUACY

Notwithstanding maintaining capital levels above regulatory levels, the bank recorded a reduction in capital adequacy ratios. Overall capital adequacy declined by 7.12%, from 13.34% in 2023 to 12.39% in 2024. Tier I Capital Adequacy also declined, from 10.92% to 10.32%. This indicates a demand for strategic recapitalization and improved risk management to ensure ongoing regulatory compliance.

| Capital Adequacy | 2024 | 2023 | Changes |
|---|---|---|---|
| Tier I Capital Adequacy | 10.32% | 10.92% | -5.43% |
| **Minimum Tier 1 Capital requirement** | **8.50%** | **8.50%** | |
| Total Capital adequacy | 12.39% | 13.34% | -7.12% |
| **Minimum Total Capital requirement** | **11.00%** | **11.00%** | |

## RETURN RATIOS

Major return parameters showed a negative trend. Earnings Per Share (EPS) went down by 23.01% to Rs. 16.99 in FY 2024, from Rs. 22.06 in the previous year. Return on Equity (ROE) also declined by 15.69%, from 12.09% to 10.19%. Return on Assets (ROA) too fell by 18.90%, from 1.34% to 1.08%. This highlights issues related to profitability as well as capital usage efficiency.

| Return Ratios | 2024 | 2023 | Changes |
|---|---|---|---|
| Earnings per Share (Rs.) | 16.99 | 22.06 | -23.01% |
| Return on Equity (%) | 10.19 | 12.09 | -15.69% |
| Return on Assets (%) | 1.08 | 1.34 | -18.90% |

## BUSINESS EXPANSION AND GROWTH

Despite the hurdles, the bank recorded substantial business expansion. The customer base has also grown noticeably, with Mobile Banking Customers increasing by 13.99% to 2.23 million, Deposit Accounts increasing by 12.65% to 5.14 million, and Loan Accounts increasing by 2.56% to 80,986. In terms of business volume, Deposits increased by 14.92% to Rs. 504.89 billion and Loans increased by 4.38% to Rs. 390.77 billion. Furthermore, Total Assets increased by 14.73% to Rs. 604.52 billion. The figures indicate the bank has achieved success with its strategies in customer acquisition and market penetration.

| Customer Growth | 2024 | 2023 | Changes |
|---|---|---|---|
| Mobile Banking Customer | 2,229,972 | 1,956,214 | 13.99% |
| Deposit Accounts | 5,142,537 | 4,565,236 | 12.65% |
| Loan Accounts | 80,986 | 78,966 | 2.56% |

| | In Rs Billion | | |
|---|---|---|---|
| **Business Growth** | **2024** | **2023** | **Changes** |
| Deposit | 504.89 | 439.35 | 14.92% |
| Loans | 390.77 | 374.36 | 4.38% |
| Total Assets | 604.52 | 526.88 | 14.73% |

## OPERATIONAL HIGHLIGHTS

As part of its digital transformation process, Global IME Bank launched Business Process Management (BPM) and Robotic Process Automation (RPA) to enhance operational efficiency and customer service delivery. These technological upgradations have made processes streamlined and responsive for faster and more efficient delivery of services.

## SERVICE QUALITY & CUSTOMER SATISFACTION

Customer engagement rose as evidenced by the 6.72% rise in service enquiries. Loan and Deposit Product enquiries doubled, showing a 100.17% rise, with Operational Area Inquiries rising by 23.14%. Card and Digital Product enquiries dropped by 5.27%, indicating a possibility that there has been improved service provision in these cases, reducing enquiry needs.

| Inquiry Received | 2024 | 2023 | Changes |
|---|---|---|---|
| Card and Digital Products | **155,554** | **164,211** | -5.27% |
| Loan and Deposit Products | **23,566** | **11,773** | 100.17% |
| Operational Areas | **65,250** | **52,989** | 23.14% |
| **Total Inquiry** | **244,370** | **228,973** | 6.72% |

## EMPLOYEES AND CAPACITY BUILDING

To keep up with the expansion, the bank significantly improved its workforce. Compared to FY 2023, new hiring exceeded by twice or 312.50% in FY 2024 with 330 additional employees. The bank also increased its expenditures in training by 88.80%, doubling on employee development and capability building.

| Employees | 2024 | 2023 | Changes |
|---|---|---|---|
| New Hire Personnel | 330 | 80.00 | 312.50% |

| | Rs. In Million | | |
|---|---|---|---|
| **Employees Investment** | **2024** | **2023** | **Changes** |
| **Training Investment** | 66.58 | 35.26 | 88.80% |

## SUSTAINABILITY & CORPORATE SOCIAL RESPONSIBILITY (CSR)

Global IME Bank enhanced its CSR initiatives with an increased sense of social responsibility. Total CSR investment went up by 192.80% to Rs. 71.88 million. CSR investment in Health, Financial Literacy, and Environmental Conservation programs went up by 191.34%. Most importantly, 74% of CSR investment went towards core sustainability programs, indicating the bank's desire to create positive social change.

| | Rs. In Million | | |
|---|---|---|---|
| **CSR** | **2024** | **2023** | **Changes** |
| Total CSR Investment | 71.88 | 24.55 | 192.80% |
| CSR Investment in Health, Financial Literacy and Environmental Conservation | 52.87 | 18.15 | 191.34% |
| **% of Total CSR Expenses** | **74%** | **74%** | |

Global IME Bank has registered remarkable business expansion and developed its digital journey in 2024. However, there are challenges related to profitability, asset quality, and capital adequacy. Addressing these issues through strengthened risk management, optimum deployment of capital, and maximized profitability strategy will be imperative in ensuring the sustenance of long-term expansion and stability.





### Horizontal Analysis of Statement of Financial Position

In Rs Billion

| | 2024 | 2024 vs 2023 | 2023 | 2023 vs 2022 | 2022 |
|---|---|---|---|---|---|
| **Assets** | | | | | |
| Cash and Cash Equivalent | 49.796 | 75% | 28.532 | 57% | 18.198 |
| Due from Nepal Rastra Bank | 21.315 | 14% | 18.649 | 56% | 11.931 |
| Placement with Bank and Financial Institutions | - | -100% | 0.669 | 100% | - |
| Derivative financial instruments | 4.525 | 354% | 0.996 | -21% | 1.266 |
| Other trading assets | - | - | - | 0% | - |
| Loan and advances to B/FIs | 13.764 | 1% | 13.660 | 27% | 10.751 |
| Loans and advances to customers | 369.425 | 4% | 354.467 | 37% | 258.088 |
| Investment securities | 121.301 | 38% | 87.592 | 88% | 46.514 |
| Current Tax Assets | 2.449 | -28% | 3.380 | 51% | 2.239 |
| Investment in subsidiaries | 0.728 | 12% | 0.651 | 76% | 0.371 |
| Investment in associates | 1.373 | -25% | 1.840 | 182% | 0.653 |
| Investment property | 4.848 | 180% | 1.733 | 210% | 0.559 |
| Property and equipment | 8.029 | 4% | 7.741 | 32% | 5.885 |
| Goodwill and intangible assets | 0.889 | -2% | 0.906 | 83% | 0.496 |
| Deferred Tax Assets | - | -100% | 0.017 | -91% | 0.180 |
| Other Assets | 6.078 | 0% | 6.051 | 78% | 3.408 |
| **Total Assets** | **604.518** | **15%** | **526.883** | **46%** | **360.537** |
| **Liabilities** | | | | | |
| Due to Bank and Financial Institutions | 17.434 | 34% | 13.024 | 36% | 9.595 |
| Due to Nepal Rastra Bank | 0.373 | -21% | 0.471 | -97% | 14.439 |
| Derivative financial instruments | 4.516 | 377% | 0.947 | -25% | 1.271 |
| Deposit from customers | 487.456 | 14% | 426.325 | 54% | 276.965 |
| Borrowing | 12.101 | 269% | 3.283 | -43% | 5.747 |
| Current tax liabilities | 2.364 | -15% | 2.788 | 27% | 2.204 |
| Provisions | - | - | - | - | - |
| Deferred Tax Liabilities | 0.522 | 100% | - | 0% | - |
| Other Liabilities | 7.661 | -13% | 8.810 | 9% | 8.084 |
| Debt securities issued | 10.685 | -12% | 12.182 | 171% | 4.493 |
| Subordinated Liabilities | - | 0% | - | 0% | - |
| **Total Liabilities** | **543.111** | **16%** | **467.829** | **45%** | **322.798** |
| **Equity** | | | | | |
| Share capital | 36.129 | 1% | 35.771 | 50% | 23.796 |
| Share premium | - | | - | | - |
| Retained earnings | 0.507 | -84% | 3.243 | 0% | 3.239 |
| Reserves | 24.772 | 24% | 20.039 | 87% | 10.704 |
| **Total Equity** | **61.407** | **4%** | **59.054** | **56%** | **37.739** |
| **Total Liabilities and Equity** | **604.518** | **15%** | **526.883** | **46%** | **360.537** |

## Horizontal Analysis of Income Statement

In Rs Billion

| | 2024 | 2024 vs 2023 | 2023 | 2023 vs 2022 | 2022 |
|---|---|---|---|---|---|
| Interest Income | 51.680 | 7% | 48.210 | 66% | 29.058 |
| Interest Expenses | 34.824 | 12% | 31.103 | 66% | 18.769 |
| **Net interest income** | **16.856** | **-1%** | **17.107** | **66%** | **10.290** |
| Fee and Commission Income | 3.447 | 26% | 2.744 | 24% | 2.218 |
| Fee and Commission Expense | 0.765 | 12% | 0.684 | 28% | 0.536 |
| **Net fee and commission income** | **2.682** | **30%** | **2.061** | **22%** | **1.682** |
| **Net interest, fee and commission income** | **19.539** | **2%** | **19.168** | **60%** | **11.972** |
| Net Trading Income | 0.581 | 22% | 0.475 | -20% | 0.594 |
| Other Operating Income | 0.534 | 149% | 0.215 | -55% | 0.473 |
| **Total operating income** | **20.654** | **4%** | **19.857** | **52%** | **13.039** |
| Impairment charge/(reversal) for loans and other losses | 3.617 | 6% | 3.426 | 635% | 0.466 |
| **Net Operating Income** | **17.037** | **4%** | **16.431** | **31%** | **12.572** |
| **Operating Expenses** | | | | | |
| Personnel Expenses | 4.782 | 13% | 4.234 | 29% | 3.291 |
| Other Operating Expenses | 2.245 | 20% | 1.875 | 30% | 1.447 |
| Depreciation and Amortization | 0.991 | 25% | 0.791 | 22% | 0.647 |
| **Operating profit** | **9.019** | **-5%** | **9.530** | **33%** | **7.188** |
| Non operating income | 0.007 | -14% | 0.009 | 161% | 0.003 |
| Non operating expense | 0.159 | -42% | 0.273 | 66% | 0.164 |
| **Profit before income tax** | **8.867** | **-4%** | **9.266** | **32%** | **7.027** |
| Income Tax Expense | | | | | |
| Current tax | 2.355 | -16% | 2.788 | 29% | 2.166 |
| Deferred tax | 0.375 | -273% | (0.217) | 121% | (0.098) |
| **Profit for the Year** | **6.137** | **-8%** | **6.694** | **35%** | **4.959** |

## Vertical Analysis of Statement of Financial Position

In Rs Billion

| | 2024 | % | 2023 | % | 2022 | % |
|---|---|---|---|---|---|---|
| **Assets** | | | | | | |
| Cash and Cash Equivalent | 49.796 | 8% | 28.532 | 5% | 18.198 | 5% |
| Due from Nepal Rastra Bank | 21.315 | 4% | 18.649 | 4% | 11.931 | 3% |
| Placement with Bank and Financial Institutions | - | 0% | 0.669 | 0% | - | 0% |
| Derivative financial instruments | 4.525 | 1% | 0.996 | 0% | 1.266 | 0% |
| Other trading assets | - | 0% | - | 0% | - | 0% |
| Loan and advances to B/FIs | 13.764 | 2% | 13.660 | 3% | 10.751 | 3% |
| Loans and advances to customers | 369.425 | 61% | 354.467 | 67% | 258.088 | 72% |
| Investment securities | 121.301 | 20% | 87.592 | 17% | 46.514 | 13% |
| Current Tax Assets | 2.449 | 0% | 3.380 | 1% | 2.239 | 1% |
| Investment in subsidiaries | 0.728 | 0% | 0.651 | 0% | 0.371 | 0% |
| Investment in associates | 1.373 | 0% | 1.840 | 0% | 0.653 | 0% |
| Investment property | 4.848 | 1% | 1.733 | 0% | 0.559 | 0% |
| Property and equipment | 8.029 | 1% | 7.741 | 1% | 5.885 | 2% |
| Goodwill and intangible assets | 0.889 | 0% | 0.906 | 0% | 0.496 | 0% |
| Deferred Tax Assets | - | 0% | 0.017 | 0% | 0.180 | 0% |
| Other Assets | 6.078 | 1% | 6.051 | 1% | 3.408 | 1% |
| **Total Assets** | **604.518** | **100%** | **526.883** | **100%** | **360.537** | **100%** |
| **Liabilities** | | | | | | |
| Due to Bank and Financial Institutions | 17.434 | 3% | 13.024 | 2% | 9.595 | 3% |
| Due to Nepal Rastra Bank | 0.373 | 0% | 0.471 | 0% | 14.439 | 4% |
| Derivative financial instruments | 4.516 | 1% | 0.947 | 0% | 1.271 | 0% |
| Deposit from customers | 487.456 | 81% | 426.325 | 81% | 276.965 | 77% |
| Borrowing | 12.101 | 2% | 3.283 | 1% | 5.747 | 2% |
| Current tax liabilities | 2.364 | 0% | 2.788 | 1% | 2.204 | 1% |
| Provisions | - | 0% | - | 0% | - | 0% |
| Deferred Tax Liabilities | 0.522 | 0% | - | 0% | - | 0% |
| Other Liabilities | 7.661 | 1% | 8.810 | 2% | 8.084 | 2% |
| Debt securities issued | 10.685 | 2% | 12.182 | 2% | 4.493 | 1% |
| Subordinated Liabilities | - | 0% | - | 0% | - | 0% |
| **Total Liabilities** | **543.111** | **90%** | **467.829** | **77%** | **322.798** | **53%** |
| **Equity** | | | | | | |
| Share capital | 36.129 | 6% | 35.771 | 7% | 23.796 | 7% |
| Share premium | - | 0% | - | 0% | - | 0% |
| Retained earnings | 0.507 | 0% | 3.243 | 1% | 3.239 | 1% |
| Reserves | 24.772 | 4% | 20.039 | 4% | 10.704 | 3% |
| **Total Equity** | **61.407** | **10%** | **59.054** | **11%** | **37.739** | **10%** |
| **Total Liabilities and Equity** | **604.518** | **100%** | **526.883** | **100%** | **360.537** | **100%** |

## Vertical Analysis of Income Statement

In Rs Billion

| | 2024 | % | 2023 | % | 2022 | % |
|---|---|---|---|---|---|---|
| Interest Income | 51.680 | 100% | 48.210 | 100% | 29.058 | 100% |
| Interest Expenses | 34.824 | 67% | 31.103 | 65% | 18.769 | 65% |
| **Net interest income** | **16.856** | **33%** | **17.107** | **35%** | **10.290** | **35%** |
| Fee and Commission Income | 3.447 | 7% | 2.744 | 6% | 2.218 | 8% |
| Fee and Commission Expense | 0.765 | 1% | 0.684 | 1% | 0.536 | 2% |
| **Net fee and commission income** | **2.682** | **5%** | **2.061** | **4%** | **1.682** | **6%** |
| **Net interest, fee and commission income** | **19.539** | **38%** | **19.168** | **40%** | **11.972** | **41%** |
| Net Trading Income | 0.581 | 1% | 0.475 | 1% | 0.594 | 2% |
| Other Operating Income | 0.534 | 1% | 0.215 | 0% | 0.473 | 2% |
| **Total operating income** | **20.654** | **40%** | **19.857** | **41%** | **13.039** | **45%** |
| Impairment charge/(reversal) for loans and other losses | 3.617 | 7% | 3.426 | 7% | 0.466 | 2% |
| **Net Operating Income** | **17.037** | **33%** | **16.431** | **34%** | **12.572** | **43%** |
| **Operating Expenses** | | **0%** | | **0%** | | **0%** |
| Personnel Expenses | 4.782 | 9% | 4.234 | 9% | 3.291 | 11% |
| Other Operating Expenses | 2.245 | 4% | 1.875 | 4% | 1.447 | 5% |
| Depreciation and Amortization | 0.991 | 2% | 0.791 | 2% | 0.647 | 2% |
| **Operating profit** | **9.019** | **17%** | **9.530** | **20%** | **7.188** | **25%** |
| Non operating income | 0.007 | 0% | 0.009 | 0% | 0.003 | 0% |
| Non operating expense | 0.159 | 0% | 0.273 | 1% | 0.164 | 1% |
| **Profit before income tax** | **8.867** | **17%** | **9.266** | **19%** | **7.027** | **24%** |
| Income Tax Expense | | 0% | | 0% | | 0% |
| Current tax | 2.355 | 5% | 2.788 | 6% | 2.166 | 7% |
| Deferred tax | 0.375 | 1% | (0.217) | 0% | (0.098) | 0% |
| **Profit for the Year** | **6.137** | **12%** | **6.694** | **14%** | **4.959** | **17%** |

# HISTORICAL PERFORMANCE HIGHLIGHTS

In Rs Billion

| | FY 2019/20 | FY 2020/21 | FY 2021/22 | FY 2022/23 | FY 2023/24 |
|---|---|---|---|---|---|
| **INCOME STATEMENT** | | | | | |
| Interest Income | 20.489 | 21.694 | 29.058 | 48.210 | 51.680 |
| Interest Expenses | 12.267 | 12.554 | 18.769 | 31.103 | 34.824 |
| **Net interest income** | **8.222** | **9.139** | **10.290** | **17.107** | **16.856** |
| Fees and Commission Income | 1.472 | 1.914 | 2.218 | 2.744 | 3.447 |
| Operating Income | 0.777 | 1.288 | 1.070 | 0.698 | 1.123 |
| Operating Expenses | 4.349 | 5.248 | 6.085 | 7.858 | 8.942 |
| **Operating Profit (profit before provision and tax)** | **6.122** | **7.093** | **7.493** | **12.692** | **12.484** |
| Provision for Loans, Investments and other Assets | 1.954 | 1.125 | 0.466 | 3.426 | 3.617 |
| **Profit Before Tax** | **4.168** | **5.968** | **7.027** | **9.266** | **8.867** |
| Tax Expense ( Income Tax and Deferred Tax) | 1.259 | 1.803 | 2.067 | 2.571 | 2.730 |
| **Profit After Tax** | **2.909** | **4.165** | **4.959** | **6.694** | **6.137** |
| **BALANCE SHEET** | | | | | |
| Authorized Capital | 25 | 25 | 25 | 50 | 50 |
| Paid-up Capital | 18.976 | 21.633 | 23.796 | 35.771 | 36.129 |
| Shareholders' Equity | 28.834 | 33.439 | 37.739 | 59.054 | 61.407 |
| Deposits | 226.643 | 283.349 | 286.560 | 439.349 | 504.889 |
| Borrowings NRB | 1.339 | 10.894 | 14.439 | 0.471 | 0.373 |
| Borrowings Foreign | 2.404 | 2.372 | 5.747 | 3.283 | 12.101 |
| Debenture Outstanding | 1.500 | 4.500 | 4.500 | 12.200 | 10.700 |
| Loans & Advances (Excl Staff Loans and Accrued Interest) | 200.006 | 242.447 | 272.212 | 374.356 | 390.767 |
| Accrued Interest on Loans | 1.954 | 1.555 | 1.867 | 5.472 | 7.076 |
| Investments | 27.363 | 49.917 | 47.537 | 90.083 | 123.402 |
| Fixed Assets (Net) | 2.543 | 3.252 | 5.885 | 7.741 | 8.029 |
| **Total Assets** | **273.877** | **345.423** | **360.537** | **526.883** | **604.518** |
| **Total Liabilities** | **245.042** | **312.703** | **322.798** | **467.829** | **543.111** |
| Total Off-balance Sheet Items | 58.313 | 71.768 | 82.601 | 99.857 | 99.279 |
| **CAPITAL MEASURES** | | | | | |
| Risk Weighted Exposures | 237.629 | 278.718 | 326.988 | 460.065 | 473.091 |
| Core Capital (Tier-I) | 25.695 | 29.418 | 33.259 | 50.219 | 48.837 |
| Supplementary Capital (Tier-II) | 3.966 | 7.384 | 8.164 | 11.148 | 9.772 |
| **Total Regulatory Capital** | **29.661** | **36.803** | **41.423** | **61.368** | **58.609** |
| Capital Adequacy Ratio (%) | 12.48 | 13.20 | 12.67 | 13.34 | 12.39 |
| Tier-I Capital Ratio (%) | 10.81 | 10.55 | 10.17 | 10.92 | 10.32 |
| **CREDIT QUALITY** | | | | | |
| Non Performing Loans (Gross NPL) | 3.521 | 3.422 | 3.478 | 11.788 | 16.309 |
| Provision for Non Performing Loans | 2.193 | 2.516 | 2.672 | 7.397 | 11.082 |
| Gross NPL Ratio (%) | 1.76 | 1.41 | 1.28 | 3.15 | 4.17 |
| Net NPL Ratio (%) | 0.66 | 0.37 | 0.30 | 1.17 | 1.34 |
| Provision for Performing Loans | 2.980 | 3.782 | 4.093 | 6.711 | 6.642 |
| **DISTRIBUTION TO SHAREHOLDERS** | | | | | |
| Earnings per Share (Rs.) | 17.99 | 19.25 | 20.84 | 22.06 | 16.99 |
| Market value per Share (Public) | 239.00 | 441.00 | 251.40 | 186.00 | 194.20 |
| Price to Earning Ratio | 13.29 | 22.90 | 12.06 | 8.43 | 11.43 |
| Total Assets Value Per Share | 1,443.29 | 1,596.78 | 1,515.13 | 1,472.93 | 1,673.23 |
| Net Worth Per share | 151.95 | 154.58 | 158.60 | 165.09 | 169.97 |
| Return on Assets (%) | 1.37 | 1.35 | 1.40 | 1.34 | 1.08 |
| Return on Equity (%) | 12.88 | 13.38 | 13.93 | 12.09 | 10.19 |
| **DIVIDEND PAID** | | | | | |
| Cash (Rs. Per 100) | 2.00 | 3.50 | 10.60 | 8.00 | - |
| Stock (Rs. Per 100) | 14.00 | 10.00 | 3.00 | 1.00 | 5.50 |
| **PERFORMANCE RATIO** | | | | | |
| Net Interest Margin (Spread) (%) | 5.12 | 3.49 | 3.68 | 4.66 | 4.19 |
| Credit to Core Capital-Deposit Ratio (%) | 73.18 | 72.65 | - | - | - |
| Credit to Deposit Ratio (%) | - | - | 89.21 | 83.47 | 75.87 |
| Cost of Fund (%) | 6.53 | 4.99 | 6.41 | 8.42 | 7.26 |
| Cash Reserve Ratio (%) | 5.72 | 7.59 | 3.18 | 4.16 | 4.27 |
| **Statutory Liquidity Ratio (%)** | **19.29** | **25.08** | **18.11** | **25.24** | **31.15** |
| CASA Ratio (%) | 41.01 | 43.35 | 37.60 | 35.34 | 38.85 |
| **Liquidity Ratio (%)** | **24.58** | **29.89** | **23.55** | **30.34** | **37.11** |
| NII Ratio (%) | 40.13 | 42.13 | 35.41 | 35.48 | 32.62 |
| Total Cost to Total Income Ratio (%) | 41.53 | 42.53 | 44.81 | 38.24 | 41.74 |
| Operating Profit per Employee (Rs in Million) | 2.00 | 2.39 | 2.53 | 3.45 | 3.29 |
| Operating Profit per Branch (Rs in Million) | 23.82 | 25.98 | 25.93 | 35.45 | 35.27 |
| **OTHER INFORMATION** | | | | | |
| Number of Branches | 257 | 273 | 289 | 358 | 354 |
| Number of ATMs | 233 | 247 | 262 | 367 | 384 |
| Number of Represetative Offices | 3 | 3 | 3 | 3 | 3 |
| Number of BLB Agents | 249 | 257 | 275 | 322 | 277 |
| Number of Extension and Revenue Counters | 38 | 47 | 51 | 64 | 69 |

# HISTORICAL PERFORMANCE HIGHLIGHTS

| | | | | | |
|---|---|---|---|---|---|
| Number of Deposit Accounts | 2,116,464 | 2,529,309 | 3,136,603 | 4,565,236 | 5,142,537 |
| Number of Loan Accounts | 54,306 | 56,510 | 61,663 | 78,966 | 80,986 |
| Number of Debit Cards | 498,534 | 657,416 | 868,748 | 890,239 | 1,006,556 |
| Number of Credit Cards | 17,437 | 20,817 | 24,385 | 18,753 | 18,677 |
| Mobile Banking Customer | 768,894 | 1,137,218 | 1,472,526 | 1,956,214 | 2,229,972 |
| Internet Banking Customer | 123,290 | 174,237 | 233,988 | 273,509 | 203,694 |
| Number of Employees | 3,059 | 2,962 | 2,966 | 3,678 | 3,789 |
| Male Employees | 1,966 | 1,887 | 1,878 | 2,209 | 2,276 |
| Female Employees | 1,093 | 1,075 | 1,088 | 1,469 | 1,513 |
| Managerial Level Female Employees | 11 | 12 | 14 | 33 | 36 |
| Managerial Level Male Employees | 98 | 85 | 96 | 129 | 177 |
| **MARKET SHARE WITH OTHER COMMERCIAL BANKS** | | | | | |
| Deposits (%) | 6.49 | 6.74 | 6.30 | 8.64 | 8.77 |
| CASA Ratio (%) | 6.29 | 6.46 | 6.28 | 8.59 | 9.25 |
| Deposit Customers (%) | 7.63 | 7.68 | 8.06 | 10.38 | 10.74 |
| Mobile banking Users (%) | 7.60 | 9.00 | 9.15 | 10.61 | 10.55 |
| **Loans & Advances (%)** | **6.87** | **6.52** | **6.51** | **8.68** | **8.56** |



# MARKET SHARE HIGHLIGHTS

## OVERVIEW

Global IME continues to maintain a strong market position within Nepal's banking sector, demonstrating stability and growth across key financial indicators. We have achieved notable success in deposit mobilization and the expansion of digital banking services. However, loan growth has moderated slightly, alongside a marginal decline in certain digital banking segments. Despite these challenges, we remain well-positioned to capitalize on emerging opportunities and sustain our competitive edge in the industry.

## LOANS AND ADVANCES

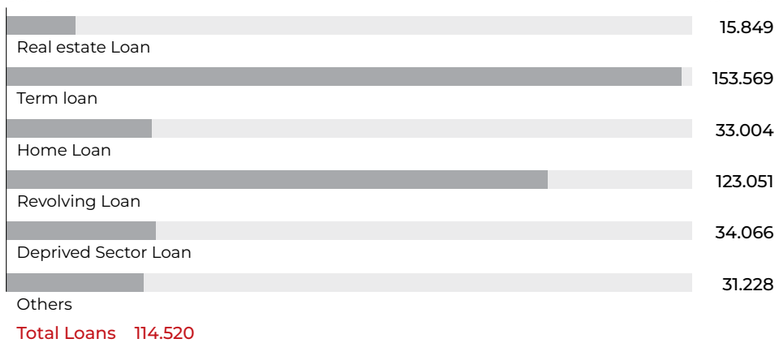
In the fiscal year 2023/24, **Global IME Bank's total loans and advances grew to NPR 390.77 billion**, representing **8.56% of the total commercial banking sector's loan portfolio**, which stood at NPR 4,567.54 billion. While the market share saw a slight adjustment from **8.68% in the previous fiscal year**, we have successfully expanded our loan book, demonstrating resilience in a challenging economic environment.

The Bank maintained a prudent lending approach, prioritizing portfolio quality and sustainable growth. Loan expansion remained steady at **4.38%**, aligning with market conditions and supporting key sectors. The Bank's commitment to responsible credit management and risk assessment ensures long-term stability, positioning it for stronger growth as economic conditions improve.

A significant improvement in market share from 6.20% to **7.84%**

Market share expanded to **9.55%** (NPR 167.25 billion) from 9.36%,

**Loans**




| Loan Type | June 2024 (IN Rs Billion) | | June 2023 (IN Rs Billion) | |
|---|---|---|---|---|
| | Rs. | Percentage | Rs. | Percentage |
| Real estate Loan | 15.849 | 4% | 15.996 | 4% |
| Term loan | 153.569 | 39% | 137.505 | 37% |
| Home Loan | 33.004 | 8% | 27.990 | 7% |
| Revolving Loan | 123.051 | 31% | 143.741 | 38% |
| Deprived Sector Loan | 34.066 | 9% | 20.384 | 5% |
| Others | 31.228 | 8% | 28.741 | 8% |
| **Total** | **390.767** | **100%** | **374.356** | **100%** |

# MARKET SHARE HIGHLIGHTS

The Bank serves 2,229,972 mobile banking users, representing 10.55% of the market

## DEPOSITS

Global IME Bank achieved a **strong deposit growth of 14.92%** in the fiscal year 2023/24, outpacing the commercial banking sector's overall growth rate of **13.18%**. The Bank's total deposits reached **NPR 504.89 billion**, capturing **8.77% of the total industry deposits**, an improvement from **8.64% in the previous year**. This consistent upward trajectory underscores the Bank's ability to attract and retain deposits, reinforcing our position as a trusted financial institution.

**Term Deposits:** The Bank maintained a solid presence with a **market share of 8.65%** (NPR 274.76 billion), reflecting stability in long-term savings.

**Saving Deposits:** Market share expanded to **9.55% (NPR 167.25 billion)** from **9.36%**, showcasing growing customer confidence in Global IME's savings offerings.

**Current Deposits:** A significant improvement in market share from **6.20% to 7.84% (NPR 28.90 billion)**highlights our strengthened transactional banking services.

**Call Deposits:** We maintained a steady position with a **7.29% market share**, ensuring liquidity for our clients with short-term deposit needs.

**Other Deposits:** While the share of other deposits adjusted to **8.65%**, the Bank remains focused on optimizing our deposit mix to support long-term funding stability.

Our strong deposit growth, driven by proactive customer engagement strategies and advancements in digital banking, reinforces our market leadership and supports long-term financial stability.

## FINANCIAL REACH

Global IME Bank continues to expand our digital banking services and physical network, reinforcing our commitment to accessibility and financial inclusion.

**Total Branches:** The Bank operates 354 branches, representing 7.00% of all commercial bank branches, a slight decrease from 7.09% in the previous year.

**Deposit Accounts:** Our share of total deposit accounts increased to 10.74%, up from 10.38% in the prior year, reflecting strong customer trust and engagement.

**Loan Accounts:** We maintained a stable market share of 5.17% in total loan accounts.

**Branchless Banking:** With a 24.91% market share in branchless banking, we continue to expand our outreach to underserved and remote areas.

**Mobile Banking Users:** The Bank serves 2,229,972 mobile banking users, representing 10.55% of the market, a marginal decline from 10.61% in the previous year.

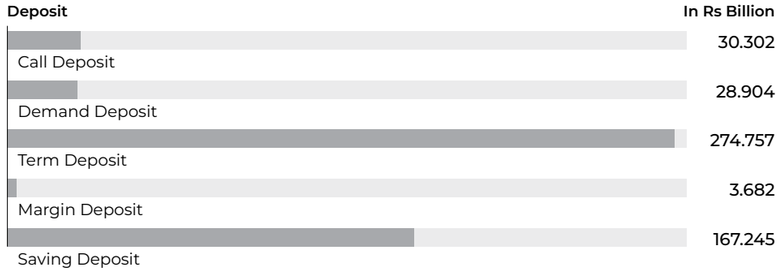
**Internet Banking Users:** Our market share in internet banking stands at 15.37%, compared to 20.29% in the prior year, reflecting evolving customer preferences.

**ATM Network:** With 384 ATMs across our network, the Bank holds an 8.00% market share in the sector.

**Debit and Credit Card Users:** The number of debit card users grew to 8.56% from 7.84%, while credit card users saw a slight decline from 6.62% to 6.50%.

The Bank's continued investments in both digital and physical banking infrastructure underscore our dedication to enhancing customer experience and financial accessibility.

### Deposit




| Particulars | July 2024 (IN Rs Billion) | | July 2023 (IN Rs Billion) | |
|---|---|---|---|---|
| | Rs | Percentage | Rs | Percentage |
| Call Deposit | 30.302 | 6.00% | 25.174 | 5.73% |
| Current Deposit | 28.904 | 5.72% | 27.380 | 6.23% |
| Fixed Deposit | 274.757 | 54.42% | 253.769 | 57.76% |
| Margin Deposit | 3.682 | 0.73% | 5.141 | 1.17% |
| Saving Deposit | 167.245 | 33.13% | 127.886 | 29.11% |
| **Total** | **504.889** | **100.00%** | **439.349** | **100.00%** |

| | Current Year | | | Previous Year | | |
|---|---|---|---|---|---|---|
| | All Commercial Banks | Global IME Bank | Share of Global IME Bank | All Commercial Banks | Global IME Bank | Share of Global IME Bank |
| | NPR in Billion | | | NPR in Billion | | |
| **Total Loans and Advances** | **4,567.541** | **390.767** | **8.56%** | **4,312.591** | **374.356** | **8.68%** |
| Growth Rate of Loans | 5.91% | 4.38% | | 3.12% | 37.52% | |
| **Total Deposits** | **5,756.809** | **504.889** | **8.77%** | **5,086.244** | **439.349** | **8.64%** |
| Growth Rate of Deposit | 13.18% | 14.92% | | 11.90% | 53.32% | |
| Term Deposit | 3,177.768 | 274.757 | 8.65% | 2,898.148 | 253.769 | 8.76% |
| Saving Deposit | 1,752.143 | 167.245 | 9.55% | 1,366.476 | 127.886 | 9.36% |
| Current Deposit | 368.702 | 28.904 | 7.84% | 441.571 | 27.380 | 6.20% |
| Call Deposit | 415.610 | 30.302 | 7.29% | 333.864 | 25.174 | 7.54% |
| Other Deposit | 42.586 | 3.682 | 8.65% | 46.186 | 5.141 | 11.13% |
| **Financial Reach** | | **Actual Numbers** | | | **Actual Numbers** | |
| Total Branches | 5,056 | 354 | 7.00% | 5,049 | 358 | 7.09% |
| Deposit Account | 47,884,755 | 5,142,537 | 10.74% | 43,981,888 | 4,565,236 | 10.38% |
| Loan Account | 1,567,508 | 80,986 | 5.17% | 1,512,193 | 78,966 | 5.22% |
| Branchless Banking | 1,112 | 277 | 24.91% | 1,298 | 322 | 24.81% |
| Mobile Banking Users | 21,141,088 | 2,229,972 | 10.55% | 18,438,455 | 1,956,214 | 10.61% |
| Internet Banking Users | 1,325,072 | 203,694 | 15.37% | 1,347,970 | 273,509 | 20.29% |
| ATM | 4,801 | 384 | 8.00% | 4,465 | 367 | 8.22% |
| Debit Card Users | 11,757,746 | 1,006,556 | 8.56% | 11,358,426 | 890,239 | 7.84% |
| Credit Card Users | 287,365 | 18,677 | 6.50% | 283,126 | 18,753 | 6.62% |

# FINANCIAL PERFORMANCE ANALYSIS

## Net Interest Income

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 8.222 |
| 20-21 | 9.139 |
| 21-22 | 10.290 |
| 22-23 | 17.107 |
| 23-24 | 16.856 |

## Fees and Operating Income

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 2.249 |
| 20-21 | 3.203 |
| 21-22 | 3.288 |
| 22-23 | 3.442 |
| 23-24 | 4.570 |

## Total Loans and Advances

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 201.251 |
| 20-21 | 243.762 |
| 21-22 | 272.212 |
| 22-23 | 374.356 |
| 23-24 | 390.767 |

## Provision for losses

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 226.643 |
| 20-21 | 283.349 |
| 21-22 | 286.560 |
| 22-23 | 439.349 |
| 23-24 | 504.889 |

## Operating Expenses

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 4.349 |
| 20-21 | 5.248 |
| 21-22 | 6.085 |
| 22-23 | 7.858 |
| 23-24 | 8.942 |

## Provision for losses

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 1,954 |
| 20-21 | 1,125 |
| 21-22 | 466 |
| 22-23 | 3,426 |
| 23-24 | 3,617 |

## Deposit Share with Commercial Banks

| Fiscal Year | Share |
|---|---|
| 19-20 | 6.49% |
| 20-21 | 6.74% |
| 21-22 | 6.30% |
| 22-23 | 8.64% |
| 23-24 | 8.77% |

## Loan Share with Commercial Banks

| Fiscal Year | Share |
|---|---|
| 19-20 | 6.87% |
| 20-21 | 6.55% |
| 21-22 | 6.51% |
| 22-23 | 8.68% |
| 23-24 | 8.56% |

## Operating Profit

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 6.122 |
| 20-21 | 7.093 |
| 21-22 | 7.493 |
| 22-23 | 12.692 |
| 23-24 | 12.484 |

## Profit After Tax

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 2.909 |
| 20-21 | 4.165 |
| 21-22 | 4.959 |
| 22-23 | 6.694 |
| 23-24 | 6.137 |

## Saving Deposit Share with Commercial Banks

| Fiscal Year | Share |
|---|---|
| 19-20 | 7.00% |
| 20-21 | 7.10% |
| 21-22 | 7.06% |
| 22-23 | 9.36% |
| 23-24 | 9.55% |

## Total capital fund Share with Commercial Banks

| Fiscal Year | Share |
|---|---|
| 19-20 | 6.64% |
| 20-21 | 6.68% |
| 21-22 | 6.82% |
| 22-23 | 9.66% |
| 23-24 | 9.41% |

## Share Capital

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 18.976 |
| 20-21 | 21.633 |
| 21-22 | 23.796 |
| 22-23 | 35.771 |
| 23-24 | 36.129 |

## Total Shareholder's Equity

| Fiscal Year | In Rs Billion |
|---|---|
| 19-20 | 28.834 |
| 20-21 | 33.439 |
| 21-22 | 37.739 |
| 22-23 | 59.054 |
| 23-24 | 61.407 |

## Branch Network

| Fiscal Year | All Commercial Banks | Global IME Bank |
|---|---|---|
| 19-20 | 4,436 | 257 |
| 20-21 | 4,753 | 273 |
| 21-22 | 5,009 | 289 |
| 22-23 | 5,049 | 358 |
| 23-24 | 5,056 | 354 |

## ATM Network

| Fiscal Year | All Commercial Banks | Global IME Bank |
|---|---|---|
| 19-20 | 3,759 | 233 |
| 20-21 | 3,983 | 247 |
| 21-22 | 4,235 | 262 |
| 22-23 | 4,465 | 367 |
| 23-24 | 4,801 | 384 |

# GLOBAL IME'S MARKET SHARE TRENDS: FY 2020/21 TO FY 2023/24

Global IME's deposit market share has steadily increased from **6.74%** in FY 2020/21 to **8.77%** in FY 2023/24

ATM network has steadily expanded, growing market share from **6.20%** in FY 2020/21 to **8.00%** in FY 2023/24

Over the past four fiscal years, Global IME has demonstrated a strong and dynamic presence in the banking sector, reinforcing its market position through strategic growth initiatives. Our performance reflects a well-calibrated approach to market expansion, product innovation, and customer engagement, ensuring adaptability in an evolving financial landscape.

## Steady Growth in Deposits

Global IME's deposit market share has steadily increased from 6.74% in FY 2020/21 to 8.77% in FY 2023/24, highlighting sustained customer confidence and robust deposit mobilization. This growth reflects our ability to attract and retain deposits through competitive interest rates, enhanced digital banking services, and an expanding branch network.

Furthermore, our strategic focus on customer-centric financial solutions, coupled with initiatives to improve accessibility through mobile banking, internet banking, and innovative savings products, has strengthened depositor trust. The upward trajectory in our deposit base reinforces our position as a leading financial institution, providing a stable and reliable banking experience while ensuring liquidity and capital adequacy for future growth.

## Lending Market Share: Growth with a Minor Adjustment

Over the past four fiscal years, Global IME has solidified its presence in the lending sector, with market share increasing from 6.52% in FY 2020/21 to 8.56% in FY 2023/24. This growth reflects our strategic focus on responsible lending, innovative credit products, and proactive risk assessment measures, enabling us to meet diverse customer needs across retail, SME, and corporate segments.

However, in FY 2023/24, our loan market share saw a minor adjustment to 8.56%, likely influenced by intensified competition, evolving regulatory policies, and a cautious lending approach in response to macroeconomic uncertainties.

Despite this slight dip, we remain a dominant force in the credit landscape, continuously refining our credit risk framework and product offerings to support sustainable, long-term portfolio growth. Our approach focuses on enhancing credit accessibility while ensuring financial prudence, allowing us to maintain a healthy balance between growth and risk management.

## ATM Network: Expansion with a Strategic Realignment

Our ATM network has steadily expanded, growing market share from 6.20% in FY 2020/21 to 8.22% in FY 2022/23, before adjusting to 8.00% in FY 2023/24. This reflects our strong commitment to financial accessibility, ensuring that customers across urban and rural areas have easy access to cash withdrawal and transaction services.

However, FY 2023/24 saw a slight recalibration, with market share adjusting to 8.00%. This shift aligns with the banking industry's growing emphasis on digital transactions, as customers increasingly prefer mobile banking, QR payments, and contactless solutions over traditional ATM usage. While we continue to expand strategically in high-demand locations, we are also optimizing our digital banking ecosystem to ensure customers have seamless, round-the-clock access to financial services beyond physical ATMs. This balanced approach enhances both convenience and operational efficiency, reinforcing our leadership in omnichannel banking.

## Branch Network: Sustained Stability in a Transforming Industry

Despite the industry-wide push toward digital banking, Global IME has remained committed to an expansive branch network, ensuring that customers in both urban centers and remote regions have direct access to personalized banking services. Our market share in branch presence rose from 5.74% in FY 2020/21 to 7.00% in FY 2023/24, demonstrating our continued investment in brick-and-mortar infrastructure to serve diverse banking needs.

In FY 2023/24, our market share slightly adjusted to 7.00%, a reflection of both natural consolidation within the industry and an evolving customer shift toward digital banking solutions. While digital transformation is a key focus, we recognize that branches remain vital touchpoints for many customers, particularly for relationship banking, complex financial consultations, and personalized advisory services. As a result, we are continuously enhancing branch efficiency, integrating digital-first solutions, and adopting hybrid models that merge in-person banking with cutting-edge technology. This ensures that our customers benefit from both human expertise and digital convenience, positioning us as a forward-thinking, customer-centric financial institution.

## Debit Cards: Capitalizing on Market Dynamics

Global IME's debit card market share has experienced growth and adjustment over the past few years, reflecting our ability to adapt to evolving market trends and customer needs. From a solid 7.77% in FY 2020/21, the share increased significantly to 8.64% in FY 2021/22, showcasing strong customer adoption and the effectiveness of our competitive product offerings and promotional strategies. Although the market share slightly dipped to 7.84% in FY 2022/23, this was mainly due to heightened competition and changes in consumer behavior. However, we are pleased to report a recovery, with the market share rebounding to 8.56% in FY 2023/24. This indicates our commitment to continuously improving customer engagement and product positioning.

Looking ahead, we are optimistic about sustaining this upward trend. By further innovating our debit card services, enhancing digital integration, and introducing attractive customer incentives, we aim to drive even higher adoption. Expanding partnerships with retailers and adding value through benefits like cashback

Market share in branch presence rose from **5.74%** in FY 2020/21 to **7.00%** in FY 2023/24



Mobile banking remains a standout performer for Global IME, with our market share growing from 9.00% in FY 2020/21 to 10.55% in FY 2023/24

or fee waivers will be instrumental in further strengthening our position in this segment.

### Credit Cards: Strategic Revival for Growth

While credit card market share has experienced a decline from 10.82% in FY 2020/21 to 6.50% in FY 2023/24, this presents a valuable opportunity for us to strengthen and revitalize this important segment. The market dynamics in the credit card space have become more competitive, with aggressive promotions and a shift in consumer preferences influencing the landscape. Despite this, we are confident that our strategic focus on tailored rewards, a streamlined application process, and personalized credit solutions will position us for recovery.

To achieve this, we will introduce innovative rewards programs, refine our offerings with more personalized experiences for our customers, and partner with key merchants, travel services, and e-commerce platforms. These efforts will make our credit cards more attractive and increase customer loyalty, ultimately driving market share growth in the coming years.

### Mobile Banking: Continued Expansion and Excellence

Mobile banking remains a standout performer for Global IME, with our market share growing from 9.00% in FY 2020/21 to 10.55% in FY 2023/24, reflecting our commitment to meeting the evolving digital banking needs of our customers. The slight dip to 10.55% in FY 2023/24 is a minor adjustment, which does not detract from the overall positive trajectory of this segment. As mobile banking continues to be a vital tool for our customers, we remain focused on delivering exceptional user experiences.

We will continue investing in advanced technologies, enhancing security features, and ensuring seamless functionality. With innovations such as AI-driven insights, improved bill payment options, and expanded QR-based payment capabilities, we are committed to further strengthening our position as a leader in mobile banking and deepening our customer relationships.

### Internet Banking: Reinforcing Our Digital Leadership

Global IME's internet banking market share has shown impressive growth, reaching 20.29% in FY 2022/23, driven by strong adoption among corporate clients and high-value users. While there was a slight decline to 15.37% in FY 2023/24, we view this as an opportunity to innovate and address emerging challenges. The dynamic nature of digital banking means that customer preferences are constantly evolving, and we are focused on strengthening system reliability and enhancing the digital experience for all users.

To regain momentum, we will prioritize bolstering cybersecurity, improving platform stability, and introducing new features tailored to both business and retail customers. By providing a more personalized online banking experience and offering advanced financial tools, we are confident that we can not only recover lost ground but exceed expectations in the future.



### Branchless Banking (BLB): Pioneering Financial Inclusion

Global IME Bank has established itself as a leader in branchless banking, achieving impressive growth in this sector. From a market share of 15.06% in FY 2020/21, we have seen a remarkable rise to 24.91% by FY 2023/24. This growth reflects our proactive approach to embracing digital innovation and expanding access to banking services for underserved populations across Nepal.

By utilizing agent banking, mobile wallets, and a range of other cutting-edge solutions, we have positioned ourselves at the forefront of financial inclusion, ensuring that more individuals and businesses have access to secure, reliable financial services. We are proud of our accomplishments in this area and remain committed to further expanding our branchless banking services to meet the growing demand for digital financial solutions.

### Market Share Dynamics: A Path of Resilience and Strategic Growth

Global IME Bank's market share performance highlights a story of resilience, adaptability, and strategic recalibration. We have made significant strides in key areas such as deposits, branchless banking, and mobile banking, demonstrating our commitment to meeting evolving customer needs and staying ahead of the digital curve.

While we have faced challenges in segments like credit cards and internet banking, we view these as opportunities for improvement and innovation. Moving forward, our focus will be on addressing these areas of concern, while continuing to build on the strengths that have positioned us as a leader in Nepal's banking sector. By capitalizing on our core competencies and adjusting to the dynamic market environment, we are confident in our ability to sustain long-term growth and maintain our competitive edge.

Global IME Bank has established itself as a leader in branchless banking from a market share of 15.06% in FY 2020/21, we have seen a remarkable rise to 24.91% by FY 2023/24.

### Market Share of the Bank

| Particulars | Mid-July, 2021 (FY 2020/21) | Mid-July, 2022 (FY 2021/22) | Mid-July, 2023 (FY 2022/23) | Mid-July, 2024 (FY 2023/24) |
|---|---|---|---|---|
| Deposit | 6.74% | 6.30% | 8.64% | 8.77% |
| Loan | 6.52% | 6.51% | 8.68% | 8.56% |
| ATM | 6.20% | 6.19% | 8.22% | 8.00% |
| Branches | 5.74% | 5.77% | 7.09% | 7.00% |
| Debit Card | 7.77% | 8.64% | 7.84% | 8.56% |
| Credit Card | 10.82% | 10.21% | 6.62% | 6.50% |
| Mobile Banking | 9.00% | 9.15% | 10.61% | 10.55% |
| Internet banking | 15.62% | 18.29% | 20.29% | 15.37% |
| BLB | 15.06% | 18.02% | 24.81% | 24.91% |

# DIVISIONAL OVERVIEW

Global IME Bank operates under a structured divisional framework, ensuring that every function within the bank is strategically aligned to drive efficiency, mitigate risks, and achieve long-term objectives.

Global Remit not only facilitates seamless fund transfers but also strengthens customer trust, enhances financial inclusion, and contributes to the national economy.

**Our organizational structure is built on specialized divisions, each with clearly defined roles and responsibilities, enabling seamless coordination across all operational areas.**

This framework allows us to effectively manage customer relations, product development, risk assessment, and technological advancements, while maintaining regulatory compliance and financial stability. By leveraging this structured approach, we continue to strengthen our position in the industry and enhance value for our stakeholders.

## REMITTANCE DEPARTMENT

At Global IME Bank, we recognize the vital role remittances play in Nepal's economy and the lives of Nepalese working abroad. Through our dedicated remittance platform, Global Remit, we provide a secure, efficient, and accessible channel for transferring funds to Nepal from around the world.

With Nepal's long-standing history of overseas employment, the demand for fast and reliable remittance services continues to grow. Global Remit not only facilitates seamless fund transfers but also strengthens customer trust, enhances financial inclusion, and contributes to the national economy. As a key revenue-generating service, it reinforces our commitment to expanding digital banking solutions while further elevating Global IME Bank's goodwill and market recognition.

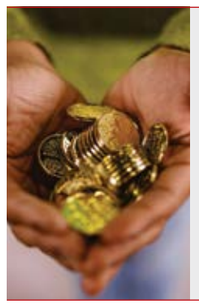
## TREASURY AND FUND MANAGEMENT DIVISION

The Treasury and Fund Management Division plays a crucial role in optimizing liquidity, investments, and financial risk management to ensure stable returns and regulatory compliance. This division is structured into three key segments: Front Office, Mid Office, and Back Office, each with distinct responsibilities to enhance operational efficiency and risk control.

**Front Office:** Managed by dealers, this unit is responsible for executing treasury operations, forex trading, and investment strategies under the direct supervision of the Treasury Division.

**Mid Office:** Functions as an independent risk monitoring and control unit, overseeing market risks, compliance, and reporting, ensuring adherence to internal policies and regulatory frameworks.

**Back Office:** Handles settlement, reconciliation, and accounting to ensure seamless execution of treasury transactions.



### Key areas of treasury operations include:

**Liquidity Management**
Ensures adequate fund availability for daily operations and regulatory requirements.

**Foreign Exchange (Forex) Management**
Facilitates currency trading, forex risk hedging, and international trade settlements.

**Interest Rate Risk Management**
Monitors and mitigates exposure to interest rate fluctuations to safeguard financial stability.

**Regulatory Compliance**
Aligns with central bank policies on reserve requirements, risk management, and financial controls.

By implementing robust risk management strategies and adhering to stringent regulatory standards, the Treasury and Fund Management Division plays a pivotal role in maintaining Global IME Bank's financial strength, ensuring long-term stability and sustained growth.

## CORPORATE & PROJECT FUNDING DIVISION

At Global IME Bank, we recognize the critical role that corporate financing and infrastructure development play in driving economic growth. Our Corporate & Project Funding Division is dedicated to supporting large-scale businesses and capital-intensive projects, enabling expansion and long-term sustainability across various industries.

We provide financing solutions either independently or through consortium agreements, ensuring businesses have the capital required to execute transformative projects. Over the years, we have successfully built and managed a diverse credit portfolio, funding key sectors such as agriculture, manufacturing, energy, construction, transportation, information technology, trade, and tourism.

By offering tailored financial solutions and fostering strategic partnerships, we continue to strengthen Nepal's economic landscape, empowering businesses to innovate, expand, and thrive.

## MARKETING DIVISION

The Marketing Division plays a pivotal role in driving brand visibility, customer acquisition, and retention for Global IME Bank. Through targeted marketing strategies, we attract new clients while maintaining personalized engagement to strengthen relationships with existing customers.

Our approach integrates public relations, advertising, and corporate social responsibility (CSR) initiatives, ensuring a strong brand presence and fostering trust among stakeholders. In addition, we conduct market and competitive research to refine our banking strategies and sustain our leadership in the financial sector.

Leveraging digital platforms, including social media and online marketing, we expand customer outreach and enhance the accessibility of our financial services. The division also supports business growth by equipping sales teams with promotional materials and data-driven customer insights. By continuously strengthening customer connections and refining market positioning, we drive long-term success and reinforce Global IME Bank's standing as a leading financial institution.

## RETAIL & MSME BANKING DIVISION

The Retail & MSME Banking Division at Global IME Bank is at the heart of our efforts to support both individuals and small-to-medium-sized enterprises (SMEs), enabling them to build financial resilience and growth. Our division is dedicated to offering a full spectrum of personal banking products and business financing solutions that cater to the diverse needs of our clients, helping them navigate both personal financial milestones and business expansion.

For individuals, we provide essential services such as savings and current accounts, home loans, personal loans, and credit cards, designed to enhance financial security, ease of transactions, and access to credit.

Over the years, we have successfully built and managed a diverse credit portfolio, funding key sectors such as agriculture, manufacturing, energy, construction, transportation, information technology, trade, and tourism.



Digital Banking Division is helping reshape how banking services are delivered, creating a seamless and accessible experience that supports both the needs of our customers and the bank's growth objectives.

For micro, small, and medium-sized enterprises (MSMEs), we deliver customized financial products, including working capital financing, business loans, trade finance, and facilities like letters of credit (LC) and bank guarantees. These services are critical to MSMEs as they seek to manage cash flow, expand operations, and mitigate risks in a dynamic market.

By continuously innovating and expanding our product offerings, the Retail & MSME Division plays a pivotal role in supporting economic growth and entrepreneurship. Our focus on flexibility and personalized solutions ensures that both individuals and businesses have access to the resources they need to thrive and contribute to the nation's economic progress.

## DIGITAL BANKING DIVISION

At Global IME Bank, the Digital Banking Division plays a transformative role in evolving traditional banking into a modern, customer-centric, and technology-driven ecosystem. We are committed to harnessing the power of technology to deliver secure, convenient, and efficient banking services that meet the needs of today's fast-paced, digital world.

Our division has been instrumental in providing a comprehensive suite of digital banking solutions across various platforms. These solutions empower our customers to manage their accounts, execute transactions, and access essential services anytime, anywhere, offering them the flexibility and convenience to conduct banking with ease.



By continuously innovating and expanding our digital capabilities, the Digital Banking Division is helping reshape how banking services are delivered, creating a seamless and accessible experience that supports both the needs of our customers and the bank's growth objectives.

## RISK MANAGEMENT DIVISION

At Global IME Bank, our Risk Management Division is the backbone of our efforts to maintain financial stability and protect both the bank and our customers. We're dedicated to identifying and managing risks across a range of areas, including credit, operational, market, investment, and regulatory risks, making sure we stay on top of challenges before they arise.

Our goal is to build a strong risk-aware culture, ensuring that everyone in the bank is aligned in understanding and managing risk. The division plays a key role in making sure we comply with essential regulations like Basel requirements, Anti-Money Laundering (AML) guidelines, and Know Your Customer (KYC) standards, which are crucial for keeping our operations safe and secure.

Beyond compliance, we're also focused on mitigating risks and preparing for the unexpected. We regularly perform stress tests and have clear plans in place to ensure business continuity in case of any crises. Our approach helps us stay resilient, ready to adapt, and continue serving our customers effectively no matter what challenges arise.

## OPERATIONAL DIVISION

At Global IME Bank, the Operational Division is essential to ensuring the seamless execution of the bank's day-to-day activities, which are vital for providing a wide range of services to our customers. This division is responsible for overseeing a variety of operational functions, including account and customer service management, cash and treasury operations, back office support, and the continuous improvement of our processes and efficiency.

The division's primary focus is to ensure that all banking operations are executed smoothly and efficiently. By streamlining our processes and optimizing workflows, we enhance overall operational performance and ensure that we meet our strategic goals. This involves overseeing everything from routine transactions to back-office functions, while maintaining strict adherence to operational standards and compliance regulations.

The success of the Operational Division directly impacts the bank's ability to deliver on its commitments to customers and stakeholders. By ensuring operational excellence, we enable Global IME Bank to maintain its reputation for reliable and efficient banking services.

## CALL CENTER DIVISION

At Global IME Bank, the Call Center Division is a vital component of our customer service framework, designed to ensure seamless communication and enhanced client satisfaction. Serving as a direct interface between the bank and its customers, the division is committed to providing timely, efficient, and high-quality assistance across multiple touchpoints.

Operating 24/7, the Call Center manages inquiries, resolves concerns, and delivers banking support through chat assistance, emails, and both inbound and outbound calls. By integrating advanced customer engagement tools and prioritizing service excellence, we strengthen customer trust, reinforce our brand reliability, and uphold our commitment to superior banking experiences.

This proactive approach enhances customer retention, operational efficiency, and overall service quality, ensuring that Global IME Bank continues to meet the evolving expectations of its clients and stakeholders.

## HUMAN RESOURCES DIVISION

At Global IME Bank, our Human Resources Division is dedicated to creating a supportive and empowering workplace where employees are valued and encouraged to grow. We focus on attracting top talent, offering continuous development, and providing a positive work culture through strong employee engagement, welfare programs, and competitive compensation, ensuring our workforce remains motivated and capable of driving the Bank's long-term success. Aligning with legal standards and best practices, we encourage and promote a respectful and inclusive environment for our employees, enabling both personal and professional success.

### Investing in People: Global IME Bank's Workforce Expansion and Retention

Global IME Bank remains committed to strengthening its human capital, recognizing employees as the foundation of sustained success. In FY 2024, the workforce grew to 3,789, with female representation reaching 40%, reflecting continued progress toward a more inclusive workplace. Employee retention remains a key strength, with notable increases in long-serving professionals across all tenure categories. By nurturing a balanced team of experienced leaders and dynamic young professionals, the Bank is well-positioned to drive innovation, ensure operational excellence, and sustainable growth for the future.

### Talent Development and Workforce Dynamics

At Global IME Bank, we recognize that our people are the foundation of our ongoing success. We are dedicated to building a skilled, future-ready workforce through continuous learning, leadership development, and meaningful career growth opportunities. This commitment is reflected in a steadily expanding team, with our workforce reaching 3,789 employees in FY 2024. Strong retention remains a hallmark of our culture, with over 1,227 employees having served more than a decade. With 55% of our team aged between 26 and 35 years, we are cultivating a dynamic organization where experience and innovation work hand in hand.

Operating 24/7, the Call Center manages inquiries, resolves concerns, and delivers banking support through chat assistance, emails, and both inbound and outbound calls.

# SUSTAINABLE AND RESPONSIBLE PRACTICES

## SUSTAINABILITY AT GLOBAL IME BANK

By FY 2023/24, the bank has invested Rs.
**23.58**
Billion in hydropower projects.

We have invested Rs.
**0.92**
Billion in solar projects

**Global IME Bank is dedicated to integrating sustainability into its banking operations, aligning with the Sustainable Development Goals and Nepal's Nationally Determined Contributions under the Paris Climate Agreement.** With an emphasis on environmental responsibility, social impact, and governance excellence, we prioritize key sectors such as renewable energy, clean transportation, agriculture, and SMEs. By investing strategically in green initiatives like electric vehicles, hydropower, and solar energy; we promote sustainable growth while empowering women entrepreneurs, advancing education, and improving healthcare.Additionally, efforts such as paper recycling, rainwater harvesting, and solar-powered branches reflect our deep commitment to eco-friendly practices. (oj)

Global IME Bank has aligned its banking with sustainable development goals and Nepal's Nationally Determined Contributions under the Paris Climate Agreement. The approach of the bank is centered around three key pillars, Environmental Responsibility, Social Impact, and Governance Excellence. The sustainability strategy of the bank focuses on integrating sustainability into its banking activities' operational and strategic levels. Renewable energy, energy efficiency, clean energy, sustainable transportation, agriculture and SMEs are the bank's key focus sectors.

### ACTIVITIES

The Green and Sustainable Banking Unit (GSBU) has been established to drive and elevate green and sustainable banking practices across all banking operations.

Global IME Bank incorporates sustainability into its operations and strategies, focusing on key sectors such as renewable energy, energy efficiency, clean energy, sustainable transportation, agriculture, and SMEs. To drive this commitment, we offer a range of green and sustainable loan products with competitive interest rates, encouraging sustainable lifestyles, supporting green businesses, and reducing carbon emissions, while continuously exploring new sustainability-aligned opportunities.

### LOAN PORTFOLIO IN GREEN AND SUSTAINABLE-RELATED INVESTMENTS

#### Green Investments

We at Global IME are strategically investing in green projects across various sectors to drive sustainable development and support Nepal's transition to a low-carbon economy. Through investing in green projects across various sectors to drive sustainable development, we are fostering economic resilience, and support Nepal's transition to a low-carbon economy. We are not only mitigating environmental impact but also creating long-term value for businesses, communities, and the nation's overall economic growth.

**Electric Vehicles (EVs):** Aligned with the government's vision for sustainable mobility, we have invested Rs. 2.006 billion in EV financing, promoting the transition to cleaner and more energy-efficient transportation.

**Green Home Loan:** We introduced the Green Home Loan to incentivize the construction of eco-friendly homes that prioritize energy efficiency and waste reduction. To date, we have disbursed Rs. 0.810 billion under this initiative, supporting sustainable housing solutions and promoting environmental responsibility.



**Hydropower Projects:** Understanding Nepal's competitive advantage in hydropower, we have made substantial loan commitments to the sector. By FY 2023/24, the bank has invested Rs. 23.580 billion in hydropower projects, strengthening our dedication to clean energy production and sustainable economic growth.

**Solar Projects:** To accelerate the adoption of renewable energy, we have invested Rs. 0.924 billion in solar projects, promoting the widespread use of solar energy and supporting the country's transition to a more sustainable power infrastructure.

**Green Investments**

| Sector | Amount (NPR Billion) |
|---|---|
| Electric Vehicles | 2.006 |
| Green Home Loan | 0.810 |
| Hydropower Projects | 23.580 |
| Solar Projects | 0.924 |

### SUSTAINABLE INVESTMENTS

Global IME Bank has provided substantial loans to promote sustainable development by focusing on key areas. These investments not only support Nepal's economic growth but also contribute to the United Nations Sustainable Development Goals.

### KEY AREAS OF DEVELOPMENT

**Women Entrepreneurs:** We have invested NPR 2.363 billion in women entrepreneurship to support and empower women-owned businesses. Through these investments, we aim to provide women with the financial access and resources needed to start and expand their businesses, fostering economic empowerment and driving overall economic growth.

**Sustainable-Related Investments:** Global IME Bank combines sustainability into its banking activities and focuses on key sectors like renewable energy, agriculture, and SMEs. To promote sustainability, we offer green loan products and have formed a Green and Sustainable Banking Unit (GSBU). Sustainable-related investments demonstrate Global IME Bank's commitment to supporting sustainable development through targeted investments across key sectors, contributing to Nepal's economic progress and aligning with the United Nations Sustainable Development Goals (SDGs). For example, the bank has invested in women entrepreneurs (aligning with SDG Goal 1: No Poverty), deprived sector financing (aligning with SDG Goal 1: No Poverty), agriculture loans (aligning with SDG Goal 2: Zero Hunger), education sector loans (aligning with SDG Goal 4: Quality Education), and health sector investment (aligning with SDG Goal 3: Good Health and Well-being)

**Deprived Sector Investments:** Global IME Bank supports financial inclusion by providing Rs. 20.587 billion in deprived sector financing, aligning with SDG Goal 1: No Poverty. These funds facilitate access to essential financial services for marginalized, low-income individuals, small-scale entrepreneurs, and micro-enterprises, empowering them through funding for income-generating activities that bridge economic divides.

**Agriculture Loans:** Recognizing agriculture's central role in Nepal's economy, Global IME Bank has allocated Rs. 47.083 billion in agricultural loans, aligning with SDG Goal 2: Zero Hunger. This funding supports agricultural entrepreneurs, farming operations, and rural development initiatives. By supporting the agriculture sector, the bank plays a role in economic empowerment of marginalized communities by providing them with chances for self-employment.

**Education Sector Loans:** In its commitment to accessible, quality education, Global IME Bank has invested Rs. 12.591 billion in the education sector, aligning with SDG Goal 4: Quality Education. These loans finance educational infrastructure improvements and capacity-building initiatives.

**Health Sector Investment:** Understanding the critical importance of healthcare, Global IME Bank has directed Rs. 7.893 billion towards the health sector, aligning with SDG Goal 3: Good Health and Well-being. These funds support hospital operations, clinics, medical equipment procurement, and pharmaceutical research to enhance healthcare service efficiency. The bank carries out Corporate Social Responsibility activities such as free women health checkups.

**Sustainable Related Investments**

| Sector | Amount (NPR Billion) | Alignment with SDG Goals |
|---|---|---|
| Women entrepreneurship | 2.363 | 1-No Poverty |
| Deprived Sector | 20.587 | 1-No Poverty |
| Agriculture Loan | 47.083 | 2-Zero Hunger |
| Education Sector Loan | 12.591 | 4-Quality Education |
| Health Sector Investments | 7.893 | 3-Good Health and Well-being |

The bank has recycled **59,117** kg of paper waste, preventing approximately 50 tons of CO2 emissions.

Corporate Office captures **229,407** liters of rainwater annually

## SUSTAINABILITY INITIATIVES IN THE BANK

Global IME Bank actively pursues sustainability through various initiatives and partnerships. Some examples include:

**Waste Reduction:** In partnership with Doko Recyclers, the bank has recycled 59,117 kg of paper waste, preventing approximately 50 tons of CO2 emissions.

**Water Conservation:** A rainwater harvesting facility at the Corporate Office captures 229,407 liters of rainwater annually.

**Renewable Energy:** 41 extension counters and branch offices utilize roof-mounted solar or hybrid power generation for electricity1. The bank has invested Rs. 0.924 billion in solar projects to promote the use of solar energy.

**Reducing Plastic Use:** Corporate and provincial offices are transitioning from plastic bottles to eco-friendly alternatives, with a plan to implement this change across all branches within three years.

**Employee Training:** Internal capacity-building and training programs equip employees with knowledge of green practices and sustainability.

**Raising Awareness:** The bank actively promotes awareness of green actions and sustainability through various communication channels.

**Collaborative Partnerships:** Global IME Bank collaborates with national agencies, organizations, and corporations to advance green finance and sustainable operations. The bank is also negotiating terms with international institutions to channel green and sustainable funds in Nepal.

**Carbon Footprint Assessment:** As a signatory of the Partnership for Carbon Accounting Financials (PCAF), the bank is committed to assessing and disclosing the carbon footprint of its financial activities.

**Environment and Social Risk Management (E&S):** The Bank is committed to contributing towards sustainable banking practices and has established an E & S Risk Management (ESRM) Unit. It has its own E&S Risk Management Policy and Guidelines based on which integration of ESMS with Credit Risk Management system of the Bank is completed.







**Global IME Bank Limited firmly upholds its commitment to environmental sustainability and social responsibility, recognizing them as integral to its operational philosophy and long-term growth strategy.** As a financial institution, we acknowledge our role in shaping a more sustainable future by aligning our business practices with global sustainability standards, ensuring responsible banking, and fostering inclusive economic development.

We remain steadfast in our commitment to environmental and social responsibility, embedding sustainability at the core of our operations and long-term strategy.

## ENVIRONMENTAL RESPONSIBILITY

Sustainability at GIBL is anchored on three fundamental pillars: Environmental Responsibility, Social Impact, and Governance Excellence. These pillars guide the bank in adopting eco-friendly practices and minimizing our environmental footprint.

In line with Global IME's sustainability objectives, we have implemented an Environmental and Social Management System (ESMS) under our Environmental and Social Risk Management (ESRM) framework. This system ensures that environmental considerations are integrated into decision-making processes, reinforcing the bank's dedication to responsible lending and sustainable banking.



## SOCIAL IMPACT AND INCLUSIVITY

We prioritize financial inclusion, ensuring that banking services reach all 77 districts of Nepal. With an extensive branch network, the bank plays a crucial role in fostering economic growth across both urban and rural regions.

Further strengthening our social impact, we have established strategic collaborations with international financial institutions. A notable partnership with the International Finance Corporation (IFC) has enhanced the bank's risk management capabilities and positioned it to leverage opportunities in climate finance.

## RECOGNITION AND AWARDS

Global IME's unwavering commitment to environmental, social, and governance (ESG) principles has earned global recognition. In 2024, we were honored with the "Nepal's Best Bank 2024" and "Best Bank for ESG" awards at the prestigious Euromoney Awards for Excellence. These accolades underscore Global IME's leadership in promoting sustainable and socially responsible banking in Nepal.

Through a strong sustainability framework, strategic alliances, and a clear focus on green banking, Global IME Bank Limited has set new benchmarks in environmental and social responsibility. Our initiatives not only safeguard the environment but also foster social inclusivity and drive economic progress across Nepal.

In 2024, we were honored with the "Nepal's Best Bank 2024" and "Best Bank for ESG" awards at the prestigious Euromoney Awards for Excellence.

# LEADING ENVIRONMENTAL STEWARDSHIP

Global IME secured a $25 Million loan agreement with the OPEC Fund for International Development in 2024

**Global IME has consistently demonstrated a strong commitment to environmental stewardship through a range of strategic collaborations and initiatives designed to promote sustainability and combat climate change in Nepal.** By integrating sustainable practices into our core operations, we actively support the transition to a greener economy while fostering long-term environmental resilience. Through partnerships with global financial institutions, investments in eco-friendly projects, and the implementation of responsible banking policies, we recognize the critical role we play in driving sustainable development across the country.

Our commitment extends beyond compliance—we actively seek opportunities to finance green projects, support businesses that prioritize sustainability, and implement policies that reduce our ecological footprint. Through strategic partnerships with global financial institutions, we have enhanced our capacity to drive climate-conscious investments, strengthen environmental risk management, and contribute to Nepal's broader sustainability goals.

By embedding sustainability into our operational framework, we not only mitigate environmental risks but also create long-term value for our stakeholders. Our efforts in promoting responsible banking, supporting renewable energy projects, and encouraging sustainable business practices reflect our dedication to building a resilient and environmentally conscious financial ecosystem.

## STRATEGIC PARTNERSHIPS AND INVESTMENTS

### Partnership with International Finance Corporation (IFC)

In February 2024, Global IME signed a landmark agreement with the International Finance Corporation (IFC), a member of the World Bank Group, securing a $56 million investment. This marks IFC's largest investment and mobilization effort in Nepal's financial sector, enabling us to expand our support for small and medium-sized enterprises (SMEs), particularly those recovering from the economic impacts of the COVID-19 pandemic. A key focus of this initiative is empowering women-owned SMEs (WSMEs) and businesses operating in rural areas, fostering greater financial inclusion and economic resilience.

The IFC-backed investment will allow us to channel funding into high-impact sectors, with a strong emphasis on women-led enterprises and climate-resilient projects. Our commitment to sustainability is reflected in our strategic allocation of funds toward clean transportation, climate-smart agriculture, and renewable energy initiatives—all of which align with Nepal's national objective of achieving net-zero emissions by 2045.

To maintain an equitable and balanced impact, 50% of the loan proceeds will be dedicated equally to climate finance and gender-focused financial initiatives, strengthening our role in promoting sustainable and inclusive economic growth. The remaining 50% will be directed exclusively toward on-lending to SMEs across Nepal, helping businesses access the resources they need to thrive and contribute to the country's long-term development.

### OPEC Fund Loan Agreement

In June 2024, Global IME secured a $25 million loan agreement with the OPEC Fund for International Development, further strengthening our commitment to sustainable and inclusive financial growth. This strategic partnership will enable us to expand our climate finance portfolio, ensuring greater access to funding for micro, small, and medium enterprises (MSMEs), women-led businesses, and climate-smart projects.

By leveraging this investment, we aim to support businesses that drive environmental sustainability while fostering economic resilience. The funds will be directed toward financing projects that align with global climate goals, including renewable energy, sustainable agriculture, and eco-friendly infrastructure. Additionally, this initiative reinforces our dedication to empowering women entrepreneurs and underserved business segments, providing them with the financial resources needed to thrive in a rapidly evolving economic landscape.

Through collaborations like this, we continue to position ourselves as a key player in Nepal's transition toward a greener and more inclusive financial ecosystem, ensuring that businesses of all sizes have the support they need to grow sustainably.

### Global Climate Partnership Fund (GCPF) Participation

In October 2023, Global IME secured a $25 million loan from the Global Climate Partnership Fund (GCPF), marking the fund's first climate-focused investment in Nepal. This strategic partnership enhances our ability to finance energy efficiency and renewable energy projects, reinforcing our commitment to mitigating climate change and driving sustainable economic growth. By leveraging this funding, we aim to accelerate the transition to a greener economy while expanding our role as a leader in climate-conscious financial solutions.

### Global IME Bank Secures USD 10M from SIFEM to Boost MSMEs

SIFEM has provided a USD 10 million impact loan to Global IME Bank, Nepal's largest commercial bank to expand its support to underserved micro, small, and medium-sized enterprises (MSMEs), particularly in agribusiness and women-led sectors, helping to drive job creation and inclusive economic growth. Announced at a ceremony attended by SIFEM Chairman Jörg Frieden and the Swiss Ambassador, the investment marks a significant step in strengthening Swiss-Nepalese financial cooperation and aligns with Switzerland's broader international development priorities.

### Electric Vehicle (EV) Financing

As part of our commitment to environmental sustainability, we have introduced competitive financing programs to encourage the adoption of electric vehicles (EVs) in Nepal. Recognizing the long-term benefits of green transportation, we offer loans covering up to 60% of the vehicle's cost at attractive interest rates with flexible repayment terms. By making EV ownership more accessible and affordable, we aim to support Nepal's shift toward cleaner and more sustainable mobility solutions.

### Partnership with Aloi

Further strengthening our green financing initiatives, we signed a Memorandum of Understanding (MoU) with Aloi in April 2024. Aloi is a platform dedicated to lending to emerging market green micro-entrepreneurs through verified merchants. This partnership focuses on financing environmentally sustainable projects across key industries, including dairy, coffee, and electric vehicles. By collaborating with innovative financial platforms, we continue to develop creative financing solutions that drive positive environmental transformation and support Nepal's green economy.

We have introduced competitive financing programs to encourage the adoption of electric vehicles (EVs) in Nepal.



# WORKFORCE MANAGEMENT

In FY 2020/21, our workforce stood at
**2,961**
employees, with the majority 2,894 in permanent positions.

**At Global IME, we are deeply committed to employee development and organizational growth. Over the years, we have built a strong human resource foundation, with a diverse workforce spanning various age groups and service periods.** A comparison of FY 2024 to FY 2023 reveals positive trends in employment growth, gender distribution, and employee retention, all of which contribute to our ongoing success as an organization.

## WORKFORCE EVOLUTION AND GROWTH

Over the past four years, Global IME Bank has experienced a remarkable transformation in its workforce—one driven by growth, adaptation, and an unwavering commitment to people. As our organization expanded, so did our focus on strategic recruitment, talent retention, and inclusive workplace policies, ensuring both stability and opportunity for our employees.

In FY 2020/21, our workforce stood at 2,961 employees, with the majority (2,894) in permanent positions. Since then, we have navigated fluctuations, consistently growing to 3,789 employees by FY 2023/24. Permanent staff peaked at 3,555 in FY 2022/23 before adjusting to 3,494 the following year, reflecting a balance between long-term retention and evolving workforce needs.

To bring in fresh talent, we significantly expanded probationary staff, growing from just 10 in FY 2020/21 to 97 in FY 2023/24. Meanwhile, our contract and trainee workforce fluctuated—peaking at 136 in FY 2021/22, dropping to 20 in FY 2022/23, and rebounding to 198 in FY 2023/24—demonstrating our agility in workforce planning.

Additionally, our outsourced personnel steadily increased, from 252 in FY 2020/21 to 575 in FY 2023/24, as we strategically leveraged external expertise to enhance operational efficiency.

Each of these changes reflects more than just numbers—they tell the story of an organization growing with purpose, adapting to industry shifts, and prioritizing both stability and innovation. Looking ahead, we remain committed to creating a workplace where talent thrives, diversity flourishes, and every employee feels valued.

## WORKFORCE DISTRIBUTION BY SERVICE PERIOD

The distribution of employees by service period indicates a healthy balance of new and experienced professionals within our workforce. Notably, we've seen a marked increase in long-term employees, particularly in the 5 to 20-year service bracket. This reflects our success in improving employee retention and fostering organizational stability, which are key to our long-term strategic goals.

| | FY 2024 | | | FY 2023 | | |
|---|---|---|---|---|---|---|
| **Service Period** | **F** | **M** | **Grand Total** | **F** | **M** | **Grand Total** |
| Less than 5 Years | 315 | 408 | 723 | 325 | 471 | 796 |
| 5 to 10 Years | 668 | 1,171 | 1,839 | 652 | 1,082 | 1,734 |
| 11 to 15 Years | 358 | 451 | 809 | 363 | 474 | 837 |
| 16 to 20 Years | 160 | 213 | 373 | 113 | 151 | 264 |
| More than 20 Years | 12 | 33 | 45 | 16 | 31 | 47 |
| **Grand Total** | **1,513** | **2,276** | **3,789** | **1,469** | **2,209** | **3,678** |

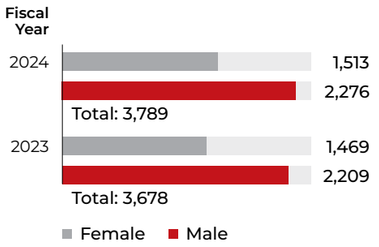
| | FY 2024 | | | FY 2023 | | |
|---|---|---|---|---|---|---|
| **Age Group** | **F** | **M** | **Grand Total** | **F** | **M** | **Grand Total** |
| 18 to 20 Years | 1 | 3 | 4 | 1 | 2 | 3 |
| 21 to 25 Years | 44 | 59 | 103 | 35 | 36 | 71 |
| 26 to 35 Years | 865 | 1,216 | 2,081 | 895 | 1,251 | 2,146 |
| 36 to 45 Years | 504 | 779 | 1,283 | 452 | 720 | 1,172 |
| 46 to 55 Years | 93 | 200 | 293 | 82 | 186 | 268 |
| 56 to 60 Years | 6 | 13 | 19 | 4 | 10 | 14 |
| Above 60 Years | | 6 | 6 | | 4 | 4 |
| **Grand Total** | **1,513** | **2,276** | **3,789** | **1,469** | **2,209** | **3,678** |

## WORKFORCE DISTRIBUTION BY AGE GROUP

Our workforce distribution by age group underscores our efforts to maintain a balanced workforce across generations. In FY 2024, we observed a notable increase in mid-career and senior employees, which indicates successful long-term career development and retention strategies. While there was a slight decrease in the 26 to 35 age group, this may be attributed to evolving hiring trends, reflecting broader shifts within the labor market.

## GENDER DISTRIBUTION

Gender diversity remains a core focus for Global IME. We continue to prioritize gender inclusivity and diversity across all service periods and age groups. The gender distribution for FY 2024 is as follows:




Net Increase in Female Employees: +44

Net Increase in Male Employees: +67

We have witnessed a slight increase in the representation of female employees, reflecting our continued commitment to promoting a more inclusive and diverse workplace. The gender balance remains stable, reinforcing our dedication to equality and opportunity for all employees.

## FEMALE REPRESENTATION

In FY 2023/24, Global IME Bank reached a significant milestone with the appointment of its first female leader at the senior management level, marking a step forward in gender representation. The number of female managers saw steady growth, rising from 14 in FY 2021/22 to 35 in FY 2023/24. Similarly, female officer-level positions expanded from 285 to 446, while assistant-level roles saw a remarkable increase from 726 to 971 over

**Classification of workforce**

| | FY 2020/21 (Mid-July, 2021) | FY 2021/22 (Mid-July, 2022) | FY 2022/23 (Mid-July, 2023) | FY 2023/24 (Mid-July, 2024) |
|---|---|---|---|---|
| Permanent | 2894 | 2756 | 3555 | 3494 |
| Probation | 10 | 74 | 103 | 97 |
| Contract & Trainee | 57 | 136 | 20 | 198 |
| Total | 2961 | 2966 | 3678 | 3789 |
| Outsourced | 252 | 343 | 558 | 575 |

**Gender Composition**

| Gender | FY 2020/21 | FY 2021/22 | FY 2022/23 | FY 2023/24 |
|---|---|---|---|---|
| Male | 1886 | 1878 | 2209 | 2276 |
| Female | 1075 | 1088 | 1469 | 1513 |

**Female Representation**

| Position | FY 2021/22 | FY 2022/23 | FY 2023/24 |
|---|---|---|---|
| Senior Management Level | - | - | 1 |
| Manager Level | 14 | 33 | 35 |
| Officer Level | 285 | 365 | 446 |
| Assistant Level | 726 | 1007 | 971 |
| Support Level | 63 | 64 | 60 |
| Total | 1088 | 1469 | 1513 |

**Province-Wise**

| Position | FY 2021/22 | FY 2022/23 | FY 2023/24 |
|---|---|---|---|
| Koshi | 259 | 334 | 323 |
| Madesh | 202 | 272 | 283 |
| Bagmati | 1594 | 1305 | 1302 |
| Gandaki | 249 | 306 | 307 |
| Lumbini | 415 | 520 | 519 |
| Karnali | 82 | 104 | 104 |
| Sudurpaschim | 165 | 204 | 199 |

**Number of New Recruits in FY 2023/24 (Position-wise)**

| Position | Recruitment |
|---|---|
| Manager Level and above | 5 |
| Officer Level | 69 |
| Junior Officer | 13 |
| Assistant Level | 257 |
| **Grand Total** | **331** |

the same period, reflecting our ongoing commitment to fostering an inclusive and diverse workplace.Key Insights and Trends

**Sustained Workforce Growth:** We saw a net increase of 111 employees in FY 2024 compared to FY 2023, which highlights our growing organization and expanding capabilities.

**Improved Employee Retention:** The growth in the 5 to 20-year service category showcases the success of our employee engagement and retention strategies, contributing to stronger organizational stability.

**Balanced Age Distribution:** The increase in mid-career and senior employees indicates healthy career progression and the stability of our long-term workforce.

**Gender Diversity:** Our efforts to foster gender equality have resulted in a steady and positive gender distribution across all employee categories.

## CONCLUSION

The workforce expansion and retention strategies at Global IME have delivered positive results in FY 2024. The data reveals a well-balanced workforce, with an emphasis on long-term employment, career growth, and gender diversity. Moving forward, we will continue to invest in career development programs and employee retention strategies to sustain our growth and maintain a strong, diverse, and dedicated workforce.








**In 2024, Global IME Bank reinforced our commitment to corporate social responsibility by launching a series of strategic initiatives focused on environmental sustainability, social inclusion, and good governance.** These programs aim to drive positive change and strengthen the bank's role as a responsible corporate entity within Nepal.

## ENVIRONMENTAL SUSTAINABILITY

As part of our 18th anniversary celebrations, we proudly launched a large-scale tree planting initiative in January 2025. The goal for this fiscal year is to plant 18,000 seedlings across Nepal in partnership with local NGOs. This initiative is more than just a symbolic gesture; it is a concerted effort to restore the natural environment, prevent soil erosion, reduce the risk of landslides, and conserve vital water resources. Our approach to environmental responsibility is designed to help address pressing environmental challenges while contributing to a greener, more sustainable future.

## GOVERNANCE AND RISK MANAGEMENT

In line with our commitment to good governance and sound financial management, we have partnered with the International Finance Corporation (IFC) to enhance our internal risk management systems. This collaboration aims to improve our ability to seize climate finance opportunities and better manage the environmental and financial risks associated with climate change. Through this project, we are strengthening our financial resilience and ensuring that our governance practices align with global best standards, positioning us to adapt to the dynamic economic landscape.

## ACHIEVING INTEGRATED TRANSPARENCY

Global IME Bank is deeply committed to fostering accountability and transparency across all aspects of its operations. We have long been a pioneer in advancing transparency in environmental, social, and governance (ESG) disclosures, as well as in our financial reporting and strategic partnerships. Our unwavering focus on sustainability standards has earned us the trust and confidence of our stakeholders, regulatory bodies, and investors, as we continue to uphold the highest levels of openness and integrity in all our endeavors.

The goal for this fiscal year is to plant 18,000 seedlings across Nepal in partnership with local NGOs.

# COMMITMENT TO FINANCIAL TRANSPARENCY

In June 2024, GIBL joined the Partnership for Carbon Accounting Financials (PCAF), a global initiative designed to help financial institutions measure and manage the carbon emissions of their financed projects.

## REGULAR FINANCIAL DISCLOSURES

At Global IME Bank (GIBL), we are unwavering in our dedication to financial transparency. We maintain a robust financial reporting system, ensuring that our stakeholders have access to timely, accurate, and detailed financial data. Through our quarterly and annual financial reports, we provide a clear picture of our financial health, with a focus on key performance indicators, profit margins, and risk management strategies.

### Audit and Regulatory Compliance

GIBL rigorously follows regulatory standards set by Nepal Rastra Bank (NRB) and international financial bodies. Our commitment to compliance is underscored by regular independent external audits, ensuring our adherence to the highest financial regulations and industry best practices.

## TRANSPARENCY IN ENVIRONMENTAL AND SOCIAL GOVERNANCE (ESG)

### Commitment to ESG Frameworks

We integrate environmental and social considerations at every level of our operations, driven by our core belief in responsible banking. Our Environmental and Social Management System (ESMS) ensures that all projects we finance align with the highest sustainability standards. Through this framework, we mitigate any potential negative impacts on the environment and local communities, promoting long-term positive change.

### Partnership for Carbon Accounting Financials (PCAF)

In June 2024, GIBL joined the Partnership for Carbon Accounting Financials (PCAF), a global initiative designed to help financial institutions measure and manage the carbon emissions of their financed projects. By aligning with this effort, we reinforce our commitment to net-zero goals, driving transparency and accountability in the financial sector's role in climate change mitigation.

### Environmental and Social Risk Management (ESRM) Guidelines

Our ESRM guidelines are integral to our decision-making process, ensuring that our lending practices are sustainable and responsible. We focus on financing projects that contribute to climate resilience, including renewable energy, sustainable agriculture, and electric mobility, thus fostering a future-proofed and eco-conscious economy.



### Awards for ESG Excellence

Global IME Bank's commitment to sustainability has been internationally recognized. In 2024, we proudly received two prestigious **Euromoney Awards for Excellence:**

- **"Nepal's Best Bank 2024"**
- **"Best Bank for ESG"**

These accolades affirm our leadership in integrating responsible banking practices, climate finance, and gender inclusion, reinforcing our position as a pioneer in environmental and social governance (ESG) in Nepal.

## CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES

At Global IME Bank (GIBL), our Corporate Social Responsibility (CSR) initiatives reflect our deep commitment to fostering social well-being, environmental sustainability, and financial empowerment. Our key CSR activities are designed to create lasting positive impacts within our communities and the broader environment.

- **Scholarship Programs:** We have launched several scholarship initiatives aimed at supporting underprivileged students, empowering them to pursue their education and build better futures.
- **Tree Plantation Drives:** In our ongoing efforts to combat climate change, we have organized extensive tree plantation campaigns to offset carbon emissions and contribute to environmental conservation in Nepal.
- **Financial Literacy Initiatives:** GIBL is dedicated to promoting financial literacy and responsible banking. Our financial education campaigns aim to equip individuals with the knowledge and tools needed to make sound financial decisions and manage their personal finances effectively.

Global IME Bank has set a benchmark for integrated transparency and responsible banking in Nepal's financial sector. Through transparent financial disclosures, rigorous ESG compliance, impactful global partnerships, and strong ethical leadership, we continue to raise the bar for the industry.

Financial Transparency: Our commitment to regular financial reporting fosters investor confidence and ensures accountability.

- **ESG Leadership:** Our dedication to environmental, social, and governance (ESG) principles, supported by prestigious awards, underscores our responsible banking practices and our commitment to sustainable growth.
- **Global Partnerships:** Strategic global collaborations enhance our leadership in sustainable finance, helping us drive positive change within Nepal's financial sector.

By maintaining transparency across all aspects of our operations and upholding high ethical standards, GIBL not only strengthens its market leadership but also contributes to the creation of a more inclusive, resilient, and sustainable financial ecosystem in Nepal.

Global IME Bank has set a benchmark for integrated transparency and responsible banking in Nepal's financial sector.

# GOVERNANCE & RISK MANAGEMENT

## STATEMENT OF CORPORATE GOVERNANCE

The Board is responsible for shaping corporate and business strategies, approving capital and operational plans, and closely monitoring management performance to ensure alignment with both annual goals and long-term strategic objectives.

At Global IME, we are guided by strong principles of corporate governance that shape how we operate. We are dedicated to upholding the highest standards of transparency, accountability, and integrity in everything we do. Our commitment ensures that we manage our responsibilities effectively, foster sustainable growth, and protect the interests of all our stakeholders.

### Board of Directors

The Board of Directors at Global IME is entrusted with setting the bank's strategic direction and overseeing its governance. Our Board comprises seven members, all of whom are non-executive and independent, bringing a wealth of experience and diverse expertise from various fields.

The Board is responsible for shaping corporate and business strategies, approving capital and operational plans, and closely monitoring management performance to ensure alignment with both annual goals and long-term strategic objectives. They provide clear guidance to the management team, regularly reviewing progress and offering direction to help achieve our targeted outcomes.

In fulfilling these responsibilities, the Board operates within the framework of regulatory requirements, including the Companies Act, Bank and Financial Institutions Act, our Memorandum and Articles of Association, and other applicable laws. Executive authority is delegated to the CEO, who is empowered to further assign responsibilities across the organization. Additionally, the Board may establish specialized committees as needed, granting them specific responsibilities and the authority necessary to carry out their roles effectively.

During the review period, we held a total of 19 Board meetings. Throughout these sessions, the Board remained focused on its key responsibilities, which include:

- Defining strategic objectives and ensuring their effective implementation
- Overseeing compliance with all legal and regulatory requirements
- Monitoring financial performance and managing risks
- Setting corporate policies and upholding high ethical standards

These responsibilities reflect our ongoing commitment to strong governance and the long-term success of Global IME.

### Board Level Committee

To strengthen efficiency and oversight, Global IME has established four permanent Board-level committees, each entrusted with specific responsibilities delegated by the Board.

**1. Audit Committee:**
The Audit Committee is formed in accordance with Section 61 of the Bank and Financial Institutions Act, 2073, and Section 165 of the Companies Act, 2063. This committee plays a crucial role in supporting the Board in areas such as financial reporting, internal controls, audits, compliance, and risk management, in line with the provisions of Unified Directive 6 issued by Nepal Rastra Bank.

Members of the Audit Committee are appointed from among the non-executive Board members. One non-executive member with relevant expertise in financial and accounting matters is elected as the committee coordinator. The Board regularly reviews the composition of the committee to ensure it continues to meet the bank's governance needs effectively.

During the review period, the Audit Committee held 13 meetings.

The key functions, duties, and responsibilities of the Audit Committee include:

- Periodically reviewing the bank's financial condition, internal control systems, audit plans, and findings from internal audits. The committee provides necessary instructions to management and submits related recommendations to the Board.
- Reviewing observations made in the external auditor's reports and ensuring that management takes appropriate corrective actions.
- Overseeing the implementation of observations and directives issued by Nepal Rastra Bank during inspections, and reporting the status of compliance to the Board.
- Supporting management in the preparation of accurate and transparent annual financial statements.
- Ensuring that all transactions and accounts of the bank reflect a true and fair view, and regularly reviewing provisions for potential liabilities and loan classifications.
- Monitoring compliance with applicable laws, regulations, and directives issued by Nepal Rastra Bank, and documenting actions taken in the committee's reports.
- Establishing a detailed internal audit framework and ensuring audits are conducted accordingly.
- Providing recommendations to the Board on operational efficiency, cost-effectiveness, prudence, and overall effectiveness of the bank's activities.
- Reviewing quarterly financial statements and submitting performance reports to the Board.
- Fulfilling the responsibilities outlined in Section 61 of the Bank and Financial Institutions Act, 2073, and Section 165 of the Companies Act, 2063.

**2. Risk Management Committee:**
The Board Risk Management Committee at Global IME is established to foster a strong risk management culture across the bank. The committee provides strategic guidance and develops policies to ensure effective risk oversight, aligned with the broader objectives set by the Board and in compliance with Nepal Rastra Bank regulations and applicable laws.

The committee is appointed by the Board and is composed of three Non-Executive Directors: one serving as the Committee Coordinator, the Coordinator of the Audit Committee serving as an ex-officio member, and another Non-Executive Director as a member. Additionally, the Chief of Operations serves as a member, while the Chief Risk Officer (CRO) acts as the Member-Secretary.

During the review period, the Risk Management Committee held seven meetings.

The primary objective of the Risk Management Committee (RMC) is to recommend robust risk management systems and processes to the Board, ensuring that Global IME has an effective framework in place to mitigate Credit Risk, Liquidity Risk, Market Risk, and Operational Risk. Key responsibilities of the committee include:

- Keeping the Board informed about the effectiveness of the bank's risk identification and management systems, and offering recommendations for improvement
- Regularly assessing inherent risks in business activities, the bank's risk tolerance, risk management strategies, policies, and guidelines, and advising the Board on their adequacy.
- Reviewing periodic risk management reports from the management team, evaluating risk assessment methodologies, and providing feedback and recommendations to the Board.
- Conducting ongoing reviews of capital adequacy in relation to risk assets, the Internal Capital Adequacy Assessment Process (ICAAP), and ensuring systems

The committee provides strategic guidance and develops policies to ensure effective risk oversight, aligned with the broader objectives set by the Board and in compliance with Nepal Rastra Bank regulations and applicable laws.

The committee is also tasked with ensuring that employee benefits are implemented fairly and transparently, contributing to staff motivation and long-term retention.

and policies align with the bank's business strategy and risk appetite.

- Recommending risk policies and structural frameworks that comply with Nepal Rastra Bank directives, internal thresholds, and national and international best practices.
- Advising the Board on policy formulation and decision-making based on findings from regular stress testing exercises
- Reviewing delegation limits and structures, and submitting reports to the Board with recommendations for adjustments where necessary.
- Providing quarterly reports to the Board covering the bank's asset structure, asset performance, income generation, asset quality trends, and activities of the Asset Liability Committee (ALCO).
- Analyzing the impact of economic sector changes or financial challenges on the bank's financial health and recommending strategies to mitigate potential risks.

**3. Employee Service Facility Committee:**
The committee is appointed by the Board of Directors and comprises two Non-Executive Directors, along with the Chief Executive Officer (CEO), Chief Financial Officer (CFO), and Chief Human Resources Officer (CHRO).

This committee is responsible for overseeing employee welfare, benefits, and service-related policies. It ensures that all facilities provided to employees—including salaries, incentives, insurance, and retirement benefits—are in full compliance with labor laws, banking regulations, and our internal HR policies.

In addition to policy oversight, the committee acts as a vital link between employees and management, addressing concerns related to working conditions, grievances, and overall job satisfaction. Through regular review and recommendations for improvements in service policies, the committee supports a positive and productive work environment, promotes employee well-being, and helps maintain operational efficiency.

The committee is also tasked with ensuring that employee benefits are implemented fairly and transparently, contributing to staff motivation and long-term retention. It is important to note that the CEO does not participate in meetings when discussions regarding his own service facilities take place.

During the review period, the Employee Service Facility Committee held three meetings.

The committee's key functions, duties, and responsibilities include:

- Assisting the Board of Directors in formulating the bank's Remuneration Policy.
- Periodically reviewing and analyzing the remuneration structure of all employees, and submitting reports to the Board on how changes in market trends may impact the bank.
- Based on the approved Remuneration Policy, recommending adjustments to employee remuneration—including that of the Chief Executive Officer—while ensuring compliance with applicable laws and regulatory directives.
- Developing and overseeing the employee performance evaluation system, including the preparation of job descriptions, goal-setting criteria, and progress evaluation metrics.
- Preparing plans, policies, and standards related to labor relations and human resource management, covering areas such as recruitment, selection, appointments, postings, transfers, promotions, staff development, performance evaluation, and disciplinary actions, and submitting them to the Board for approval.
- Reviewing employee-related policies, workforce structure, and succession planning, and recommending updates and strategies to the Board to ensure continuity and leadership development within the organization.

**4. Anti-Money Laundering/Combating the Financing of Terrorism Committee:**
The Anti-Money Laundering (AML) Committee is appointed by the Board of Directors and consists of two Non-Executive Directors, with the Chief Risk Officer serving as a member and the Manager – AML/CFT Compliance acting as the Member-Secretary.

This committee has been established in accordance with the provisions of Directive 6 issued by Nepal Rastra Bank. Its primary role is to oversee the effective implementation of the Assets (Money) Laundering Prevention **Act, 2007, the Assets (Money) Laundering Prevention Rules, 2016,** NRB Unified Directives, and other applicable legal and regulatory requirements related to the prevention of money laundering and combating the financing of terrorism (AML/CFT).

During the review period, the Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) Committee held eight meetings.

The key functions and responsibilities of the AML Committee include:

- Reviewing the bank's **Anti-Money Laundering and Combating the Financing of Terrorism (AML/CFT)** policies and programs, and recommending them to the Board for review and approval as necessary.
- Assessing and reviewing quarterly reports on the implementation status of the AML/CFT framework within the bank.
- Monitoring global developments related to AML/CFT, evaluating their potential impact on national and institutional risk landscapes.
- Providing recommendations and feedback to the Board and management on AML/CFT-related matters.
- Undertaking any additional responsibilities assigned by the Board, in line with prevailing laws, regulatory directives, or specific instructions from the Board of Directors.

### Management Level Committee:

In addition to the Board-level Committees, Global IME has established several management-level committees, each tasked with overseeing specific functions or areas of the bank's operations. Below are the details of the managerial committees formed:

- Asset Liability Committee
- Integrated Risk Management Committee
- AML/CFT Management Committee
- HR Recruitment and Promotion Committee
- Corporate Governance Committee
- Aarthik Nirdeshan Committee
- Procurement and Bid Committee
- Loan Recovery/Auction Committee
- Corporate Social Responsibility Committee
- Pradesh Coordination Committee

Global IME is committed to the timely and accurate disclosure of both financial and non-financial information. We ensure that regular reports are made available to shareholders, regulatory bodies, and the public, demonstrating our financial stability, operational efficiency, and adherence to governance standards.

To promote transparency and integrity, a whistleblower mechanism is in place, allowing employees and stakeholders to confidentially report unethical or illegal activities without fear of retaliation.

This Corporate Governance Statement underscores Global IME Bank's commitment to strong governance, ethical business practices, and sustainable growth. We continuously review and refine our governance framework to ensure alignment with best practices and evolving regulatory requirements.

Global IME is committed to the timely and accurate disclosure of both financial and non-financial information.

# BOARD OF DIRECTORS



**MR. CHANDRA PRASAD DHAKAL**
Chairman

**Mr. Chandra Prasad Dhakal** is the founding chairman of IME Group, one of Nepal's foremost business conglomerates. A visionary entrepreneur, he has been instrumental in shaping the country's economic landscape, championing domestic investment, facilitating foreign direct investment, and fostering a more business-conducive environment.

His leadership in steering successful mergers of banks and financial institutions stands as a testament to his strategic foresight and deep financial acumen. Additionally, he has played a key role in formalizing Nepal's remittance services, ensuring secure and efficient money transfers channels that enable Nepali migrant workers to send their earnings home securely and efficiently. This effort has not only uplifted countless families but has also strengthened Nepal's economy.

In recognition of his contributions, Mr. Dhakal has received numerous awards and honors from both government and private sectors. He is widely respected for his integrity, innovation, and leadership. Beyond his role at IME Group, he currently serves as the elected president of the Federation of Nepalese Chambers of Commerce and Industry (FNCCI), the leading body representing Nepal's business community. He also holds the position of Honorary Consul of the Republic of Indonesia to Nepal, reflecting his commitment to fostering international cooperation and ties.



**MR. RADHESH PANT**
Employee Service Facility Committee – Coordinator

**Mr. Radhesh Pant** has spent over three decades shaping not only the institutions he has led but also influencing the broader financial landscape of Nepal. His career reflects a rare blend of technical expertise, sharp business acumen, and an unwavering commitment to ethical, sustainable growth. He holds a Master's in Business Administration (MBA), specializing in Finance and Strategy, from the University of California, USA (1991), and a Bachelor of Technology degree from the Indian Institute of Technology (IIT) Bombay, India (1987).

Mr. Pant served as Chief Executive Officer at two major Nepali banks. He led Kumari Bank Ltd. from 2011 to 2016 erstwhile Bank of Kathmandu Ltd. from 2002 to 2009. His early career includes roles as a Financial Analyst at Pacific Rim Interface Member Enterprises, Inc. (1990–1992) and as a Planning Analyst at Royal Nepal Airlines Corporation (1987–1989).

In addition to his corporate roles, Mr. Pant has contributed extensively to both the public and private sectors. He has served as President of the Nepal Bankers Association and as Co-Chairman of the United Nations Association of Nepal. Further, he was a Founding Director and Adjunct Professor at the South Asian Institute of Management, Nepal, where he played a pivotal role in advancing management education. His commitment to broader development is also reflected in his service on the Board of Directors of Kathmandu Medical College Public Ltd.

Throughout his career, Mr. Pant has built a reputation as a leader who combines strategic clarity with a strong ethical foundation. Whether leading banks, supporting educational initiatives, or contributing to public discourse, he has remained committed to sustainable growth, good governance, and creating long-term value for institutions and society alike.



# BOARD LEVEL COMMITTEE



**MR. RAM BAHADUR BHANDARI**
Audit Committee – Member
Anti-Money Laundering/ Combating the Financing of Terrorism (AML/ CFT) Committee – Member

**Mr. Ram Bahadur Bhandari**, serving as the Coordinator of the Employee Service Facility Committee, brings over 25 years of leadership in Nepal's solar energy sector. As the Managing Director of Suryodaya Urja Pvt. Ltd., Mr. Bhandari has been instrumental in promoting renewable energy initiatives. His significant contributions include serving as Chairman of the Board of Directors of the former Siddhartha Development Bank Limited, where he played a key role in the successful merger process, and as a Board member of the erstwhile Janata Bank Nepal Limited. Mr. Bhandari holds a Master's degree in Mathematics from Tribhuvan University and has worked closely with the Alternative Energy Promotion Center under the Ministry of Energy, Water Resources, and Irrigation.



**MR. KRISHNA PRASAD SHARMA**
Audit Committee – Coordinator
Employee Service Facility Committee – Member
Risk Management Committee – Member

**Mr. Krishna Prasad Sharma** serves as a Member of both the Audit Committee and the Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) Committee. With over 32 years of extensive experience in the banking sector, Mr. Sharma has previously held the position of Chief Executive Officer at Rastriya Banijya Bank and has contributed his expertise as a board member in several leading financial institutions, including Nabil Bank, Nepal Investment Bank, Employees Provident Fund, National Life Insurance Company, NLG Insurance Company, Credit Information Bureau, and the Deposit and Credit Guarantee Fund. He holds a Bachelor's degree in Agricultural Science and Master's degrees in Management and Sociology.



**MR. MADAN LAL JOSHI**
Risk Management Committee – Coordinator
Audit Committee – Member

**Mr. Madan Lal Joshi**, Coordinator of the Audit Committee and Member of both the Employee Service Facility Committee and the Risk Management Committee, possesses over two decades of leadership in the banking and corporate sectors. He has previously served on the Board of Directors of the former Lumbini Bank Ltd. and Bank of Kathmandu Ltd., contributing significantly to their strategic direction. Mr. Joshi holds a Bachelor's degree in Management and has held key roles such as the Company Secretary of the former Narayani Finance Ltd. and President of the Narayani Chamber of Commerce and Industry, Chitwan. In addition to his extensive banking involvement, he currently leads Furniture Land Pvt. Ltd. as its Managing Director and oversees Chitwan Supply Center as its proprietor, bringing a well-rounded business acumen to the Board.

# BOARD LEVEL COMMITTEE



**MR. NARAYAN PRASAD POUDEL**
Anti-Money Laundering/ Combating the Financing of Terrorism (AML/ CFT) Committee – Coordinator
Risk Management Committee – Member

**Mr. Narayan Prasad Poudel** serves as the Coordinator of the Risk Management Committee and a Member of the Audit Committee. With 30 years of dedicated service at Nepal Rastra Bank, culminating in his role as Executive Director, Mr. Poudel has a profound understanding of Nepal's banking and financial sectors. His governance experience includes serving on the boards of key institutions such as Nepal Stock Exchange Limited, Deposit and Credit Guarantee Fund, and Rural Development Bank. Holding a Master's degree in Economics from Tribhuvan University and an MBA from the United Kingdom, Mr. Poudel has also demonstrated effective leadership as the former Chief Executive Officer of Prabhu Life Insurance Ltd., adding depth to the bank's risk management and oversight capabilities.



**MS BHAGIRATHI BHATTARAI GYAWALI**

Adding further strength to the Board, **Ms Bhagirathi Bhattarai Gyawali** brings a wealth of academic and regulatory experience. Serving as the Coordinator of the Anti-Money Laundering/ Combating the Financing of Terrorism (AML/CFT) Committee and as a Member of the Risk Management Committee, Ms. Gyawali holds a Master's degree in Economics and Public Administration from Tribhuvan University. She has dedicated 17 years to teaching economics at various institutions affiliated with Tribhuvan University. Her contributions extend beyond academia; she was appointed as a member of the Electricity Regulatory Commission by the Government of Nepal in 2076 B.S., where she successfully completed her five-year tenure. In addition to her part-time teaching roles, Ms. Gyawali is actively involved in various social and literary organizations, further enriching the Board's commitment to ethical governance and community engagement.

Together, the Board of Directors exemplifies a synergy of experience, strategic foresight, and leadership excellence. Their collective expertise continues to play a pivotal role in steering the bank towards sustained growth, robust governance, and value creation for all stakeholders.

# SENIOR MANAGEMENT COMMITTEE



First Row (Left to right) **Mr. Bhawani Dhakal**, **Mr. Surendra Raj Regmi**

Second Row (Left to right) **Mr. Kalyan Bikram Pande**, **Mr. Bimal Daga**

Third Row (Left to right) **Mr. Buddhi Akela**, **Mr. Chandra Raj Sharma**

Last Row (Left to right) **Mr. Suman Pokharel**, **Mr. Deep Chandra Regmi**



**MR. SURENDRA RAJ REGMI**
Chief Executive Officer

Leading the bank's executive management team is **Mr. Surendra Raj Regmi**, Chief Executive Officer, whose distinguished career spans over 35 years in Nepal's financial sector. Mr. Regmi commenced his banking journey in 1988 with Rastriya Banijya Bank, where he gained comprehensive expertise across various departments and functions, establishing a strong foundation in banking operations. Since joining Global IME Bank in 2008, Mr. Regmi has held several pivotal leadership positions, including Chief Credit Officer, Chief Operating Officer, and Chief Risk Officer, contributing significantly to the bank's strategic development, operational excellence, and sustained growth.

A visionary leader, Mr. Regmi has played an instrumental role in all of Global IME Bank's mergers and acquisitions, leading the integration processes and steering the bank's expansion strategies. His adept people management skills have been vital in harmonizing diverse teams and fostering a cohesive organizational culture, ensuring smooth transitions and enhanced collaboration. In addition to his leadership at the bank, Mr. Regmi has served as Chairman of First Microfinance Laghu Bitta Bittya Sanstha Limited, and as a Director of both the National Banking Institute Limited and Global IME Capital Limited. He also holds the position of Vice-President of the Nepal Bankers' Association, further demonstrating his commitment to the broader banking community.

Mr. Regmi holds a Master's degree in Economics from Tribhuvan University, Nepal, and an MBA from the University of Wales, United Kingdom. Under his stewardship, Global IME Bank continues to strengthen its market presence, uphold sound governance, and deliver sustained value to its stakeholders.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Asset Liability Committee | Coordinator |
| Integrated Risk Management Committee | Coordinator |
| Financial Oversight Committee | Coordinator |



**MR. SUMAN POKHAREL**
Deputy Chief Executive Officer

At the forefront of the bank's digital transformation initiatives is **Mr. Suman Pokharel**, whose career spans over 20 years in the financial services and payments industry. Renowned for his forward-thinking approach, Mr. Pokharel is committed to leveraging technology and innovation to redefine customer experience and enhance service delivery.

In his current role, he leads several key divisions including IT Systems, Digital Banking, Transaction Banking, Digital Innovations, Remittance and International Offices, Financial Resource Management, SME Lending, Deprived Sector Lending, Retail and Consumer Lending, as well as Credit Administration. His leadership ensures seamless integration between technology and banking operations, driving the bank's competitive edge in an increasingly digital landscape.

Prior to joining the bank, Mr. Pokharel held influential positions such as Senior Vice President at IME Group Nepal, CEO of IME Ltd., Chairman of Smart Choice Technologies Pvt. Ltd. (SCT Network), Managing Director of Dish Media Network, and Board Member of Nepal Infrastructure Bank Ltd. (NIFRA). Across these roles, he demonstrated expertise in leading high-impact projects, fostering strategic partnerships, and managing risk in complex financial ecosystems.

Complementing his professional accomplishments, Mr. Pokharel has pursued executive education in Digital Strategy and Leadership from globally recognized institutions including MIT, Indian School of Business, Indian Institute of Management, AOTS Japan, and IDI USA. He holds a Master's degree in Business Studies from Tribhuvan University.



**Role in Management Committees**

| Committee | Role |
|---|---|
| AML/CFT Management Committee | Coordinator |
| Corporate Governance Committee | Coordinator |
| Procurement & Bid Committee | Coordinator |
| Human Resource Recruitment & Promotion Committee | Coordinator |
| CSR Committee | Coordinator |
| Loan Recovery Committee | Coordinator |
| Asset Liability Committee | Member |
| Integrated Risk Management Committee | Member |



**MR. BIMAL DAGA**
Assistant Chief Executive Officer

Supporting the bank's executive leadership is **Mr. Bimal Daga**, Assistant Chief Executive Officer, who brings with him over three decades of extensive experience in the banking sector. Since joining the bank in 2019, Mr. Daga has demonstrated exceptional leadership across key functional areas, including business development, risk management, strategy formulation, and compliance. Currently, he leads the Bank as Chief Risk and AML Compliance Officer, where his deep expertise in risk governance and regulatory compliance plays a crucial role in safeguarding the bank's financial stability and integrity.

Mr. Daga is widely recognized within the industry for his ability to build and mentor highly motivated teams, fostering a culture of excellence and continuous learning. He is also regarded as an outstanding trainer, known for imparting valuable knowledge and skills to banking professionals. Academically, Mr. Daga holds a degree in Finance from Shri Ram College of Commerce, University of Delhi, and an MBA from Kathmandu University.

In addition to his responsibilities within the bank, Mr. Daga represents the organization as a Director of the National Banking Institute of Nepal, further contributing to the advancement of banking education and professional development in the country.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Integrated Risk Management Committee | Member Secretary |
| Asset Liability Committee | Member |
| AML/CFT Management Committee | Member |
| Corporate Governance Committee | Member |



**MR. CHANDRA RAJ SHARMA**
Assistant Chief Executive Officer

**Mr. Chandra Raj Sharma** serves as Assistant Chief Executive Officer, bringing with him over two decades of multifaceted experience in the banking sector. A qualified Chartered Accountant and holder of an MBA from Tribhuvan University, Nepal, Mr. Sharma has developed deep expertise across key functional areas such as Internal Audit, Human Resources, Finance, Operations, Business, and Risk Management since beginning his banking career in 2003.

Throughout his professional journey, Mr. Sharma has held several leadership roles, including Chief Financial Officer (CFO) and Chief Operating Officer (COO), where his strategic acumen and financial stewardship have significantly contributed to organizational growth and operational efficiency. Currently, he leads the bank's financial management as the Chief Financial Officer, while also overseeing Treasury and International Banking, General Services, and Central Trade Operations.

Beyond his executive responsibilities within the bank, Mr. Sharma represents the institution as a Director at RSDC Laghubitta Bittiya Sanstha Limited, further extending his leadership influence within the financial sector.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Asset Liability Committee | Member |
| Aarthik Nirdeshan Committee | Member |
| Procurement & Bid Committee | Member |
| CSR Committee | Member |



**MR. KALYAN BIKRAM PANDE**
Assistant Chief Executive Officer

**Mr. Kalyan Bikram Pande**, brings with him 19 years of comprehensive experience in the banking sector. With an academic foundation in both technology and business, Mr. Pande holds an MBA from Bangalore University and a Bachelor of Technology in Electrical Engineering, equipping him with a unique blend of analytical and strategic skills.

Beginning his banking career in 2004 at Kumari Bank Ltd. as a Corporate Credit Relationship Manager, Mr. Pande has since held senior roles, including Senior Corporate Relationship Manager at Laxmi Bank Ltd., before joining the erstwhile Janata Bank Nepal Ltd. (now Global IME Bank Ltd.) in 2009. Over the years, he has built deep expertise in corporate banking, credit management, and infrastructure financing.

In his current role, Mr. Pande leads the bank as Chief Business Officer, overseeing the Corporate Banking Hub, Infrastructure Financing, and Trade Finance/Guarantees Promotion. His leadership has been instrumental in driving business growth and strengthening the bank's corporate banking portfolio.

Additionally, Mr. Pande represents the bank as Chairman of the Board at Mero Microfinance Laghubitta Bittiya Sanstha Ltd., further contributing to the bank's engagement in the microfinance sector.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Human Resource Recruitment & Promotion Committee | Member |
| Asset Liability Committee | Member |
| Integrated Risk Management Committee | Member |
| Corporate Governance Committee | Member |
| CSR Committee | Member |
| Loan Recovery Committee | Member |



**MR. BHAWANI DHAKAL**
Deputy General Manager

**Mr. Bhawani Dhakal** brings over 18 years of dedicated experience in the banking sector, complemented by a strong legal background. He holds a Master's degree in Commercial Law from Tribhuvan University and began his professional journey as a private legal practitioner, serving as an advocate for 13 years before transitioning into the banking industry in 2006 with Global IME Bank Ltd.

Throughout his banking career, Mr. Dhakal has held a diverse range of leadership roles, contributing to various key departments such as Human Resources, Internal Audit, Compliance, General Services, Credit Administration, and Branch Management. His broad-based expertise has been instrumental in ensuring regulatory compliance, strengthening internal governance frameworks, and enhancing operational efficiency across the bank.

In his current capacity, Mr. Dhakal leads the bank as Chief Monitoring and Governance Officer, overseeing the institution's strategic direction and corporate governance functions. His role is pivotal in fostering a culture of accountability, risk awareness, and sustainable growth within the organization.



Beyond his executive responsibilities, Mr. Dhakal represents the bank as a Director at the Banking Finance & Insurance Institute of Nepal, further contributing to the development and professionalization of Nepal's banking and financial sectors.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Corporate Governance Committee | Member |
| Procurement & Bid Committee | Member |



**MR. BUDDHI AKELA**
Deputy General Manager

**Mr. Buddhi Akela**, brings with him over 20 years of in-depth experience in Nepal's banking sector. He holds a Master's degree in Business Administration from Pokhara University, providing him with a solid foundation in strategic and financial management. Mr. Akela began his banking career in 2004 at Nepal Bank Ltd. as Deputy Manager and joined Global IME Bank in 2006. Over the years, he has held critical roles across various divisions of the bank, including serving as Head of Integrated Risk and leading the Credit and Credit Administration departments. His versatile expertise has been key in strengthening the bank's risk management frameworks and credit operations. In his current role, Mr. Akela serves as the Chief of Internal Audit, where he plays a vital role in upholding the bank's internal control systems, ensuring regulatory compliance, and promoting transparency and accountability. In addition to his executive responsibilities, Mr. Akela chairs the Board of Global IME Laghubitta Bittiya Sanstha Ltd., a subsidiary of the bank, further contributing to the bank's presence and impact in the microfinance sector.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Corporate Governance Committee | Member |



**MR. DEEP CHANDRA REGMI**
Deputy General Manager

**Mr. Deep Chandra Regmi** brings over 16 years of comprehensive experience in the banking sector, having begun his career at Standard Chartered Bank before joining Global IME Bank Ltd. in 2009. He holds a Master's degree in Business Administration from the Asian Institute of Technology, Thailand, which has equipped him with a robust understanding of business strategy and financial management. Throughout his career, Mr. Regmi has held several senior leadership positions, including Senior Relationship Manager, Head of Trade Finance, Chief Financial Officer, and Chief Human Resource Officer. His broad expertise across various facets of banking operations has enabled him to contribute significantly to the bank's financial management, human resources strategy, and trade finance functions.

Currently, Mr. Regmi serves as a board member of Global IME Capital Ltd, a subsidiary of the Bank and also the Chief Lending Officer, overseeing corporate and project financing. Additionally, he plays a key role in HR oversight, ensuring the bank's human resource policies and practices align with its strategic goals and organizational needs.

**Role in Management Committees**

| Committee | Role |
|---|---|
| Product Development Committee | Coordinator |
| Asset Liability Committee | Member |
| Integrated Risk Management Committee | Member |

# BOARD OF DIRECTORS' REPORT FISCAL YEAR 2023/24

**Respected Shareholders,**

On behalf of the Board of Directors, I extend a warm welcome to all the esteemed shareholders present at the 18th Annual General Meeting of Global IME Bank Limited. The bank is set to complete 18 years of operation on the 18th of Poush this year. It is with great pleasure that we inform you that the unwavering support, cooperation, trust, and goodwill from you all have enabled the bank to progress steadily towards its goals during this 18-year journey.

We are pleased to present the Board of Directors' annual report, which includes the consolidated financial statement (balance sheet) as of the end of Ashad 2081 (mid-July 2024), along with the profit and loss statement, cash flow statement, equity changes, and details of various operational activities of the bank for fiscal year 2023/24. This report is being submitted for your approval.

The annual report has been prepared and presented in compliance with the Banking and Financial Institution Act, 2073; the Companies Act, 2063; the directives issued by Nepal Rastra Bank; other prevailing laws; and the institutional governance directives issued by the Nepal Securities Board in 2074.

## IMPACT OF NATIONAL AND INTERNATIONAL SITUATIONS ON BUSINESS OPERATIONS

### (A) Global Economy

The global economic recovery has been sluggish and uneven due to lingering impacts of the COVID-19 pandemic and the Russia-Ukraine war, coupled with recent geopolitical tensions in the Middle East. Despite gradual improvements in the global economy, the pace remains slow. Developed nations are experiencing reduced inflation due to tight monetary policies, but inflation in emerging and developing economies remains high.

The International Monetary Fund (IMF) projects global economic growth to be 3.3% in 2023, 3.2% in 2024, and 3.3% in 2025. Advanced economies expanded by 1.7% in 2023, with the same growth rate projected for 2024 and 1.8% for 2025. Similarly, emerging and developing economies expanded by 4.4% in 2023, with projected growth rates of 4.3% for both 2024 and 2025.

India and China, our neighboring economies, grew by 8.2% and 5.2% respectively in 2023. Their growth is projected at 7.0% and 5.2% for 2024, and 6.5% and 4.5% for 2025, respectively.

The global inflation rate in 2023 was 6.7%, with projections of 5.9% for 2024 and 4.4% for 2025. In India and China, average inflation rates for 2023 were 5.4% and 0.2%, respectively. These are projected to be 4.6% and 1.0% for 2024, and 4.2% and 2.0% for 2025, respectively. However, the threat of conflict remains with the ongoing Israel-Palestine war, adding to global uncertainties.

### (B) National Economic Status and Activities

The Central Bureau of Statistics, under the Office of the Prime Minister and Council of Ministers, has estimated Nepal's economic growth for fiscal year 2023/24 to be 3.87%. The current state of the economy appears mixed. As per data from the first 11 months of FY 2023/24, inflation has remained within target limits, and external sectors have remained stable. Due to excess liquidity in the banking system, interest rates on deposits and loans have been declining. There has been an improvement in Gross Domestic Product (GDP) compared to the previous year.

However, government spending and revenue mobilization have fallen short of targets, and credit expansion by banks and financial institutions has been lower than anticipated.

In the review period, private sector credit disbursed by banks and financial institutions increased by NPR 276.94 billion (5.8%), compared to an increase of NPR 175.94 billion (3.8%) in the previous year. Of the total private sector credit, 63.3% was directed toward the non-financial institutional sector, while 36.7% was directed toward the individual and household sector. In the previous year, these figures were 62.7% and 37.3%, respectively.

As of the July 2024, 66.5% of the total loans disbursed by banks and financial institutions were secured against real estate collateral, while 13.2% were secured against current assets (agricultural and non-agricultural products). In the previous year, these proportions were 68.0% and 11.6%, respectively.

In the fiscal year 2023/24 (2023/24), the credit flow from banks and financial institutions increased as follows: loans to the agricultural sector by 0.9%, to the industrial production sector by 8.8%, to the transportation, communication, and public services sector by 16.7%, to the wholesale and retail trade sector by 1.5%, and to the service industry sector by 6.2%.

In the same fiscal year, total merchandise exports decreased by 3.9%, amounting to NPR 152.38 billion. In the previous year, exports had declined by 21.4%. Based on export destinations, exports to India decreased by 3.3%, and to other countries by 4.3%, whereas exports to China increased significantly by 46.6%. By product type, exports of items such as zinc sheets, particle boards, juice, polyester yarn, and foam increased, while exports of palm oil, soybean oil, woolen carpets, brass products, and jute goods declined.

The total trade deficit in goods decreased by 1.0%, reaching NPR 1,440.60 billion in fiscal year 2023/24. In the previous year, the trade deficit had declined by 15.5%. The export-to-import ratio stood at 9.6% during the review period, compared to 9.7% in the previous year. During this period, NPR 151.76 billion worth of goods were imported from India using convertible foreign currency, slightly lower than the NPR 154.42 billion of imports in the previous year.

Remittance inflows increased by 16.5%, reaching NPR 1,445.32 billion in fiscal year 2023/24. In the previous year, remittances had grown by 23.2%. The number of incoming tourists saw significant growth, reaching 1,128,284. The Government of Nepal has declared 2023–2033 as the "Nepal Tourism Decade" and set a target of welcoming 1.6 million tourists in fiscal year 2081/82. With promotional programs planned and the expansion of tourism infrastructure such as hotels, airports, and resorts, the upward trend in tourist arrivals is expected to continue.

As of Ashar 2081 (June 2024), the unit value index for exports based on customs data increased by 2.1% on an annual basis, while the unit value index for imports rose by 0.4%. The terms of trade improved by 1.7% during the same period. The annual point-to-point consumer inflation in June 2024 was 3.57%, compared to 7.44% in June 2023.

In fiscal year 2023/24, the average consumer inflation for the food and beverage group was 6.47%, slightly lower than 6.62% in the previous year. The annual average inflation for the non-food and service group was 4.64%, compared to 8.62% in the previous year. By the end of July 2024, private-sector credit investment from the monetary sector was estimated to be NPR 5,273 billion, approximately 92% of the total GDP.

Throughout the fiscal year, there was no liquidity shortage in banks and financial institutions. With deposits increasing and credit flow slowing, there was sufficient liquidity in the financial system. To ensure interest rate stability, the Nepal Rastra Bank implemented an interest rate corridor and periodically withdrew funds from the market. However, due to economic sluggishness, credit recovery by banks and financial institutions declined, leading to an increase in the non-performing loan (NPL) ratio, which reached 3.98% as of June 2024, compared to 3.02% in the previous year. The difficulty in recovering the principal and interest of loans from clients has exerted additional pressure on the profitability of banks.

As external factors improved and interest rates declined, credit demand is expected to expand, thereby stimulating economic activities. The increase in outbound employment has positively impacted remittance inflows, which are expected to remain satisfactory. However, the rising number of youth going abroad for employment and education has somewhat affected domestic demand. In this context, timely execution of capital expenditures, resolution of payment disputes with contractors, and addressing issues in savings and credit cooperatives could restore public confidence and help accelerate economic activities.

The electricity market expanded with a tripartite agreement to sell 40 megawatts of electricity to Bangladesh. This is expected to significantly increase electricity production in the current fiscal year and strengthen the national grid system. Electricity exports are anticipated to help reduce trade deficits with neighboring countries like India and Bangladesh, thereby revitalizing the domestic economy.

To promote the national economy, it is essential to align with the broad objectives of the government, follow the policies and guidelines of the Nepal Rastra Bank, and provide reliable services to clients, thereby fostering trust and confidence. The bank remains committed to these principles.

## BANK'S PERFORMANCE REVIEW FOR FISCAL YEAR 2023/24

### (a) Financial Position

(In NPR million)

| Description | July 2023 | July 2024 | Growth (Amount) | Growth (%) |
|---|---|---|---|---|
| Paid-Up Capital | 3,577.11 | 3,612.88 | 35.77 | 1.00 |
| Total Deposits | 43,934.91 | 50,488.94 | 6,554.03 | 14.92 |
| Total Loans | 37,435.64 | 39,076.70 | 1,641.06 | 4.38 |
| Investments | 9,008.25 | 12,340.19 | 3,331.94 | 36.99 |
| Reserves and Funds | 2,328.27 | 2,527.84 | 199.57 | 8.57 |
| Bonds and Debentures | 1,220.00 | 1,070.00 | (150.00) | (12.30) |

Based on the above table, compared to the end of July 2023, the bank witnessed satisfactory growth in its capital, deposits, and investments by the end of July 2024. However, there was no significant increase in loan disbursement. Due to disputes regarding tax inclusion of dividends distributed to stakeholders up to FY 2021/22 from the amount collected through share premiums on FPO issuance and the difference in capital before and after mergers (capital reserve fund), the matter reached the Supreme Court. Consequently, the bank had to pay an unanticipated amount of NPR 1,32,39,61,381 as tax, impacting the bank's reserves and funds.

### (b) Operating Results:

In FY 2023/24, the bank achieved an operating profit of NPR 8.8673 billion and a net profit after tax of NPR 6.1374 billion. A summary of the operating profit for FY 2023/24 is as follows (in billions):

| Description | FY 2079/80 | FY 2023/24 | Increase | Percentage |
|---|---|---|---|---|
| Interest Income | 4,821.01 | 5,168.00 | 346.99 | 7.20 |
| Interest Expense | 3,110.31 | 3,482.37 | 372.06 | 11.96 |
| Net Interest Income | 1,710.70 | 1,685.63 | (25.07) | (1.47) |
| Fee, Service, and Operating Income | 344.23 | 456.99 | 112.77 | 32.76 |
| Staff and Operating Expenses | 785.76 | 894.23 | 108.47 | 13.80 |
| Provision for Probable Losses | 342.61 | 361.66 | 19.05 | 5.56 |
| Operating Profit | 926.55 | 886.74 | (39.81) | (4.30) |
| Income Tax | 257.12 | 272.99 | 15.88 | 6.17 |
| Net Profit | 669.44 | 613.75 | (55.69) | (8.32) |

The bank's net interest income declined by NPR 250 million compared to the previous year, while fee and service-based income increased by NPR 1.1277 billion. Similarly, operating expenses rose by NPR 1.0846 billion. Overall, the net profit declined by NPR 556.9 million during the review period due to low demand for loans, high liquidity, and challenges in loan and interest recovery.

The bank's total loans increased by only 4.38%, whereas deposits grew by 14.92%. Despite a significant reduction in deposit interest rates, the increase in deposit size and low growth in loans directly affected net interest income. Additionally, challenges in loan recovery necessitated higher provisioning for bad debts, which also impacted operating profits. However, the increase in operational income and controlled operating expenses helped stabilize profits.

### (c) Progress in the Current Fiscal Year's First Quarter:

By the end of the first quarter of the current fiscal year, the bank's deposits had increased by NPR 24.51 billion, reaching NPR 529.38 billion, while loans grew by NPR 27.86 billion, totaling NPR 418.63 billion. During this period, the bank earned a net profit of over NPR 1.51 billion. Due to changes in the asset quality determination criteria, the Non-Performing Assets (NPA) ratio increased from 4.17% in June 2024 to 4.67% by the end of the first quarter. Given the time needed for economic recovery, the bank must remain cautious in expanding its business and utilizing advanced digital technologies to enhance customer service.

## 3. FUTURE PROGRAMS:

Despite the slow recovery of the economy, the bank aims to prioritize customer-friendly, state-of-the-art digital services and plans to expand its reach while ensuring sustainable income sources for shareholders. Key strategies include:

- **Expanding Financial Access**: Under the motto "The Bank for All," the bank plans to expand its branches, service centers, and representative offices both domestically and internationally. Currently, the bank provides services to approximately 5 million customers through 1,100 service points across all 77 districts, including branches, branchless banking, ATMs, and extension counters.

- **Sustainable Growth**: The bank will implement strategies outlined in its annual business plan, focusing on deposit mobilization, loan disbursement, and fee-based income to ensure sustainable business growth and deliver optimal returns to shareholders.

- **Innovative Products**: The bank has already formed a committee to introduce innovative products and enhance existing ones by analyzing current deposit and loan portfolios.

- **Technology-Driven Services**: The bank will emphasize technology-based banking services to improve efficiency and customer experience.

- **International Collaborations**: The bank plans to strengthen partnerships with international financial institutions, such as the International Finance Corporation (IFC), Asian Development Bank (ADB), and others, to secure external funding for investment needs. This will enhance the bank's global presence and reputation.

- The bank has been prioritizing credit flow in the development of small and medium-scale industries based on domestic raw materials, believing that only such initiatives can stimulate the country's economy. Similarly, in terms of deposit collection, the bank has targeted the savings of the general public and emphasized it as the fundamental resource of the bank. This policy will be continued in upcoming fiscal years.

- Given the continuous increase in infrastructure development activities across the country, the bank will leverage opportunities to collaborate with construction entrepreneurs, promote the sector, and improve professional relations by addressing their needs and facilitating their activities.

- Remittances are not only the backbone of Nepal's economy but also a significant and reliable foundation of the bank's business. Through partnerships with official representatives worldwide and domestic and foreign business partners, the bank has been bringing in a notable volume of remittances from various countries. In the coming year, efforts will be made to expand the remittance market and make its management more effective to further increase remittance inflows.

- To internationalize the bank's business identity and promote its operations, the bank has established representative offices in Australia, India, and the United Kingdom. Efforts are ongoing to open the first international branch in South Korea, one of Asia's economically significant nations. Additionally, the policy to open representative offices in other potential countries based on business opportunities will be pursued.

- The bank has adopted a policy of delivering modern, technology-friendly, high-quality banking services. To this end, the bank has formed a separate digital banking unit and established the necessary infrastructure. Moving forward, all banking services will be progressively offered through digital banking technologies, analyzing the benefits of technological applications in detail.

- The bank will carefully study, monitor, and effectively implement measures to minimize various operational costs. Efforts will focus on automating internal processes, making them cost-effective, and enhancing programs to provide top-notch services to customers.

- Employees are the primary assets of the bank. Their knowledge and experience are linked to achieving the bank's business objectives. Annual training schedules are being designed and implemented for their professional development. This will be further enhanced by utilizing digital technologies to ensure continuous knowledge exchange across all staff members.

- In line with the federal structure adopted by the country, the bank is strengthening and empowering all seven provincial offices by expanding their duties, responsibilities, and authorities.

- As a socially responsible corporate entity, the bank consistently prioritizes its institutional social responsibility. Policies will focus on contributing to education, health, disaster relief, environmental protection, and improving the living standards of disadvantaged communities.

- Since its inception, the bank has been committed to adhering to the policies declared by the Government of Nepal and the Nepal Rastra Bank. In alignment with the federal government and Nepal Rastra Bank's merger and acquisition policy, the bank has so far incorporated 21 banks and financial institutions. Proper management of employees from diverse backgrounds and enhancing their professional efficiency will be continued to contribute to business growth.

- The bank has prioritized risk management and compliance by forming a board-level risk management committee and a management-level risk management committee. These committees identify and implement methods to mitigate various risks. Existing methods and processes will be reviewed to make risk management and compliance more effective as needed.

- Through the continuation of these major programs, the bank aims to grow its business, manage risks, and ensure high returns and secure investments for its shareholders, just as in the past.

## INTERNATIONAL AWARDS:

The bank has been honored in different categories by renowned national and international institutions. It received prestigious awards such as Bank of the Year 2014, Best Internet Bank 2016, and Best Employer, establishing its reputation internationally. In 2024, the bank was awarded in categories such as the Global Finance Best Bank and Best Bank for Financial Development. This is the first Nepali bank to receive this prestigious Global Finance award. Winning this recognition, which has also been awarded to major global banks, is expected to enhance the bank's professionalism and positively impact its international reputation.

## NFRS 19 IMPLEMENTATION OF NATIONAL ACCOUNTING STANDARDS:

In accordance with the Nepal Chartered Accountants Act, 2053 (1996), and as issued by the Accounting Standards Board established by the Government of Nepal, the implementation of Nepal Financial Reporting Standards (NFRS) is underway. To facilitate this, directives from Nepal Rastra Bank (Central Bank of Nepal) have been adhered to, and relevant accounting software has been procured and implemented. This ensures that the bank's financial information becomes more factual and reliable.

## RECOGNITION AS A LEADING BANK IN REMITTANCE:

In the fiscal year 2079/80 (2022/23), the bank was honored for bringing in the highest remittance inflow—21.1% of total remittances. Nepal Rastra Bank acknowledged the bank's contribution to macroeconomic stability, socioeconomic improvement, and external sector balance due to the remittance inflows. Such recognition is part of the central bank's annual tradition of honoring financial institutions that bring in the most remittances during its anniversary celebrations.

## ESTABLISHMENT OF A STOCKBROKER SUBSIDIARY:

To develop and expand the securities market, improve its services, and make it more transparent and competitive, the bank has established a 100% subsidiary company. This subsidiary has been licensed by the Securities Board of Nepal to operate as a stockbroker and commenced operations on 2080 Mangsir 28 (2023). With a paid-up capital of NPR 200 million, it has been assigned membership number 89 by the Nepal Stock Exchange (NEPSE). The company, registered in Sankhamul, Kathmandu Metropolitan City Ward No. 10, has been renamed **Global IME Securities Limited.** The bank believes this service will expand its customer base and business scope.

## CUSTOMER RELATIONS:

The bank has been experiencing continuous growth in its customer base, which now exceeds 5 million deposit customers. Due to mergers and business expansion, the bank prioritizes maintaining growth while improving customer service and satisfaction. It is committed to enhancing its service delivery to remain effective and customer-centric.

## BRANCH NETWORK:

To ensure accessible and multifunctional banking services, the bank actively operates across all seven provinces of Nepal with 354 branches, 68 extension counters and revenue collection counters, 255 branchless banking services, 384 ATMs, and representative offices in New Delhi (India), the United Kingdom, and Australia. The bank provides services through over 1,100 service centers, supporting more than 5 million customers. Regional offices in all provinces coordinate and supervise local branches, ensuring effective service delivery.

## TECHNOLOGY:

The bank has embraced digital transformation in response to the increasing reliance on technology, accelerated by the COVID-19 pandemic. Automation and technology-driven processes have been implemented, including **core banking upgrades** and software installations that enable cashless transactions and improved operational efficiency. Features such as automated suspicious transaction reporting, data security measures, and IT audits have strengthened service quality and cybersecurity. The bank aims to further digitize its operations, saving time and resources for both staff and customers while enhancing service transparency.

## CONTRIBUTION TO THE NATIONAL ECONOMY:

On National Tax Day 2080, the bank was recognized by the Government of Nepal for being the highest corporate taxpayer among banks and financial institutions. The bank contributed over NPR 6 billion in taxes through institutional income tax and withholding tax. By expanding its professional network, the bank has played a vital role in mobilizing scattered capital and supporting industrial development, a backbone of the national economy. Additionally, it has created direct employment for over 3,800 individuals.

## CORPORATE SOCIAL RESPONSIBILITY (CSR):

As a responsible corporate citizen, the bank is committed to societal welfare. It has implemented an institutional CSR policy as per the directives of Nepal Rastra Bank. In the review year, the bank contributed to disaster relief (e.g., NPR 45 million to the Prime Minister's Disaster Relief Fund for flood victims), education, health, environmental conservation, and financial literacy initiatives. It also supported programs such as television shows addressing social justice, campaigns against child marriage, and financial awareness in underserved communities. Total CSR expenditure amounted to NPR 719 million.

## INSTITUTIONAL GOVERNANCE:

The bank's Board of Directors and management are committed to institutional governance. Regular updates to organizational structures and job responsibilities are made to align with business growth and enhance efficiency. The Audit Committee regularly monitors operations to ensure compliance with Nepal Rastra Bank's policies and guidelines. The bank upholds transparency in all its activities and follows international standards for corporate governance to build trust and ensure sustainable development.

## RECOMMENDED AMOUNT FOR DIVIDEND DISTRIBUTION

The bank has proposed distributing 5.5% of its paid-up capital of NPR 36,12,87,70,252 (thirty-six billion, one hundred twelve million, eight hundred seventy thousand, two hundred fifty-two rupees only), amounting to NPR 1,98,70,82,363.86 (one billion, nine hundred eighty-seven million, eighty-two thousand, three hundred sixty-three rupees and eighty-six paisa) as bonus shares from the distributable profit and capital adjustment fund of the fiscal year 2023/24. After distributing these bonus shares, the bank's paid-up capital will increase to NPR 38,11,58,52,615.72 (thirty-eight billion, one hundred eleven million, five hundred fifty-eight thousand, six hundred fifteen rupees and seventy-two paisa). This increment is expected to strengthen the bank's capital structure, enhance stakeholder confidence, and facilitate business expansion.

While distributing the bonus shares, any fractional shares resulting from this process will, as in previous years, remain in the name of the concerned shareholders until they are consolidated.

As per the Income Tax Act, 2058, during mergers or acquisitions, shareholders at the time of the merger/acquisition are eligible for a tax exemption on dividends for up to two years. Therefore, the taxes incurred on the distribution of bonus shares to shareholders post-merger/integration will be collected from the respective shareholders.

We request approval from this assembly for the bonus share distribution proposed by the Board of Directors.

## FINANCIAL STATEMENTS AND AUDITS

The financial statements, including the Statement of Financial Position (Balance Sheet) as of the July 2024, the Income Statement for the fiscal year 2023/24, the Cash Flow Statement, the Statement of Changes in Equity, relevant schedules, and the auditor's report, are included as integral parts of this report. Other details as per the Company Act, 2063, are presented in "Annexure A."

We kindly request the approval of the financial statements from this assembly.

## CHANGES IN THE BOARD OF DIRECTORS AND MANAGEMENT

During the bank's 17th Annual General Meeting held on Mangsir 28, 2080 (December 14, 2023), the following individuals were unanimously elected to the Board of Directors:

- Founder Group: Mr. Chandra Prasad Dhakal (Representative – IME Investment Ltd.), Mr. Radhesh Pant, and Mr. Ram Bahadur Bhandari.
- General Group: Mr. Krishna Prasad Sharma, Mr. Madan Lal Joshi, and Mr. Narayan Prasad Poudel (Representative – DDI Investment Pvt. Ltd.).

Mr. Devendra Pratap Shah successfully completed his four-year term as an Independent Director by the end of Magh 2080. The Board of Directors expresses its gratitude for his valuable contributions to the bank's success.

During a Board meeting on Shrawan 10, 2081, Mr.s. Bhagirathi Bhattarai of Kathmandu Metropolitan Ward No. 4, who meets the qualifications and experience outlined in Section 17(a) of the Bank and Financial Institutions Act, 2073, was appointed as an Independent Director. We seek approval for her appointment.

The Board of Directors currently consists of seven members actively involved in policymaking, governance, risk management, and compliance.

## ACKNOWLEDGEMENTS

Lastly, the bank expresses heartfelt gratitude to all shareholders, customers, and stakeholders for their invaluable support and trust. We also extend our thanks to the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, the Office of the Company Registrar, the Securities Board of Nepal, the Nepal Stock Exchange, and other regulatory bodies for their guidance.

The Board remains committed to providing quality banking services and securing shareholder investments with fair returns.

On behalf of the Board of Directors,
**Chandra Prasad Dhakal**
Chairperson
Date: Mangsir 27, 2081 (Thursday)



# ANNEXURE A

## AS REQUIRED BY SEC 109 OF COMPANIES ACT 2063, TO BE INCLUDED SEPARATELY WITH BOARD'S REPORT

### Information on shares forfeited by the Bank during the year:

There is no forfeiture of share during the fiscal year 2023-24.

### Financial position of the Bank and its subsidiary in the previous year ended:

The detailed financial position of the bank and its subsidiaries have been provided in the Director's Report and Audited Consolidated Financial Statements for the fiscal year 2023-24. The Bank's Performance has also been highlighted in the Board Report for FY 2023-24.

### Major transactions carried out by the Bank and its subsidiary during the financial year 2023-24, and any significant changes in the business of the Bank during the period:

The major transactions carried out by the bank and its subsidiary and the change in transactions is provided in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Statement of Changes in Equity, Significant Accounting Policies and Notes to Accounts.

### Information provided by key shareholder to the company during the previous fiscal year.

No such transaction noted.

### Information regarding the purchase and ownership of shares by the Directors and Management team of the company, and further information received by the company from the directors if involved in the share transactions.

The Directors and members of management team are not involved in the share transaction of the company.

Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

| S.No. | Name of Shareholder | Representative | No. of Shares |
|---|---|---|---|
| 1 | Mr. Chandra Prasad Dhakal | Promoter Shareholder | 9,056,075 |
| 2 | Mr. Radhesh Pant | Promoter Shareholder | 1,377,492 |
| 3 | Mr. Ram Bahadur Bhandari | Promoter Shareholder | 142,366 |
| 4 | Mr. Krishna Prasad Sharma | General Shareholder | 2,685 |
| 5 | Mr. Madan Lal Joshi | General Shareholder | 8,404 |
| 6 | Mr. Narayan Prasad Paudel | General Shareholder | 5,066 |
| 7 | Mr.s. Bhagirathi Bhattarai Gnyawali | Independent Director | 271 |

### Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.

No such information has been provided to the company.

### If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.

No such transaction has taken place.

### Distribution of Profit:

The bank has recommended distributing bonus shares of Rs. 1,987,082,363.86 (i.e. 5.50%) from the net profit of current year and accumulated reserves. Amount transferred to statutory and regulatory reserves as directed by Nepal Rastra Bank from the net profit are shown separately in the financial statements.

### Statement of the total management expenses for the financial year

Particulars of the total management expenses for the financial year 2023-24 are as follows:

| Particulars | Amount |
|---|---|
| Staff Expenses* | 4,782,108,008 |
| Other Operating Expenses | 4,160,168,078 |
| Total | 8,942,276,086 |

* Staff Expenses include provision for annual staff bonus of Rs 985,265,523.

ANNEXURE A

**Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:**

Board members representing Audit Committee are as below:
Mr. Krishna Prasad Sharma, Director - Coordinator
Mr. Ram Bahadur Bhandari, Director - Member
Mr. Madan Lal Joshi, Director - Member
Chief, Internal Audit Department - Member Secretary

For every audit committee meeting held, the board members representing audit committee are paid Rs. 22,000/- as meeting allowance. In this current fiscal year, a total allowance of Rs. 504,000/- has been paid to the audit committee members. Audit committee, in regular intervals, discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 13 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas of financial position, internal control operation, legal compliance and risk minimization.

**Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.**

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

**Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.**

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. **Chairman and Board members:**
Chairman of the Board of Directors and the Board members are paid Rs. 25,000 and Rs. 22,000 respectively as meeting allowance per meeting and the sub-committee members are paid Rs. 22,000 as meeting allowance per meeting. Sum of Rs. 25,000 per month is provided to board of directors for communication and travelling facilities.

During the fiscal year a sum of Rs 1,940,000 has been paid to the Chairman and the board members as meeting allowance and Rs 1,322,825 for sub-committee members (including audit committee members). Rs. 6,294,216.88 has been incurred as other board related expenses. Auditor Remuneration for FY 2023-24 was Rs. 4,520,000.

b. **Chief Executive Officer, Company Secretary and other officials:**

i. **The detail of salary and allowance paid to CEO is as below:**

| Particulars | Amount |
|---|---|
| Salary | 7,596,000.00 |
| Allowance | 5,040,000.00 |
| Provident Fund | 759,600.00 |
| Leave Fare Allowance | 1,208,786.30 |
| Dashain Allowance | 1,053,000.00 |
| Others | - |
| **Total** | **15,657,386.30** |

The performance based salary provided to the CEO is as follows:

| Particulars | Amount |
|---|---|
| Staff Bonus | 6,508,461.59 |
| **Other Facilities** | |
| Telephone & Mobile Expense | 58,998.00 |
| Repair and maintenance of vehicle | 183,828.00 |
| Fuel | 372,000.00 |

ii. **Company Secretary and other officials**

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 460,032,759 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 2,293,500.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

**Dividend yet to be collected by the Shareholders:**

The dividend yet to be collected by shareholders is Rs. 412,374,779.00

**Details of property purchased or sold u/s 141 by the Bank during the year:**

- The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.
- The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

**Details of transactions between related companies u/s 175.**

The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

**Details to be disclosed in Board of Director's report as per the Company Act and other related acts:**

There are no additional details for disclosure.

**Any other issues:**

There are no other issues for disclosure.

# DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

### Report of Board of Directors:
Included in the Annual Report

### Report of the Auditors:
Included in the Annual Report

### Audited Financial Details:
Included in the Annual Report

### Details relating to Legal Action

- **Law Suits filed by/against the Bank:**
  No such except business cases.
- **Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:**
  No information received by the Bank.
- **Case filed against any promoters/directors for financial fraud:**
  No information received by the Bank.

### Analysis of share transaction and progress of organized institution:

a. **Management view on share transactions of the bank on Nepal Stock Exchange:**
Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

b. **Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year 2023-24:**

| Quarter (Months) | Maximum Share Price | Minimum Share Price | Closing Share Price | Total Transacted Number of Shares | Total Number of Trading days |
|---|---|---|---|---|---|
| I Quarter (Shrawan- Ashwin) | 212 | 198 | 202 | 2,616,308 | 37 |
| II Quarter (Kartik- Poush) | 216 | 189 | 205 | 5,308,081 | 49 |
| III Quarter (Magh- Chaitra) | 200 | 177 | 182 | 4,188,996 | 58 |
| IV Quarter (Baisakh- Ashad) | 204 | 170 | 194 | 6,298,888 | 61 |

### Problems and Challenges

a. **Problems and Challenges Faced:**

**Internal**

- Minimizing operational risk and harmonizing operational cost resulted due to increase business and network expansion.
- Maintaining good credit quality and maintain the NPA at lowest possible level.
- Maintaining the optimum business level in the complex situation of declining credit demand due to ongoing economic recession.
- Minimizing the operational and management cost to generate expected return on capital.
- Inherent risk arising due to use of technology in Banking transactions and related problems.
- Maximize the utilization of knowledge, skill and capability of human resources and minimize their turnover rate.

**External**

- Adverse effect in national economy as result of economic recession and its direct effect in repayment by the borrowers.
- Creating sustainable banking transaction in current situation and expected level of profitability by the shareholders.
- Low credit expansion and variable deposit rates.
- Non-performing assets and recovery.
- Contraction on the expected profitability with the introduction of new policies and directions from the regulators.
- Various challenges in banking business due to recent big mergers.

b. **Strategy followed by the management in solving such problems and challenges:**

- Assets and liabilities management and diversification of portfolio on the basis of risk.
- Management of economic recession by collaborating with business house and individual who are directly affected by the recession.
- Rescheduling and Restructuring of Loans
- Effectively monitoring of Bank's Expenses and management of high risk assets
- Assessment of Operation, market and business risk and effectively managing such risks
- High priority in recovery and management of Non-Performing Loan.
- Strengthening of Bank's Capital adequacy and risk tolerance capacity.
- Development and expansion of innovative digital banking products and services.
- Strategic Work schedule regarding employee's training.

### Corporate Governance

- Complying with the directions, guidelines issued by Nepal Rastra Bank regarding corporate Governance.
- Regular Central Management Committee meetings to review progress in various areas of operations.
- Bank's Internal Audit Department has been strengthened.
- Board of Directors and its Committees' meeting are held on regular basis.
- Asset Liabilities and Committee and Risk Management Committee (Operation, Credit and Market) meetings are held regularly.
- Board of Directors and Management are committed to maintain corporate governance.
- Committed to comply with Directives on Good Corporate Governance of a Body Corporate,2074 issued by Securities Board of Nepal for all listed body corporate.

# ANNUAL COMPLIANCE REPORT FOR CORPORATE GOVERNANCE

## AS PER CORPORATE GOVERNANCE DIRECTIVES, 2074 ISSUED BY SECURITIES BOARD OF NEPAL

| Name of the Institution | Global IME Bank Ltd. |
|---|---|
| Address | Kamaladi, Kathmandu |
| Website | www.globalimebank.com |
| Telephone | +977-1-4226247 |
| Compliance Report | FY 2080-81 (Mid July 2023- Mid July 2024) |

## INFORMATION ON BOARD COMMITTEE

### a. Name of Chairman and Appointment Date:

| Name | Chandra Prasad Dhakal |
|---|---|
| Appointment Date | Appointed as Chairman in 17th Annual General Meeting held on 28th Mangsir 2080 (14th December 2023) |

### b. Shareholding structure of the Entity

| | |
|---|---|
| Promoter Shareholding | 51.24% |
| Public Shareholding | 48.76% |
| **Total** | **100.00%** |

### c. Board of Director's Committee

| S.No. | Name of Directors | Representative Group | No. of Shares Held | Last Appointed Date | Date of Oath taken | Director's appointment process |
|---|---|---|---|---|---|---|
| 1 | Mr. Chandra Prasad Dhakal | Promoter | 9,056,075 | 14th December 2023 | 17th December 2023 | As per 17th AGM held on 14th December 2023 |
| 2 | Mr. Ram Bahadur Bhandari | Promoter | 142,366 | 14th December 2023 | 17th December 2023 | |
| 3 | Mr. Radhesh Pant | Promoter | 1,377,492 | 14th December 2023 | 17th December 2023 | |
| 4 | Mr. Krishna Prasad Sharma | Public | 2,685 | 14th December 2023 | 17th December 2023 | |
| 5 | Mr. Madan Lal Joshi | Public | 8,404 | 14th December 2023 | 17th December 2023 | |
| 6 | Mr. Narayan Prasad Poudel | Public | 5,066 | 14th December 2023 | 17th December 2023 | |
| 7 | Mr. Bhagirathi Bhattarai Gyawali | Independent | 271 | 25th July 2024 | 16th August 2024 | Appointed by BOD |

### d. Meetings of Board Committee

| S.No. | Date of meeting held in FY 2022-23 | No. of Directors present | No. of Directors signing by keeping difference of opinion in the meeting | Date of meeting held in FY 2021-22 |
|---|---|---|---|---|
| 1 | 21st July 2023 | 7 | None | 3rd August 2022 |
| 2 | 29th July 2023 | 7 | None | 1st September 2022 |
| 3 | 14th August 2023 | 7 | None | 29th September 2022 |
| 4 | 18th September 2023 | 6 | None | 23rd October 2022 |
| 5 | 13th October 2023 | 6 | None | 10th November 2022 |
| 6 | 5th November 2023 | 5 | None | 13th November 2022 |
| 7 | 10th November 2023 | 6 | None | 4th December 2022 |
| 8 | 28th November 2023 | 5 | None | 12th December 2022 |
| 9 | 13th December 2023 | 5 | None | 27th December 2022 |
| 10 | 17th December 2023 | 6 | None | 4th January 2023 |
| 11 | 24th January 2024 | 6 | None | 9th January 2023 |
| 12 | 7th February 2024 | 6 | None | 10th February 2023 |
| 13 | 9th March 2024 | 6 | None | 15th March 2023 |
| 14 | 8th April 2024 | 6 | None | 24th April 2023 |
| 15 | 26th April 2024 | 6 | None | 23rd May 2023 |
| 16 | 17th May 2024 | 5 | None | 5th June 2023 |
| 17 | 9th June 2024 | 6 | None | 4th July 2023 |
| 18 | 7th July 2024 | 5 | None | |
| 19 | 14th July 2024 | 5 | None | |

### e. Other Details of Board meeting:

- Details of Board meeting which were adjourned due to not reaching the full quorum members which were adjourned due to not reaching the full quorum members: N/A
- Other details related to Board Meetings: There were altogether 19 Board Meetings held in FY 2080-81 and no board member presented different opinion than that of board.
- Other details related to Board Meetings:

| | |
|---|---|
| Presence or Non-Presence of Alternate Director in meeting of Board of Directors. (If No then date of Meeting and Reason) | No provision of Alternate Director |
| Whether records for Director's presence, details of discussion and its decisions (details of minute) are kept separately ? | Yes |
| Maximum gap (in days) between two continuous meeting. | No meeting has been called beyond 60 days delay |
| Date of Annual General Meeting for fixing the Director's board meeting allowance | 14th December 2023. 17th Annual General Meeting |
| Amount of per member Board meeting fees | Chairman: Rs. 25,000.00 Director : Rs. 22,000.00 |
| Total Board Meeting expenses in current Financial Year | Rs. 1,940,000.00 |

## INFORMATION ON DIRECTOR'S CONDUCT AND OTHER DETAIL:

| | |
|---|---|
| **a. Does the organization have code of conduct related to Director's conduct ?** | **Yes** |
| **b. Information on presence of one or more Director from single family ?** | **No** |

**c. Details of Annual Orientation/Refreshment program to Board of Directors.**

| S. No. | Program | Date | No. of Director Present | Place of Orientation |
|---|---|---|---|---|
| 1 | Banking Structure, Business Nature, Corporate Governance on Banking System, Corporate Strategy, Business Plan, Duties & Responsibilities of directors, Strategic Risk Management, Current Legal Policies. | 7th February 2024 | 7 | The Terrace Resort and Spa, Lakuri Bhanjyang, Lalitpur |
| 2 | Tasks, Duties and Rights of Board along with Supervisory Jurisdiction, Corporate Governance, National as well International practices. Anti-Money Laundering, Combating Financial Terrorism. | 17th May 2024 & 18th May 2024 | 7 | Chandragiri Hills Resort, Chandragiri, Kathmandu |

| | | |
|---|---|---|
| **d.** | **Whether Board member have informed in written form about the following details within 15 days of their appointment?**<br>i. Information about any contract entered or will be entered by the member or his family members with the organization.<br>ii. Information on number of shares or debentures held by the member or his family members in the organization's parent or subsidiary company.<br>iii. Whether the member is director or fundamental shareholders of any other organization.<br>iv. Details of any family member working as employee or representative in the organization. | Yes all the details have been submitted |
| **e.** | **Information on working as Director, chief executive officer, paid representative or employee in the similar nature objectives organization.** | No such records |
| **f.** | **Information of disciplinary action on member taken by regulatory bodies or any other bodies.** | No such records |

## INFORMATION ON ORGANIZATION'S RISK MANAGEMENT AND INTERNAL CONTROL SYSTEM

| | | | |
|---|---|---|---|
| **a.** | **Committee formed or not formed for risk management and reason if not formed.** | | Yes |
| **b.** | **Information on board level risk management committee.** | | |
| | i. Committee members | | |
| | Mr. Madan Lal Joshi | Coordinator | |
| | Mr. Narayan Prasad Poudel | Member | |
| | Mr. Krishna Prasad Sharma | Member | |
| | Chief of Country Operation, Mr. Anil Joshi | Member | |
| | Chief Risk Officer, Mr. Bimal Daga | Member Secretary | |
| | ii. No. of Risk Management Committee meeting | 7 | |
| | iii. Brief disclosures on committee's roles:<br>• Informing Board of Directors about the adequacy and appropriateness of existing risk identification and management system and making suggestions for the development of suitable risk management system.<br>• Suggestion to the Board of Directors on developing the necessary Risk Management policy and procedures in compliance with directives and instructions issued by Nepal Rastra Bank for Risk Management, the internal limits set by the Bank and international best practices.<br>• To analyze and submit quarterly report to Board of Directors on the Bank's asset structure and operational status of assets, the income that can be obtained from it, change in quality of those assets and activities/work done by Asset Liability Committee. | | |
| **c.** | **Is Internal Control Procedures in place?** | | Yes.<br>Credit Policy, Credit Risk Management Policy, Operation Risk Management Policy, Market Risk Management Policy, Liquidity Risk Management Policy, Information Technology Policy, Information Security Policy, ICAAP Policy, Investment Policy, etc. |
| **d.** | **Whether any committee has been formed for internal control System? If not formed, reason for the same.** | | Yes, Management Level Risk Management Committee |
| **e.** | **Information on Internal Control System** | | |
| | i. Risk Committee (Committee Members) | | |
| | Mr. Surendra Raj Regmi, CEO | Coordinator | |
| | Mr. Suman Pokharel, DCEO | Member | |
| | Mr. Bimal Daga, ACEO | Member Secretary | |
| | Mr. Kalyan Bikram Pande, ACEO | Member | |
| | Mr. Deep Chandra Regmi, DGM | Member | |
| | Mr. Anil Joshi, AGM | Member | |



| | | |
|---|---|---|
| No. of Risk Management Committee meeting | | 8 |
| • Brief description of work of committee: Management Level committee regularly monitors the assets of the bank, the operational status of those assets, income that can be generated from it, change in quality of the assets and review the activities done by Asset Liability Committee (ALCO) on quarterly basis and submit to Board level risk management committee.<br>• Results of regular Stress Test are submitted to the Board level risk management committee along with policy to be developed in future. | | |
| ii. AML/CFT Board Level Committee (Committee Members) | | |
| Mr. Narayan Prasad Poudel, | Director | Coordinator |
| Mr. Ram Bahadur Bhandari, | Director | Member |
| Mr. Bimal Daga, | ACEO | Member |
| Mr.s. Kamala Kumari Ojha, | Manager | Member Secretary |
| No. of AML/CFT Committee meeting | | 8 |
| iii. AML/CFT Management Level Committee (Committee Members)<br>Following committee has been formed to minimize AML/CFT risk under coordination of DCEO: | | |
| Mr. Suman Pokharel, DCEO | | Coordinator |
| Mr. Bimal Daga, ACEO | | Member |
| Mr. Anil Joshi, AGM | | Member |
| Mr. Ritesh Lamichhane, AGM | | Member |
| Mr. Manindra Joshi, CM | | Member |
| Mr.s. Kamala Kumari Ojha, Manager | | Member Secretary |
| No. of AML/CFT Committee meeting | | 9 |
| **f. Whether the organization has Financial Administration Byelaws ?** | | Yes |

## DETAILS ON INFORMATION FLOW OF THE ORGANIZATION.

a. Information published by the organization and details of information

| Details | Date of Publication |
|---|---|
| Notice of Annual General Meeting | 1st Mangsir 2080 (17th November 2023) &<br>4th Mangsir 2080 ( 20th November 2023) |
| Notice of Special General Meeting | - |
| Annual Report | As per law |
| Quarterly Report | As per law |
| Price Sensitive Information | Dividend Declared Time as per 446th Board Meeting: 7th October 2024, 3:30 PM<br>Information submitted to Regulators: 7th October 2024, 5:30 PM |
| Others | None |
| b. Has the Securities Board of Nepal or other regulators made any prosecution for not making any information public? | Not Prosecuted |
| c. Date of Annual or Special General Meeting Completed. | 28th Mangsir 2080 (14th December 2023) Thursday |

## INFORMATION ON CORPORATE STRUCTURE AND EMPLOYEES

| | |
|---|---|
| a. Whether there is Personnel Policy Guidelines which covers employees structure, filling positions, career and development training, salary, allowances, and other facilities, attendance and leave, code of conduct etc.? | Yes |
| b. Attaching Organization Structure. | Attached |

c. Name of Management Team, Education, and their experience

| S.No. | Name | Position | Education | Experience |
|---|---|---|---|---|
| 1 | Ratna Raj Bajracharya (ended his tenure in Mid Aug 2024) | CEO | Chartered Accountant, MBA | Above 45 Years |
| 2 | Surendra Raj Regmi (commenced his tenure from Mid Aug 2024) | CEO | Post Graduate | Above 36 Years |

| | | | | |
|---|---|---|---|---|
| 3 | Suman Pokharel | DCEO | Post Graduate | Above 20 Years |
| 4 | Bimal Daga | ACEO | Post Graduate | Above 31 Years |
| 5 | Chandra Raj Sharma | ACEO | Chartered Accountant, MBA | Above 21 Years |
| 6 | Kalyan Bikram Pande | ACEO | Post Graduate | Above 20 Years |
| 7 | Buddhi Akela | DGM | Post Graduate | Above 20 Years |
| 8 | Bhawani Dhakal | DGM | Post Graduate | Above 18 Years |
| 9 | Deep Chandra Regmi | DGM | Post Graduate | Above 17 Years |

| | | |
|---|---|---|
| d. | Other details related to employees | |
| | Whether employee posts are filled according to organization structure. | Yes |
| | Procedure followed while filling the posts of new employees. | Employee Service Regulation, 2077 |
| | Number of management level employees | Top Management -9<br>Manager Level -197 |
| | Total number of employees | 3,789 |
| | Is there succession plan of employees ? | Yes |
| | No. of employee trainings conducted in this Financial Year | 115 |
| | No. of employees participating in trainings in this Financial Year | 1,435 |
| | Total Employee Training Expenses in this Financial Year | Rs. 6,65,80,033 |
| | Percentage of Employee Expenses in Total Expenses | 53.48% |
| | Percentage of employee training expenses in total employee expenses | 1.39% |

## INFORMATION ON ACCOUNTS AND AUDIT OF THE ORGANIZATION

### a. Information on accounts

| | |
|---|---|
| Whether the organization has prepared previous year's financial statements as per NFRS. If not then reason for it | Prepared in Accordance with NFRS |
| Date of latest financial statements approved by Board of Directors | 21st Ashwin 2081, (7th October 2024) for FY 2023-24 |
| Date of Publication of Quarterly Financials FY 2023-24 | 3rd November 2023 First<br>21st January 2024 Second<br>19th April 2024 Third<br>5th August 2024 Fourth |
| Date of completion of Final audit | 21st Ashoj 2081, (7th October 2024) for FY 2023-24 |
| Date of approval of financial statements from General Meeting | 17th Annual General Meeting held on 28th Mangsir 2080 (14th December 2023) approved the financial statements of FY 2022-23. |
| Details regarding Internal audit of the Organization | |
| a. Audit conducted internally or by external expert | Conducted internally |
| b. Details of external expert, if any, appointed | Not appointed |
| c. How often the internal audit is conducted? (Quarterly, Half Yearly) | As per the approved audit plan |

### b. Information of Internal Audit Committee

**Names, Post and Qualification of the audit committee are:**

| S.No. | Name | Post | Education Qualification |
|---|---|---|---|
| 1 | Mr. Krishna Prasad Sharma | Coordinator | Post Graduate |
| 2 | Mr. Ram Bahadur Bhandari | Member | Post Graduate |
| 3 | Mr. Madan Lal Joshi | Member | Graduate |
| 4 | Mr. Buddhi Akela | Head- Internal Audit | Post Graduate |

**Number of Audit Committee Meeting: 13**

**Audit Committee meeting fees: Rs. 22,000 per director per meeting**

## OTHER DETAILS

| | |
|---|---|
| The organization has /has not taken the loan or borrowings from director and person or BFIs where his/her close family members have financial interest in any other form | Not Taken |
| Whether any person, firm, company, advisor, consultant, who has a financial interest in the organization has/has not used any property of the organization in anyway other than benefits received by the director, shareholder, employee or consultant of the company in accordance to prevailing laws. | No such information has come to notice. |
| Adherence to the condition laid down by the regulatory body while granting the license. | Yes |
| Whether the instruction given to the organization by the regulators during the regulatory inspection or supervision have been followed. | Followed and instruction related to policy and long term nature are being implemented on priority |
| If any case is pending in the court against the institution or any directors. If Yes details of the same. | None other than cases of business nature. |

Compliance Officer: **Mr. Bishwa Subedi**
Position: Manager, Board Secretariat
Qualification: LLM, Business & Internal Trade Laws
Date of Approval of Compliance report from Board of Director: 30th October 2024
*Note: This Annual Compliance Report for FY 2023-24 has been submitted to Securities Board of Nepal after authorization of the Board and verification from Statutory Auditors.*

**Yuddha Raj Oli**, FCA
Partner
PYC & Associates
Chartered Accountants
Auditor

**Prakash Jung Thapa**, FCA
Partner
PJPN & Company
Chartered Accountants
Auditor

# RISK MANAGEMENT FRAMEWORK

**At Global IME Bank, managing risk is not just a regulatory requirement—it is an integral part of how we safeguard assets, protect stakeholders, and ensure long-term stability.** Our Risk Management Framework is designed to systematically identify, assess, and mitigate uncertainties that could impact our strategic goals. By embedding risk management into every level of the organization, we ensure that business expansion and financial resilience go hand in hand.

To enhance our ability to anticipate and manage risks proactively, we follow a structured approach that includes:

- Comprehensive Risk Assessment – Evaluating financial, operational, market, and compliance risks across all functions.
- Robust Mitigation Strategies – Implementing preventive measures and controls to minimize exposure.
- Continuous Oversight & Review – Monitoring risks in real time and adjusting strategies as needed.
- Transparent Exception Reporting – Ensuring accountability through timely identification and resolution of deviations.

This disciplined and proactive risk culture has been fundamental to Global IME Bank's continued success, enabling us to seize growth opportunities while maintaining financial strength. As part of our ongoing efforts, we have implemented targeted initiatives to further strengthen our risk management practices and align with global best practices.

## CULTIVATING A STRONG RISK CULTURE

At Global IME Bank, maintaining a unified and resilient risk culture is essential to safeguarding our financial strength and operational integrity. With a history of successful mergers and acquisitions, we have worked diligently to harmonize risk principles across all integrated entities, ensuring a consistent and disciplined approach to risk management throughout the organization.

Recognizing that risk awareness must be embedded at every level, we have implemented comprehensive initiatives to align employees with the Bank's risk values, appetite, and tolerance levels. These efforts include:

- Conferences and Engagement Programs – Encouraging open discussions on risk awareness and best practices.
- Structured Training Sessions – Providing both in-person and virtual learning opportunities to reinforce a shared understanding of risk management principles.
- Active Communication Channels – Facilitating seamless exchange of insights and concerns, ensuring that risk-related matters are promptly identified and addressed.

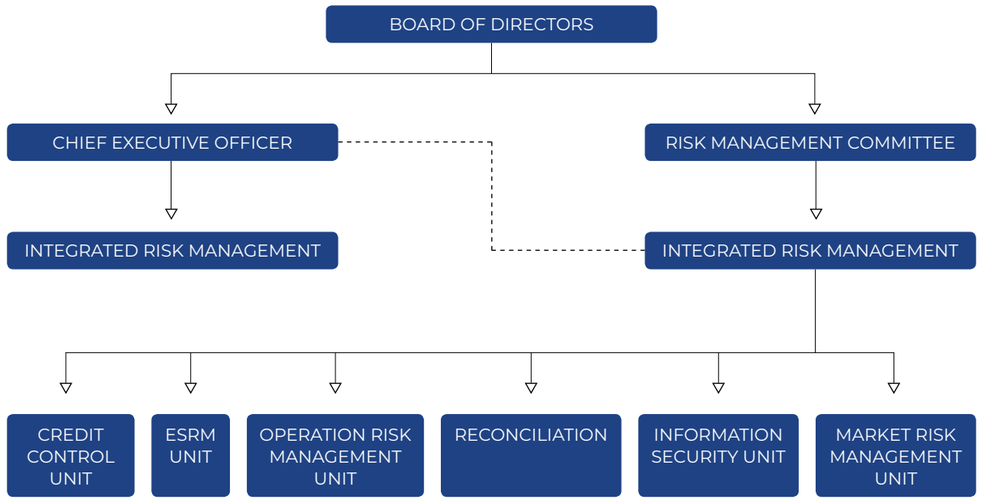
We uphold a zero-tolerance policy for actions that could compromise the Bank's reputation, regulatory compliance, or ethical standards. As a socially responsible financial institution, we are committed to operating sustainably and transparently, ensuring that our risk culture aligns with the highest professional and societal expectations.

Furthermore, we encourage bottom-up communication, empowering employees at all levels to escalate concerns and challenge behaviors that do not align with our risk values. By fostering a culture of accountability, responsibility, and transparency, we reinforce our commitment to prudent risk management and sustainable banking practices.

## RISK GOVERNANCE FRAMEWORK: ENSURING ACCOUNTABILITY AND OVERSIGHT

At Global IME Bank, a well-defined risk governance structure is essential for maintaining financial discipline and operational resilience. An effective framework ensures that risk identification, assessment, and mitigation are carried out systematically, with clear accountability at every level of the organization.

The Board of Directors (BOD) plays a pivotal role in setting the Bank's risk appetite and tolerance levels, ensuring that comprehensive mechanisms are in place for risk monitoring and management. The Board also reviews and approves key risk management policies and strategies, ensuring that risk oversight aligns with the Bank's broader objectives. Supporting the Board in these efforts, the Risk Management Committee provides additional oversight, refining and strengthening the Bank's risk governance model.




To ensure structured risk management and timely reporting, we have established dedicated departments and committees, each with distinct responsibilities:

- Integrated Risk Management Department (IRMD): Responsible for enterprise-wide risk assessment, monitoring, and control measures.
- Integrated Risk Management Committee (IRMC) – Management Level: Ensures that risk management policies and strategies are effectively executed within daily operations.
- Risk Management Committee (Board Level): Provides strategic oversight, approves risk policies, and ensures compliance with regulatory and internal risk standards.

By maintaining a clear and structured risk governance system, Global IME Bank reinforces its commitment to responsible banking, ensuring that risk is managed proactively while supporting sustainable growth and operational efficiency.

## STRUCTURED RISK OVERSIGHT AT GLOBAL IME

At Global IME, our Integrated Risk Management Department (IRMD) is dedicated to safeguarding our operations by maintaining a comprehensive risk oversight framework. We actively monitor credit risk, operational risk, market and liquidity risk, information security risk, and environmental and social risk, ensuring that our risk culture and values are upheld at all times.

Our IRMD operates as an independent unit led by the Chief Risk Officer (CRO), who directly reports to the Board-Level Risk Management Committee. This structure ensures clear accountability and effective risk control measures across all functions. The department works closely with various divisions to develop and implement risk policies, procedures, manuals, and guidelines, ensuring that our risk management framework remains robust and adaptable.

Additionally, IRMD is responsible for regularly reviewing and updating risk management policies, which are presented to the Risk Management Committee (RMC) and the Board for evaluation and approval. Monthly risk assessment reports are generated and shared with the Integrated Risk Management Committee (IRMC), RMC, and the Board, ensuring proactive risk mitigation and strategic decision-making.

The IRMD consists of the following specialized units, each focusing on critical risk areas:

- **Credit Control (Risk) Unit** – Monitors credit exposure and ensures adherence to risk tolerance levels.

- **Operational Risk and Reconciliation Unit** – Identifies and mitigates operational vulnerabilities.
- **Market Risk (Treasury Middle Office)** – Manages market fluctuations and liquidity risks.
- **Information Security Unit** – Safeguards our systems against cyber threats and data breaches.
- **Environmental and Social Risk Management Unit** – Ensures compliance with sustainability and responsible banking standards.

By reinforcing a structured and proactive risk management system, we strengthen our resilience, enhance regulatory compliance, and uphold Global IME's commitment to sustainable and secure banking practices.

## OUR RISK MANAGEMENT APPROACH

### A. Credit Risk Management

At Global IME, we manage credit risk through a comprehensive framework designed to safeguard our lending practices. Our approach includes a rigorous credit appraisal and approval process, continuous monitoring, and the implementation of effective risk mitigation strategies. We utilize a three-line defense system to control credit risk, ensuring a layered approach to screening, assessing, and addressing potential risks at every stage.

We have established key units to manage credit risk:

- **Credit Control Unit (CCU):** Responsible for analyzing loan proposals, identifying inherent risks, and recommending risk mitigation measures. The CCU does not have lending authority and ensures that proposals align with our standards.
- **Credit Administration Department (CAD):** Oversees post-approval processes, ensuring that all terms, documentation, and regulatory requirements are met before loans are disbursed.
- **Credit Monitoring Unit (CMU):** Continuously monitors the health of the credit portfolio through onsite and offsite visits, identifying and managing risks before they escalate.

Our team regularly conducts economic and industry risk assessments to anticipate potential challenges. When necessary, these are escalated to senior management, the Risk Management Committee (RMC), and the Board, enabling us to proactively address any adverse impacts on our credit portfolio.

Given the dynamic nature of the business environment, we understand the need for constant vigilance. As such, we prioritize ongoing monitoring and stress testing of our credit assets, ensuring any diminishing accounts are identified and managed promptly.

To further enhance our credit risk management, we continue to develop and upgrade our Management Information Systems (MIS), enabling efficient portfolio monitoring and reporting. This ensures we remain agile and responsive to potential risks, safeguarding the long-term health of Global IME's credit portfolio.

### B. Managing Operational Risks

As Global IME continues to expand its branch network, manage a larger workforce, and integrate newly acquired financial institutions, the complexity of managing inherent operational risks has grown. These risks, inherent in all business activities, cannot be fully eliminated, but effective management is crucial for minimizing their impact and reinforcing control mechanisms.

Operational risk management is vital for the Bank, and we have adopted robust procedures to closely monitor and mitigate these risks by strengthening our internal systems. These proactive measures help us identify and address potential operational challenges before they become significant issues.

The Operational Risk Management Unit (ORMU), which reports directly to the Chief Risk Officer (CRO), plays a central role in ensuring that our operational risk management processes are up to standard. The Unit is tasked with identifying, assessing, and monitoring operational risks, while also reviewing and updating the systems, procedures, and policies that guide operational risk management.

To effectively track and manage operational risks, we have implemented a comprehensive digital system for reporting internal losses and branch incidents. This system includes a Risk Control Assessment (RCA) platform, an incident reporting framework, and an operational risk appetite statement to guide our decision-making.

In addition, the Bank has set up the Capacity Building and Operations Monitoring Unit (CBOMU), which is dedicated to monitoring operational challenges and ensuring quick resolution. This unit tracks any exceptions related to operational functions and provides staff training to strengthen their capacity in managing operational risks. This proactive approach is crucial in safeguarding the Bank's operations.

### C. Managing Market and Liquidity Risks

At Global IME, we understand that managing market and liquidity risks is critical to the stability and growth of the Bank. The Market and Liquidity Risk Management Unit (MLRMU), an independent body reporting to the CRO, serves as the middle office of the treasury. This unit oversees treasury activities to ensure compliance with internal guidelines, approved transaction limits, and treasury regulations.

The primary responsibility of the MLRMU is to ensure that all policies and procedures related to market risk management, liquidity risk management, and asset-liability management (ALM) are strictly adhered to. The unit monitors fluctuations in interest rates and market prices, working to ensure that these risks are managed effectively. It also plays a significant role in developing policies for interest rate risk management and liquidity risk management, helping to ensure that the Bank remains resilient to market fluctuations.

### D. Information Security Risk

At Global IME, we recognize the critical importance of safeguarding both our and our customers' information from unauthorized access. With the rise of digitization, social platforms, and increasing cyber threats, information security risk has become a key concern. Unauthorized access, use, disclosure, alteration, and destruction of sensitive information can have significant financial and reputational consequences for the Bank.

To manage this risk, we have established a dedicated Information Security Unit (ISU) within the Integrated Risk Management Division (IRMD). Led by an Information Security Officer, the ISU works to ensure the highest standards of information security, reporting directly to the Chief Risk Officer.

The unit is responsible for developing and maintaining robust security policies, procedures, and guidelines. It also promotes awareness and education on security best practices across the organization, ensuring that all employees understand their role in safeguarding the Bank's information. Collaborating with departmental system managers and users, the ISU develops and implements security standards and protocols to mitigate potential risks, ensuring the protection of all sensitive data.

### E. Environmental and Social Risk Management (ESRM)

Global IME is committed to fostering sustainable banking practices. We are continuously strengthening our Environment and Social Risk Management (ESRM) system, aligning with national laws and regulations, as well as global environmental and social standards.

To manage these risks, we have established the ESRM Unit and appointed qualified Environmental and Social Risk Officers. The ESRM Unit is responsible for assessing environmental and social risks during the credit appraisal process, identifying potential risks associated with borrowers, and integrating these considerations into the Bank's overall Credit Risk Management framework.

The ESRM Unit recommends appropriate corrective actions and conditions, based on thorough due diligence and site visit findings. Additionally, the Unit supports the implementation of the Environmental and Social Management System (ESMS), ensuring that all staff are trained to understand and address these risks effectively. Global IME regularly reports on ESRM activities to the central bank and other relevant stakeholders. We have also established a Green and Sustainable Banking Unit to further promote sustainable practices within the Bank.

## COLLABORATION WITH THE INTERNATIONAL FINANCE CORPORATION (IFC) TO STRENGTHEN RISK MANAGEMENT

In line with our commitment to enhancing our risk management practices, Global IME has partnered with the International Finance Corporation (IFC). This collaboration focuses on strengthening our capabilities in key areas such as operational risk, credit risk, and asset-liability management (ALM)/ market risk.

This partnership is part of a comprehensive, 30-month initiative aimed at refining our risk management framework to align with international best practices. Through this collaboration, we are enhancing our ability to identify, assess, and manage risks effectively, ensuring the long-term growth and operational resilience of Global IME. The program will bolster our risk management system, equipping us with the tools to navigate an increasingly complex financial landscape.

## GRIEVANCE HANDLING

**At Global IME, we prioritize customer satisfaction by ensuring that all inquiries and grievances are handled with efficiency and transparency.** To streamline this process, we have established a dedicated Information and Grievance Handling Desk, which serves as the primary point of contact for addressing concerns. We regularly update our website with relevant details about the grievance resolution mechanism, ensuring accessibility and transparency for all stakeholders.

Throughout the year, the bank received a total of 4,063 grievances from customers and stakeholders, covering a range of issues, including transaction disputes, service-related concerns, and account inquiries. Each grievance was systematically logged, reviewed, and addressed in a timely manner, reflecting our commitment to maintaining strong customer relationships and operational excellence. Our structured approach to grievance resolution not only enhances customer trust but also allows us to continuously refine our services based on valuable feedback.



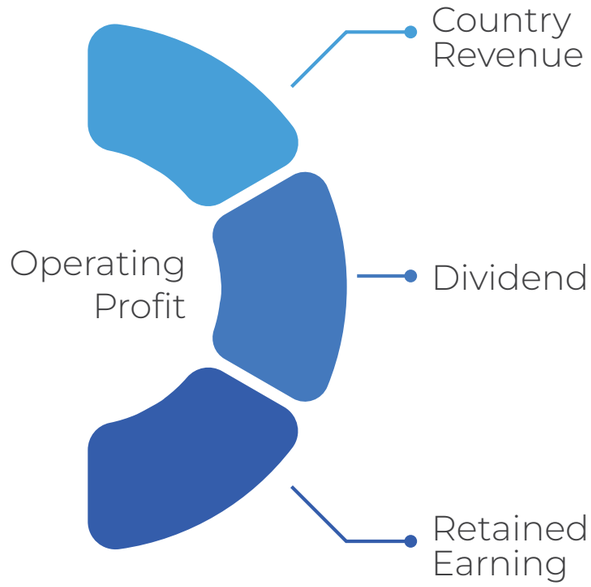


# SHAREHOLDER COMMUNICATION

## RELATIONSHIP WITH SHAREHOLDERS

We are in forever gratitude to all of our shareholders for making this great journey possible.

Global IME Bank has always maintained a close relationship with its shareholders and other stakeholders in its long corporate journey. We focus on stabilizing the business and earnings so as to maximize the earnings of our shareholders and instill and solidify their confidence in us.




### ADDRESSING QUERIES AND CONCERNS OF SHAREHOLDERS

Global IME Bank addresses all the queries and concerns raised by our shareholders during the Annual General Meeting and other queries raised through various channels. All the necessary information that will be required by the shareholders for their decision-making or being informed about the Bank's activities is shared through our official website, newspapers, and the Information Officer.

### GRIEVANCE HANDLING

Global IME Bank has an efficient mechanism for addressing the queries and grievances raised by our customers. For this, the Bank has the Information and Grievance Handling Desk. The details related to the grievance handling desk are updated on the website. In the fiscal year 2023-24, the Bank received 4,063 grievances from its stakeholders which have been addressed immediately on the raise.

### Annual General Meetings and Dividends

| Financial Year | 2023-24 | 2022-23 |
|---|---|---|
| AGM No. | 18th | 17th |
| AGM Notice Date | 6th November 2024 | 17th November 2023 |
| 16th AGM Holding Date | 12th December 2024 | 14th December 2023 |
| Dividend Approved | | |
| Cash (%) | 0.00 | 8.00 |
| Bonus (%) | 5.50 | 1.00 |

### Tax on Dividends

Tax on dividends declared by the Bank had been exempted for the period of two years from the date of the merger (9th January 2023) with the erstwhile Bank of Kathmandu Ltd. However, tax on dividends is exempt for only those shareholders who held the shares on the date of merger. Dividends of other shareholders will be taxed accordingly.

## SHAREHOLDER STRUCTURE

### Capital Structure of the Bank

| Particulars | % | No. of Shares | Share Capital |
|---|---|---|---|
| Share Ownership | | - | - |
| Local Ownership | - | - | - |
| Government of Nepal | 0.08 | 284,593 | 28,459,255 |
| "A" Category licensed Institutions | - | - | - |
| Other Licensed Institutions | - | | - |
| Other Institutions | 14.05 | 50,776,850 | 5,077,685,016 |
| General Public | 48.76 | 176,167,888 | 17,616,788,783 |
| Promoter | 37.11 | 134,058,372 | 13,405,837,198 |
| Other | - | - | - |
| **Foreign Ownership** | **-** | **-** | **-** |
| **Total** | **100.00** | **361,287,703** | **36,128,770,252** |

### Shareholder Structure

| Row Labels | Total Shares | % of Capital | No. of Shareholders |
|---|---|---|---|
| Fraction Shares | 78,222.56 | 0.02% | |
| 1 to 500 Shares | 29,792,361.78 | 8.25% | 313,433 |
| 500 to 1,000 Shares | 15,572,554.20 | 4.31% | 23,024 |
| 1,000 to 5,000 Shares | 41,235,515.29 | 11.42% | 21,711 |
| 5,000 to 10,000 Shares | 16,495,672.60 | 4.57% | 2,392 |
| 10,000 to 50,000 Shares | 52,865,548.52 | 14.64% | 2,541 |
| 50,000 to 100,000 Shares | 22,159,284.62 | 6.13% | 329 |
| 100,000 to 500,000 Shares | 57,593,649.76 | 15.94% | 278 |
| 500,000 to 1000,000 Shares | 21,626,890.22 | 5.99% | 30 |
| Above 1000,000 Shares | 103,868,002.98 | 28.76% | 33 |
| **Grand Total** | **361,287,702.52** | **100.00%** | **363,771** |

### Shares held by Directors

| S.No. | Name of Directors | Representative Group | No. of Shares |
|---|---|---|---|
| 1 | Mr. Chandra Prasad Dhakal | Promoter | 9,056,075 |
| 2 | Mr. Ram Bahadur Bhandari | Promoter | 142,366 |
| 3 | Mr. Radhesh Pant | Promoter | 1,377,492 |
| 4 | Mr. Krishna Prasad Sharma | Public | 2,685 |
| 5 | Mr. Madan Lal Joshi | Public | 8,404 |
| 6 | Mr. Narayan Prasad Poudel | Public | 5,066 |
| 7 | Mr. Bhagirathi Bhattarai Gyawali | Independent | 271 |



### Stock Details

| Particulars | NEPSE |
|---|---|
| Stock Symbol | GBIME |
| Market Category | Banking "A" |
| Year of Listing | 25/12/2065 |
| Face Value | 100 |
| Market Value as on 15th July 2024 | 194.20 |

### Market Price Information

| Month | Highest Price | Lowest Price | No. of Shares Traded | No. of Days Traded |
|---|---|---|---|---|
| Mid-August 2023 | 241.90 | 184.50 | 5,070,224 | 24 |
| Mid-September 2023 | 213.00 | 187.00 | 1,217,506 | 18 |
| Mid October 2023 | 212.00 | 198.50 | 1,398,802 | 19 |
| Mid November 2023 | 211.00 | 199.70 | 723,979 | 12 |
| Mid December 2023 | 212.00 | 187.00 | 1,545,869 | 19 |
| Mid-January 2024 | 216.20 | 189.00 | 3,038,233 | 18 |
| Mid-February 2024 | 214.00 | 193.00 | 2,136,167 | 20 |
| Mid-March 2024 | 197.80 | 178.60 | 1,078,363 | 20 |
| Mid-April 2024 | 200.00 | 177.50 | 974,466 | 18 |
| Mid May 2024 | 183.60 | 170.00 | 1,556,565 | 19 |
| Mid-June 2024 | 197.00 | 175.10 | 2,074,808 | 21 |
| Mid July 2024 | 204.70 | 170.00 | 2,667,515 | 21 |

## CREDIT RATING

ICRA Nepal Limited has assigned the Issuer Rating of "[ICRANP - IR] A-" as of January 2024. Issuers with a rating of "[ICRANP - IR] A-" are considered to have an adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries very low credit risk.

| Financial Year | Credit Rating |
|---|---|
| FY 2019-20 | [ICRANP - IR] A- |
| FY 2020-21 | [ICRANP - IR] A- |
| FY 2021-22 | [ICRANP - IR] A |
| FY 2022-23 | [ICRANP - IR] A& |
| FY 2023-24 | [ICRANP - IR] A-@ |

### Quarterly Financials

| Quarterly Results | Period | Published Date | EPS (Rs.) |
|---|---|---|---|
| Unaudited Results of 1st Quarter | 17th July 2023 to 17th October 2023 | 3rd November 2023 | 13.71 |
| Unaudited Results of 2nd Quarter | 18th October 2023 to 14th January 2024 | 21st January 2024 | 11.31 |
| Unaudited Results of 3rd Quarter | 15th January 2024 to12th April 2024 | 19th April 2024 | 12.20 |
| Unaudited Results of 4th Quarter | 13th April 2024 to 15th July 2024 | 05th Aug 2024 | 16.65 |

# VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION

## 1. VALUE ADDED STATEMENT

The Value-Added Statement presents the wealth generated by Global IME Bank over the fiscal years 2023/24 and 2022/23, outlining our dedication to creating sustainable economic value. During FY 2023/24, we successfully yielded a total wealth of Rs. 18.257 billion, marking an increase from Rs. 17.716 billion in FY 2022/23. This year-on-year growth affirms our strong performance and efficiency to our prudent financial management, operational efficiency, and unwavering focus on strengthening stakeholder relationships.

Through our continued growth in value creation, we reinforce our dedication to making a meaningful impact on the nation's financial landscape. The wealth we create is disbursed among a wide range of stakeholders, our employees, shareholders, the government, and the broader community, aligning with our goal of supporting lasting economic stability and shared prosperity.

At Global IME Bank, we remain steadfast in our commitment to delivering value to our stakeholders but also for the customers and communities we serve, reinforcing our position as a leading financial institution in Nepal.

### Revenue Growth

Global IME Bank recorded notable revenue growth over the fiscal year, accentuating in increasing our financial reach and market strategy. Our total revenue increased from Rs. 51.652 billion in FY 2022/23 to Rs. 56.249 billion in FY 2023/24. This upward trajectory reflects our continued efforts to diversify income streams, optimize asset utilization, and strengthen customer relationships across various segments.

The comparative annual growth in revenue not only demonstrates the effectiveness of our business strategies but also reinforces the trust and confidence our valued customers and stakeholders place in us. At Global IME Bank, we remain committed to sustaining this positive momentum by focusing on innovation, operational excellence, and delivering comprehensive financial solutions that contribute to Nepal's economic development.

### Net Cost for Services

The costs associated with the services provided by Global IME Bank increased from Rs. 33.935 billion in FY 2022/23 to Rs. 37.992 billion in FY 2023/24. This rise reflects the natural alignment with our expanding operational expenses as we continue to scale our services to meet the growing demands of our customers and stakeholders.

At Global IME Bank, we remain focused on managing these costs effectively while ensuring the continued provision of top-tier financial solutions.

### Total Wealth Created

Amid the growing operational costs, Global IME Bank achieved a 3.05% increase in total wealth generation, reflecting our stable financial health and commitment to sustainable business growth. This growth reflects our ability to adapt to changing market conditions while maintaining solid financial performance and our strategic focus on long-term value creation for all stakeholders. At Global IME Bank, we remain dedicated to balancing growth with financial stability, ensuring that we continue to drive success and deliver lasting value to our customers, employees, and shareholders.

## 2. WEALTH DISTRIBUTION ANALYSIS

The total wealth generated by the bank is allocated across three primary areas:

a. Employees – covering benefits, compensation, and remuneration
b. Government – through contributions made in the form of current taxation
c. Expansion and Growth – encompassing depreciation, amortization, loan impairment provisions, and returns to shareholders

### A. Distribution to Employees

In FY 2023/24, Global IME Bank allocated Rs. 4.782 billion, accounting for 26.19% of the total wealth created, towards employee benefits and remuneration. This marks an increase from Rs. 4.234 billion, or 23.90%, allocated in FY 2022/23. The annual upward trend in employee compensation underlines our recognition of the vital role our workforce plays in driving the bank's success. This continued investment in our employees reflects Global IME Bank's commitment to fostering a motivated, skilled, and engaged team. By prioritizing fair remuneration and comprehensive benefits, we aim to attract, retain, and develop top talent, ensuring the sustained growth and operational excellence of the bank.

### B. Contribution to Government (Taxation)

Global IME Bank contributed Rs. 2.729 billion (14.95%) in taxes during FY 2023/24, marking an increase from Rs. 2.571 billion (14.51%) in FY 2022/23. This rise in tax contribution reflects the bank's improved profitability over the fiscal year, as well as our unwavering commitment to regulatory compliance and fiscal responsibility. By fulfilling our tax obligations, we continue to play a vital role in supporting the national economy and contributing to the country's development.

### C. Investment in Expansion and Growth

A significant portion of the wealth generated is reinvested to ensure the long-term growth, sustainability, and resilience of Global IME Bank. In FY 2023/24, we allocated 58.85% of the total wealth to expansion and growth initiatives, slightly lower than the 61.59% allocation in FY 2022/23. This allocation is directed towards two key areas:

- **Depreciation, Amortization, and Loan Impairment:** Allocation to this segment increased from Rs. 4.216 billion (23.80%) in FY 2022/23 to Rs. 4.607 billion (25.24%) in FY 2023/24. This rise reflects our continuous investment in maintaining and upgrading our assets, as well as provisioning for loan impairments in line with prudent risk management practices.

- **Profit Attributable to Shareholders: Profit** distribution to shareholders decreased from Rs. 6.694 billion (37.79%) in FY 2022/23 to Rs. 6.137 billion (33.62%) in FY 2023/24. This shift signifies a strategic decision to channel a larger share of resources towards strengthening the bank's operational foundation and future growth, while still delivering consistent returns to our shareholders.

Through these investments, we aim to reinforce our market position, enhance service delivery, and ensure sustained value creation for all stakeholders.

## 3. KEY OBSERVATIONS AND TRENDS

1. **Revenue Growth**
   During FY 2023/24, we recorded a revenue growth of 8.89% compared to the previous fiscal year. This upward trend reflects the strength of our business fundamentals and our ability to navigate through a dynamic financial landscape. It is a testament to the trust our customers place in us, the resilience of our business model, and the efficiency of our operations. Our continued focus on expanding our service portfolio, strengthening client relationships, and enhancing operational efficiency has been instrumental in sustaining this momentum.

2. **Enhanced Employee Benefits**
   Our workforce remains at the core of Global IME Bank's success. In recognition of their contribution, we increased employee remuneration by 12.92% over the year. This rise goes beyond financial compensation as it reflects our ongoing investment in creating an environment where employees feel valued, supported, and empowered to grow. By prioritizing the well-being and development of our team, we ensure that we are not only meeting the needs of today but also building a strong foundation for the future.

3. **Consistent Contribution to Government**
   We take pride in fulfilling our fiscal responsibilities to the nation. In FY 2023/24, our tax contributions remained consistent, reflecting both our sound financial performance and our commitment to regulatory compliance. Through timely and transparent tax payments, we continue to play an active role in supporting the economic development of Nepal and contributing to the country's broader growth objectives.

4. **Focused Investment in Expansion**
   A significant portion of the wealth generated has been reinvested to strengthen the bank's operational capacity and ensure long-term sustainability. This year, we saw an increase in allocations towards depreciation, amortization, and loan impairment provisions. These investments underscore our commitment to prudent risk management, operational resilience, and the continuous enhancement of our service infrastructure. By prioritizing reinvestment, we are laying the groundwork for future expansion and safeguarding the interests of all our stakeholders.

5. **Moderate Decline in Shareholder Profits**
   In FY 2023/24, profits attributable to shareholders saw a slight decrease compared to the previous fiscal year. This shift is a reflection of our strategic focus on sustainable growth. While ensuring stable returns remains a priority, we made a conscious decision to redirect a larger portion of generated wealth towards reinforcing the bank's financial foundation, expanding operational capacity, and investing in areas critical to our long-term

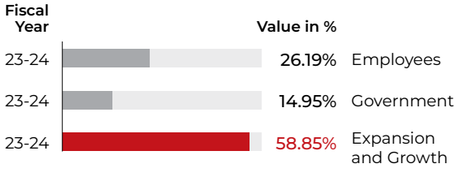
objectives. This approach ensures that we remain well-positioned to deliver consistent value to our shareholders over the long run.

Throughout FY 2023/24, Global IME Bank demonstrated consistent progress in wealth generation and distribution. Our decisions reflect a deliberate and balanced approach, prioritizing the welfare of our employees, fulfilling our obligations to the government, and ensuring continuous reinvestment for future growth, while delivering stable returns to our shareholders. These efforts reaffirm our commitment to financial stability, operational excellence, and sustained leadership in Nepal's banking sector.

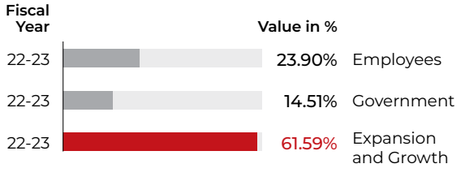
**VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION**

| | FY 2023-24 | | FY 2022-23 | |
|---|---|---|---|---|
| **Value Added Statement** | **RS. BILLION** | **IN %** | **RS. BILLION** | **IN %** |
| Revenue | 56.249 | | 51.652 | |
| Net Cost for the Services | (37.992) | | (33.935) | |
| **Total Wealth Created** | **18.257** | **100.00%** | **17.716** | **100.00%** |
| **Wealth Distributed as** | | | | |
| To Employees | | | | |
| Benefits and Remuneration | 4.782 | 26.19% | 4.234 | 23.90% |
| To Government | | | | |
| Current Taxation | 2.729 | 14.95% | 2.571 | 14.51% |
| To Expansion and Growth | | | | |
| Depreciation, Amortization and Loan Impairment | 4.607 | 25.24% | 4.216 | 23.80% |
| Profit for the Year Attributable to Shareholders | 6.137 | 33.62% | 6.694 | 37.79% |
| | **18,257.36** | **100.00%** | **17.716** | **100.00%** |

**VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION**




**VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION**






# INDEPENDENT AUDITORS REPORT

PYC & ASSOCIATES
Chartered Accountants
GPO Box 12437, Putalisadak
Kathmandu Nepal
T: +977 1 4544009

P. J. P. N. & Co.
Chartered Accountants
GPO Box 10309, Kamalpokhari
Kathmandu Nepal
T: +977 1 4528887

## Independent Auditor's Report

### To the Shareholders of Global IME Bank Limited

**Report on the Audit of the Consolidated Financial Statements**

***Opinion***

We have audited the accompanying separate Financial Statements of Global IME Bank Ltd (the "Bank") and the Consolidated Financial Statements of the Bank and its subsidiaries (the "Group"), which comprise the Consolidated Statement of Financial Position as at Ashad 31, 2081 (July 15, 2024), and the Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Statement of Changes in Equity and Consolidated Statement of Cash Flows for the year then ended, and notes to the Consolidated Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Group as at Ashad 31, 2081 (July 15, 2024), and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards.

***Basis for Opinion***

We conducted our audit of the consolidated financial statements in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Handbook of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Nepal (ICAN) and we have fulfilled other ethical responsibilities in accordance with ICAN's Handbook of the Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

***EMPHASIS OF MATTER***

*Reserves – Retained earnings:* We draw attention to *Note 4.27 Reserves – Retained Earnings (tax paid on share swap and premium of previous year)*, where the bank, as per provisions of Finance Act 2080, has self- assessed the tax liability of NPR 1,323,961,381 on capital reserves created due to difference of share issued based on the swap ratio and share capital of merged/acquired entities, the same was deposited on 29 Mangsir 2080, which is subject to final assessment, if any by Inland Revenue Department. The capital reserve created (and distributed as dividend) in the books of merged entities as per the audited financial statement, was NPR 3,085,955,572 and share premium on auction of shares/further public offering was NPR 1,327,249,029 totaling NPR 4,413,204,601, on which a tax @ 30% assessed by the bank was NPR 1,323,961,381, although goodwill was reported as per NFRS 3 Business

Combinations for accounting purposes. Since its establishment, the bank had 20 merger and acquisition events directly or through merged entities in the past.

Our opinion is not modified with respect to the above matter.

***Other Matter***

We did not audit the financial statements of subsidiary companies, namely Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, and JBNL Securities Ltd. The financial statements and other financial information have been audited/certified by other auditors/management whose reports have been furnished to us by the bank. Our opinion on the financial statements so far as it relates to the accounts and disclosures included in respect of the subsidiaries are based solely on the report of other auditors or as certified by the Bank management.

Our opinion on the consolidated financial statements is not modified with respect to the above matter.

***Key Audit Matters***

Key audit matters are those matters that, in our professional judgment, were the most significant in the audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the *Basis for Opinion* section, we have determined the matters described below to be the key audit matters to be communicated in our report.

| S.N. | Key Audit Matters | Auditor's Response |
|---|---|---|
| 1. | **Interest Recognition**<br>*(Ref. Note 3.19 and 4.29 of Financial Statements)*<br>The interest income of the bank is recognized on an accrual basis and follows the Interest Income Recognition Guidelines issued by NRB. Recognition of interest income on bad loans involves the judgments on calculating the net realizable value of loans and advances. As an automated system is yet to be used to suspend recognition of income based on the overdue status of the loan and fair value of collateral as well as a review of fair valuation of collateral on a regular basis, manual intervention is required in the interest recognition process and hence create a risk of improper application of the guidelines and determination of the Fair Value of the collateral. This may, in turn, have an effect on the recognition of interest income of the bank. thus, considered them as key audit matters. | Our audit approach regarding verification of the process of interest recognition included:<br>a. Obtaining a clear understanding of the process of accrual of interest income on loans and advances in the Core Banking Software of the bank.<br>b. For fair value of collateral, we relied on the latest available valuation report of the collateral and have test-checked it as per NRB Income Recognition guidelines.<br>c. Test-checked the interest income recording with manual computation on sampled borrowers.<br>d. Test-checked the premium charged on sampled borrowers from the report provided and basis taken by the management. |



| | | |
|---|---|---|
| 2. | **Investment Valuation and Impairment**<br>*(Ref. Note 4.8, 4.10 and 4.11 of Financial Statements)*<br>Investment of the bank comprises investment in government bonds, T-bills, development bonds, and investment in quoted and unquoted equity instruments. The valuation of the aforesaid securities has been done in compliance with NFRS and NRB Directive.<br>Given the varieties of treatments recommended for the valuation of investment based on the nature of cash flow, the business model adopted, the complexity of calculations and the significance of the amount involved in such investments, we have considered this as Key Audit Matter. | Our audit approach regarding verification of the process of investment valuation, identification and impairment included:<br>a. Review of the investment of the bank and its valuation having reference to NFRS and NRB Directives.<br>b. Assess the nature of the expected cash flow of the investments as well as the business model adopted by the management on the basis of available evidence/circumstances and ensured that the classification of investment is commensurate with the nature of cash flow and management's intention of holding the investment.<br>c. Test check the Effective Interest Rate and amortization schedule on a test basis for the investment valued at amortized cost.<br>d. Ensure that fair valuation has been done at the closing rate in NEPSE at the year-end for quoted investment and for the unquoted investment, net assets value based on the financial reports. |
| 3. | **Impairment of Loans and Advances**<br>*(Ref. Note 2.12, 4.6, 4.7 and 4.35 of Financial Statements)*<br>As per NRB Directive 4, the bank shall measure impairment loss on loans and advances at the higher of:<br>▪ Amount derived as per norms prescribed by Nepal Rastra Bank for loan loss provisioning; and<br>▪ Amount determined adopting Incurred Loss Model per the Carve out provided on NFRS 9 financial instruments - impairment.<br>Impairment of loans and advances under incurred loss model requires assessment of future cash flows as well as historical loss experiences of portfolios. On the other hand, impairment of loans and advances under NRB norms for loan loss provisioning require assessment of the overdue status of loans and advances and proper utilization of loans for the intended purpose. Significant estimates and assumptions used by the management in such calculations. Hence, the assessment of the availability and accuracy of required data for impairment of loans and advances under incurred loss model as well as NRB | Our audit approach regarding verification of impairment of loans and advances included:<br>a. Test the operating effectiveness of key controls established by the bank to identify loss events and for determining the extent of provisioning required against non-performing loans and advances.<br>b. Review the overdue status of loans and advances by obtaining data from the system and matching the same with the NRB 2.2 report.<br>c. Review of sampled credit files, among other things, from the perspective of utilization of loans and advances for the intended purpose by way of scrutiny of financial statements, account movement, account turnover etc. including the business visits of the selected borrowers.<br>d. Review of credit files of sampled borrowers for expected future cash flows with an indication of impairment are assessed on the basis of realizable value of collateral securities based on management estimate.<br>e. Assess the grouping of homogeneous group of loans on the basis of the nature and purpose of loans including data of historical loss experience in portfolios based on past due data |

| | | |
|---|---|---|
| | provisioning norms are considered a key audit matter. | from the system as well as data of loan loss provisioning of the defined group in the past. |
| 4. | **Information Technology (IT) System and Controls over financial reporting**<br>IT controls with respect to recording transactions, generating various reports in compliance with NRB guidelines and other compliances to regulators is an important part of the process. Such reporting is heavily dependent on the effective working of Core Banking Software (CBS) and other allied systems.<br><br>We have considered this a key audit matter as any control lapses, validation failures, incorrect input data, and errors in the extraction of data may result in incorrect financial reporting. | Our audit approach regarding the information technology of the bank is based upon the Information Technology Guidelines issued by NRB and it included:<br><br>a. Understanding of the business processes, IT Systems used to generate and support those balances and associated IT application controls and IT dependencies in manual controls.<br>b. Understanding the coding system adopted by the bank for various categories of customers<br>c. Evaluating and testing the design and operating effectiveness of certain control activities over the integrity of the material IT systems that the relevant to financial reporting.<br>d. Understanding the feeding of the data in the system and going through the extraction of the financial information and statements from the IT system existing in the bank.<br>e. Checking the user/authority matrix for any changes in the regulations/policy of the bank<br>f. Reviewed the reports generated by the system on a sample basis and verified the interest income and expense booking regarding loan and deposit on a test basis with the CBS of the bank. |

***Information other than the Consolidated Financial Statements and Auditor's Report thereon***

The Bank's management is responsible for the preparation of the other information. The other information comprises the information included in the Management Report, Report of the Board of Directors, and Chairman's Statement but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. As the other information documents are in the process of completion, the management has provided written representation that the final version of the documents will be provided when available thus we have nothing to report in this regard.



***Responsibility of Management and Those Charged with Governance for the Consolidated Financial Statements***

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations or has no realistic alternative but to do so. Those charged with Governance are responsible for overseeing the Group's financial reporting process.

***Auditor's Responsibilities for the Audit of the Consolidated Financial Statements***

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Nepal Standards on Auditing (NSAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management,
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We have communicated with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

***Report on the requirements of the Banks and Financial Institutions Act, 2073 and Company Act, 2063***

We have obtained satisfactory information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit; the returns received from the branch offices of the bank, though the statements are independently not audited, were adequate for the purpose of the audit; the consolidated financial statements including the consolidated statement of financial position, consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statement of changes in equity, consolidated statement of cash flows including a summary of significant accounting policies and other explanatory notes have been prepared in all material respect as per the procedures and format prescribed by Nepal Rastra Bank and are in agreement with the books of accounts of the Bank; and the accounts and records of the Bank are properly maintained in accordance with the prevailing laws.

To the best of our information and according to the explanations given to us, in the course of our audit, we did not come across cases where the business of the Bank and transactions were not conducted within the scope of its authority. We observed that the loans have been written off as specified and we did not come across cases of accounting-related fraud and cases where the board of directors or any director or any office bearer of the Bank has acted contrary to the provisions of law or caused loss or damage to the Bank or committed any misappropriation of the funds of the bank.

**Yuddha Raj Oli, FCA**
Partner
PYC & Associates
Chartered Accountants

UDIN No.: 241008CA00185jX5E8

**Prakash Jung Thapa, FCA**
Partner
P.J.P.N. & Co.
Chartered Accountants

UDIN No.: 241008CA00052WPwFM

Place: Kathmandu, Nepal
Date: 8 October 2024







## CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 15th July 2024

Amount in NPR

| | | Group | | Bank | |
|---|---|---|---|---|---|
| | Note | Current Year | Previous Year | Current Year | Previous Year |
| **Assets** | | | | | |
| Cash and Cash Equivalent | 4.1 | 50,221,010,878 | 29,695,930,524 | 49,795,637,083 | 28,531,853,793 |
| Due from Nepal Rastra Bank | 4.2 | 21,314,921,137 | 18,649,052,888 | 21,314,921,137 | 18,649,052,888 |
| Placement with B/FIs | 4.3 | - | 668,727,450 | - | 668,727,450 |
| Derivative financial instruments | 4.4 | 4,525,346,887 | 996,239,429 | 4,525,346,887 | 996,239,429 |
| Other trading assets | 4.5 | 1,301,686,457 | 1,205,710,850 | - | - |
| Loan and advances to B/FIs | 4.6 | 10,623,366,147 | 11,035,986,519 | 13,763,656,546 | 13,660,224,854 |
| Loans and advances to customers | 4.7 | 377,945,627,242 | 361,757,979,882 | 369,424,519,435 | 354,466,748,244 |
| Investment securities | 4.8 | 121,318,688,581 | 87,674,740,063 | 121,300,899,081 | 87,591,673,563 |
| Current Tax Assets | 4.9 | 2,596,512,369 | 3,554,131,782 | 2,449,279,483 | 3,379,899,906 |
| Investment in subsidiaries | 4.10 | - | - | 728,395,250 | 650,695,250 |
| Investment in associates | 4.11 | 1,824,981,479 | 2,274,269,653 | 1,372,623,033 | 1,840,164,899 |
| Investment property | 4.12 | 4,858,973,533 | 1,744,769,197 | 4,847,527,889 | 1,733,323,553 |
| Property and equipment | 4.13 | 8,166,336,578 | 7,891,058,770 | 8,028,728,790 | 7,740,931,938 |
| Goodwill and intangible assets | 4.14 | 891,089,506 | 908,065,662 | 888,966,880 | 905,684,124 |
| Deferred Tax Assets | 4.15 | - | 117,953,348 | - | 16,633,758 |
| Other Assets | 4.16 | 6,190,821,403 | 6,282,600,184 | 6,077,615,580 | 6,050,709,293 |
| **Total Assets** | | **611,779,362,196** | **534,457,216,201** | **604,518,117,074** | **526,882,562,942** |
| **Liabilities** | | | | | |
| Due to Bank and Financial Institutions | 4.17 | 17,387,967,426 | 12,913,413,234 | 17,433,530,258 | 13,023,623,863 |
| Due to Nepal Rastra Bank | 4.18 | 373,324,105 | 470,715,561 | 373,324,105 | 470,715,561 |
| Derivative financial instruments | 4.19 | 4,516,341,578 | 946,946,972 | 4,516,341,578 | 946,946,972 |
| Deposit from customers | 4.20 | 490,087,824,729 | 428,814,313,956 | 487,455,854,812 | 426,325,446,161 |
| Borrowing | 4.21 | 13,318,653,169 | 4,747,393,956 | 12,100,951,389 | 3,282,545,590 |
| Current tax liabilities | 4.9 | 2,456,052,717 | 2,857,161,694 | 2,363,652,248 | 2,788,102,452 |
| Provisions | 4.22 | - | - | - | - |

| | | | | | |
|---|---|---|---|---|---|
| Deferred Tax Liabilities | 4.15 | 403,750,784 | - | 521,776,187 | - |
| Other Liabilities | 4.23 | 9,397,273,250 | 10,613,612,621 | 7,660,881,745 | 8,809,882,484 |
| Debt securities issued | 4.24 | 10,684,657,109 | 12,181,589,400 | 10,684,657,109 | 12,181,589,400 |
| Subordinated Liabilities | 4.25 | - | - | - | - |
| **Total Liabilities** | | **548,625,844,867** | **473,545,147,393** | **543,110,969,431** | **467,828,852,483** |
| **Equity** | | | | | |
| Share capital | 4.26 | 36,128,770,252 | 35,771,059,655 | 36,128,770,252 | 35,771,059,655 |
| Share premium | | | | | - |
| Retained earnings | 4.27 | 1,202,873,139 | 4,132,001,814 | 506,718,018 | 3,243,361,568 |
| Reserves | 4.27 | 25,222,217,025 | 20,339,563,689 | 24,771,659,373 | 20,039,289,236 |
| **Total equity attributable to equity holders** | | **62,553,860,416** | **60,242,625,158** | **61,407,147,643** | **59,053,710,459** |
| **Non-controlling interest** | | **599,656,913** | **669,443,650** | | |
| **Total Equity** | | **63,153,517,329** | **60,912,068,808** | | |
| **Total Liabilities and Equity** | | **611,779,362,196** | **534,457,216,201** | **604,518,117,074** | **526,882,562,942** |
| **Contingent Liabilities and Commitment** | 4.28 | **99,279,022,862** | **99,857,389,569** | **99,279,022,862** | **99,857,389,569** |
| **Net Assets Value per Share** | | | | **169.97** | **165.09** |

The accounting policies and notes from page 13 to 106 form an integral part of the Consolidated Financial Statements.

**Surendra Raj Regmi**
Chief Executive Officer

**Chandra Prasad Dhakal**
Chairman

**Radhesh Pant**
Director

**Prakash Jung Thapa,** FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

**Ram Bahadur Bhandari**
Director

**Krishna Prasad Sharma**
Director

**Chandra Raj Sharma**
Chief Financial Officer

**Madan Lal Joshi**
Director

**Narayan Prasad Paudel**
Director

**Yuddha Raj Oli, FCA**
Partner
PYC & Associates
Chartered Accountants

7th October, 2024
Kathmandu

**Bhagirathi Bhattarai**
Gnyawali
Director



# CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 15th July 2024

Amount in NPR

| | | Group | | Bank | |
|---|---|---|---|---|---|
| | Note | Current Year | Previous Year | Current Year | Previous Year |
| Interest Income | 4.29 | 52,646,771,672 | 49,495,297,765 | 51,680,018,941 | 48,210,079,805 |
| Interest Expense | 4.30 | 35,135,280,511 | 31,833,335,212 | 34,823,692,035 | 31,103,088,791 |
| **Net interest income** | | **17,511,491,161** | **17,661,962,553** | **16,856,326,906** | **17,106,991,014** |
| Fee and Commission Income | 4.31 | 3,696,577,334 | 2,964,226,212 | 3,447,294,523 | 2,744,142,023 |
| Fee and Commission Expense | 4.32 | 801,229,445 | 717,540,678 | 764,999,768 | 683,570,414 |
| **Net fee and commission income** | | **2,895,347,889** | **2,246,685,534** | **2,682,294,755** | **2,060,571,609** |
| **Net interest, fee and commission income** | | **20,406,839,050** | **19,908,648,087** | **19,538,621,661** | **19,167,562,623** |
| Net Trading Income | 4.33 | 442,673,649 | 620,226,487 | 580,852,726 | 474,601,196 |
| Other Operating Income | 4.34 | 545,533,809 | 194,597,557 | 534,455,988 | 215,026,625 |
| **Total operating income** | | **21,395,046,507** | **20,723,472,131** | **20,653,930,375** | **19,857,190,444** |
| Impairment charge/(reversal) for loans and other losses | 4.35 | 3,754,117,298 | 3,505,413,044 | 3,616,608,492 | 3,426,139,062 |
| **Net Operating Income** | | **17,640,929,209** | **17,218,059,087** | **17,037,321,883** | **16,431,051,382** |
| **Operating Expenses** | | | | | |
| Personnel Expenses | 4.36 | 5,123,459,965 | 4,575,412,558 | 4,782,108,008 | 4,234,417,863 |
| Other Operating Expenses | 4.37 | 2,317,665,653 | 1,945,590,158 | 2,245,000,976 | 1,875,361,351 |
| Depreciation and Amortization | 4.38 | 1,029,789,195 | 829,401,019 | 991,254,520 | 790,774,873 |
| **Operating profit** | | **9,170,014,396** | **9,867,655,352** | **9,018,958,379** | **9,530,497,295** |
| Non-operating income | 4.39 | 25,597,835 | 17,149,912 | 7,344,142 | 8,525,937 |
| Non-operating expense | 4.40 | 172,414,553 | 273,662,248 | 158,912,814 | 273,499,043 |
| **Profit before income tax** | | **9,023,197,679** | **9,611,143,016** | **8,867,389,707** | **9,265,524,189** |
| Income Tax Expense | 4.41 | | | | |
| Current tax | | 2,447,131,190 | 2,849,924,830 | 2,355,224,588 | 2,788,102,452 |
| Deferred tax | | 356,794,738 | (180,265,744) | 374,710,858 | (216,936,058) |
| **Profit for the Year** | | **6,219,271,751** | **6,941,483,930** | **6,137,454,261** | **6,694,357,795** |
| **Profit attributable to:** | | | | | |
| Equity holders of the Bank | | 6,176,413,829 | 6,862,914,508 | | |
| Non-controlling interest | | 42,857,922 | 78,569,422 | | |
| **Profit for the Year** | | **6,219,271,751** | **6,941,483,930** | **6,137,454,261** | **6,694,357,795** |
| **Earnings per Share** | **4.42** | | | | |
| **Basic earnings per share** | | | | **16.99** | **22.06** |
| **Diluted earnings per share** | | | | **16.99** | **22.06** |

# CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 15th July 2024

Amount in NPR

| | Note | Group | | Bank | |
|---|---|---|---|---|---|
| | | Current Year | Previous Year | Current Year | Previous Year |
| **Profit for the year** | | **6,219,271,751** | **6,941,483,930** | **6,137,454,261** | **6,694,357,795** |
| **Other comprehensive income, net of income tax** | | | | | |
| **a) Items that will not be reclassified to profit or loss** | | | | | |
| Gains/(losses) from investments in equity instruments measured at fair value | 4.8 | 531,906,129 | (1,174,179,557) | 531,628,617 | (1,172,529,057) |
| Gains/(losses) on revaluation | | - | - | | - |
| Actuarial gain/(losses) on defined benefit plans | 4.23 | 41,948,542 | 191,010,554 | 42,127,206 | 190,872,197 |
| Income Tax relating to above items | 4.15 | (172,097,447) | 294,999,662 | (172,126,747) | 294,497,058 |
| **Net other comprehensive income that will not be reclassified to profit or loss** | | **401,757,223** | **(688,169,341)** | **401,629,076** | **(687,159,803)** |
| **b) Items that are or may be reclassified to profit or loss** | | | | | |
| Gains/(losses) on cash flow hedge | | | | | |
| Exchange gains/(losses) (arising from translating financial assets of foreign operation) | | | | | |
| Income Tax relating to above items | | | | | |
| Reclassify to profit or loss | | | | | |
| **Net other comprehensive income that are or may be reclassified to profit or loss** | | | | - | - |
| **c) Share of other comprehensive income of associate accounted as per equity method** | | | | | |
| **Other comprehensive income for the year, net of income tax** | | **401,757,223** | **(688,169,341)** | **401,629,076** | **(687,159,803)** |
| **Total comprehensive income for the year** | | **6,621,028,975** | **6,253,314,589** | **6,539,083,337** | **6,007,197,993** |
| **Total comprehensive income attributable to:** | | | | | |
| Equity holders of the Bank | | 6,578,176,462 | 6,174,986,999 | | |
| Non-controlling interest | | 42,852,513 | 78,327,590 | | |
| **Total comprehensive income for the period** | | **6,621,028,975** | **6,253,314,589** | **6,539,083,337** | **6,007,197,993** |

The accounting policies and notes from page 13 to 106 form an integral part of the Consolidated Financial Statements.

**Surendra Raj Regmi**
Chief Executive Officer

**Chandra Prasad Dhakal**
Chairman

**Radhesh Pant**
Director

**Prakash Jung Thapa,** FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

**Ram Bahadur Bhandari**
Director

**Krishna Prasad Sharma**
Director

**Chandra Raj Sharma**
Chief Financial Officer

**Madan Lal Joshi**
Director

**Narayan Prasad Paudel**
Director

**Yuddha Raj Oli, FCA**
Partner
PYC & Associates
Chartered Accountants

7th October, 2024
Kathmandu

**Bhagirathi Bhattarai**
Gnyawali
Director



# STATEMENT OF CHANGES IN EQUITY

For the period ended 15th July 2024

**Group**

| | Attributable to Equity holders of the Bank | | | | | | | | Non Controlling Interest | Total Equity |
|---|---|---|---|---|---|---|---|---|---|---|
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | | |
| **Balance as at July 17, 2022** | 23,795,753,339 | - | 6,368,864,962 | 203,845,520 | 1,561,277,907 | 178,379,395 | 4,026,504,269 | 2,681,625,064 | 562,092,282 | 39,378,342,738 |
| **Adjustment/ Restatement** | - | - | (5,500,687) | - | - | - | (24,713,830) | (550,068) | (19,632,176) | (50,396,762) |
| **Adjusted/Restated balance at July 17, 2022** | 23,795,753,339 | - | 6,363,364,274 | 203,845,520 | 1,561,277,907 | 178,379,395 | 4,001,790,439 | 2,681,074,996 | 542,460,106 | 39,327,945,976 |
| **Comprehensive Income for the year** | | | | | | | | | | - |
| **Profit for the year** | - | - | - | - | - | - | 6,862,914,509 | - | 78,569,422 | 6,941,483,931 |
| **Other Comprehensive income, net of tax** | | | | | | | | | | |
| Gains/(losses)from investments in equity instruments measured at fair value | - | - | - | - | - | (821,636,852) | - | - | (288,838) | (821,925,690) |
| Gains/(losses) on revaluation | - | - | - | - | - | | | | | - |
| Actuarial gains/(losses) on defined benefit plans | | | | | | | - | 133,709,343 | 47,006 | 133,756,349 |
| Gains/(losses) on cash flow hedge | | | | | | | | | | - |
| Exchange gains/(losses) arising from translating financial assets of foreign operation) | | | | | | | | | | - |
| **Total comprehensive income for the year** | - | - | - | - | - | (821,636,852) | 6,862,914,509 | 133,709,343 | 78,327,590 | 6,253,314,590 |
| **Transfer to reserve during the period** | | | | | | | | | | - |
| General Reserve Fund | - | - | 1,360,311,860 | - | - | - | (1,360,311,860) | - | - | - |
| Exchange Fluctuation Fund | - | - | - | 4,625,119 | - | - | (4,625,119) | - | (40,950) | (40,950) |

| | Group | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of the Bank | | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Non Controlling Interest | Total Equity |
| Corporate Social Responsibility Fund | - | - | - | - | - | - | (42,853,431) | 42,736,658 | - | (116,773) |
| Training Reserve | - | - | - | - | - | - | (25,406,761) | 25,406,761 | 9,766,657 | 9,766,657 |
| Regulatory reserve | - | - | - | - | 1,933,379,229 | - | (1,904,074,032) | (29,309,481) | - | (4,285) |
| Debenture Redemption Reserve | - | - | - | - | - | - | (445,723,684) | 445,723,684 | (479,302) | (479,302) |
| Client Protection Fund | - | - | - | - | - | - | (647,937) | (2,661,952) | - | (3,309,889) |
| Interest Capitalized reserve | - | - | - | - | - | - | (16,360,164) | 16,360,164 | - | - |
| **Transfer from reserve during the period** | | | | | | | | | | - |
| Investment Adjustment Reserve | - | - | - | - | - | - | 397,000,000 | (397,000,000) | - | |
| Other Reserve | - | - | - | - | - | - | 26,618,549 | (26,618,549) | - | - |
| Capital Reserve Fund | - | - | - | - | - | - | 164,075 | (164,075) | - | - |
| **Transactions with owners, recognised in equity** | - | | | | | | | | | - |
| Transfer from merged entity | 11,261,433,717 | - | 3,750,159,978 | 122,690,087 | 684,787,779 | 1,139,297,243 | (86,744,048) | 969,824,599 | 62,259,427 | 17,903,708,782 |
| **Dividends to equity holders** | | | | | | | | | | |
| Bonus shares Issued | 713,872,600 | - | - | - | - | - | (713,872,600) | - | | - |
| Cash Dividend Paid | - | - | - | - | - | - | (2,555,866,121) | - | (22,849,878) | (2,578,716,000) |
| **Balance at July mid, 2023** | **35,771,059,655** | **-** | **11,473,836,112** | **331,160,726** | **4,179,444,915** | **496,039,786** | **4,132,001,815** | **3,859,082,148** | **669,443,650** | **60,912,068,808** |
| Adjustment/ Restatement | - | - | - | - | - | - | - | - | - | - |
| **Adjusted/Restated balance at July 17, 2023** | **35,771,059,655** | **-** | **11,473,836,112** | **331,160,726** | **4,179,444,915** | **496,039,786** | **4,132,001,815** | **3,859,082,148** | **669,443,650** | **60,912,068,808** |
| **Comprehensive Income for the year** | | | | | | | | | | - |
| **Profit for the year** | **-** | **-** | **-** | **-** | **-** | **-** | **6,176,413,830** | **-** | **42,857,922** | **6,219,271,751** |

| | Group | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of the Bank | | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Non Controlling Interest | Total Equity |
| **Other Comprehensive income, net of tax** | | | | | | | | | | |
| Gains/(losses)from investments in equity instruments measured at fair value | - | - | - | - | - | 372,343,262 | - | - | 46,132 | 372,389,394 |
| Gains/(losses) on revaluation | - | - | - | - | - | - | - | - | | - |
| Actuarial gains/(losses) on defined benefit plans | - | - | - | - | 99,535 | - | (99,535) | 29,419,370 | (51,541) | 29,367,829 |
| Gains/(losses) on cash flow hedge | - | - | - | - | - | - | - | - | | - |
| Exchange gains/(losses) arising from translating financial assets of foreign operation) | - | - | - | - | - | - | - | - | | - |
| **Total comprehensive income for the year** | **-** | **-** | **-** | **-** | **99,535** | **372,343,262** | **6,176,314,295** | **29,419,370** | **42,852,513** | **6,621,028,975** |
| **Transfer to reserve during the period** | | | | | | | | | | - |
| General Reserve Fund | - | - | 1,242,259,152 | - | - | - | (1,242,259,152) | - | - | - |
| Exchange Fluctuation Fund | - | - | - | 1,051,254 | - | - | (1,051,254) | - | - | - |
| Corporate Social Responsibility Fund | - | - | - | - | - | - | 10,435,463 | (10,956,130) | (118,188) | (638,855) |
| Training Reserve | - | - | - | - | - | - | (8,075,628) | 8,075,628 | - | - |
| Regulatory reserve | - | - | - | - | 2,808,360,855 | 18,460 | (2,808,309,640) | - | 51,541 | 121,215 |
| Debenture Redemption Reserve | - | - | - | - | - | - | (183,333,333) | 183,333,333 | - | - |
| Client Protection Fund | - | - | - | - | - | - | - | (1,633,900) | (1,208,654) | (2,842,554) |
| Interest Capitalized reserve | - | - | - | - | - | - | (144,473,934) | 144,473,934 | - | - |
| Capital Adjustment Reserve | - | - | - | - | - | - | - | 1,500,000,000 | - | 1,500,000,000 |
| **Transfer from reserve during the period** | | | | | | | | | | - |

| | Group | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of the Bank | | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Non Controlling Interest | Total Equity |
| Investment Adjustment Reserve | - | - | - | - | - | - | (3,872,619) | 3,872,619 | - | |
| Other Reserve | - | - | 3,932,908 | - | - | (20,206,117) | (2,462,684) | 18,735,893 | - | - |
| Debenture Redemption Reserve | | | | | | | | (1,500,000,000) | - | (1,500,000,000) |
| **Transactions with owners, recognised in equity** | | | | | | | | | | |
| Transfer from merged entity | - | - | 5,816,028 | - | - | - | (134,690,086) | 93,657,252 | (78,820,502) | (114,037,308) |
| Less: Tax Paid on Share Swap and Premium of previous year | - | - | - | - | - | - | (1,332,380,358) | - | (6,227,817) | (1,338,608,175) |
| **Dividends to equity holders** | | | | | | | | | | |
| Bonus shares Issued | 357,710,597 | - | - | - | - | - | (357,710,597) | - | - | - |
| Cash Dividend Paid | - | - | - | - | - | - | (2,897,259,147) | - | (26,315,630) | (2,923,574,777) |
| **Balance at July mid, 2024** | **36,128,770,252** | **-** | **12,725,844,200** | **332,211,980** | **6,987,905,305** | **848,195,391** | **1,202,873,140** | **4,328,060,148** | **599,656,913** | **63,153,517,329** |

## STATEMENT OF CHANGES IN EQUITY

For the period ended 15th July 2024

Amount in NPR

| | Bank | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of Bank | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Total Shareholders' Funds |
| **Balance as at July 17, 2022** | **23,795,753,339** | **-** | **6,250,610,171** | **203,845,520** | **1,502,642,200** | **179,710,644** | **3,239,226,171** | **2,567,672,027** | **37,739,460,072** |
| **Comprehensive Income for the year** | | | | | | | | | |
| **Profit for the year** | | | | | | | **6,694,357,795** | | **6,694,357,795** |
| **Other Comprehensive income, net of tax** | | | | | | | | | **-** |
| Gains/(losses)from investments in equity instruments measured at fair value | | | | | | (820,770,340) | | | (820,770,340) |
| Gains/(losses) on revaluation | | | | | | | | | - |
| Actuarial gains/(losses) on defined benefit plans | | | | | | | | 133,610,538 | 133,610,538 |
| Gains/(losses) on cash flow hedge | | | | | | | | | - |
| Exchange gains/(losses) arising from translating financial assets of foreign operation) | | | | | | | | | - |
| **Total comprehensive income** | **-** | **-** | **-** | **-** | **-** | **(820,770,340)** | **6,694,357,795** | **133,610,538** | **6,007,197,993** |
| **Transfer to reserve during the period** | | | | | | | | | |
| General Reserve Fund | | | 1,338,871,559 | | | | (1,338,871,559) | | - |
| Exchange Fluctuation Fund | | | | 4,625,119 | | | (4,625,119) | | - |
| Corporate Social Responsibility Fund | | | | | | | (42,393,693) | 42,393,693 | - |
| Training Reserve | | | | | | | (25,406,761) | 25,406,761 | - |
| Regulatory reserve | | | | | 1,909,172,415 | | (1,909,172,415) | | - |
| Debenture Redemption Reserve | | | | | | | (445,723,684) | 445,723,684 | - |
| Interest Capitalize Reserve | | | | | | | (16,360,164) | 16,360,164 | - |
| **Transfer from reserve during the period** | | | | | | | | | **-** |
| Investment Adjustment Reserve | | | | | | | 397,000,000 | (397,000,000) | - |
| Other Reserve | | | | | | | 26,618,549 | (26,618,549) | - |
| Capital Reserve Fund | | | | | | | 164,075 | (164,075) | |
| **Transactions with owners, recognised in equity** | | | | | | | | | **-** |

Amount in NPR

| | Bank | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of Bank | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Total Shareholders' Funds |
| Transfer from merged entity | 11,261,433,717 | - | 3,738,740,654 | 122,690,087 | 703,901,517 | 1,137,965,994 | (95,229,173) | 959,899,452 | 17,829,402,248 |
| **Dividends to equity holders** | | | | | | | | | |
| Bonus shares Issued | 713,872,600 | | | | | | (713,872,600) | | - |
| Cash Dividend Paid | | | | | | | (2,522,349,854) | | (2,522,349,854) |
| **Balance at July mid, 2023** | **35,771,059,655** | **-** | **11,328,222,384** | **331,160,725** | **4,115,716,133** | **496,906,298** | **3,243,361,568** | **3,767,283,696** | **59,053,710,459** |
| **Balance as at July 17, 2023** | **35,771,059,655** | **-** | **11,328,222,384** | **331,160,725** | **4,115,716,133** | **496,906,298** | **3,243,361,568** | **3,767,283,696** | **59,053,710,459** |
| **Comprehensive Income for the year** | | | | | | | | | |
| **Profit for the year** | | | | | | | **6,137,454,261** | | **6,137,454,261** |
| **Other Comprehensive income, net of tax** | | | | | | | | | **-** |
| Gains/(losses)from investments in equity instruments measured at fair value | | | | | | 372,140,032 | | | 372,140,032 |
| Gains/(losses) on revaluation | | | | | | | | | - |
| Actuarial gains/(losses) on defined benefit plans | | | | | | | | 29,489,044 | 29,489,044 |
| Gains/(losses) on cash flow hedge | | | | | | | | | - |
| Exchange gains/(losses) arising from translating financial assets of foreign operation) | | | | | | | | | - |
| **Total comprehensive income** | **-** | **-** | **-** | **-** | **-** | **372,140,032** | **6,137,454,261** | **29,489,044** | **6,539,083,337** |
| **Transfer to reserve during the period** | | | | | | | | | |
| General Reserve Fund | | | 1,227,490,852 | | | | (1,227,490,852) | | - |
| Exchange Fluctuation Fund | | | | 1,051,254 | | | (1,051,254) | | - |
| Training Reserve | | | | | | | (8,075,628) | 8,075,628 | - |
| Regulatory reserve | | | | | 2,788,683,643 | | (2,788,683,643) | | - |
| Debenture Redemption Reserve | | | | | | | (183,333,333) | 183,333,333 | - |
| Interest Capitalize Reserve | | | | | | | (144,473,934) | 144,473,934 | - |
| Investment Adjustment Reserve | | | | | | | (3,872,619) | 3,872,619 | - |
| Capital Adjustment Reserve | | | | | | | - | 1,500,000,000 | 1,500,000,000 |
| **Transfer from reserve during the period** | | | | | | | | | |

Amount in NPR

| | Bank | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Attributable to Equity holders of Bank | | | | | | | | |
| | Share Capital | Share Premium | General Reserve | Exchange Equalization Reserve | Regulatory Reserve | Fair Value Reserve | Retained Earning | Other Reserve | Total Shareholders' Funds |
| Corporate Social Responsibility Fund | | | | | | | 10,508,571 | (10,508,571) | - |
| Other Reserve | | | 3,932,908 | | | | 15,731,631 | (19,664,539) | - |
| Capital Reserve Fund | | | | | | | - | - | - |
| Debenture Redemption Reserve | | | | | | | - | (1,500,000,000) | (1,500,000,000) |
| **Transactions with owners, recognised in equity** | | | | | | | | | **-** |
| Transfer from merged entity | - | - | - | - | - | - | - | - | - |
| Less: Tax Paid on Share Swap and Premium of previous year | | | | | | | (1,323,961,381) | | (1,323,961,381) |
| **Dividends to equity holders** | | | | | | | | | **-** |
| Bonus shares Issued | 357,710,597 | | | | | | (357,710,597) | | - |
| Cash Dividend Paid | | | | | | | (2,861,684,772) | | (2,861,684,772) |
| **Balance at July mid, 2024** | **36,128,770,252** | **-** | **12,559,646,144** | **332,211,979** | **6,904,399,776** | **869,046,330** | **506,718,018** | **4,106,355,144** | **61,407,147,643** |

The accounting policies and notes from page 13 to 106 form an integral part of the Consolidated Financial Statements.

**Surendra Raj Regmi**
Chief Executive Officer

**Chandra Prasad Dhakal**
Chairman

**Radhesh Pant**
Director

**Prakash Jung Thapa,** FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

**Ram Bahadur Bhandari**
Director

**Krishna Prasad Sharma**
Director

**Chandra Raj Sharma**
Chief Financial Officer

**Madan Lal Joshi**
Director

**Narayan Prasad Paudel**
Director

**Yuddha Raj Oli, FCA**
Partner
PYC & Associates
Chartered Accountants

7th October, 2024
Kathmandu

**Bhagirathi Bhattarai**
Gnyawali
Director

# CONSOLIDATED STATEMENT OF CASH FLOWS

For year ended 15th July 2024

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **CASH FLOW FROM OPERATING ACTIVITIES** | | | | |
| Interest Received | 43,474,901,153 | 41,435,729,171 | 42,532,826,236 | 40,203,453,374 |
| Fees and Other Income Received | 3,701,614,748 | 2,937,985,321 | 3,447,294,523 | 2,744,142,023 |
| Dividend received | - | - | - | - |
| Receipts from other operating activities | 698,631,864 | 581,400,245 | 698,631,864 | 580,355,465 |
| Interest Paid | (33,011,302,571) | (30,200,761,813) | (33,069,454,353) | (29,981,982,451) |
| Commission and Fees Paid | (768,534,942) | (693,538,775) | (764,999,768) | (683,570,414) |
| Cash Payment to Employees | (6,214,680,628) | (3,400,016,456) | (5,906,121,353) | (3,104,166,022) |
| Other Expenses Paid | (2,528,352,118) | (2,115,985,954) | (2,403,913,790) | (2,010,727,579) |
| **Operating cash flows before changes in operating assets and liabilities** | **5,352,277,505** | **8,544,811,740** | **4,534,263,359** | **7,747,504,396** |
| **(Increase) / Decrease in operating assets** | | | | |
| Due from Nepal Rastra Bank | (2,665,868,249) | (6,718,184,817) | (2,665,868,249) | (6,718,184,817) |
| Placements with B/FIs | 668,727,450 | (669,190,450) | 668,727,450 | (668,727,450) |
| Other trading assets | (190,277,386) | (145,475,434) | - | - |
| Loans and advances to B/FIs | 428,814,010 | 1,298,442,802 | (90,814,797) | 616,461,123 |
| Loans and advances to customers | (17,767,725,003) | 6,946,174,040 | (16,552,628,796) | 5,968,290,678 |
| Other assets | (3,372,872,113) | (2,487,050,123) | (3,592,229,111) | (2,321,590,691) |
| | (22,899,201,291) | (1,775,283,982) | (22,232,813,503) | (3,123,751,157) |
| **(Increase) / Decrease in operating liabilities** | | | | |
| Due to Nepal Rastra Bank | (97,391,456) | (13,968,192,195) | (97,391,456) | (13,968,192,195) |
| Due to bank and financial institutions | 4,747,036,415 | 2,139,666,608 | 4,409,906,395 | 2,650,154,364 |
| Deposit from customers | 61,007,705,138 | 36,431,523,084 | 61,130,408,651 | 36,688,215,473 |
| Borrowings | 8,298,776,992 | (4,460,669,736) | 8,818,405,799 | (3,778,688,057) |
| Other liabilities | 3,119,624,567 | 80,789,728 | 3,090,654,647 | (129,850,370) |
| | 77,075,751,656 | 20,223,117,489 | 77,351,984,036 | 21,461,639,215 |
| **Net cash flow from operating activities before tax paid** | **59,528,827,870** | **26,992,645,246** | **59,653,433,892** | **26,085,392,454** |
| Income taxes paid | (3,225,968,611) | (3,466,782,345) | (3,173,015,749) | (3,345,095,106) |
| **Net cash flow from operating activities** | **56,302,859,259** | **23,525,862,901** | **56,480,418,143** | **22,740,297,348** |
| **CASH FLOW FROM INVESTING ACTIVITIES** | | | | |
| Purchase of investment securities | (33,236,640,466) | (24,530,404,261) | (33,047,357,884) | (24,504,862,541) |
| Receipt from sale of investment securities | 316,199,057 | - | 316,199,057 | - |
| Purchase of property and equipment | (1,267,210,263) | (577,681,842) | (1,233,567,828) | (540,429,386) |
| Receipt from sale of property and equipment | - | - | - | - |
| Purchase of intangible assets | (24,800,922) | (43,321,780) | (23,256,857) | (43,208,779) |
| Receipt from sale of intangible assets | - | - | - | - |
| Purchase of investment properties | (3,113,715,747) | (1,171,326,234) | (3,113,715,747) | (1,171,326,234) |



Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Receipt from sale of investment properties | - | - | - | - |
| Interest received | 7,330,602,333 | 3,786,480,178 | 7,330,602,333 | 3,786,480,178 |
| Dividend received | 139,444,327 | 93,330,254 | 139,444,327 | 93,021,334 |
| **Net cash used in investing activities** | **(29,856,121,681)** | **(22,442,923,684)** | **(29,631,652,599)** | **(22,380,325,428)** |
| **CASH FLOW FROM FINANCING ACTIVITIES** | | | | |
| Receipt from issue of debt securities | - | 4,991,536,157 | - | 4,991,536,157 |
| Repayment of debt securities | (1,500,000,000) | - | (1,500,000,000) | - |
| Receipt from issue of subordinated liabilities | - | - | - | - |
| Repayment of subordinated liabilities | - | - | - | - |
| Receipt from issue of shares | - | 140,000,000 | - | - |
| Dividend paid | (2,575,511,332) | (2,577,423,348) | (2,513,621,327) | (2,521,057,202) |
| Interest paid | (1,940,184,375) | (1,422,758,565) | (1,575,565,942) | (905,068,143) |
| Other receipt/payment | 89,833,468 | 8,765,039,547 | - | 8,389,904,270 |
| **Net cash from financing activities** | **(5,925,862,238)** | **9,896,393,791** | **(5,589,187,269)** | **9,955,315,081** |
| **Net increase/(decrease) in cash and cash equivalents** | **20,520,875,340** | **10,979,333,008** | **21,259,578,275** | **10,315,287,001** |
| **Cash and Cash Equivalents as at 17th July** | **29,695,930,524** | **18,698,097,038** | **28,531,853,793** | **18,198,066,315** |
| Effect of exchange rate fluctuation on Cash & Cash Equivalents | 4,205,015 | 18,500,477 | 4,205,015 | 18,500,477 |
| **Cash and Cash Equivalents as at July mid** | **50,221,010,878** | **29,695,930,524** | **49,795,637,083** | **28,531,853,793** |

The accounting policies and notes from page 13 to 106 form an integral part of the Consolidated Financial Statements.

**Surendra Raj Regmi**
Chief Executive Officer

**Chandra Prasad Dhakal**
Chairman

**Radhesh Pant**
Director

**Prakash Jung Thapa,** FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

**Ram Bahadur Bhandari**
Director

**Krishna Prasad Sharma**
Director

**Chandra Raj Sharma**
Chief Financial Officer

**Madan Lal Joshi**
Director

**Narayan Prasad Paudel**
Director

**Yuddha Raj Oli, FCA**
Partner
PYC & Associates
Chartered Accountants

7th October, 2024
Kathmandu

**Bhagirathi Bhattarai**
Gnyawali
Director

## Statement Of Distributable Profit Or Loss

For Year ended 15th July 2024
(As per NRB Regulation)

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| **Net profit or (loss) as per statement of profit or loss** | **6,137,454,261** | **6,694,357,795** |
| **Appropriations:** | | |
| a. General reserve | (1,227,490,852) | (1,338,871,559) |
| b. Foreign exchange fluctuation fund | (1,051,254) | (4,625,119) |
| c. Capital redemption reserve | (183,333,333) | (445,723,684) |
| d. Corporate social responsibility fund | 10,508,571 | (42,393,693) |
| e. Employees' training fund | (8,075,628) | (25,406,761) |
| f. Other | | - |
| i. Investment adjustment Reserve | (3,872,619) | 397,000,000 |
| ii. Interest capitalize Reserve | (144,473,934) | (16,360,164) |
| iii. Fair Value Reserve ( Sale of Shares) | | - |
| iv. Other Reserve | 15,731,631 | 26,782,624 |
| **Profit or (loss) before regulatory adjustment** | **4,595,396,842** | **5,244,759,439** |
| **Regulatory adjustment :** | | |
| a. Interest receivable (-)/previous accrued interest received (+) | (1,073,179,394) | (1,335,734,199) |
| b. Short loan loss provision in accounts (-)/reversal (+) | - | - |
| c. Short provision for possible losses on investment (-)/reversal (+) | - | - |
| d. Short loan loss provision on Non-Banking Assets (-)/reversal (+) | (1,961,948,732) | (696,064,201) |
| e. Deferred tax assets recognized (-)/ reversal (+) | 216,955,438 | (36,822,971) |
| f. Goodwill recognized (-)/ impairment of Goodwill (+) | - | - |
| g. Bargain purchase gain recognized (-)/reversal (+) | - | - |
| h. Actuarial loss recognized (-)/reversal (+) | 29,489,044 | 159,448,956 |
| i. Other | | - |
| **Net Profit for the year end 15th July 2024 available for distribution** | **1,806,713,199** | **3,335,587,024** |
| **Opening Retained Earning as on July 17, 2023** | **3,243,361,568** | **3,239,226,171** |
| Adjustment(+/-) | - | - |
| Transfer from Merger | - | (95,229,173) |
| Tax Paid on Share Swap and Premium of Previous Year | (1,323,961,381) | - |
| **Distribution** | | |
| Bonus Share Issued | (357,710,597) | (713,872,600) |
| Cash Dividend Paid | (2,861,684,772) | (2,522,349,854) |
| **Total Distributable profit or (loss) as on year end date** | **506,718,017** | **3,243,361,568** |
| **Annualized Distributable Profit/Loss per share** | **1.40** | **9.07** |



## 4.1 CASH AND CASH EQUIVALENT

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position. Bank has classified financial investments with original maturities of three months or less as cash and cash equivalents which includes investments in treasury bills and placements with financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Cash in hand | 7,134,191,336 | 6,594,379,913 | 7,133,336,692 | 6,594,331,623 |
| -Balance with financial institution | 5,788,772,935 | 9,200,368,325 | 5,404,234,119 | 8,076,320,218 |
| -Money at call and short notice | 39,980,334 | 39,980,334 | - | - |
| -Other cash and cash equivalent | 37,258,066,272 | 13,861,201,952 | 37,258,066,272 | 13,861,201,952 |
| | **50,221,010,878** | **29,695,930,524** | **49,795,637,083** | **28,531,853,793** |

## 4.2 DUE FROM NEPAL RASTRA BANK

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. These balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 15th July 2024, the minimum cash reserve requirement was 4 % (Previous Year: 4 %) of the total local currency deposit liabilities. As at 15th July 2024, the statutory liquidity ratio to be maintained was 12 % (Previous Year: 12 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve is also included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Statutory balance with Nepal Rastra Bank | 21,314,921,137 | 18,649,052,888 | 21,314,921,137 | 18,649,052,888 |
| -Securities purchased under resale agreement | - | - | - | - |
| -Other deposit and receivable from NRB | - | - | - | - |
| | **21,314,921,137** | **18,649,052,888** | **21,314,921,137** | **18,649,052,888** |

## 4.3 PLACEMENT WITH BANK AND FINANCIAL INSTITUTIONS

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal, placed for short term. This includes placements in Nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal held for period of more than three months . Placements with maturities of three months or less are classified as cash and cash equivalents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the Effective Interest Rate (EIR), less provision for impairment.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -placements | | | | |
| -with domestic B/FIs Nepal | - | - | - | - |
| -with foreign B/FIs | - | 668,727,450 | - | 668,727,450 |
| less: allowances for impairment | - | - | - | - |
| | **-** | **668,727,450** | **-** | **668,727,450** |

## 4.4 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Held for trading** | | | | |
| -interest rate swap | - | - | - | - |
| -currency swap | - | - | - | - |
| -forward exchange contract | - | - | - | - |
| -others | - | - | - | - |
| **Held for risk management** | | | | |
| -Interest rate swap | - | - | - | - |
| -Currency swap | - | - | - | - |
| -forward exchange contract | 4,525,346,887 | 996,239,429 | 4,525,346,887 | 996,239,429 |
| -others | - | - | - | |
| | **4,525,346,887** | **996,239,429** | **4,525,346,887** | **996,239,429** |

## 4.5 OTHER TRADING ASSETS

Trading assets are securities held by group for the purpose of selling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Treasury bills | - | - | - | - |
| Government bonds | - | - | - | - |
| NRB Bonds | - | - | - | - |
| Domestic Corporate bonds | 81,389,834 | 76,081,695 | - | - |
| Equities | 1,220,296,623 | 1,129,629,155 | - | - |
| Other | - | - | - | - |
| | 1,301,686,457 | 1,205,710,850 | - | - |
| Pledged | | | - | - |
| Non-pledged | 1,301,686,457 | 1,205,710,850 | - | - |
| | **1,301,686,457** | **1,205,710,850** | **-** | **-** |



### 4.5.1. INVESTMENT SECURITIES MEASURED AT FVTPL

Amount in NPR

| | Group | | | | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| Api Power Company Ltd. | - | - | - | 17 | 3,561 | 3,349 |
| Arun Valley Hydropower Development Co. Ltd. | 2,401 | 494,253 | 427,138 | 22,720 | 7,083,824 | 5,793,600 |
| Asian Life Insurance Company Ltd | 6,718 | 4,058,449 | 4,185,314 | 1,736 | 1,204,744 | 1,293,635 |
| Bottlers Nepal(Terai)Limited | 170 | 2,334,100 | 2,210,000 | 200 | 2,467,640 | 2,760,000 |
| Butwal Power Company Limited | 959 | 294,988 | 297,290 | 959 | 343,910 | 316,834 |
| Chandragiri Hills Limited | 44,191 | 66,416,312 | 40,125,428 | 42,144 | 64,350,836 | 53,944,320 |
| Chhimek Laghubitta Bittiya Sanstha Ltd. | 1,488 | 1,355,783 | 1,339,200 | 1,204 | 1,313,050 | 1,204,018 |
| Citizen Investment Trust. | 7,456 | 13,836,012 | 14,501,920 | 81 | 150,111 | 169,731 |
| Deprosc Laghubitta Bittiya Sanstha Ltd. | 1,742 | 1,161,547 | 1,465,022 | 1,584 | 2,096,334 | 1,308,384 |
| Everest Bank Ltd. | 8,409 | 4,716,962 | 4,709,040 | 22,644 | 13,385,013 | 12,748,825 |
| First Micro Finance Laghubitta Bittiya Sanstha Ltd. | 223,973 | 159,525,927 | 152,525,613 | 229,391 | 176,403,095 | 168,900,593 |
| Forward Microfinance Laghubitta Bittiya Sanstha Ltd. | 464 | 615,131 | 655,632 | 1,325 | 1,964,464 | 1,749,665 |
| Garima Bikas Bank Ltd. | 3,566 | 1,268,407 | 1,373,267 | 2,001 | 759,137 | 810,203 |
| Global IME Bank Ltd | - | - | - | 1 | 157 | 138 |
| Global IME Laghubitta Bittiya Sanstha Ltd | - | - | - | 336 | 412,788 | 356,496 |
| Goodwill Finance Ltd | - | - | - | 14,605 | 7,311,418 | 7,054,215 |
| Grameen Bikas Laghubitta Bittiya Sanstha Ltd. | 2,150 | 1,105,100 | 1,743,650 | 2,150 | 2,250,425 | 1,360,950 |
| Greenlife Hydropower Ltd | 239,718 | 111,130,866 | 51,803,060 | 244,437 | 117,351,797 | 62,453,654 |
| Himalaya Urja Bikas Company Ltd | 449,424 | 128,576,485 | 87,637,680 | 219,798 | 105,834,037 | 60,224,652 |
| Himalayan Bank Ltd | 5,000 | 1,025,995 | 1,021,000 | 21,294 | 6,313,028 | 4,531,363 |
| Himalayan Everest Insurance Ltd (P) | 252,271 | 104,025,805 | 88,042,579 | 1,824 | 825,086 | 839,040 |
| Himalayan Life Insurance Ltd | 9,454 | 4,871,232 | 3,696,514 | 55,065 | 41,623,855 | 27,917,914 |
| Himalayan Power Partner Limited | 9,000 | 4,035,435 | 2,754,000 | 196,135 | 87,946,150 | 56,074,997 |
| IGI Prudential Insurance Ltd. | 29,114 | 15,930,963 | 16,245,612 | 3,972 | 1,770,017 | 2,224,370 |
| Jyoti Bikas Bank Ltd. | 15,890 | 5,036,180 | 4,989,460 | 7 | - | 2,086 |
| Kamana Sewa Bikas Bank Ltd | 1,000 | 365,292 | 416,000 | 17,738 | 9,443,673 | 5,800,378 |
| Laxmi Bank Limited | - | - | - | 916 | 186,237 | 158,468 |
| Laxmi Equity Fund | 41,400 | 378,514 | 392,058 | 41,400 | 378,514 | 397,026 |
| Laxmi Laghubitta Bittiya Sanstha Limited | - | - | - | 1,022 | 1,074,111 | 912,298 |
| Life Insurance Corporation (Nepal) Ltd | 1,431 | 2,053,485 | 2,057,778 | 1,471 | 2,406,672 | 2,287,405 |
| Machhapuchhre Bank Ltd. | 8,158 | 2,001,876 | 1,631,600 | 35,786 | 11,245,605 | 8,295,195 |
| Madhya Bhotekoshi Jalavidyut Co Ltd | 2,005 | 551,374 | 616,538 | 2,935 | 1,053,064 | 866,119 |
| Manjushree Finance Ltd | 15,632 | 9,469,516 | 9,424,533 | 5,748 | 4,604,808 | 3,161,400 |
| Mero Microfinance Bittiya Sanstha Ltd. | 1 | 544 | 700 | 1,965 | 2,414,627 | 1,298,865 |
| Mirmire laghubitta Bittiya Sanstha Ltd | - | - | - | 68 | 58,221 | 47,964 |
| Mithila Laghubitta Bittiya Sanstha Ltd. | 1,991 | 2,766,700 | 2,745,788 | 2,524 | 3,926,182 | 3,205,785 |
| Mountain Energy Nepal Ltd | 195,492 | 169,187,665 | 116,708,724 | 2,877 | 2,901,221 | 2,862,615 |

Amount in NPR

| | Group | | | | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| Mountain Hydro Nepal Ltd. | - | - | - | 960 | 481,050 | 228,480 |
| Nabil Bank Ltd | - | - | - | 11,645 | 9,137,570 | 6,977,606 |
| Narayani Development Bank Ltd | - | - | - | 8,986 | 3,855,098 | 3,720,204 |
| National Hydro Power Company Ltd | 11,302 | 1,583,514 | 1,841,096 | 19,757 | 4,195,834 | 3,514,770 |
| National Insurance Company Ltd | - | - | - | 4,727 | 3,187,565 | 3,049,141 |
| NECO Insurance Company Ltd | 7,782 | 6,440,327 | 6,505,752 | 1,675 | 1,596,638 | 1,492,878 |
| Nepal Bangladesh Bank Ltd | 1,553 | 801,773 | 813,772 | - | - | - |
| Nepal Bank Ltd | 7,323 | 1,806,768 | 1,680,629 | 3,753 | 895,868 | 934,612 |
| Nepal Doorsanchar Company Ltd. | 14,947 | 13,348,135 | 12,630,215 | 2,810 | 2,490,317 | 2,548,389 |
| Nepal Infrastructure Bank Limited | - | - | - | 2,718 | 972,607 | 608,832 |
| Nepal Insurance Company Ltd | 4,546 | 3,028,127 | 4,000,480 | 42 | 376 | 34,440 |
| Nepal Investment Bank Ltd. | 7,550 | 1,364,281 | 1,322,005 | 25,766 | 9,972,940 | 4,478,200 |
| Nepal Investment Bank Ltd. (P) | 8,070 | 1,187,913 | 1,120,923 | 11,254 | 3,716,682 | 1,731,929 |
| Nepal Life Insurance Co. Ltd. | 34,461 | 27,575,039 | 21,331,359 | 30,315 | 25,328,317 | 22,554,628 |
| Nepal Reinsurance Co. Ltd. | 5,504 | 4,829,957 | 3,842,532 | 83,174 | 86,985,465 | 61,548,760 |
| Nepal Reinsurance Co. Ltd. (P) | 209,500 | 39,332,831 | 58,869,500 | 387,433 | 76,195,476 | 76,195,476 |
| Nepal SBI Bank Ltd | 31 | 9,754 | 10,168 | 20 | 6,341 | 6,820 |
| Nerude Laghubitta Bittiya Sanstha Ltd. | - | - | - | 1 | - | 688 |
| Ngadi Group Power Ltd. | - | - | - | 176,078 | 55,940,012 | 41,184,644 |
| NIC Asia Bank Ltd. | 8,320 | 5,031,000 | 3,687,424 | 6,450 | 4,882,216 | 5,120,010 |
| NIC Asia Laghubitta Bittiya Sanstha Ltd | 361 | 239,379 | 254,505 | 361 | 369,483 | 263,169 |
| Nirdhan Utthan Laghubitta Bittiya Sanstha Ltd | 3,420 | 2,163,907 | 2,434,698 | 1,420 | 1,447,136 | 1,086,430 |
| NLG Insurance Company Ltd | - | - | - | 801 | 620,430 | 672,815 |
| NMB Bank Ltd | 2,775 | 621,600 | 604,950 | 2,775 | 1,054,981 | 627,150 |
| NRN Infrastructure And Development Ltd | 977 | 775,615 | 730,796 | 977 | 775,615 | 501,201 |
| Panchakanya Mai Hydropower Ltd. | - | - | - | 1,512 | 556,459 | 308,448 |
| Prabhu Bank Limited | 7,220 | 1,184,080 | 1,181,914 | 7,221 | 1,499,236 | 1,174,086 |
| Prabhu Insurance Company Ltd | - | - | - | 1,600 | 1,139,991 | 1,194,931 |
| Prabhu Life Insurance Limited | 31,140 | 21,805,255 | 17,566,074 | 31,140 | 21,805,255 | 18,279,180 |
| Prime Commercial Bank Limited | 4,825 | 892,625 | 1,070,185 | 4,826 | 932,526 | 941,132 |
| Rastriya Beema Company Ltd | 270 | 4,185,963 | 3,642,300 | 130 | 1,898,048 | 2,092,870 |
| Rastriya Beema Company Ltd. Po | 18,532 | 303,069,998 | 187,080,540 | 14,951 | 250,771,122 | 233,205,698 |
| Rasuwagadhi Hydropower Co Ltd. | 3,050 | 865,590 | 899,750 | 3,050 | 1,091,600 | 915,000 |
| Ridhi Hydropower Co. Ltd. | 1 | 100 | 191 | - | - | - |
| Sagarmatha Lumbini Insurance Co Ltd | 2,585 | 1,805,058 | 1,879,295 | 8 | 6,194 | 5,984 |
| Sahas Urja Ltd | 1,910 | 811,559 | 991,290 | 1,910 | 1,136,474 | 924,249 |
| Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd | 1,676 | 1,590,885 | 1,430,801 | 1,687 | 1,591,273 | 1,307,549 |
| Sanima Bank Ltd | 13,208 | 3,635,100 | 3,685,032 | 12,118 | 3,163,296 | 3,156,609 |
| Shangrila Development Bank Ltd. | 10,605 | 3,271,503 | 3,701,145 | 4,221 | 1,603,833 | 1,359,162 |
| Shine Resunga Development Bank Ltd | - | - | - | 1 | - | 384 |
| Shivam Cements Ltd. | 61,208 | 34,502,846 | 30,744,778 | 43,175 | 28,448,538 | 28,129,148 |



Amount in NPR

| | Group | | | | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| Siddhartha Investment Growth Scheme 3 | 50,000 | 500,000 | 472,500 | 50,000 | 500,000 | 500,000 |
| Siddhartha Bank ltd | 11,679 | 2,956,052 | 3,305,157 | 5,366 | 1,858,609 | 1,357,661 |
| Siddhartha Equity Fund | 122,600 | 1,049,252 | 1,028,614 | 122,600 | 1,049,252 | 1,156,118 |
| Siddhartha Premier Insurance Ltd | 9,378 | 6,832,019 | 8,064,142 | 3,295 | 2,929,903 | 2,564,908 |
| Sikles Hydropower Ltd | - | - | - | 790 | 324,667 | 305,730 |
| Standard Chartered Bank Ltd. | 1,511 | 848,534 | 909,622 | 1,501 | 777,317 | 795,680 |
| Sunrise Bank Ltd. | 24,431 | 3,784,461 | 4,275,425 | 8,133 | 1,561,250 | 1,407,822 |
| Surya Jyoti Life Insurance Company Ltd. | 2,714 | 1,627,830 | 1,166,749 | 14,063 | 9,695,136 | 8,578,259 |
| Swabalamban Laghubitta Bittiya Sanstha Ltd | - | - | - | 1,479 | 716,030 | 1,331,987 |
| Swabalamban Laghubitta Bittiya Sanstha Ltd (P) | 9,967 | 4,294,729 | 7,794,194 | 8,871 | 4,294,729 | 6,937,122 |
| Swabhimaan laghubitta Bittiya Sanstha Ltd | - | - | - | 231 | 252,747 | 207,687 |
| Upper Tamakoshi Hydropower Ltd | - | - | - | 47,430 | 24,103,799 | 20,243,124 |
| Citizen Super 30 Mutual Fund-30 | 30,000 | 272,100 | 300,000 | 30,000 | 300,000 | 300,000 |
| Global IME Balance Fund 1 | - | - | - | 45,000 | 450,000 | 420,300 |
| Global IME Sammunnat Yojana-1 | - | - | - | 113,613 | 1,286,048 | 1,286,048 |
| Kumari Dhanbriddhi Yojana | 101,545 | 869,679 | 981,940 | 101,545 | 937,629 | 1,019,512 |
| Nabil Equity Fund | - | - | - | 75,000 | 998,959 | 720,750 |
| NIBL Growth Fund | 30,000 | 232,500 | 319,200 | 30,000 | 300,000 | 319,200 |
| NIBL Sahabhagita Fund | 43,000 | 430,000 | 453,220 | 43,000 | 493,665 | 459,240 |
| NIC Asia Dynamic Debt Fund | 30,000 | 300,000 | 325,800 | 30,000 | 300,000 | 333,300 |
| NMB 50 Mutual Fund | 422,423 | 5,175,080 | 4,241,127 | 422,423 | 5,172,492 | 4,435,442 |
| Nmb Hybrid Fund 1 | - | - | - | 100,614 | 1,242,553 | 1,085,625 |
| Prabhu Select Fund | 612,350 | 5,883,264 | 5,994,907 | 612,350 | 5,883,264 | 5,419,298 |
| Prabhu Smart Fund | 30,000 | 234,600 | 288,300 | 30,000 | 300,000 | 297,000 |
| RBB Mutual Fund 2 | 30,000 | 312,900 | 285,000 | 30,000 | 300,000 | 300,000 |
| Sanima Equity Fund | 411,558 | 5,499,430 | 4,490,098 | 770,058 | 10,288,990 | 9,086,684 |
| Sanima Large Cap Fund | 541,340 | 5,611,359 | 5,029,049 | 541,340 | 5,611,359 | 4,828,753 |
| Siddhartha Investment Growth Scheme-2 | 298,659 | 3,096,166 | 2,834,274 | 248,659 | 2,653,434 | 2,245,391 |
| Sunrise Bluechip Fund | 524,670 | 5,166,470 | 4,339,021 | 524,670 | 5,188,503 | 4,118,660 |
| Sunrise First Mutual Fund | 438,125 | 5,484,391 | 4,534,594 | 430,250 | 5,395,103 | 4,767,170 |
| Sunrise Focused Equity Fund | 1,000,000 | 10,000,000 | 8,240,000 | 1,000,000 | 10,000,000 | 9,680,000 |
| Kumari Bank Limited (P) | 187,184 | 20,799,121 | 19,467,136 | - | - | - |
| Prabhu Bank Limited Promoter Share | 128,381 | 14,805,917 | 12,838,100 | - | - | - |
| Mahalaxmi Bikas Bank Ltd. | 19,017 | 6,650,736 | 6,693,984 | - | - | - |
| Sanima Middle Tamor Hydropower Limited | 13,290 | 5,200,356 | 5,980,500 | - | - | - |
| Chilime Hydropower Company Limited | 12,957 | 5,952,806 | 6,025,005 | - | - | - |
| Arun Kabeli Power Ltd. | 4,201 | 815,359 | 777,185 | - | - | - |
| Upper Solu Hydro Electric Company Limited | 1,200 | 444,490 | 584,400 | - | - | - |
| Soaltee Hotel Limited | 21,094 | 9,769,910 | 9,323,548 | - | - | - |

Amount in NPR

| | Group | | | | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| IME Life Insurance Company Limited | 21,338 | 9,889,876 | 9,666,114 | - | - | - |
| Citizen Life Insurance Company Limited | 16,595 | 7,755,439 | 9,037,637 | - | - | - |
| Reliable Nepal Life Insurance Limited | 8,486 | 3,568,765 | 3,886,588 | - | - | - |
| National Life Insurance Co. Ltd. | 7,361 | 4,339,390 | 4,379,795 | - | - | - |
| Mahila Lagubitta Bittiya Sanstha Limited | 540 | 1,004,400 | 1,098,900 | - | - | - |
| Suryodaya Womi Laghubitta Bittiya Sanstha Ltd. | 1 | - | 945 | - | - | - |
| Sonapur Minerals And Oil Limited | 18,885 | 8,714,815 | 8,613,449 | - | - | - |
| Ghorahi Cement Industry Limited | 18,538 | 8,614,884 | 9,194,848 | - | - | - |
| Sarbottam Cement Limited | 14,127 | 5,664,927 | 11,393,426 | - | - | - |
| Laxmi Value Fund 2 | 530,000 | 5,300,000 | 4,897,200 | - | - | - |
| Kumari Sabal Yojana | 500,000 | 5,000,000 | 5,000,000 | - | - | - |
| NIBL Stable Fund | 300,000 | 3,000,000 | 3,000,000 | - | - | - |
| NIC ASIA Growth Fund-2 | 250,000 | 2,500,000 | 2,050,000 | - | - | - |
| Himalayan 80-20 | 250,000 | 2,500,000 | 2,497,500 | - | - | - |
| Siddhartha Premier Insurance Limited (P) | 30,000 | 5,264,988 | 12,780,000 | - | - | - |
| Sanima GIC Insurance Limited | 6,160 | 3,455,671 | 3,554,320 | - | - | - |
| Himalayan Reinsurance Limited | 11,767 | 6,994,138 | 6,824,860 | - | - | - |
| 10% Himalayan Bank Debenture | 2,755 | 3,105,276 | 2,975,400 | 2,755 | 3,105,276 | 2,979,808 |
| 10% Sanima Bank Debenture | 347 | 361,581 | 436,040 | 247 | 248,282 | 279,308 |
| 10% Sunrise Bank Debenture | - | - | - | 6,250 | 6,734,630 | 6,375,000 |
| 10.25% Kumari Bank Ltd Debenture | 796 | 778,375 | 916,196 | 796 | 778,375 | 880,774 |
| 10.25% Nepal Banladesh Bank Debenture | 26,066 | 31,088,923 | 32,061,180 | 26,066 | 31,088,923 | 32,637,239 |
| 10.25% Nepal SBI Bank Debenture 2083 | 300 | 292,852 | 328,800 | 300 | 292,852 | 300,000 |
| 10.25% NIC Asia Debenture 2083/84 | - | - | - | 10 | 9,217 | 10,975 |
| 10.25% Sunrise Bank Debenture 2083 | - | - | - | 20 | 18,425 | 21,400 |
| 10.35% Agriculture Dev. Bank Debenture | 6,826 | 7,875,413 | 7,767,305 | 6,324 | 7,321,844 | 7,101,852 |
| 10.50% Siddhartha Bank Ltd Debenture | - | - | - | 480 | 503,613 | 508,896 |
| 10.50%Century Commercial Bank Ltd Debenture | 8,030 | 8,030,000 | 8,992,797 | 8,030 | 8,030,000 | 8,213,887 |
| 11% NIC ASIA Bank Ltd Debenture | 1,511 | 1,690,237 | 1,795,975 | 2,511 | 2,808,857 | 2,937,870 |
| 12% Goodwill Finance Debenture 2083 | - | - | - | 1,276 | 1,348,564 | 1,435,500 |
| 12% ICFC Finance Debenture 2083 | 272 | 282,085 | 353,736 | 484 | 501,943 | 574,024 |
| 8% Nabil Bank Debenture | 10,400 | 10,353,677 | 10,400,000 | 10,400 | 10,353,677 | 8,767,200 |
| 9% NIC Asia Debenture 2081/82 | - | - | - | 160 | 154,107 | 161,536 |
| 9.5% Manjushree Debenture 2085 | 2,020 | 1,955,100 | 2,098,376 | 20 | 17,100 | 19,500 |
| 9.5% NCC Rinpatra 2086 | 540 | 521,728 | 563,220 | 540 | 521,728 | 585,360 |
| 10% KBL DEBENTURE 2090 | 5,000 | 5,000,000 | 5,000,000 | - | - | - |
| 10% Citizens Bank Debenture 2090 | 2,500 | 2,500,000 | 2,645,000 | - | - | - |
| 9% Kamana Sewa Debenture 2087 | 2,000 | 2,000,000 | 2,050,000 | - | - | - |



Amount in NPR

| | Group | | | | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| 8.5% Nepal Investment Bank Debenture 2084 | 1,066 | 876,829 | 1,044,787 | - | - | - |
| 10% Nabil Bank Debenture 2082 | 1,000 | 989,800 | 1,051,000 | - | - | - |
| 11% Mahalaxmi Debenture 2089 | 463 | 463,000 | 520,875 | - | - | - |
| Garima Debenture | 153 | 146,743 | 151,164 | - | - | - |
| | | **1,603,129,802** | **1,301,686,457** | | **1,471,612,120** | **1,205,710,850** |

## 4.6 LOANS AND ADVANCES TO BANKS AND FINANCIAL INSTITUTIONS

Loans and advances to banks and financial institutions includes loans provided to class "D" financial institutions. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate. Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category for providing the loan loss provisions.

Bank has applied both collective and individual assessment for calculating the impairment for loans and advances to banks and financial institutions. Loans and advances to banks and financial institutions are individulally tested for impairment. No any specific impairment has occur for the year and the previous years. Collective impairment has been provided based on the loan clasess falling in the loan products with similar risk characteristics to the loan products classified for loans and advances to customers as no historical loss existed for the loans and advances provided to financial institutions. Loans to microfinance institutions and others include interest income accrued on such loans. Loan Loss provision for loans and advances to Banks and Financial Institution is provided at higher of provisions as per Unified directive number 2 issued by Nepal Rastra Bank and loan loss provision measured as per NFRS 9.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Loans to microfinance institutions | 10,751,419,296 | 11,135,007,963 | 13,929,850,874 | 13,793,810,734 |
| Others | - | 45,225,343 | - | 45,225,343 |
| Less: Allowances for Impairment | (128,053,149) | (144,246,787) | (166,194,328) | (178,811,223) |
| | **10,623,366,147** | **11,035,986,519** | **13,763,656,546** | **13,660,224,854** |

### 4.6.1: ALLOWANCES FOR IMPAIRMENT

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Balance at July 17 | 144,246,787 | 115,900,800 | 178,811,223 | 141,599,474 |
| Impairment loss for the year: | - | - | | - |
| Transfer from Merger/Acquisition | - | 45,041,410 | - | 45,041,410 |
| Charge for the year | 34,668,980 | 45,108,850 | 38,245,723 | 53,974,612 |
| Recoveries/reversal | (50,862,618) | (61,804,273) | (50,862,618) | (61,804,273) |
| Amount written off | - | - | - | - |
| **Balance at July mid** | **128,053,149** | **144,246,787** | **166,194,328** | **178,811,223** |

## 4.7 LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account of upfront service fees collected on the individual loans to customers for calculating EIR, as the upfront service fees collected in terms of term based loans are less than 1% of the loan amount. As per carve out on NFRS 9 (EIR) these service fees are taken to the income and not taken for recalculating the EIR of loans on the basis of materiality.

Loan loss provisions on loans and advances to customers are provided on the basis of Unified Directive number 2 issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category and provisions are made accordingly. Loan loss provisions are provided on the basis of percentage of total loan outstanding based on their overdue days and other criteria set out in the directives issued by Nepal Rastra Bank.

The Bank has applied the carve out provided by Institute of Chartered Accountants of Nepal issued for the implementation of Para 5.5 of NFRS 9-Financial Instruments and measured the Impairment Loss on Loan and advances. Loans and advances to customers are also individulally tested for impairment. Collective impairment on customer loans has been provided to the loans falling in the  loan products with similar risk characteristics .Impairment charges is provided on the higher of loan loss provision as per Unified Directive number 2 issued by Nepal Rastra Bank and loan loss provision measured as per NFRS 9.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Loan and advances measured at amortized cost | 396,003,122,020 | 376,061,157,256 | 386,982,657,731 | 368,395,661,154 |
| **Less: Allowances for Impairment** | - | | - | |
| Collective impairment | (6,975,141,589) | (6,907,025,260) | (6,475,785,108) | (6,532,760,797) |
| Individual impairment | (11,082,353,189) | (7,396,152,113) | (11,082,353,189) | (7,396,152,113) |
| **Net amount** | **377,945,627,242** | **361,757,979,882** | **369,424,519,435** | **354,466,748,244** |
| Loan and advances measured at FVTPL | | | | - |
| **Total** | **377,945,627,242** | **361,757,979,882** | **369,424,519,435** | **354,466,748,244** |



## 4.7.1 ANALYSIS OF LOANS AND ADVANCES – BY PRODUCT

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Product** | | | | |
| Long Term loans | 162,367,270,155 | 123,813,044,852 | 153,568,671,641 | 123,813,044,852 |
| Personal | 24,307,947,752 | 18,702,043,385 | 21,824,160,491 | 18,702,043,385 |
| Business | 93,724,042,679 | 82,033,243,329 | 87,409,231,426 | 82,033,243,329 |
| Working Capital | 44,335,279,724 | 23,077,758,138 | 44,335,279,724 | 23,077,758,138 |
| Overdraft (Personal) | 9,368,332,021 | 10,923,135,712 | 9,368,332,021 | 10,923,135,712 |
| Cash Credit Loan | 58,584,549,392 | 66,576,076,188 | 58,584,549,392 | 66,576,076,188 |
| Trust receipt/Import loans | 7,515,049,902 | 6,577,941,224 | 7,515,049,902 | 6,577,941,224 |
| Short Term WC/Demand Loan | 47,583,475,942 | 59,658,239,623 | 47,583,475,942 | 59,658,239,623 |
| Personal residential loans | 33,006,984,408 | 27,994,154,375 | 33,003,660,322 | 27,989,969,712 |
| Real estate loans | 15,849,058,908 | 15,995,656,774 | 15,849,058,908 | 15,995,656,774 |
| Margin lending loans | 7,517,371,612 | 6,274,911,281 | 7,517,371,612 | 6,274,911,281 |
| Hire purchase loans | 13,978,669,876 | 14,141,902,154 | 13,978,669,876 | 14,141,902,154 |
| Deprived sector loans | 20,216,418,697 | 27,859,292,359 | 20,216,418,697 | 20,383,959,616 |
| Bills purchased | 329,594,165 | - | 329,594,165 | - |
| Staff loans | 2,709,639,357 | 2,437,837,343 | 2,681,302,020 | 2,406,656,983 |
| Other | 9,402,620,173 | 8,304,651,756 | 9,402,617,400 | 8,304,648,983 |
| **Sub total** | **388,429,034,608** | **370,556,843,643** | **379,598,771,898** | **363,046,143,102** |
| Interest Receivable | 7,574,087,412 | 5,504,313,613 | 7,383,885,833 | 5,349,518,052 |
| **Grand total** | **396,003,122,020** | **376,061,157,256** | **386,982,657,731** | **368,395,661,154** |

## 4.7.2 ANALYSIS OF LOAN AND ADVANCES – BY CURRENCY

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Nepalese rupee | 383,783,927,812 | 369,525,468,897 | 374,953,665,102 | 362,014,768,357 |
| Indian rupee | - | - | - | - |
| United State dollar | 4,630,338,749 | 1,008,174,707 | 4,630,338,749 | 1,008,174,707 |
| Great Britain pound | - | - | - | - |
| Euro | 14,768,047 | 23,200,038 | 14,768,047 | 23,200,038 |
| Japanese yen | - | - | - | - |
| Chinese yuan | - | - | - | - |
| Other | - | - | - | - |
| **Sub total** | **388,429,034,608** | **370,556,843,642** | **379,598,771,898** | **363,046,143,102** |

## 4.7.3 ANALYSIS OF LOAN AND ADVANCES – BY COLLATERAL

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Secured** | | | | |
| Movable/immovable assets | 359,927,318,323 | 336,657,881,978 | 351,106,341,848 | 329,155,238,120 |
| Gold and silver | - | 764,913 | - | 764,913 |
| Guarantee of domestic B/FIs | - | - | - | - |
| Government guarantee | - | - | - | - |
| Guarantee of international rated bank | - | - | - | - |
| Collateral of export document | - | - | - | - |
| Collateral of fixed deposit receipt | 2,585,039,585 | 3,687,262,598 | 2,585,039,585 | 3,687,262,598 |
| Collateral of Government securities | - | - | - | - |
| Counter guarantee | - | - | - | - |
| Personal guarantee | - | - | - | - |
| Other collateral | 25,916,676,700 | 30,210,934,153 | 25,907,390,465 | 30,202,877,471 |
| **Sub total** | **388,429,034,608** | **370,556,843,642** | **379,598,771,898** | **363,046,143,102** |
| **Unsecured** | | | - | |
| **Grand Total** | **388,429,034,608** | **370,556,843,642** | **379,598,771,898** | **363,046,143,102** |

## 4.7.4 ALLOWANCES FOR IMPAIRMENT

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Specific allowances for impairment** | | | | |
| **Balance at July 17** | **7,396,152,113** | **2,647,933,008** | **7,396,152,113** | **2,647,933,008** |
| Impairment loss for the year: | - | - | | - |
| Transfer from Merger/Acquisition | - | 2,308,283,769 | - | 2,308,283,769 |
| Charge for the year | 6,768,499,680 | 5,188,237,428 | 6,768,499,680 | 5,188,237,428 |
| Recoveries/reversal during the year | (3,082,298,604) | (2,613,144,868) | (3,082,298,604) | (2,613,144,868) |
| Write-offs | - | (135,157,224) | - | (135,157,224) |
| Exchange rate variance on foreign currency impairment | - | - | - | - |
| Other movement | - | - | - | - |
| Balance at July mid | 11,082,353,189 | 7,396,152,113 | 11,082,353,189 | 7,396,152,113 |
| **Collective allowances for impairment** | | | | |
| **Balance at July 17** | **6,907,025,260** | **4,261,669,819** | **6,532,760,797** | **3,975,545,099** |
| Impairment loss for the year: | - | - | | - |
| Transfer from Merger/Acquisition | - | 1,563,182,311 | - | 1,563,182,311 |
| Charge for the year | 3,236,822,221 | 3,242,555,440 | 2,944,143,484 | 3,154,415,696 |
| Recoveries/reversal during the year | (3,168,705,893) | (2,160,382,309) | (3,001,119,173) | (2,160,382,309) |
| Exchange rate variance on foreign currency impairment | - | - | - | - |
| Other movement | - | - | - | - |
| **Balance at July mid** | **6,975,141,589** | **6,907,025,260** | **6,475,785,108** | **6,532,760,797** |
| **Total Allowances for impairment** | **18,057,494,777** | **14,303,177,373** | **17,558,138,296** | **13,928,912,909** |



## IMPAIRMENT OF LOANS AND ADVANCES TO CUSTOMERS UNDER NFRS

Bank applies the principles of incurred loss model for measurement of impairment of loans and advances to customers based on the carve out on NFRS 9 for measurement of impairment.

## IMPAIRMENT OF INDIVIDUALLY ASSESSED LOANS

Bank has reviewed its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of profit or loss. The bank has assessed its loan portfolio for the specific impairment of individually significant loans under the five loan products namely hire purchase loans, home loans, term loans, mortgage loans and short term loans. All the possible objective evidence is assessed on such significant loans which the bank has designed in assessing the specific impairment tests. Reasonable estimates and assumptions are made on assessing the objective evidence, so that there is no understatement or overstatement of the impairment amount on the individually assessed loans. In particular, the judgment of the management is required in estimating the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors, and actual results may differ, resulting in future changes to the allowance.

Additionally, the bank has conducted specific assessment on the 100% provisioned loans as per NRB directives. These assessments are made on the judgment and estimates of the management for the amount and timing of future cash flow recovery from such loans on the basis of the security value possessed and the projected cash flows to be received from such loans.

## IMPAIRMENT OF COLLECTIVELY ASSESSED LOANS

All other loans where no specific impairment is established are assessed collectively based on the products which bear similar type of risk characteristics. The bank has segregated five major products with similar risk characteristics namely:

a. Hire Purchase Loans
b. Home Loans
c. Mortgage Loans
d. Short term Loans
e. Term Loans

Collective impairment losses reflect impairment losses that have been incurred in the bank's loan portfolio where impairment have not yet been identified by specific assessment. Collective assessment is performed on the net flow rate method where the bank assesses the movements of outstanding principal as per overdue days. This establishes the bank's historical trend for the amount of loans moving to default zone from the date of issue of loans. The bank has identified default zone as 180 days. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified).

## IMPAIRMENT AMOUNT CALCULATED WITH THE PRINCIPLES OF NFRS 9 TOGETHER WITH CARVE-OUTS ARE AS BELOW:

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Impairment under NFRS | | | | |
| Collective impairment | 4,809,222,205 | 5,034,662,559 | 4,809,222,205 | 5,034,662,559 |
| Individual impairment | 1,643,387,568 | 328,817,499 | 1,643,387,568 | 328,817,499 |
| **Total Impairment under NFRS** | **6,452,609,773** | **5,363,480,058** | **6,452,609,773** | **5,363,480,058** |
| **Loan Loss Provision under NRB** | **18,185,547,926** | **14,447,424,160** | **17,724,332,624** | **14,107,724,132** |

## 4.7.5 FORBEARANCE/RELAXATION

| | As of July mid 2024 | | As of July mid 2023 | |
|---|---|---|---|---|
| | No. of Customers | Amount | No. of Customers | Amount |
| Accrued Interest Received after July mid | 6,538 | 906,772,014 | 3,296 | 662,485,519 |
| Additional 0.2% Loan Loss Provision created on Pass Loan Portfolio (Previous Year: 0.3%) | | 638,890,695 | | 923,846,339 |
| Extension of moratorium period of loan provided to Industry or Project under construction | | | | |
| Restructured/Rescheduled Loan with 5% Loan Loss Provision | 1,928 | 27,290,650,982 | 778 | 14,060,953,610 |
| Enhancement of Working Capital Loan by 20% to COVID affected borrowers | | | 3 | 162,025,000 |
| Enhancement of Term Loan by 10% to COVID affected borrowers | | | | |
| Expiry Date of Additional 20% Working Capital Loan (COVID Loan) extended for up to 1 year with 5% provisioning | | | | |
| Expiry Date of Additional 10% Term Loan (COVID Loan) extended for up to 1 year with 5% provisioning | | | | |
| Time Extension provided for repayment of Principal and Interest for up to two years as per clause 41 of NRB Directives 2 | | | 11 | 5,677,316,355 |

## 4.7.6 BUSINESS CONTINUITY PLAN

| | As of July mid 2024 | | As of July mid 2023 | |
|---|---|---|---|---|
| | No. of Customers | Amount | No. of Customers | Amount |
| Refinance Loan | - | - | - | - |
| Business Continuity Loan | - | - | 1 | 55,911,000 |

## 4.7.7 SUBSIDIZED LOAN

| | As of July mid 2024 | | As of July mid 2023 | |
|---|---|---|---|---|
| | No. of Customers | Amount | No. of Customers | Amount |
| Subsidized Loan | 6,453 | 7,609,387,443 | 7,541 | 11,023,512,801 |



## 4.8 INVESTMENT SECURITIES

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NFRS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active market that the entity can access at the measurement date. All of equity securities whose fair value cannot be obtained from the Level 1 and Level 2 inputs are valued using the most recent available Net worth per shares to represent the fair value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment because of the higher fair value than the purchase cost.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Investment securities measured at amortized cost | 117,608,383,187 | 85,603,765,627 | 117,608,383,187 | 85,550,548,627 |
| Investment securities measured as at FVTOCI | 3,710,305,394 | 2,070,974,436 | 3,692,515,894 | 2,041,124,936 |
| | **121,318,688,581** | **87,674,740,063** | **121,300,899,081** | **87,591,673,563** |

## 4.8.1 INVESTMENT SECURITIES MEASURED AT AMORTIZED COST

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Debt securities | 1,741,386,307 | 1,794,603,307 | 1,741,386,307 | 1,741,386,307 |
| -Government bonds | 54,910,865,913 | 44,146,099,231 | 54,910,865,913 | 44,146,099,231 |
| -Government treasury bills | 29,951,035,077 | 33,160,277,884 | 29,951,035,077 | 33,160,277,884 |
| -Nepal Rastra bank bonds | - | - | - | - |
| -Nepal Rastra bank deposit instruments | 31,005,095,890 | 6,502,785,205 | 31,005,095,890 | 6,502,785,205 |
| | **117,608,383,187** | **85,603,765,627** | **117,608,383,187** | **85,550,548,627** |
| Less: Specific allowances for impairment | | | - | - |
| **Total** | **117,608,383,187** | **85,603,765,627** | **117,608,383,187** | **85,550,548,627** |

## 4.8.2 INVESTMENT IN EQUITY MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Equity Instruments** | | | | |
| -Unquoted equity instruments | 598,326,522 | 422,398,126 | 597,326,522 | 421,398,126 |
| -Quoted equity instruments | 1,834,547,531 | 924,202,495 | 1,834,547,531 | 924,202,495 |
| **Mutual Funds** | 1,277,431,341 | 724,373,815 | 1,260,641,841 | 695,524,315 |
| | **3,710,305,394** | **2,070,974,436** | **3,692,515,894** | **2,041,124,936** |

## 4.8.2.1 INVESTMENT SECURITIES MEASURED AT FVTOCI

Amount in NPR

| | Group | | | | | | Bank | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Current Year | | | Previous Year | | | Current Year | | | Previous Year | | |
| | Unit | Cost | Fair Value | Unit | Cost | Fair Value | Unit | Cost | Fair Value | Unit | Cost | Fair Value |
| **Quoted Equity Investments** | | | | | | | | | | | | |
| Asian Life Insurance Co. Ltd . | - | - | - | 4,758.00 | 2,213,662.55 | 3,545,185.80 | - | - | - | 4,758.00 | 2,213,662.55 | 3,545,185.80 |
| Aarambha Chautari Laghubitta Bittiya Sanstha Ltd. (P) | 83,592 | 6,000,000 | 11,864,213 | 83,592 | 6,000,000 | 11,214,703 | 83,592 | 6,000,000 | 11,864,213 | 83,592 | 6,000,000 | 11,214,703 |
| Chilime Hydropower Company Ltd. | - | - | - | 12,268 | 3,380,546 | 6,584,236 | - | - | - | 12,268 | 3,380,546 | 6,584,236 |
| Citizen Investment Trust | 6,305 | 9,754,158 | 12,263,225 | 5,044 | 9,754,158 | 10,536,916 | 6,305 | 9,754,158 | 12,263,225 | 5,044 | 9,754,158 | 10,536,916 |
| Sanima GIC Insurance Ltd. | 54,286 | 5,596,887 | 31,323,022 | 54,286 | 5,596,887 | 35,280,471 | 54,286 | 5,596,887 | 31,323,022 | 54,286 | 5,596,887 | 35,280,471 |
| Himalayan Life Insurance Ltd. | - | - | - | 2,018 | 147,859 | 1,023,126 | - | - | - | 2,018 | 147,859 | 1,023,126 |
| IGI Prudential Insurance Ltd | 182,374 | 99,460,878 | 101,764,692 | 17,975 | 7,230,812 | 10,066,000 | 182,374 | 99,460,878 | 101,764,692 | 17,975 | 7,230,812 | 10,066,000 |
| Hydroelectricity Investment and Development Company Ltd. | - | - | - | 74,144 | 6,241,131 | 13,642,496 | - | - | - | 74,144 | 6,241,131 | 13,642,496 |
| Kalika Laghubitta Bittiya Sanstha Ltd. | - | - | - | 65 | 1,444 | 47,840 | - | - | - | 65 | 1,444 | 47,840 |
| Laxmi Laghubitta Bittiya Sanstha Ltd. | 15,249 | 26,663,250 | 18,664,776 | 15,249 | 26,663,250 | 13,617,357 | 15,249 | 26,663,250 | 18,664,776 | 15,249 | 26,663,250 | 13,617,357 |
| Mirmire laghubitta Bittiya Sanstha Ltd | - | - | - | 37 | 959 | 26,233 | - | - | - | 37 | 959 | 26,233 |
| Mithila Laghubitta Bittiya Sanstha Ltd. | - | - | - | 192 | 4,570 | 200,448 | - | - | - | 192 | 4,570 | 200,448 |
| Neco Insurance Co. Ltd. | 9,164 | 9,545,593 | 7,661,104 | 9,164 | 9,545,593 | 8,166,040 | 9,164 | 9,545,593 | 7,661,104 | 9,164 | 9,545,593 | 8,166,040 |
| Nepal Life Insurance Co.Ltd | - | - | - | 17,826 | 7,365,825 | 13,262,544 | - | - | - | 17,826 | 7,365,825 | 13,262,544 |
| Nepal Reinsurance Co. Ltd. | 4,399 | 3,002,740 | 3,070,502 | 4,200 | 3,002,740 | 3,108,000 | 4,399 | 3,002,740 | 3,070,502 | 4,200 | 3,002,740 | 3,108,000 |
| Nepal Reinsurance Co. Ltd. (P) | 774,868 | 60,472,562 | 114,254,287 | 739,731 | 60,472,562 | 98,191,893 | 774,868 | 60,472,562 | 114,254,287 | 739,731 | 60,472,562 | 98,191,893 |
| Nerude Laghubitta Bittiya Sanstha Ltd. | - | - | - | 14 | - | 9,632 | - | - | - | 14 | - | 9,632 |
| Ngadi Group Power Ltd. | - | - | - | 4,602 | 1,335,096 | 1,076,408 | - | - | - | 4,602 | 1,335,096 | 1,076,408 |
| NLG Insurance Company Ltd. | - | - | - | 18,779 | 599,455 | 15,774,360 | - | - | - | 18,779 | 599,455 | 15,774,360 |
| NLG Insurance Company Ltd (P) | 3,416 | 151,262 | 725,490 | 3,238 | 151,262 | 396,525 | 3,416 | 151,262 | 725,490 | 3,238 | 151,262 | 396,525 |
| Rastriya Beema Company Ltd. (P) | 50 | 535,137 | 504,750 | 50 | 535,137 | 779,900 | 50 | 535,137 | 504,750 | 50 | 535,137 | 779,900 |
| Ridi Power Company Ltd. | - | - | - | 1 | - | 243 | - | - | - | 1 | - | 243 |
| Sana Kisan Laghubitta Sanstha Ltd | - | - | - | 136 | 47,423 | 122,264 | - | - | - | 136 | 47,423 | 122,264 |
| Vijaya laghubitta Bittiya Sanstha Ltd. | - | - | - | 64 | 1,503 | 44,384 | - | - | - | 64 | 1,503 | 44,384 |
| Soaltee Hotel Ltd. | - | - | - | 520 | 98,140 | 252,200 | - | - | - | 520 | 98,140 | 252,200 |
| Upper Tamakoshi Hydropower Ltd | 5,990 | 1,844,744 | 1,058,433 | 2,995 | 1,545,244 | 1,278,266 | 5,990 | 1,844,744 | 1,058,433 | 2,995 | 1,545,244 | 1,278,266 |
| Grameen Bikash Laghubitta Bittiya Sanstha Ltd. (P) | 1,047 | 104,700 | 244,422 | 1,047 | 104,700 | 217,650 | 1,047 | 104,700 | 244,422 | 1,047 | 104,700 | 217,650 |
| Nepal Insurance Company Ltd | - | - | - | 1 | - | 820 | - | - | - | 1 | - | 820 |
| NMB Microfinance Bittiya Sanstha Ltd. | - | - | - | 2 | - | 1,280 | - | - | - | 2 | - | 1,280 |
| Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd (P) | 178,547 | 8,598,944 | 44,424,279 | 178,547 | 8,598,944 | 46,093,694 | 178,547 | 8,598,944 | 44,424,279 | 178,547 | 8,598,944 | 46,093,694 |
| Sagarmatha Lumbini Insurance Co Ltd | - | - | - | 564 | - | 421,872 | - | - | - | 564 | - | 421,872 |
| Sanima GIC Insurance Ltd. (P) | 145,714 | 15,023,113 | 21,756,558 | 145,714 | 15,023,113 | 16,972,767 | 145,714 | 15,023,113 | 21,756,558 | 145,714 | 15,023,113 | 16,972,767 |
| Reliable Nepal Life Insurance Ltd. (P) | 4,640,000 | 400,000,000 | 737,017,600 | 4,000,000 | 400,000,000 | 612,000,000 | 4,640,000 | 400,000,000 | 737,017,600 | 4,000,000 | 400,000,000 | 612,000,000 |
| Shikhar Insurance Co Ltd | - | - | - | 292 | - | 246,740 | - | - | - | 292 | - | 246,740 |
| IME Life Insurance Co. Limited (P) | 5,000,000 | 400,000,000 | 727,950,000 | | | | 5,000,000 | 400,000,000 | 727,950,000 | - | - | - |

| | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| NMB Microfinance Bitiya Sanstha Ltd. | - | - | - | | | | - | - | - | - | - | - |
| Arun Valley Hydropower Dev Co. Ltd. | 1 | - | 178 | | | | 1 | - | 178 | - | - | - |
| | | **1,046,753,967** | **1,834,547,531** | | **575,662,014** | **924,202,494** | | **1,046,753,967** | **1,834,547,531** | | **575,662,014** | **924,202,494** |
| **Mutual Fund Investments** | | | | | | | | | | | | |
| Global IME Samunnat Yojana-I | - | - | - | 1,250,000 | 25,350,000 | 12,037,500 | - | - | - | - | - | - |
| Kumari Equity Fund | 1,000,000 | 10,000,000 | 9,660,000 | 1,000,000 | 10,000,000 | 10,170,000 | 1,000,000 | 10,000,000 | 9,660,000 | 1,000,000 | 10,000,000 | 10,170,000 |
| Kumari Dhanabriddhi Yojana | 5,000,000 | 50,000,000 | 48,350,000 | 5,000,000 | 50,000,000 | 50,200,000 | 5,000,000 | 50,000,000 | 48,350,000 | 5,000,000 | 50,000,000 | 50,200,000 |
| Laxmi Equity Fund | 1,345,403 | 13,454,030 | 13,454,030 | 1,345,403 | 13,454,030 | 12,902,415 | 1,345,403 | 13,454,030 | 13,454,030 | 1,345,403 | 13,454,030 | 12,902,415 |
| Laxmi Unnati Kosh | 1,000,000 | 10,000,000 | 9,000,000 | 1,000,000 | 10,000,000 | 9,390,000 | 1,000,000 | 10,000,000 | 9,000,000 | 1,000,000 | 10,000,000 | 9,390,000 |
| Nabil Balance Fund-2 | 1,000,000 | 10,000,000 | 9,000,000 | 1,000,000 | 10,000,000 | 8,800,000 | 1,000,000 | 10,000,000 | 9,000,000 | 1,000,000 | 10,000,000 | 8,800,000 |
| Nabil Equity Fund | - | - | - | 1,915,054 | 19,150,540 | 18,403,669 | - | - | - | 1,915,054 | 19,150,540 | 18,403,669 |
| NIBL SaMr.iddhi Fund -2 | 3,672,123 | 36,721,230 | 30,295,015 | 3,672,123 | 36,721,230 | 33,453,041 | 3,672,123 | 36,721,230 | 30,295,015 | 3,672,123 | 36,721,230 | 33,453,041 |
| NIC ASIA Balance Fund | 750,000 | 7,500,000 | 7,200,000 | 750,000 | 7,500,000 | 6,997,500 | 750,000 | 7,500,000 | 7,200,000 | 750,000 | 7,500,000 | 6,997,500 |
| NIC ASIA Select 30 | 4,500,000 | 45,000,000 | 43,200,000 | 4,500,000 | 45,000,000 | 40,455,000 | 4,500,000 | 45,000,000 | 43,200,000 | 4,500,000 | 45,000,000 | 40,455,000 |
| NMB 50 Mutual Fund | 1,500,000 | 15,000,000 | 15,060,000 | 1,500,000 | 15,000,000 | 15,750,000 | 1,500,000 | 15,000,000 | 15,060,000 | 1,500,000 | 15,000,000 | 15,750,000 |
| NMB Hybrid Fund -1 | - | - | - | 2,208,362 | 22,083,620 | 23,828,226 | - | - | - | 2,208,362 | 22,083,620 | 23,828,226 |
| Prabhu Select Fund | 1,468,090 | 14,680,900 | 14,372,601 | 1,468,090 | 14,680,900 | 12,992,597 | 1,468,090 | 14,680,900 | 14,372,601 | 1,468,090 | 14,680,900 | 12,992,597 |
| Sanima Large Cap Fund | 1,000,000 | 10,000,000 | 9,290,000 | 1,000,000 | 10,000,000 | 8,920,000 | 1,000,000 | 10,000,000 | 9,290,000 | 1,000,000 | 10,000,000 | 8,920,000 |
| Siddhartha Inv Growth Scheme II | 2,000,000 | 20,000,000 | 18,980,000 | 2,000,000 | 20,000,000 | 18,060,000 | 2,000,000 | 20,000,000 | 18,980,000 | 2,000,000 | 20,000,000 | 18,060,000 |
| Sunrise Blue Chip Fund | 4,605,026 | 46,050,260 | 38,083,565 | 4,605,026 | 46,050,260 | 36,149,454 | 4,605,026 | 46,050,260 | 38,083,565 | 4,605,026 | 46,050,260 | 36,149,454 |
| Sunrise First Mutual Fund | 500,000 | 5,000,000 | 5,175,000 | 500,000 | 5,000,000 | 5,540,000 | 500,000 | 5,000,000 | 5,175,000 | 500,000 | 5,000,000 | 5,540,000 |
| Global IME Balance Fund -I | 23,045,000 | 230,364,500 | 209,709,500 | 23,000,000 | 230,000,000 | 214,820,000 | 21,200,000 | 212,000,000 | 192,920,000 | 21,200,000 | 212,000,000 | 198,008,000 |
| NIBL GROWTH FUND | 4,000,000 | 40,000,000 | 42,560,000 | 4,000,000 | 40,000,000 | 42,560,000 | 4,000,000 | 40,000,000 | 42,560,000 | 4,000,000 | 40,000,000 | 42,560,000 |
| NIBL Pragati Fund | - | - | - | 1,027,407 | 10,274,070 | 9,976,122 | - | - | - | 1,027,407 | 10,274,070 | 9,976,122 |
| NMB Sulav Investment Fund II | 5,000,000 | 50,000,000 | 50,300,000 | 5,000,000 | 50,000,000 | 49,950,000 | 5,000,000 | 50,000,000 | 50,300,000 | 5,000,000 | 50,000,000 | 49,950,000 |
| RBB MUTUAL FUND 2 | 5,000,000 | 50,000,000 | 50,000,000 | 5,000,000 | 50,000,000 | 50,000,000 | 5,000,000 | 50,000,000 | 50,000,000 | 5,000,000 | 50,000,000 | 50,000,000 |
| Sanima Growth Fund | 3,000,000 | 30,000,000 | 30,420,000 | 3,000,000 | 30,000,000 | 29,970,000 | 3,000,000 | 30,000,000 | 30,420,000 | 3,000,000 | 30,000,000 | 29,970,000 |
| Subha Laxmi Kosh | 302,410 | 2,999,932 | 3,341,631 | 302,410 | 2,999,932 | 3,048,293 | 302,410 | 2,999,932 | 3,341,631 | 302,410 | 2,999,932 | 3,048,293 |
| Himalayan 80-20 | 2,000,000 | 20,000,000 | 19,980,000 | - | - | - | 2,000,000 | 20,000,000 | 19,980,000 | - | - | - |
| Nepal Opportunity Fund I | 60,000,000 | 600,000,000 | 600,000,000 | - | - | - | 60,000,000 | 600,000,000 | 600,000,000 | - | - | - |
| | | **1,316,770,852** | **1,277,431,341** | | **773,264,582** | **724,373,816** | | **1,298,406,352** | **1,260,641,841** | | **729,914,582** | **695,524,316** |
| **Unquoted Equity Investments** | | | | | | | | | | | | |
| ICRA Nepal Ltd. | 27,360 | 760,000 | 6,249,845 | 27,360 | 760,000 | 4,632,869 | 27,360 | 760,000 | 6,249,845 | 27,360 | 760,000 | 4,632,869 |
| Care Ratings Nepal Ltd. | 25,000 | 2,500,000 | 8,561,000 | 25,000 | 2,500,000 | 6,390,250 | 25,000 | 2,500,000 | 8,561,000 | 25,000 | 2,500,000 | 6,390,250 |
| Karja Suchana Kendra Ltd. | 319,520 | 2,542,000 | 219,094,864 | 319,520 | 2,542,000 | 164,623,096 | 319,520 | 2,542,000 | 219,094,864 | 319,520 | 2,542,000 | 164,623,096 |
| SWIFT | 15 | 15,076,816 | 17,155,614 | 5 | 3,806,000 | 5,718,538 | 15 | 15,076,816 | 17,155,614 | 5 | 3,806,000 | 5,718,538 |
| Nepal Finsoft Company Ltd. | 10,000 | 1,000,000 | 1,000,000 | 10,000 | 1,000,000 | 1,000,000 | - | - | - | - | - | - |
| Nepal Clearing House Limited | 1,236,654 | 63,074,200 | 296,265,199 | 839,483 | 16,074,200 | 240,033,374 | 1,236,654 | 63,074,200 | 296,265,199 | 839,483.00 | 16,074,200.00 | 240,033,374.19 |
| Aadhyanta Fund Management | 500,000 | 50,000,000 | 50,000,000 | - | - | - | 500,000 | 50,000,000 | 50,000,000 | - | - | - |
| | | **134,953,016** | **598,326,522** | | **26,682,200** | **422,398,127** | | **133,953,016** | **597,326,522** | | **25,682,200** | **421,398,127** |
| **Total Investment measured at FVTOCI** | | **2,498,477,835** | **3,710,305,394** | | **1,375,608,796** | **2,070,974,437** | | **2,479,113,335** | **3,692,515,894** | | **1,331,258,796** | **2,041,124,937** |

## 4.9 CURRENT TAX ASSETS

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of assessed tax liabilities by the bank for the current year.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Current Tax Assets** | | | | |
| Current year income tax assets | 2,004,714,915 | 3,144,656,857 | 1,857,482,029 | 2,968,060,630 |
| Tax assets of prior periods | 591,797,454 | 409,474,925 | 591,797,454 | 411,839,275 |
| **Current Tax Liabilities** | - | | - | |
| Current year income tax liabilities | 2,456,052,717 | 2,859,526,044 | 2,363,652,248 | 2,788,102,452 |
| Tax liabilities of prior periods | - | (2,364,350) | | - |
| **Net tax assets / (liabilities)** | **140,459,652** | **696,970,088** | **85,627,235** | **591,797,454** |

## 4.10 INVESTMENT IN SUBSIDIARIES

Subsidiaries are entities in which the Group directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases.Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.Investment in subsidiaries are measured at amortized cost less any impairment by the parent company. No impairment has occurred during the reporting period for any of the investment in its subsidiaries. During the period, Global IME Capital Ltd. and then BOK Capital Markets Ltd. both subsidiary of the Bank were merged to form a single entity Global IME Capital Ltd. with swap ratio of 0.6115 shares for every 1 shares held by BOK Capital Markets Ltd. The joint operation of the merged entity started from 4th Bhadra 2080 (21st August 2023).

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Investment in quoted subsidiaries | - | - | 145,695,250 | 145,695,250 |
| Investment in unquoted subsidiaries | - | - | 582,700,000 | 505,000,000 |
| **Total investment** | **-** | **-** | **728,395,250** | **650,695,250** |
| Less: Impairment allowances | - | | | |
| **Net carrying amount** | **-** | **-** | **728,395,250** | **650,695,250** |

### 4.10.1 INVESTMENT IN QUOTED SUBSIDIARIES

Amount in NPR

| | Current Year | | | Previous Year | | |
|---|---|---|---|---|---|---|
| | Units | Cost | Fair Value | Units | Cost | Fair Value |
| Global IME Laghubitta Bittiya Sanstha Limited | 3,557,436 | 145,695,250 | 355,743,600 | 3,557,436 | 145,695,250 | 355,743,600 |
| | | **145,695,250** | **355,743,600** | | **145,695,250** | **355,743,600** |

### 4.10.2 INVESTMENT IN UNQUOTED SUBSIDIARIES

Amount in NPR

| | Current Year | | | Previous Year | | |
|---|---|---|---|---|---|---|
| | Units | Cost | Fair Value | Units | Cost | Fair Value |
| Global IME Capital Limited | 4,025,449 | 382,700,000 | 402,544,900 | 2,741,299 | 165,000,000 | 274,129,900 |
| BOK Capital Markets Limited | - | - | - | 1,400,000 | 140,000,000 | 140,000,000 |
| JBNL Securities Limited | 2,000,000 | 200,000,000 | 200,000,000 | 2,000,000 | 200,000,000 | 200,000,000 |
| | | **582,700,000** | **602,544,900** | | **505,000,000** | **614,129,900** |

### 4.10.3 INFORMATION RELATING TO SUBSIDIARIES OF THE BANK

Percentage of ownership held by the Bank

| | Current Year | Previous Year |
|---|---|---|
| Global IME Capital Limited | 81.50% | 75.00% |
| BOK Capital Markets Limited | - | 66.67% |
| Global IME Laghubitta Bittiya Sanstha Limited | 57.48% | 57.48% |
| JBNL Securities Limited | 100.00% | 100.00% |

### 4.10.4 NON CONTROLLING INTEREST OF THE SUBSIDIARIES

| | Current Year | | Previous Year | | |
|---|---|---|---|---|---|
| | GILBSL | GICL | GILBSL | BOK Capital | GICL |
| Equity interest held by NCI (%) | 42.52% | 18.50% | 42.52% | 33.33% | 25% |
| Profit/(loss) allocated during the year | 54,623,184 | (11,765,262) | 47,930,196 | 7,102,047 | 23,537,178 |
| Accumulated balances of NCI as on July mid | 477,001,124 | 122,655,789 | 463,096,259 | 78,445,872 | 127,901,519 |
| Dividend paid to NCI | 26,315,630 | - | 18,796,878 | 4,053,000 | - |

## 4.11 INVESTMENT IN ASSOCIATES

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee or if entity has its representative as a director in the investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. Investment in associates have been recognised at cost in standalone statement of financial position. Irrespective of the holding percentage, the bank accounts the investment as associates if there is atleast one representative from the Bank in the Board of the investee company.

The Group has accounted its investment in associates using equity method. Equity accounting is based on the profit reported by associate entities on their audited/unaudited financial statements using the policy disclosed in the financial statements. During the year one of the associate company, Nepal Electronic Payment System Ltd. was acquired by Nepal Clearing House Ltd. at the swap ratio of 28 shares of Nepal Clearing House Ltd for every 100 shares held by Nepal Electronic Payment System Ltd. The Joint operation after the acquisition commenced from 3rd June 2024.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Investment in quoted associates | 1,761,896,063 | 2,125,817,359 | 1,287,592,533 | 1,708,134,399 |
| Investment in unquoted associates | 63,085,416 | 148,452,294 | 85,030,500 | 132,030,500 |
| **Total investment** | **1,824,981,479** | **2,274,269,653** | **1,372,623,033** | **1,840,164,899** |
| Less: Impairment allowances | - | - | - | - |
| **Net carrying amount** | **1,824,981,479** | **2,274,269,653** | **1,372,623,033** | **1,840,164,899** |

## 4.11.1 INVESTMENT IN QUOTED ASSOCIATES

Amount in NPR

| | Current Year | | | Previous Year | | |
|---|---|---|---|---|---|---|
| | Units | Cost | Fair Value | Units | Cost | Fair Value |
| First Microfinance Dev Bank Ltd. | 1,254,719 | 56,987,235 | 130,905,653 | 1,167,180 | 56,987,235 | 121,059,965 |
| Mero Micro Finance Bittya Sanstha Ltd | 1,581,731 | 63,377,087 | 217,930,617 | 1,848,019 | 74,046,000 | 191,619,585 |
| Chhimek Laghubitta Bikas Bank Limited | 2,468,222 | 16,538,528 | 166,048,688 | 2,357,260 | 16,584,764 | 104,869,820 |
| IME Life Insurance Co. Limited | - | - | - | 4,000,000 | 400,000,000 | 501,763,284 |
| Nepal Infrastructure Bank Ltd | 11,826,000 | 1,095,000,000 | 1,153,137,153 | 11,826,000 | 1,095,000,000 | 1,127,590,890 |
| RSDC Laghubitta Bittiya Sanstha Ltd | 963,238 | 55,689,683 | 93,873,952 | 1,043,481 | 65,516,400 | 78,913,815 |
| | | **1,287,592,533** | **1,761,896,063** | | **1,708,134,399** | **2,125,817,359** |

## 4.11.2 INVESTMENT IN UNQUOTED ASSOCIATES

Amount in NPR

| | Current Year | | | Previous Year | | |
|---|---|---|---|---|---|---|
| | Units | Cost | Fair Value | Units | Cost | Fair Value |
| Smart Choice Technologies Ltd | 771,608 | 77,160,800 | 51,127,652 | 771,608 | 77,160,800 | 59,313,559 |
| Nepal Electronics Payment System Ltd. | - | - | - | 470,000 | 47,000,000 | 78,688,423 |
| Banking Finance And Insurance Institution Ltd. | 33,000 | 3,000,000 | 4,889,796 | 33,000 | 3,000,000 | 4,603,258 |
| National Banking Training Institute Ltd | 192,353 | 4,869,700 | 7,067,968 | 48,697 | 4,869,700 | 5,847,054 |
| | | **85,030,500** | **63,085,416** | | **132,030,500** | **148,452,294** |



## 4.11.3 INFORMATION RELATING TO ASSOCIATES OF THE BANK

| | Percentage of ownership held by the Bank | | | |
|---|---|---|---|---|
| | Current Year | | Previous Year | |
| | Representative | Ownership | Representative | Ownership |
| First Microfinance Dev Bank Ltd. | Yes | 10.17% | Yes | 10.17% |
| Mero Micro Finance Bittya Sanstha Ltd | Yes | 11.98% | Yes | 14.00% |
| IME Life Insurance Co. Limited | No | - | Yes | 10.00% |
| Smart Choice Technologies Ltd | Yes | 15.43% | Yes | 15.43% |
| Nepal Electronics Payment System Ltd. | Acquired by NCHL | - | Yes | 26.70% |
| Banking Finance And Insurance Institution Ltd. | Yes | 6.67% | Yes | 6.67% |
| Chhimek Laghubitta Bikas Bank Ltd | Yes | 8.29% | Yes | 8.31% |
| RSDC Laghubitta Bittiya Sanstha Ltd | Yes | 10.20% | Yes | 12.00% |
| National Banking Training Institute Ltd | Yes | 9.74% | Yes | 9.74% |
| **Nepal Infrastructure Bank Ltd** | **Yes** | **5.48%** | **Yes** | **5.48%** |

## 4.12 INVESTMENT PROPERTY

Bank classifies the non-banking assets as possessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at lower of fair value of the property or total dues to bank when acquired from the borrowers and subsequently measured at cost less accumulated depreciation and impairment loss. These are included in investment property or other assets depending on their nature and the bank's intention of holding the asset or reselling it.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Investment properties measured at fair value | | | | |
| Balance as on July 17 | | | | |
| Additions during the year | | | | |
| Disposal during the year | | | | |
| Net changes in fair value during the year | | | | |
| Adjustment /transfer | | | | |
| Net Amount | - | - | | - |
| Investment properties measured at cost | | | | |
| Balance as on July 17 | 1,744,769,197 | 570,893,919 | 1,733,323,553 | 559,448,275 |
| Transfer from Merger/Acquisition | - | 41,035,467 | - | 41,035,467 |
| Additions during the year | 3,353,338,355 | 1,160,790,760 | 3,353,338,355 | 1,160,790,760 |
| Disposal during the year | (37,057,164) | (14,925,449) | (37,057,164) | (14,925,449) |
| Adjustment/transfer | (202,076,854) | (13,025,500) | (202,076,854) | (13,025,500) |
| Accumulated depreciation | - | - | | - |
| Accumulated impairment loss | - | - | | - |
| **Net Amount** | **4,858,973,533** | **1,744,769,197** | **4,847,527,889** | **1,733,323,553** |
| **Total** | **4,858,973,533** | **1,744,769,197** | **4,847,527,889** | **1,733,323,553** |

## 4.13 PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the depreciable period or methodology, as appropriate, and treated as changes in accounting estimates. During previous year, erstwhile Bank of kathmandu Ltd was merged with Global IME Bank Ltd., wherein the certain class of property and equipment at erstwhile Bank of kathmandu Ltd. had different useful lives in compared to useful lives carried in Global IME Bank Ltd for same class of assets. Those assets whose useful lives had differ, were revised to align the useful lives followed by Global IME Bank Ltd. from the date of joint operation. Those change were treated as change in accounting estimates and were accounted prospectively from the date of joint operation. Property and equipment brought forward from the merged entity were accounted at Fair value as per NFRS 3 Business Combination, as a result a revaluation gain of NPR 770,589,767 on Land were accounted accordingly. During the year revaluation on freehold land has not been revalued on the management's judgement and estimate that the carried over amount of land and building has represented the current fair market value.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Freehold land is not depreciable. Depreciation on other property and equipment is calculated using the straight-line method to allocate their cost less residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization".

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 15th July 2024 (Previous Year: nil). Gains and losses on disposals are recorded by comparing proceeds with carrying amount.

The Group has recognized a right of use of asset as per NFRS 16 Leases. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis.

Amount in NPR

| | Group | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| **Cost:** | **Land** | **Buildings** | **Machinery** | **Office Equipment** | **Motor Vehicles** | **Right to use of Assets** | **Leasehold Improvement** | **Total** | **Total July 16 2023** |
| As on July 17, 2023 | 3,412,644,694 | 726,255,568 | 454,637,289 | 2,200,638,983 | 1,053,740,487 | 3,359,435,110 | 1,467,215,162 | 12,674,567,293 | 8,714,866,616 |
| Transfer from Merger/ Acquisition | - | - | - | 7,259,186 | 3,489,000 | 13,122,401 | 4,164,883 | 28,035,469 | 3,522,151,481 |
| Additions | 184,035,440 | 21,157,155 | 59,116,348 | 148,990,633 | 205,072,300 | 576,651,605 | 106,373,392 | 1,301,396,872 | 620,330,237 |
| Disposals | - | - | (31,695,048) | (66,273,989) | (173,425,951) | (13,122,401) | (42,056,129) | (326,573,517) | (151,140,519) |
| Balance on July mid 2024 | **3,596,680,134** | **747,412,723** | **482,058,589** | **2,290,614,812** | **1,088,875,836** | **3,936,086,715** | **1,535,697,308** | **13,677,426,117** | **12,706,207,815** |
| **Accumulated Depreciation** | | | | | | | | | |
| As on July 17, 2023 | - | 137,609,352 | 356,042,644 | 1,790,127,376 | 609,191,066 | 1,091,195,710 | 869,297,549 | 4,853,463,698 | 2,719,027,902 |
| Transfer from Merger/ Acquisition | - | - | - | 5,714,310 | 1,321,751 | - | 963,982 | 8,000,043 | 1,466,065,400 |
| Depreciation charge for the year | - | 17,449,129 | 38,094,276 | 149,956,344 | 120,278,564 | 565,969,629 | 97,018,278 | 988,766,220 | 788,993,973 |
| Disposals | - | - | (31,420,078) | (63,117,504) | (112,972,709) | (2,609,240) | - | (210,119,531) | (109,325,633) |
| Balance on July mid 2024 | - | **155,058,481** | **362,716,842** | **1,882,680,526** | **617,818,672** | **1,654,556,099** | **967,279,809** | **5,640,110,430** | **4,864,761,642** |
| **Capital WIP** | - | 129,020,890 | - | - | - | - | - | 129,020,890 | 49,612,598 |
| Net book value: | | | | | | | | | |
| As on July 16, 2023 | **3,412,644,694** | **588,646,216** | **98,594,644** | **410,511,607** | **444,549,421** | **2,268,239,400** | **597,917,614** | **7,891,058,770** | **5,995,838,713** |
| As on July 16, 2023 | **3,596,680,134** | **721,375,132** | **119,341,747** | **407,934,286** | **471,057,164** | **2,281,530,616** | **568,417,499** | **8,166,336,578** | |

Amount in NPR

**Bank**

| Cost: | Land | Buildings | Machinery | Office Equipment | Motor Vehicles | Right to use of Assets | Leasehold Improvement | Total | Total July 16 2023 |
|---|---|---|---|---|---|---|---|---|---|
| As on July 17, 2023 | 3,412,644,694 | 726,255,568 | 454,637,289 | 2,130,234,030 | 1,029,079,571 | 3,229,284,560 | 1,457,448,514 | 12,439,584,226 | 8,529,719,371 |
| Transfer from Merger/ Acquisition | - | - | - | - | - | - | - | - | 3,522,151,481 |
| Additions | 184,035,440 | 21,157,155 | 59,116,348 | 141,781,706 | 198,872,300 | 552,200,796 | 103,747,826 | 1,260,911,570 | 536,041,384 |
| Disposals | - | - | (31,695,048) | (63,367,717) | (161,927,951) | - | (42,056,129) | (299,046,844) | (148,328,009) |
| Balance on July mid 2024 | **3,596,680,134** | **747,412,723** | **482,058,589** | **2,208,648,019** | **1,066,023,920** | **3,781,485,356** | **1,519,140,211** | **13,401,448,952** | **12,439,584,226** |
| **Accumulated Depreciation** | | | | | | | | | |
| As on July 17, 2023 | - | 137,609,352 | 356,042,644 | 1,743,812,361 | 591,901,398 | 1,055,024,056 | 863,875,075 | 4,748,264,886 | 2,644,952,392 |
| Transfer from Merger/ Acquisition | - | - | - | - | - | - | - | - | 1,458,491,344 |
| Depreciation charge for the year | - | 17,449,129 | 38,094,276 | 139,632,942 | 117,850,995 | 544,242,651 | 94,010,426 | 951,280,419 | 751,652,004 |
| Disposals | - | - | (31,420,078) | (60,540,878) | (105,843,298) | - | - | (197,804,254) | (106,830,853) |
| Balance on July mid 2024 | **-** | **155,058,481** | **362,716,842** | **1,822,904,425** | **603,909,095** | **1,599,266,707** | **957,885,501** | **5,501,741,052** | **4,748,264,886** |
| **Capital WIP** | | 129,020,890 | | | | | | 129,020,890 | 49,612,598 |
| Net book value: | | | | | | | | | |
| As on July 16, 2023 | **3,412,644,694** | **588,646,216** | **98,594,644** | **386,421,669** | **437,178,173** | **2,174,260,505** | **593,573,439** | **7,740,931,938** | **7,691,319,340** |
| As on July 15, 2024 | **3,596,680,134** | **721,375,132** | **119,341,747** | **385,743,593** | **462,114,825** | **2,182,218,649** | **561,254,710** | **8,028,728,790** | |



## 4.14 GOODWILL AND INTANGIBLE ASSETS

The Group's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the group. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization".

During the previous year the Bank completed its merger with erstwhile Bank of Kathmandu Ltd. a "A" Class financial Institution on 25th Poush 2079 (9th January 2023). The merger was completed through exchange of equity interests. Using the Para 4 of NFRS 3 the Bank has accounted the business combinations by applying the acquisition method on the acquisition date as mentioned in Para 5. As stated in Para 10, as of acquisition date, the acquirer shall recognize, separately from goodwill, the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree. Accordingly, the Bank has recognized all the identifiable assets and liabilities on the merger with erstwhile Bank of Kathmandu Ltd as on 9th January 2023 and Goodwill arising has been accounted accordingly. The Bank has accounted Goodwill of NPR. 405,815,536 on this merger.

Amount in NPR

**Group**

| Particulars | Software | | Developed | Other | Total | Total July 16 2023 |
|---|---|---|---|---|---|---|
| | Goodwill | Purchased | | | | |
| As on July 17, 2023 | 672,769,892 | 674,129,046 | - | - | 1,346,898,938 | 747,530,751 |
| Additions | - | 24,076,107 | - | - | 24,076,107 | 422,685,072 |
| Transfer from Merger/Acquisition | - | 1,996,001 | - | - | 1,996,001 | 179,182,719 |
| Disposals | - | - | - | - | - | - |
| **Balance on July mid 2024** | **672,769,892** | **700,201,154** | **-** | **-** | **1,372,971,046** | **1,349,398,542** |
| Accumulated Amortization | | | | | | |
| As on July 17, 2023 | - | 439,587,379 | - | - | 439,587,379 | 249,283,141 |
| Transfer from Merger/Acquisition | - | 1,271,186 | - | - | 1,271,186 | 151,642,694 |
| Amortization for the year | - | 41,022,975 | - | - | 41,022,975 | 40,407,046 |
| Disposals | - | - | - | - | - | - |
| Balance on July mid 2024 | **-** | **481,881,540** | **-** | **-** | **481,881,540** | **441,332,880** |
| Net book value: | | | | | | |
| As on July 16, 2023 | **672,769,892** | **234,541,667** | **-** | **-** | **908,065,662** | **498,247,610** |
| As on July 15, 2024 | **672,769,892** | **218,319,614** | **-** | **-** | **891,089,506** | |

Amount in NPR

**Bank**

| Particulars | Software | | Developed | Other | Total | Total July 16 2023 |
|---|---|---|---|---|---|---|
| | Goodwill | Purchased | | | | |
| | | Rs | | | Rs | |
| As on July 17, 2023 | 672,726,592 | 664,125,510 | - | - | 1,336,852,102 | 736,185,093 |
| Additions | - | 23,256,857 | | | 23,256,857 | 422,543,822 |
| Transfer from Merger/ Acquisition | | - | | | - | 178,123,186 |
| Disposals | | - | | | - | - |
| Balance on July mid 2024 | **672,726,592** | **687,382,367** | | **-** | **1,360,108,959** | **1,336,852,102** |
| Accumulated Amortization | | | | | | |
| As on July 17, 2023 | - | 431,167,978 | - | - | 431,167,978 | 240,402,415 |
| Transfer from Merger/ Acquisition | | - | | | - | 151,642,694 |
| Amortization for the year | | 39,974,101 | | | 39,974,101 | 39,122,869 |
| Disposals | | - | | | - | - |
| Balance on July mid 2024 | **-** | **471,142,079** | **-** | **-** | **471,142,079** | **431,167,978** |
| Net book value: | | | | | | |
| As on July 16, 2023 | **672,726,592** | **232,957,532** | **-** | **-** | **905,684,124** | **495,782,678** |
| As on July 15, 2024 | **672,726,592** | **216,240,288** | **-** | **-** | **888,966,880** | |

## 4.15 DEFERRED TAX ASSETS / (LIABILITIES)

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date.

Amount in NPR

| | Group | | | Bank | | |
|---|---|---|---|---|---|---|
| | Current Year | | | Current Year | | |
| **Deferred tax on temporary differences on following items** | Deferred Tax Assets | Deferred Tax Liabilities | Net Deferred Tax Assets/ (Liabilities) | Deferred Tax Assets | Deferred Tax Liabilities | Net Deferred Tax Assets/ (Liabilities) |
| Loan and Advance to B/FIs | | | | | | - |
| Loans and advances to customers | | | | | | - |
| Interest receivable on loans to customers | - | - | - | | | - |
| Investment properties | - | - | - | | | - |
| Investment securities | 90,905,726 | 364,020,767 | (273,115,041) | | 364,020,767 | (364,020,767) |
| Property & equipment | 1,244,068 | 484,043,217 | (482,799,149) | | 466,829,475 | (466,829,475) |
| Employees' defined benefit plan | 226,851,666 | - | 226,851,666 | 214,995,290 | | 214,995,290 |
| Lease liabilities | 99,308,804 | - | 99,308,804 | 78,150,237 | | 78,150,237 |
| Provisions | 16,823,107 | - | 16,823,107 | 15,674,036 | | 15,674,036 |
| Other temporary differences | 9,179,830 | - | 9,179,830 | 254,492 | | 254,492 |
| Deferred tax on temporary differences | **444,313,200** | **848,063,984** | **(403,750,784)** | **309,074,055** | **830,850,242** | **(521,776,187)** |
| Deferred tax on carry forward of unused tax losses | | | | | | - |
| Deferred tax due to changes in tax rate | | | | | | - |
| **Net Deferred tax asset/ (liabilities) as on July 15, 2024** | | | **(403,750,784)** | | | **(521,776,187)** |
| Recognized in profit or loss | | | (40,202,517) | | | (157,755,420 |
| Recognized in other comprehensive income | | | (363,548,267) | | | (364,020,767) |
| Recognized directly in equity | | | - | | | - |
| | | | | | | |
| Deferred tax asset/(liabilities) as on July 17, 2023 | | | 114,708,076 | | | 16,633,758 |
| Transferred From Merged Entities/Adjustments Assets/ (Liabilities) | | | 2,057,615 | | | - |
| **Origination/(Reversal) during the year** | | | **(520,516,475)** | | | **(538,409,945)** |
| Deferred tax expense/(income) recognized in profit or loss | | | 356,794,738 | | | 374,710,858 |
| Deferred tax expense/ (income) recognized in other comprehensive income | | | 163,721,737 | | | 163,699,087 |
| Deferred tax expense/(income) recognized in directly in equity | | | | | | - |

Amount in NPR

| | Group | | | Bank | | |
|---|---|---|---|---|---|---|
| | Previous Year | | | Previous Year | | |
| **Deferred tax on temporary differences on following items** | Deferred Tax Assets | Deferred Tax Liabilities | Net Deferred Tax Assets/ (Liabilities) | Deferred Tax Assets | Deferred Tax Liabilities | Net Deferred Tax Assets/ (Liabilities) |
| Loan and Advance to B/FIs | - | - | - | - | - | - |
| Loans and advances to customers | - | - | - | - | - | - |
| Interest receivable on loans to customers | - | - | - | - | - | - |
| Investment properties | - | - | - | - | - | - |
| Investment securities | 80,321,388 | 212,959,842 | (132,638,454) | - | 212,959,842 | (212,959,842) |
| Property & equipment | 925,774 | 428,573,341 | (427,647,567) | - | 409,642,681 | (409,642,681) |
| Employees' defined benefit plan | 576,189,907 | - | 576,189,907 | 567,421,042 | - | 567,421,042 |
| Lease liabilities | 75,788,759 | - | 75,788,759 | 52,842,264 | - | 52,842,264 |

| | | | | | | |
|---|---|---|---|---|---|---|
| Provisions | 19,750,208 | - | 19,750,208 | 18,591,237 | - | 18,591,237 |
| Other temporary differences | 6,510,495 | - | 6,510,495 | 381,738 | - | 381,738 |
| Deferred tax on temporary differences | **759,486,532** | **641,533,183** | **117,953,348** | **639,236,281** | **622,602,523** | **16,633,758** |
| Deferred tax on carry forward of unused tax losses | | | | | | |
| Deferred tax due to changes in tax rate | | | | | | |
| **Net Deferred tax asset/ (liabilities) as on July 16, 2023** | | | **117,953,348** | | | **16,633,758** |
| Recognized in profit or loss | | | 316,592,220 | | | 216,955,438 |
| Recognized in other comprehensive income | | | (198,638,872) | | | (200,321,680) |
| Recognized directly in equity | | | - | | | - |
| | | | | | | |
| Deferred tax asset/(liabilities) as on July 17, 2022 | | | 313,329,644 | | | 180,132,467 |
| Transferred From Merged Entities | | | (443,754,895) | | | (443,754,895) |
| **Origination/(Reversal) during the year** | | | **248,378,599** | | | **280,256,186** |
| Deferred tax expense/(income) recognized in profit or loss | | | (184,555,867) | | | (216,936,058) |
| Deferred tax expense/ (income) recognized in other comprehensive income | | | (294,999,662) | | | (294,497,058) |
| Deferred tax expense/(income) recognized in directly in equity | | | 231,176,930 | | | 231,176,930 |

## 4.16 OTHER ASSETS

Other assets include those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and deferred employee benefit (expenditure) balance are classified as other assets. Account Receivables include the subsidy interest & export incentive paid to customer receivable from Nepal Rastra Bank and others receivable arising on banking transactions which are settled after the reporting date. Deferred employee benefit (expenditure) are the benefits which arises as a result of fair valuation of staff loans.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Assets held for sale | - | - | - | - |
| Other non-banking assets | - | - | - | - |
| Bills receivable | - | - | - | - |
| Account receivables | 1,560,184,166 | 2,079,364,643 | 1,495,253,141 | 1,861,371,436 |
| Accrued Income | 172,891,818 | 151,916,095 | 172,891,818 | 149,399,001 |
| Prepayments and deposit | 867,652,147 | 813,999,079 | 825,952,477 | 808,561,866 |
| Income tax deposit | 196,598,454 | 184,056,979 | 196,598,454 | 184,056,979 |
| Deferred employee expenditure | 2,999,182,886 | 2,679,723,091 | 2,999,182,886 | 2,679,723,091 |
| Other assets | 394,311,933 | 373,540,297 | 387,736,804 | 367,596,920 |
| | **6,190,821,403** | **6,282,600,184** | **6,077,615,580** | **6,050,709,293** |



### 4.16.1 DEFERRED EMPLOYEE EXPENDITURE

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| opening balance | 2,679,723,091 | 1,768,101,436 | 2,679,723,091 | 1,768,101,436 |
| transfer from Merger | - | 858,807,919 | - | 858,807,919 |
| adjustment for new loan granted | 543,586,139 | 253,761,324 | 543,586,139 | 253,761,324 |
| adjustment for settled loan | (171,277,222) | (89,273,552) | (171,277,222) | (89,273,552) |
| charge to personnel expenses | (52,849,122) | (111,674,036) | (52,849,122) | (111,674,036) |
| closing balance | **2,999,182,886** | **2,679,723,091** | **2,999,182,886** | **2,679,723,091** |

## 4.17 DUE TO BANK AND FINANCIAL INSTITUTIONS

Due to Bank and financial institutions include deposit maintained by other financial institutions with the Bank. These are initially measured at initially acquired cost and subsequently measured at amortized cost using effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, call ,current and margin deposits from A, B, C and D class and Co-operative financial institutions.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Money market deposits | - | - | - | - |
| Inter bank borrowings | - | - | - | - |
| Deposits from BFIs | 17,387,967,426 | 12,913,413,234 | 17,433,530,258 | 13,023,623,863 |
| Settlement and clearing accounts | - | - | - | - |
| | **17,387,967,426** | **12,913,413,234** | **17,433,530,258** | **13,023,623,863** |

## DUE TO NEPAL RASTRA BANK

Group has classified any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. These includes borrowings directly and indirectly from Nepal Rastra Bank like Refinancing loan, Standing Liquidity Facility and any other borrowing from Nepal Rastra Bank. The group has not incurred any additional transaction cost in taking the borrowing facilities from the Nepal Rastra Bank.

The Bank had borrowed fund of NPR 518,505,701 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas", a program of German Financial Cooperation implemented by KFW (Kreditanstalt für Wiederaufbau) German government owned development bank and Government of Nepal (represented by Ministry of Finance) in December 2017. This borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs) and shown under other payable to NRB. This borrowing carries the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency. This borrowing will mature in 15 years with a grace period of up to 3 years from the first date of disbursement and payable in consecutive semi-annual installments.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Refinance from NRB | - | 55,911,000 | - | 55,911,000 |
| Standing Liquidity Facility | - | - | - | - |
| Lender of last resort facility from NRB | - | - | - | - |
| Securities sold under repurchase agreements | - | - | - | - |
| Other payable to NRB | 373,324,105 | 414,804,561 | 373,324,105 | 414,804,561 |
| Total | **373,324,105** | **470,715,561** | **373,324,105** | **470,715,561** |

## 4.19 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Held for trading** | | | | |
| -interest rate swap | - | - | - | - |
| -currency swap | - | - | - | - |
| -forward exchange contract | - | - | - | - |
| -others | - | - | - | - |
| **Held for risk management** | | | | |
| -Interest rate swap | - | - | - | - |
| -Currency swap | - | - | - | - |
| -forward exchange contract liabilities | 4,516,341,578 | 946,946,972 | 4,516,341,578 | 946,946,972 |
| -others | - | - | - | |
| | **4,516,341,578** | **946,946,972** | **4,516,341,578** | **946,946,972** |



## 4.20 DEPOSIT FROM CUSTOMERS

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, term, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Transaction cost incurred, if any, are considered in determining the effective interest rate payable on deposit from customers.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Institutional Customers** | | | | |
| -Term deposits | 107,892,446,792 | 100,789,057,763 | 107,892,446,792 | 100,789,057,763 |
| -Call deposits | 17,393,564,557 | 14,217,901,929 | 17,393,564,557 | 14,645,522,550 |
| -Current deposits | 22,988,582,532 | 22,841,216,772 | 23,427,103,440 | 23,045,388,183 |
| -Other deposits | 3,578,848,810 | 5,057,075,093 | 3,578,848,810 | 5,057,075,093 |
| **Individual Customers** | | | | |
| -Term deposits | 163,542,320,635 | 151,412,770,781 | 163,542,320,635 | 151,412,770,781 |
| -Saving deposits | 170,315,508,472 | 131,006,312,242 | 167,245,017,647 | 127,885,652,415 |
| -Current deposits | 4,274,211,324 | 3,407,118,034 | 4,274,211,324 | 3,407,118,034 |
| -Other deposits | 102,341,607 | 82,861,342 | 102,341,607 | 82,861,342 |
| | **490,087,824,729** | **428,814,313,956** | **487,455,854,812** | **426,325,446,161** |

## 4.20.1: CURRENCY WISE ANALYSIS OF DEPOSIT FROM CUSTOMERS

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Nepalese rupee | 485,029,903,439 | 424,598,828,510 | 482,397,933,522 | 422,109,960,715 |
| Indian rupee | - | - | - | - |
| United States dollar | 4,862,912,401 | 4,092,722,708 | 4,862,912,401 | 4,092,722,708 |
| Great Britain pound | 92,241,231 | 34,312,298 | 92,241,231 | 34,312,298 |
| Euro | 100,392,588 | 72,006,383 | 100,392,588 | 72,006,383 |
| Japanese yen | 618,792 | 14,805,745 | 618,792 | 14,805,745 |
| Chinese yuan | 36,839 | 36,733 | 36,839 | 36,733 |
| Other | 1,719,439 | 1,601,579 | 1,719,439 | 1,601,579 |
| **Total** | **490,087,824,729** | **428,814,313,956** | **487,455,854,812** | **426,325,446,161** |

## 20.21 BORROWINGS

Borrowings are financial liabilities accepted by Group with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate.These borrowings are secured for the purpose of managing liquidity, trade finance, infrastructure, climate finance, MSME and gender financing, respectively. Borrowings by subsidiary (Global IME Laghubitta Bittiya Sanstha Ltd.) from Banks and Financial Institutions are classified as Domestic borrowing. These are initially recorded at fair value of acquisition cost and subsequently measured at amortized cost using effective interest rate.The borrowing has been shown in equivalent Nepalese Rupees with revaluation at each year end at the closing rate.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Domestic Borrowing | | | | |
| Nepal Government | - | - | - | - |
| Other Institutions | 6,500,000 | - | 6,500,000 | - |
| Other | 1,217,701,780 | 1,464,848,365 | - | - |
| Sub total | 1,224,201,780 | 1,464,848,365 | 6,500,000 | - |
| Foreign Borrowing | | | | |
| Foreign Bank and Financial Institutions | 12,094,451,389 | 3,282,545,590 | 12,094,451,389 | 3,282,545,590 |
| Multilateral Development Banks | - | - | - | - |
| Other Institutions | - | - | - | - |
| **Sub total** | 12,094,451,389 | 3,282,545,590 | 12,094,451,389 | 3,282,545,590 |
| **Total** | **13,318,653,169** | **4,747,393,956** | **12,100,951,389** | **3,282,545,590** |

The detail of borrowing from Foreign Bank and Financial Institutions is given as below:-

| Lender | Loan Amount (in USD) | Outstanding Amount (in USD) | Period of Borrowing |
|---|---|---|---|
| International Financial Corporation(IFC) | 56,000,000 | 56,000,000 | Feb 2024-Feb 2027 |
| British International Investment(BII) | 25,000,000 | 5,000,000 | Dec 2021-Dec 2024 |
| Mashreq Bank | 10,000,000 | 10,000,000 | Oct 2021-Oct 2024 |
| Global Climate Partnership Fund (GCPF) | 10,000,000 | 10,000,000 | Sep 2023-Sep 2028 |
| Swiss Investment Fund for Emerging Markets (SIFEM) | 10,000,000 | 10,000,000 | Apr 2024-Apr 2028 |

## 4.22 PROVISIONS

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

There hasn't been any instances or rise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Provisions for redundancy | - | - | - | - |
| Provision for restructuring | - | - | - | - |
| Pending legal issues and tax litigation | - | - | - | - |
| Onerous contracts | - | - | - | - |
| Other | - | - | - | - |
| **Total** | **-** | **-** | **-** | **-** |



## 4.22.1: MOVEMENT IN PROVISION

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Opening Balance** | **-** | **-** | **-** | **-** |
| Provisions made during the year | - | - | - | - |
| Provisions used during the year | - | - | - | - |
| Provisions reversed during the year | - | - | - | - |
| Unwind of discount | - | - | - | - |
| **Closing Balance** | **-** | **-** | **-** | **-** |

## 4.23 OTHER LIABILITIES

### Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

### Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. Liability for long service leave has been meausured using acturial valuation , as the liability is dependent on the future increase of salaries and service period of the employee. Gratuity liability is not measured as per actuarial valuation as these liability are discharged in the form of defined contributory plan. The actual gratuity liability payable as on 13th January, 2023 where fixed based on the previous scheme rules and from 15th January, 2023 onwards it is provided at 8.33% of the basic salary per month as per labor act of Nepal. The Bank has fully discharged the the liability for Gratuity by transferring the liabilty amount in approved retirement fund. The bank also makes a yearly provision for staff bonus at 10% of profit before tax and bonus as a short term benefits for the service rendered to the bank. All the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank's financial statements.

### Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

### Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, excess interest payable, unpaid dividend are measured at amortized cost. Lease liabilities measured as per NFRS 16, are included under Liability under Finance Lease.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Liability for employees defined benefit obligations | 35,844,328 | 1,361,517,791 | - | 1,327,986,919 |
| Liability for long-service leave | 752,441,101 | 579,466,119 | 716,650,965 | 563,416,553 |
| Short-term employee benefits | - | 885,579 | - | - |
| Bills payable | 25,868,578 | 28,879,556 | 25,868,578 | 28,879,556 |
| Creditors and accruals | 3,012,054,120 | 3,421,797,187 | 1,712,043,428 | 2,233,048,806 |
| Interest payable on deposits | 217,319,449 | 216,247,444 | 31,997,763 | 114,345,416 |
| Interest payable on borrowing | 774,729,554 | 507,432,694 | 763,306,216 | 505,354,532 |
| Liabilities on deferred grant income | - | - | - | - |
| Unpaid dividend | 412,374,779 | 64,311,334 | 412,374,779 | 64,311,334 |
| Liabilities under Finance Lease | 2,554,273,925 | 2,468,364,907 | 2,442,719,441 | 2,350,401,384 |
| Employee bonus payable | 1,007,021,939 | 1,069,588,892 | 985,265,523 | 1,029,502,688 |
| Other statutory liabilities | 446,870,605 | 460,039,464 | 446,405,226 | 459,417,580 |
| Excess Interest Payable | - | 514,845 | - | 514,845 |
| Other liabilities | 158,474,872 | 434,566,809 | 124,249,826 | 132,702,871 |
| **Total** | **9,397,273,250** | **10,613,612,621** | **7,660,881,745** | **8,809,882,484** |

## 4.23.1. DEFINED BENEFIT OBLIGATIONS

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Present value of unfunded obligations | 788,285,429 | 1,911,832,663 | 716,650,965 | 1,891,403,472 |
| Present value of funded obligations | | | - | - |
| **Total present value of obligations** | **788,285,429** | **1,911,832,663** | **716,650,965** | **1,891,403,472** |
| Fair value of plan assets | | | - | - |
| Present value of net obligations | 788,285,429 | 1,911,832,663 | 716,650,965 | 1,891,403,472 |
| **Recognized liability for defined benefit obligations** | **788,285,429** | **1,911,832,663** | **716,650,965** | **1,891,403,472** |

## 4.23.2. PLAN ASSETS

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Equity securities | - | - | - | - |
| Government bonds | - | - | - | - |
| Bank deposit | - | - | - | - |
| Other | - | - | - | - |
| **Total** | **-** | **-** | **-** | **-** |
| **Actual Return on Plan Assets** | **-** | **-** | **-** | **-** |

## 4.23.3. MOVEMENT IN THE PRESENT VALUE OF DEFINED BENEFIT OBLIGATIONS

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Defined benefit obligations at July 16 | 1,953,362,681 | 1,325,705,187 | 1,891,403,472 | 1,312,468,892 |
| Actuarial losses/(gains) | 148,098,020 | (112,620,238) | 147,930,356 | (112,645,086) |
| Benefits paid by the plan | (136,469,066) | (544,525,643) | (135,502,247) | (544,253,492) |
| Acquisition/Business Combination | (1,327,986,919) | 911,986,551 | (1,327,986,919) | 911,986,551 |
| Current service costs and interest | 151,280,712 | 331,286,806 | 140,806,303 | 323,846,607 |
| **Defined benefit obligations at July mid** | **788,285,429** | **1,911,832,663** | **716,650,965** | **1,891,403,472** |

## 4.23.4. MOVEMENT IN THE FAIR VALUE OF PLAN ASSETS

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Fair value of plan assets at July 16 | - | - | - | - |
| Contributions paid into the plan | - | - | - | - |
| Actuarial losses | - | - | - | - |
| Benefits paid by the plan | - | - | - | - |
| Expected return on plan assets | - | - | - | - |
| **Fair value of plan assets at July mid** | **-** | **-** | **-** | **-** |

## 4.23.5: AMOUNT RECOGNISED IN PROFIT OR LOSS

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Current service costs | 244,995,420 | 279,726,462 | 239,170,116 | 273,901,158 |
| Interest on obligation | 51,181,438 | 129,787,455 | 49,566,543 | 128,172,560 |
| Expected return on plan assets | - | - | - | - |
| **Total** | **296,176,858** | **409,513,917** | **288,736,659** | **402,073,718** |

## 4.23.6: AMOUNT RECOGNISED IN OTHER COMPREHENSIVE INCOME

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Actuarial (gain)/loss for the period | (42,107,858) | (190,847,349) | (42,127,206) | (190,872,197) |
| **Total** | **(42,102,358)** | **(190,847,349)** | **(42,127,206)** | **(190,872,197)** |

## 4.23.7: ACTUARIAL ASSUMPTIONS

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Discount rate | 8% | 11% | 8% | 11% |
| Expected return on plan asset | 0% | 0% | 0% | 0% |
| Future salary increase | As per Level | As per Level | As per Level | As per Level |
| Withdrawal rate | 11% | 11% | 11% | 11% |

## 4.23.8: MATURITY ANALYSIS OF LEASE LIABILITIES

The Bank has recognized a right of use of asset and lease liability as per NFRS 16 Leases. The right to use of assets and lease liability is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis. The lease liability is amortised over the lease term. The recognition impact and the maturity analysis of lease liability is shown as below.

Amount in NPR

| | Current Year | | Previous Year | |
|---|---|---|---|---|
| | Right to Use of Assets | Leased Liabilities | Right to Use of Assets | Leased Liabilities |
| Balance as on 1st July 2023 | 2,174,260,506 | 2,350,401,385 | 1,853,701,721 | 1,948,361,264 |
| Add: Transfer from Merger | - | - | 419,182,521 | 490,191,558 |
| Add: New Branches Opened | 552,200,796 | 552,200,796 | 262,012,876 | 262,012,876 |
| Less: Depreciation | (544,242,651) | - | (360,636,612) | - |
| Add: Interest Cost | - | 18,703,410 | - | 62,452,183 |
| Less: Rent Paid for the Year | - | (478,586,149) | - | (412,616,496) |
| **Balance as on July mid, 2081** | **2,182,218,650** | **2,442,719,442** | **2,174,260,506** | **2,350,401,385** |

| | Current Year | Previous Year |
|---|---|---|
| Less Than 1 Year | - | 25,418,128 |
| 1- 5 Year | 404,718,139 | 574,401,502 |
| More than 5 Year | 2,038,001,303 | 1,750,581,755 |
| | **2,442,719,442** | **2,350,401,385** |

## 4.24 DEBT SECURITIES ISSUED

Debentures are measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate. Details of debentures issued by the bank are disclosed under Note 5.2 of Capital Management.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Debt securities issued designated as at fair value through profit or loss | - | - | - | - |
| Debt securities issued at amortised cost | 10,684,657,109 | 12,181,589,400 | 10,684,657,109 | 12,181,589,400 |
| | **10,684,657,109** | **12,181,589,400** | **10,684,657,109** | **12,181,589,400** |

## 4.25 SUBORDINATED LIABILITIES

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Redeemable preference shares | - | - | - | - |
| Irredeemable cumulative preference shares (liabilities component) | - | - | - | - |
| Other | - | - | - | - |
| **Total** | **-** | **-** | **-** | **-** |

## 4.26 SHARE CAPITAL

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to profit or loss.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Ordinary shares | 36,128,770,252 | 35,771,059,655 | 36,128,770,252 | 35,771,059,655 |
| Convertible preference shares (equity component only) | - | - | - | - |
| Irredeemable preference shares (equity component only) | - | - | - | - |
| Perpetual debt (equity component only) | - | - | - | - |
| **Total** | **36,128,770,252** | **35,771,059,655** | **36,128,770,252** | **35,771,059,655** |



## 4.26.1: ORDINARY SHARES

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **Authorized Capital** | | | | |
| 500,000,000 (PY 250,000,000) Ordinary share of NPR 100 each | 50,000,000,000 | 50,000,000,000 | 50,000,000,000 | 50,000,000,000 |
| **Issued capital** | | | | |
| 361,287,702 (PY 357,710,596) Ordinary share of NPR 100 each | 36,128,770,252 | 35,771,059,655 | 36,128,770,252 | 35,771,059,655 |
| **Subscribed and paid up capital** | | | | |
| 361,287,702 (PY 357,710,596) Ordinary share of NPR 100 each | 36,128,770,252 | 35,771,059,655 | 36,128,770,252 | 35,771,059,655 |
| **Total** | **36,128,770,252** | **35,771,059,655** | **36,128,770,252** | **35,771,059,655** |

## 4.26.2: ORDINARY SHARES OWNERSHIP

Amount in NPR

| | Current Year | | Previous Year | |
|---|---|---|---|---|
| | Percent | Amount | Percent | Amount |
| **Domestic ownership** | **100%** | **36,128,770,252** | **100%** | **35,771,059,655** |
| Nepal Government | 0.08% | 28,459,255 | 0.08% | 28,177,480 |
| "A" class licensed institutions | - | - | - | - |
| Other licensed institutions | - | - | - | - |
| Other Institutions | 14.05% | 5,077,685,016 | 14.87% | 5,317,373,384 |
| Public | 48.76% | 17,616,788,783 | 48.76% | 17,442,365,132 |
| Other | 37.11% | 13,405,837,198 | 36.30% | 12,983,143,659 |
| **Foreign ownership** | **-** | **-** | **-** | **-** |
| **Total** | **100%** | **36,128,770,252** | **100%** | **35,771,059,655** |

## 4.26.3: SHARE OWNERSHIP 0.5% AND ABOVE

| | Current Year | | Previous Year | |
|---|---|---|---|---|
| **Name of shareholder** | **No. of Shares** | **Percent** | **No. of Shares** | **Percent** |
| Employees Provident Fund | 17,141,251 | 4.74% | 16,971,535 | 4.74% |
| IME Holdings Pvt Ltd | 10,038,227 | 2.78% | 9,938,838 | 2.78% |
| IME Investment Pvt Ltd | 9,056,075 | 2.51% | 8,966,411 | 2.51% |
| Sumit Kumar Agarwal | 6,581,488 | 1.82% | 5,003,785 | 1.40% |
| Bishnu Prasad Neupane | 5,083,906 | 1.41% | 5,033,570 | 1.41% |
| Continental Investment | 4,163,534 | 1.15% | 4,122,311 | 1.15% |
| Uttam Kumar Nepal | 3,362,974 | 0.93% | 3,391,851 | 0.95% |
| Citizen Investment Trust | 3,318,648 | 0.92% | 3,285,788 | 0.92% |
| Rana Bahadur Shah | 2,832,187 | 0.78% | 2,804,145 | 0.78% |
| Nimisha Investment Pvt Ltd | 2,682,321 | 0.74% | 2,655,764 | 0.74% |
| Homeland Developers | 2,627,839 | 0.73% | 2,601,821 | 0.73% |
| Hem Raj Dhakal | 2,426,347 | 0.67% | 2,402,324 | 0.67% |
| Cabinet Shrestha | 2,295,569 | 0.64% | 2,272,841 | 0.64% |
| Kamadhenu Investment | 2,241,958 | 0.62% | 2,219,761 | 0.62% |
| Gauri Shrestha | 2,058,932 | 0.57% | - | - |
| Rita Malla | 2,017,817 | 0.56% | 1,997,837 | 0.56% |
| Sharada Devi | 1,897,681 | 0.53% | 1,878,892 | 0.53% |
| Sandeep Agarwal | 1,871,768 | 0.52% | 1,853,236 | 0.52% |

## 4.27 RESERVES

### Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equilization reserve, capital redemption reserve, investment adjustment reserve, interest capitilized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividends.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | **Current Year** | **Previous Year** | **Current Year** | **Previous Year** |
| Statutory general reserve | 12,722,532,268 | 11,473,836,112 | 12,559,646,144 | 11,328,222,384 |
| Exchange equalization reserve | 332,211,979 | 331,160,725 | 332,211,979 | 331,160,725 |
| Corporate social responsibility reserve | 151,777,261 | 162,442,528 | 147,360,919 | 157,869,490 |
| Capital adjustment reserve | 1,500,000,000 | - | 1,500,000,000 | - |
| Training Reserve | 127,358,239 | 119,282,611 | 127,358,239 | 119,282,611 |
| Interest capitalized reserve | 160,834,098 | 16,360,164 | 160,834,098 | 16,360,164 |
| Investment adjustment reserve | 10,132,619 | 6,260,000 | 10,132,619 | 6,260,000 |
| Capital reserve | - | - | - | - |
| Other reserve | 813,974,394 | 759,595,983 | 672,726,592 | 672,726,592 |
| Assets revaluation reserve | 990,940,550 | 990,940,550 | 990,940,550 | 990,940,550 |
| Dividend equalization reserve | - | - | - | - |
| Debenture redemption reserve | 516,666,666 | 1,833,333,333 | 516,666,666 | 1,833,333,333 |
| Deferred Tax Reserve | - | - | - | - |
| Fair value reserve | 847,716,746 | 496,039,786 | 849,381,791 | 496,906,298 |
| Regulatory reserve | 7,047,785,853 | 4,179,444,916 | 6,904,399,776 | 4,115,716,133 |
| Actuarial gain/(loss) | 286,351 | (29,133,019) | - | (29,489,044) |
| **Total** | **25,222,217,025** | **20,339,563,689** | **24,771,659,373** | **20,039,289,236** |



### a. General Reserve

According to Banks and Financial Institutions Act, 2073, amount equal to 20% of net profit of each year is transferred to the general reserve fund.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 11,328,222,384 | 6,250,610,171 |
| Transfer from the Merger | - | 3,738,740,654 |
| Transfer during the period | 1,231,423,760 | 1,338,871,559 |
| Withdrawal during the period | | - |
| **Balance as on July mid** | **12,559,646,144** | **11,328,222,384** |

### b. Exchange Equalization Reserve

According to Banks and Financial Institutions Act, 2073, Banks which earn foreign exchange revaluation gain on foreign currency other than Indian Currency are required to transfer 25% of such revaluation gain to exchange equalisation reserve.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 331,160,725 | 203,845,520 |
| Transfer from the Merger | | 122,690,086 |
| Transfer during the period | 1,051,254 | 4,625,119 |
| Withdrawal during the period | | - |
| **Balance as on July mid** | **332,211,979** | **331,160,725** |

### c. Corporate Social Responsibility Reserve

As per NRB directive, Banks are required to allocate 1% of its Net profit to Corporate Social Responsibility Fund which will be expensed in the next financial year. Bank has used the fund in economic transformation mainly in the field of education, financial awareness, community conservation and community health, directly or by support to various event organizers.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 157,869,490 | 65,694,761 |
| Transfer from Merger | - | 49,781,036 |
| Less: CSR Expenses during the period | (71,883,114) | (24,549,885) |
| Add: Transfer from Retained earning | 61,374,543 | 66,943,578 |
| **Balance as on July mid** | **147,360,919** | **157,869,490** |

## Sectorwise Corporate Social Responsibility Expense

| Budget Head | Province | | | | | | | Total Expenses |
|---|---|---|---|---|---|---|---|---|
| | Koshi | Madhesh | Bagmati | Gandaki | Lumbini | Karnali | Sudurpaschim | |
| Health | 900,664 | 796,464 | 1,762,291 | 904,560 | 1,372,524 | 844,503 | 903,986 | 7,484,994 |
| Financial Literacy | 2,226,102 | 2,410,690 | 11,085,851 | 2,537,533 | 2,711,049 | 1,423,529 | 1,823,072 | 24,217,828 |
| Education | 715,599 | 920,986 | 1,286,857 | 1,425,365 | 1,476,859 | 954,857 | 1,369,857 | 8,150,380 |
| Cultural Protection | 107,143 | 307,143 | 327,143 | 107,143 | 114,143 | 609,143 | 107,143 | 1,679,000 |
| Environmental Protection | 245,891 | 67,571 | 459,363 | 112,571 | 28,571 | 28,571 | 28,571 | 971,112 |
| SDG | 843,658 | 834,058 | 884,058 | 934,058 | 889,058 | 1,055,558 | 849,818 | 6,290,269 |
| Direct Grant | 123,229 | 96,429 | 146,429 | 536,428 | 215,530 | 37,429 | 21,429 | 1,176,901 |
| Natural Disaster | 1,428,571 | 1,428,571 | 1,428,571 | 1,443,571 | 1,428,571 | 1,428,571 | 1,428,571 | 10,015,000 |
| Consumer Protection | 64,571 | 64,571 | 64,571 | 64,571 | 64,571 | 64,571 | 64,571 | 452,000 |
| Kholau Khata | 38,500 | 526,300 | 173,900 | 29,100 | 94,500 | 203,400 | 224,500 | 1,290,200 |
| Digital Product Promotion | 1,206,150 | 1,265,600 | 852,020 | 813,600 | 813,600 | 813,600 | 1,392,600 | 7,157,170 |
| COVID 19 | 428,323 | 428,323 | 428,323 | 428,323 | 428,323 | 428,323 | 428,323 | 2,998,260 |
| Total | 8,328,402 | 9,146,707 | 18,899,379 | 9,336,825 | 9,637,302 | 7,892,057 | 8,642,443 | 71,883,114 |
| **Provincewise Percentage** | **11.59%** | **12.72%** | **26.29%** | **12.99%** | **13.41%** | **10.98%** | **12.02%** | **100.00%** |

## d. Debenture Redemption Reserve

As per the NRB directive Banks which have issued the debentures shall create the debenture redemption reserve proportionately for the maturity term excluding on the year of issue and redemption. Also, Bank is not required to maintain the debenture redemption reserve if the bank distributes dividend in form of bonus shares equivalent to the amount of debenture redemption reserve to be created during the year for debentures with remaining maturity of more than 5 years. However amount not created as debenture redemption reserve and distributed as dividend in form of bonus shares must be proportionately allocated to debenture redemption reserve in the remaining maturity period from next year ownwards. During the year the Bank has opted not to create debenture redemption reserve on 10 years "8.50% GIBL Debenture 2086/87" worth NPR 3 Billion with remaining maturity of 6 years as on July 2024. Amount not created as debenture redemption reserve is NPR 380,952,381.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 1,833,333,333 | 1,387,609,649 |
| Transfer during the period | 183,333,333 | 445,723,684 |
| Withdrawal during the period | (1,500,000,000) | |
| **Balance as on July mid** | **516,666,666** | **1,833,333,333** |



## e. Capital Adjustment Reserve

As per the NRB directive, debenture redemption reserve created on the matured debenture should be transferred to capital adjustment reserve after the maturity. Only bonus shares can be issued from this reserve. During the Year "10.25% Global IME Debenture 2023/24" of NPR 1.5 Billion has matured with effect from 9th April, 2024 for which debenture redemption reserve of NPR 1.5 Billion has been maintained. This amount is available for distribution of dividend in form of bonus shares only.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | - | - |
| Transfer during the period | 1,500,000,000 | - |
| Withdrawal during the period | - | |
| **Balance as on July mid** | **1,500,000,000** | **-** |

## f. Training Reserve

As per NRB directive, Banks are required to incur minimum 3% of its total employee's salary and allowances expenses of previous year on training and development of their employees. Any amount not expensed upto 3% during the year shall be transferred to this reserve from retained earnings. This reserve is created for the training and development of the Bank's employees as per said directives.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 119,282,611 | 49,522,336 |
| Transfer from Merger | - | 44,353,514 |
| Less: Training Expenses during the period | (66,580,033) | (35,264,161) |
| Add: 3% of Employees' Salary & allowances | 74,655,661 | 60,670,922 |
| **Balance as on July mid** | **127,358,239** | **119,282,611** |

## g. Interest Capitalized Reserve

As per NRB directive No 4, Banks are required to create Interest Capitalised Reserve (ICR) for the Interest accrued and capitalised during Moratorium period of Loan approved after 2079.10.26 or having Financial Closure. Such capitalised interest need to be booked under seperate account i.e. Interest Capitalised Term Loan (ICTL) and transfer to this reserve net off of staff bonus and tax.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 16,360,164 | - |
| Add: Transfer to reserve | 144,473,934 | 16,360,164 |
| **Balance as on July mid** | **160,834,098** | **16,360,164** |

## h. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's investments as per the directive issued by Nepal Rastra Bank. This reserve is created against those investments whose shares doesn't not get listed in Nepal Stock Exchange within three years from the date of investment except for those exempted by Nepal Rastra Bank.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 6,260,000 | 403,260,000 |
| Transfer during the period | 3,872,619 | 3,000,000 |
| Withdrawal during the period | - | (400,000,000) |
| **Balance as on July mid** | **10,132,619** | **6,260,000** |

## i. Capital Reserve

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | - | - |
| Transfer from Merger | - | 164,075 |
| Withdrawal during the period | - | (164,075) |
| **Balance as on July mid** | **-** | **-** |

## j. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are derecognized.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 496,906,298 | 179,710,644 |
| Transfer from the Merger | - | 1,137,965,994 |
| Transfer during the period | 372,140,032 | (820,770,340) |
| Withdrawal during the period | (19,664,539) | - |
| **Balance as on July mid** | **849,381,791** | **496,906,298** |

## k. Regulatory Reserve

This reserve is allocated from retained earnings of the Bank as per the Directive of Nepal Rastra Bank. This includes interest income accrued but not received in cash, value of investment property net of staff bonus and tax and additionally includes, amount equal to deferred tax asset in financial statement and amount equal to actuarial loss recognized till date of reporting. According to Nepal Rastra Bank Notice - 01/081/82 issued on 29th July, 2024, cash received up to 16th August, 2024 against accrued interest on loans and advances but not received in cash as on 15th July 2024, has not been considered for calculating the regulatory reserve to be maintained as on 15th July 2024. The same shown as below:

| Particulars | Amount in NPR |
|---|---|
| Accrued Interest Receivable as on July 16 2024 | 7,046,584,845 |
| Less: Cash realized up to 16th August, 2024 | (906,772,014) |
| **Amount considered for Regulatory Reserve** | **6,139,812,831** |

Amount in NPR

| | Deferred Tax Reserve | Investment Property | Accrued Interest | Actuarial (Gain) / (Loss) | Total Regulatory Reserve |
|---|---|---|---|---|---|
| Balance as on 17th July 2023 | 216,955,438 | 1,074,368,958 | 2,794,902,692 | 29,489,044 | 4,115,716,132 |
| Transfer from the Merger | - | - | - | - | - |
| Transfer during the period | (216,955,438) | 1,961,948,732 | 1,073,179,394 | - | 2,818,172,688 |
| (Withdrawal) during the period | | | | (29,489,044) | (29,489,044) |
| **Balance as on 15th July 2024** | **-** | **3,036,317,690** | **3,868,082,086** | **-** | **6,904,399,776** |

## l. Actuarial Gain/Loss

Actuarial gains and losses comprise the difference between the payments actually made by an employer and the expected amount for the defined benefit obligation. A gain occurs if the amount paid is less than expected. A loss occurs if the amount paid is higher than expected. Actuarial gain or loss can also arise from either change in assumption or experience adjustments / variance. The change in assumption can be financial as well as demographic. Nepal Rastra Bank has mandated to keep the additional reserve for the loss arising on actuarial loss.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | (29,489,044) | (56,853,487) |
| Transfer from the Merger | - | (106,246,095) |
| Transfer during the period | | |
| Withdrawal during the period | (29,489,044) | 133,610,538 |
| **Balance as on July mid** | **-** | **(29,489,044)** |



## m. Other reserve

Other Reserves include reserves created as other components of equity against Goodwill of NPR 266,911,056 during merger with erstwhile Janata Bank Nepal Ltd and acquisition of Hathway Finance Company Ltd and NPR. 405,815,536 during the merger with erstwhile Bank of Kathmandu Ltd.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 672,726,592 | 266,911,056 |
| Transfer from the Merger | - | 26,618,549 |
| Transfer during the period | - | 405,815,536 |
| Withdrawal during the period | - | (26,618,549) |
| **Balance as on July mid** | **672,726,592** | **672,726,592** |

## n. Asset Revaluation Reserve

NFRS 3 Business Combination requires the acquirer to measure the identifiable assets acquired and the liabilities assumed at their acquisition date fair values. Those assets and liabilities acquired are brought in the books of the acquirer at fair values as at the acquisition date. The changes in fair value over the book value is transferred to asset revaluation reserve, which were valued by independent valuators as on acquisition date. Asset Revalution Reserve has been created on the property transferred from merger with erstwhile Bank of Kathmandu Ltd and erstwhile Janata Bank Nepal Ltd.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| Balance as on July 16 | 990,940,550 | 451,527,713 |
| Transfer from the Merger | - | 539,412,837 |
| Transfer during the period | - | - |
| Withdrawal during the period | - | - |
| **Balance as on July mid** | **990,940,550** | **990,940,550** |

## Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends paid to shareholders and allocation of mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend. Finance Act 2080 introduced provisions to collect income tax on bonus shares distributed from FPO proceeds, premium collected through auctioned shares and on the gains obtained during merger and acquisition transactions. The bank has calculated the tax amount on capital reserve created due to difference of share issued based on SWAP ratio and share capital of merged/acquired entity. The capital reserve created (and distributed as dividend) in the books of merged entities as per the audited financial statements has been calculated NPR 3,085,955,572 and share premium on auction of shares/FPO amounting to NPR 1,327,249,029 totaling NPR 4,413,204,601 on which a tax @ 30% assessed by the bank was NPR 1,323,961,381. The bank has self-assessed this tax liability (NPR 1,323,961,381) on above transactions and deposited on 15 December, 2023. Though the Bank has recorded Goodwill on the mergers/acquisition in accordance with the NFRS 3 "Business Combinations", the taxes were paid on the distributed capital reserve, which were created on the difference of total share capital immediately before the merger/ acquisition and total share capital transferred after the merger. The taxes paid are charged to the retained earnings.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Opening balance | 4,132,001,814 | 4,026,504,268 | 3,243,361,568 | 3,239,226,171 |
| -Add: Profit for the year | 6,176,413,830 | 6,862,914,509 | 6,137,454,261 | 6,694,357,795 |
| -Add: Transfer from merger | (134,690,086) | (88,094,153) | - | (95,229,173) |
| -Less: Transfer to regulatory reserves | (3,054,923,333) | (1,933,379,229) | (3,035,128,126) | (1,909,172,415) |
| -Less: Transfer from regulatory reserves | 246,444,483 | - | 246,444,483 | - |
| -Add: Transfer from statutory reserves | 31,608,344 | 451,552,423 | 26,240,202 | 423,782,624 |
| -Less: Transfer to statutory reserves | (1,606,631,812) | (1,879,641,881) | (1,568,297,620) | (1,873,380,980) |
| -Less: Tax Paid on Share Swap and Premium of previous years | (1,332,380,358) | - | (1,323,961,381) | - |
| -Less: Cash dividend for FY 2022-2023 | (2,897,259,147) | - | (2,861,684,772) | - |
| -Less: Scrip dividend for FY 2022-2023 | (357,710,597) | - | (357,710,597) | - |
| -Less: Cash dividend for FY 2021-2022 | - | (2,555,866,121) | - | (2,522,349,854) |
| -Less: Scrip dividend for FY 2021-2022 | - | (751,988,001) | - | (713,872,600) |
| **-Closing balance** | **1,202,873,139** | **4,132,001,814** | **506,718,018** | **3,243,361,568** |

## 4.28 CONTINGENT LIABILITIES AND COMMITMENTS

Contingent liabilities and commitments are those obligations which may not be recognized on the statement of financial position, but they do contain certain credit risk and are therefore part of the overall risk of the Bank.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Contingent Liabilities | 67,410,677,961 | 65,531,910,216 | 67,410,677,961 | 65,531,910,216 |
| Undrawn and undisbursed facilities | 30,994,951,676 | 33,526,574,335 | 30,994,951,676 | 33,526,574,335 |
| Capital commitments | - | - | - | - |
| Lease commitments | - | - | - | - |
| Litigations | 873,393,225 | 798,905,017 | 873,393,225 | 798,905,017 |
| | **99,279,022,862** | **99,857,389,569** | **99,279,022,862** | **99,857,389,569** |

### 4.28.1 CONTINGENT LIABILITIES

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.



Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| 1. Acceptances & Endorsements | 11,498,161,843 | 11,697,529,999 | 11,498,161,843 | 11,697,529,999 |
| 2. Documentary Credit | 12,723,679,542 | 11,860,606,122 | 12,723,679,542 | 11,860,606,122 |
| 3. Bills for collection | - | - | - | - |
| 4. Forward exchange contracts | - | - | - | - |
| 5. Guarantees/Bonds | 43,188,836,576 | 41,973,774,095 | 43,188,836,576 | 41,973,774,095 |
| 6. Underwriting commitment | - | - | - | - |
| 7. Other Commitments | - | - | - | - |
| **Total** | **67,410,677,961** | **65,531,910,216** | **67,410,677,961** | **65,531,910,216** |

### 4.28.2 UNDRAWN AND UNDISBURSED FACILITIES

To meet the financial needs of customers, the Bank enters into irrevocable commitments like financial guarantees, letters of credit and other credit commitments. Undrawn facilities refer to the approved credit facility that the Bank has agreed to be made available to the borrower, that the borrower has either not drawn, or has drawn and repaid.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| 1. Undisbursed amount of loans | 4,663,223,469 | 6,979,619,782 | 4,663,223,469 | 6,979,619,782 |
| 2. Undrawn limits of overdrafts | 17,413,103,575 | 19,367,498,447 | 17,413,103,575 | 19,367,498,447 |
| 3. Undrawn limits of credit cards | 1,436,273,949 | 1,466,796,729 | 1,436,273,949 | 1,466,796,729 |
| 4. Undrawn limits of letter of credit | 7,481,600,683 | 5,712,159,377 | 7,481,600,683 | 5,712,159,377 |
| 5. Undrawn limits of guarantee | 750,000 | 500,000 | 750,000 | 500,000 |
| **Total** | **30,994,951,676** | **33,526,574,335** | **30,994,951,676** | **33,526,574,335** |

### 4.28.3 CAPITAL COMMITMENTS

There is no any Capital expenditure approved by the bank, which requires provision in financial statements.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| **Capital commitments in relation to Property and Equipment** | | |
| Approved and contracted for | - | - |
| Approved but not contracted for | - | - |
| | - | - |
| **Capital commitments in relation to Intangible assets** | | |
| Approved and contracted for | - | - |
| Approved but not contracted for | - | - |
| | - | - |
| **Total** | **-** | **-** |

## 4.28.4 LEASE COMMITMENTS

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| **Operating lease commitments** | | |
| Future minimum lease payments under non-cancellable operating lease, where the bank is lessee | | |
| Not later than 1 year | | |
| Later than 1 year but not later than 5 years | | |
| Later than 5 years | | |
| **Finance lease commitments** | | |
| Future minimum lease payments under non-cancellable finance lease, where the bank is lessee | | |
| Not later than 1 year | | |
| Later than 1 year but not later than 5 years | | |
| Later than 5 years | | |
| | - | - |
| **Total** | **-** | **-** |

## 4.28.5 LITIGATIONS

### a. Income Tax

Litigation is a common occurrence in the banking industry due to the nature of the business. The Bank has separate unit for dealing with such legal claims. Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department are provided below. Except for the below cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank. Tax assessments of the Bank up to financial year 2076-77 have been completed without demand of tax liability, if any on such transactions/ payments from capital reserves that arose from the mergers and acquisitions.

The amount presented as below includes the probable interest calculated till the date of assessment:

Amount in NPR

| Cases at | Current Year | Previous Year |
|---|---|---|
| Supreme Court | 172,417,035 | 163,334,443 |
| Revenue Tribunal | 229,886,659 | 146,891,376 |
| Inland Revenue Department | 471,089,532 | 488,679,198 |
| **Total** | **873,393,225** | **798,905,017** |



## 4.29 INTEREST INCOME

Interest income includes interest accrued on financial assets including loans and advances to financial institutions and customers, bank balances at nostro accounts and other interest bearing securities. Interest income is recognised using the effective interest rate (EIR). The Bank has opted for Carve Out issued by Institute of Chartered Accountants of Nepal, in which origination fees collected during issue of loans to customers are not considered in calculating the EIR. The Bank doesn't recognize the interest income accrued on the loans and advances classified under loss category determined as per directives issued by Nepal Rastra bank, due to the uncertainty of the recovery. Further the Bank does not recognize the interest income accrued on the loans and advances classified under Substandard and Doubtful category, unless such interest along with principal are covered by the collateral value as defined in Income Recognition guidelines issued by Nepal Rastra Bank.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -From Cash and cash equivalents | 1,326,732,414 | 642,905,131 | 1,312,260,203 | 594,661,866 |
| -From Due from Nepal Rastra Bank | - | - | - | - |
| -From Placements with B/FIs | 4,614,188 | 17,461,137 | - | 11,727,450 |
| -From Loans and advances to B/FIs | 1,139,850,877 | 1,444,231,615 | 1,403,629,867 | 1,444,231,615 |
| -From Loans and advances to customers | 43,761,203,161 | 43,258,348,931 | 42,549,757,839 | 42,031,766,492 |
| -From Investment securities | 5,800,564,720 | 3,921,928,843 | 5,800,564,720 | 3,917,270,274 |
| -From Loans and advances to staff | 515,117,131 | 148,619,391 | 515,117,131 | 148,619,391 |
| -From Others agency balance | 98,689,181 | 61,802,717 | 98,689,181 | 61,802,717 |
| | **52,646,771,672** | **49,495,297,765** | **51,680,018,941** | **48,210,079,805** |

## 4.30 INTEREST EXPENSE

Interest expense includes interest accrued on deposits from customers including BFIs, debt securities issued and other interest bearing financial liabilities. Interest expense is recognized using the effective interest rate (EIR).

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -On Dues to B/FIs | 83,102,200 | 75,767,446 | 92,330,822 | 75,767,446 |
| -On Dues to Nepal Rastra Bank | 21,923,546 | 234,857,759 | 21,923,546 | 234,857,759 |
| -On Deposit from customers | 33,083,484,811 | 29,926,195,677 | 32,872,852,332 | 29,707,414,142 |
| -On Borrowings | 761,811,834 | 835,081,464 | 651,627,215 | 323,616,578 |
| -On Debt securities issued | 1,184,958,120 | 761,432,866 | 1,184,958,120 | 761,432,866 |
| -On Subordinated liabilities | - | - | - | - |
| | **35,135,280,511** | **31,833,335,212** | **34,823,692,035** | **31,103,088,791** |

## 4.31 FEES AND COMMISSION INCOME

Fee and commission income earned from services including fees collected from issuance of Loans and advances, letter of credit, guarantees and sale of digital products are recognized on accrual basis. Loan administration fees, service fees and swap fees on new loans or on renewal of underlying credit facilities are the transaction costs collected by the bank. Bank has availed Carve-out on NFRS for accounting of transaction costs to include as part of EIR.

Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions etc.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -From Loan administration fees | 569,273,233 | 312,430,169 | 569,273,233 | 312,430,169 |
| -From Service fees | 286,042,962 | 309,957,316 | 172,839,740 | 149,586,675 |
| -From Consortium fees | - | - | - | - |
| -From Commitment fees | 3,405,458 | 4,597,403 | 3,405,458 | 4,597,403 |
| -From D.D/ T.T/swift fees | 66,294,676 | 51,395,183 | 66,294,676 | 51,395,183 |
| -From Credit card/ATM issuance and renewal fees | 1,204,996,563 | 927,728,091 | 1,204,996,563 | 927,728,091 |
| -From Prepayment and swap fees | 32,587,989 | 10,004,147 | 32,587,989 | 10,004,147 |
| -From Investment banking fees | 126,558,289 | - | - | - |
| -Asset Management fees | - | 1,338,276 | - | - |
| -From Brokerage fees | 6,470,350 | - | - | - |
| -From Remittance fees | 276,842,977 | 266,577,253 | 276,842,977 | 266,577,253 |
| -From Commission on letter of credit | 384,647,267 | 336,498,366 | 384,647,267 | 336,498,366 |
| -From Commission on guarantee contract issued | 431,027,896 | 433,948,459 | 431,027,896 | 433,948,459 |
| -From Commission on share underwriting/ issue | - | 33,606,494 | - | - |
| -From Locker rental | 27,144,562 | 15,533,100 | 27,144,562 | 15,533,100 |
| -From Other fees and commission income | 281,285,112 | 260,611,955 | 278,234,162 | 235,843,177 |
| **Total fees and commission income** | **3,696,577,334** | **2,964,226,212** | **3,447,294,523** | **2,744,142,023** |

## 4.32 FEES AND COMMISSION EXPENSE

Fee and commission expense includes transactions and service fees expensed for the services received. Fee and commission expense are recognized on accrual basis.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -On ATM management fees | - | - | - | - |
| -On VISA/Master card fees | 405,034,040 | 343,310,755 | 405,034,040 | 343,310,755 |
| -On Guarantees | - | - | - | - |
| -On Brokerage | - | - | - | - |
| -On D.D/ T.T/swift fees | 28,619,690 | 23,393,312 | 28,619,690 | 23,393,312 |
| -On Remittance commission | 141,345,271 | 159,312,809 | 141,345,271 | 159,312,809 |
| -Other Commission expenses | 226,230,444 | 191,523,802 | 190,000,767 | 157,553,538 |
| **Total fees and commission expense** | **801,229,445** | **717,540,678** | **764,999,768** | **683,570,414** |

## 4.33 NET TRADING INCOME

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -From Changes in fair value of trading assets | (138,179,077) | 144,281,360 | - | - |
| -From Gain/loss on disposal of trading assets | - | 1,035,011 | - | - |
| -From Interest income on trading assets | - | - | - | - |
| -From Dividend income on trading assets | - | 308,920 | - | - |
| -From Gain/loss foreign exchange transaction | 580,852,726 | 474,601,196 | 580,852,726 | 474,601,196 |
| -From Other trading income | - | - | - | - |
| **Total net trading income** | **442,673,649** | **620,226,487** | **580,852,726** | **474,601,196** |

## 4.34 OTHER OPERATING INCOME

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral is transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -From Foreign exchange revaluation gain | 4,205,015 | 18,500,477 | 4,205,015 | 18,500,477 |
| -From Gain/loss on sale of investment securities | 274,373,617 | (21,736,070) | 274,373,617 | 1,064,615 |
| -From Fair value gain/loss on investment properties | - | - | - | - |
| -From Dividend on equity instruments | 148,491,036 | 95,658,912 | 139,444,327 | 93,021,334 |
| -From Gain/loss on sale of property and equipment | 5,509,443 | 3,451,709 | 5,509,443 | 3,727,439 |
| -From Gain/loss on sale of investment property | 488,590 | 2,549,044 | 488,590 | 2,549,044 |
| -From Operating lease income | - | - | - | - |
| -From Gain/loss on sale of gold and silver | 4,730,010 | 8,713,211 | 4,730,010 | 8,713,211 |
| -From Others | 107,736,097 | 87,460,274 | 105,704,986 | 87,450,505 |
| **Total other operating income** | **545,533,809** | **194,597,557** | **534,455,988** | **215,026,625** |

## 4.35 IMPAIRMENT CHARGE/ (REVERSAL) FOR LOANS AND OTHER LOSSES

Net impairment charge or reversal on loans are the movement in collective and specific impairment allowance from the previous year on the basis of individual assessment of loans and historical loss experience on loans. The Bank has applied the carve out by Institute of Chartered Accountants of Nepal issued for the implementation of Para 5.5 of NFRS 9-Financial Instruments to measure the Impairment Loss on Loan and advances. Impairment charges is provided on the higher of loan loss provision as per Unified Directive no. 2 issued by Nepal Rastra Bank loan loss provision measured as per NFRS 9.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment.

Goodwill is the excess of the consideration transferred over the fair value of the acquired assets and assumed liabilities in a business combination. Goodwill is not amortized but rather tested for impairment at least annually. Goodwill is also tested for impairment between annual tests if an event occurs or circumstances change that would more likely than not reduce the fair value of the reporting unit below its carrying amount. When testing goodwill for impairment, we assess qualitative factors for all of our reporting units to determine whether the fair value of a reporting unit is less than its carrying amount, including goodwill. Events or circumstances that might indicate an interim evaluation includes, unexpected adverse business conditions, declining cash flows, a sustained decrease in share price, unanticipated competitive activities and acts by governments and courts.

### Goodwill impairment test is carried out with following multi step process:

The current condition of the acquired business needs to be assessed to understand whether impairment testing is needed. Since the acquired business is managed by the single entity it is imperative to assess the effect of merger in the resulting entity after merger. On assessment by the management, there comes no adverse situation where the business of the bank is severely affected after merger amidst the current economic conditions. Though the current economic situation has slightly slowed down the business activities but the potential business area remains in abundant. We have also assessed whether the fair value of our business has come down below the carrying amount. For assessment of fair value of the bank we have considered the business value based on income earning approach. After the computation of business value, we have compared our carrying book value including recognised goodwill with the business value thus arrived as on reporting date. On comparison the fair value of the business is higher than the carrying value of the business. With this management is confident that the goodwill arrived on the business combinations does not show any indication for impairment calculation

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -On Loans and advances to B/FIs | (16,193,638) | (7,829,661) | (12,616,895) | (7,829,661) |
| -On Loans and advances to customer | 3,770,310,936 | 3,513,242,705 | 3,629,225,387 | 3,433,968,723 |
| -On Investment securities | - | - | - | - |
| -On Cash and cash equivalents | - | - | - | - |
| -On Placement with B/FIs | - | - | - | - |
| -On Property and equipment | - | - | - | - |
| -On Goodwill and intangible assets | - | - | - | - |
| -On Investment properties | - | - | - | - |
| -On Account receivables | - | - | - | - |
| **Total impairment charge/(reversal)** | **3,754,117,298** | **3,505,413,044** | **3,616,608,492** | **3,426,139,062** |

## 4.36 PERSONNEL EXPENSES

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services received up to the reporting date.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Salaries | 1,497,299,952 | 1,307,194,221 | 1,362,218,412 | 1,165,401,699 |
| -Allowances | 1,766,859,744 | 1,430,363,351 | 1,660,200,780 | 1,323,120,323 |
| -Gratuity | 175,529,795 | 246,284,189 | 166,276,519 | 235,624,267 |
| -Provident fund | 146,356,342 | 129,716,517 | 133,728,992 | 116,436,390 |
| -Uniform | - | 667,000 | - | - |
| -Training and development expenses | 73,357,005 | 41,377,000 | 66,580,033 | 35,264,161 |
| -Leave encashment | 320,563,398 | 157,551,022 | 288,736,659 | 150,863,390 |
| -Medical insurance | 16,399,438 | 12,772,453 | 16,004,545 | 12,772,453 |
| -Life insurance | 28,573,512 | 20,610,456 | 25,484,667 | 18,566,496 |
| -Employee incentives | - | - | - | - |
| -Cash settled share-based payments | - | - | - | - |
| -Pension expenses | - | - | - | - |
| -Finance expense under NFRS | 52,849,122 | 111,674,036 | 52,849,122 | 111,674,036 |
| -Other staff expenses | 41,716,538 | 52,111,221 | 24,762,756 | 35,191,960 |
| | **4,119,504,846** | **3,510,321,466** | **3,796,842,485** | **3,204,915,175** |
| -Employees bonus | 1,003,955,119 | 1,065,091,092 | 985,265,523 | 1,029,502,688 |
| **Total personnel expenses** | **5,123,459,965** | **4,575,412,558** | **4,782,108,008** | **4,234,417,863** |

## 4.37 OTHER OPERATING EXPENSES

Bank incurs various expenses in the form of lease rent, travelling, security, fuels and electricity, communication, advertisements and other directly related expenses. These expenses are incurred and accounted on accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Directors' fees | 5,569,535 | 5,230,822 | 3,264,535 | 2,880,500 |
| -Directors' expenses | 6,962,732 | 2,366,026 | 6,292,507 | 1,741,478 |
| -Auditor's remuneration | 5,340,100 | 5,257,600 | 4,520,000 | 4,520,000 |
| -Other audit related expenses | 567,600 | 966,508 | - | - |
| -Professional and legal expense | 47,055,552 | 30,814,527 | 43,374,082 | 30,140,130 |
| -Office administration expenses | 2,067,415,160 | 1,706,034,627 | 2,015,182,321 | 1,656,477,800 |
| -Operating lease expenses | 88,787,640 | 100,939,038 | 81,781,007 | 92,464,652 |
| -Operating expense on investment properties | - | - | - | - |
| -Corporate social responsibility expenses | 73,040,572 | 26,352,869 | 71,883,114 | 24,549,885 |
| -Onerous lease provisions | - | - | - | - |
| -Other operating expenses | 22,926,761 | 67,628,141 | 18,703,410 | 62,586,906 |
| **Total operating expense** | **2,317,665,653** | **1,945,590,158** | **2,245,000,976** | **1,875,361,351** |

## 4.37.1 OFFICE ADMINISTRATION EXPENSES

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Water & electricity | 99,132,265 | 87,982,062 | 96,825,963 | 85,853,324 |
| Repairs and maintenance | | - | | - |
| (a) Building | 9,167,028 | 5,631,919 | 9,167,028 | 5,631,919 |
| (b) Vehicle | 21,286,683 | 16,978,128 | 20,359,215 | 16,209,013 |
| (c) Computer and accessories | 3,252,561 | 2,079,580 | 3,252,561 | 2,079,580 |
| (d) Office equipment and furniture | 33,390,233 | 21,139,543 | 32,887,346 | 20,388,932 |
| (e) Other repairs | 30,321,375 | 22,297,593 | 29,421,255 | 21,379,654 |
| Insurance | 26,410,004 | 23,452,727 | 24,949,749 | 22,784,758 |
| Postage, telex, telephone, fax | 109,352,870 | 100,502,455 | 105,160,422 | 96,985,055 |
| Printing and stationery | 104,175,593 | 89,925,126 | 98,899,917 | 84,053,067 |
| Newspaper, books and journals | 19,478,017 | 14,886,438 | 19,459,064 | 14,843,264 |
| Advertisement | 153,814,019 | 123,591,863 | 153,194,335 | 122,937,728 |
| Donation | - | - | - | - |
| Security expenses | 420,956,928 | 317,496,467 | 419,129,475 | 316,446,155 |
| Deposit and loan guarantee premium | 193,425,257 | 156,176,599 | 193,425,257 | 156,176,599 |
| Travel allowance and expenses | 103,709,407 | 65,368,136 | 98,370,675 | 59,559,010 |
| Entertainment | 4,054,796 | 4,165,833 | 3,793,370 | 3,709,062 |
| Annual/special general meeting expenses | 2,354,125 | 1,678,507 | 1,815,374 | 895,134 |
| Other | - | - | - | - |
| (a) ATS/AMC expenses | 165,108,682 | 133,724,292 | 163,711,716 | 130,621,747 |
| (b) Bank charges | 33,904,535 | 27,237,723 | 32,657,446 | 27,226,048 |
| (c) Business promotion | 107,745,023 | 75,589,558 | 107,329,879 | 75,465,428 |
| (d) Cleaning & gardening | 27,748,860 | 22,033,586 | 27,414,679 | 21,664,984 |
| (e) Fees & taxes | 30,597,358 | 93,780,092 | 30,561,758 | 91,843,261 |
| (f) Fuel & other lubricants | 87,664,593 | 77,114,555 | 77,470,314 | 69,656,588 |
| (g) Membership fees | 6,247,790 | 4,143,893 | 6,100,425 | 4,078,893 |
| (h) Office goods and supply | 17,824,722 | 11,163,617 | 17,824,722 | 11,163,617 |
| (i) Pantry expenses | 23,264,521 | 20,242,118 | 22,236,256 | 17,569,784 |
| (j) Share registration expenses | 2,062,329 | 10,392,809 | 1,730,829 | 9,578,504 |
| (k) Outsourced Staff Expenses | 168,829,271 | 115,787,085 | 166,676,468 | 115,787,085 |
| (l) Others | 62,136,315 | 61,472,323 | 51,356,823 | 51,889,607 |
| **Total operating expense** | **2,067,415,160** | **1,706,034,627** | **2,015,182,321** | **1,656,477,800** |

## 4.38 DEPRECIATION AND AMORTIZATION

### Depreciation of Property, and Equipment

Bank provides depreciation from date of assets being put to use over the periods of estimated useful lives of assets. These useful lives of assets represent the period over which future economic benefits from those assets are expected to be consumed by the bank. Freehold land are not depreciated as they are non depreciable assets. Depreciation of an asset ceases at the time asset is classified as held for sale or the date asset is derecognised, whichever is earlier.

### Amortization of Intangible Assets

Intangible assets,except goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the date of put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank.

### Amortization of Right-of-Use Assets

The right of use assets are depreciated using a straight-line method from the commencement date to the earlier of the end of the useful life of the right of use assets or the end of the lease term. The estimated useful lives of right of use assets are determined on the basis of period of the agreement agreed for the use of propoerty and are in the range of 1 to 20 years.

| Assets | Useful Lives |
|---|---|
| Land | Non Depreciable |
| Buildings | Up to 40 Years |
| Machinery | Up to 7 Years |
| Office Equipment | Up to 5-10 Years |
| Motor Vehicles | Up to 7 Years |
| Leasehold Improvement | Up to 10 Years |
| Software and Intangibles | Up to 5-10 Years |

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -On Property and equipment | 988,766,219 | 788,993,973 | 951,280,419 | 751,652,004 |
| -On Investment property | - | - | - | - |
| -On Software and intangibles | 41,022,975 | 40,407,046 | 39,974,101 | 39,122,869 |
| **Total Depreciation & Amortization** | **1,029,789,195** | **829,401,019** | **991,254,520** | **790,774,873** |

## 4.39 NON OPERATING INCOME

Non-operating income includes recovery from earlier written off loans, share of profit/(loss) from investment in associate entities and others. Share of profit/(loss) from investment in associate entities is recognized using equity method and shown separately while preparing consolidated financial statements.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -From Recovery of written off loans | 7,344,142 | 8,525,937 | 7,344,142 | 8,525,937 |
| -From Other income | - | - | - | - |
| -From Share of profit from investment in associates | 18,253,693 | 8,623,975 | - | - |
| **Total non-operating income** | **25,597,835** | **17,149,912** | **7,344,142** | **8,525,937** |

## 4.40 NON OPERATING EXPENSES

Non-operating expenses include write off for uncollectible loans, write off of other assets and employee voluntary retirement related costs.

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| -Loan written off | - | 138,132,816 | - | 138,132,816 |
| -Redundancy provision | - | - | - | - |
| -Expense of restructuring | 116,247,752 | 121,776,048 | 116,247,752 | 121,776,048 |
| -Other expense | 56,166,801 | 13,753,384 | 42,665,062 | 13,590,179 |
| **Total non-operating expense** | **172,414,553** | **273,662,248** | **158,912,814** | **273,499,043** |

## 4.41 INCOME TAX EXPENSE

### Current Taxation

Current tax is the estimated tax payable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

### Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.



Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| **-current tax expense** | | | | |
| -Income tax expense based on profit for current year | 2,447,131,190 | 2,849,923,827 | 2,355,224,588 | 2,788,102,452 |
| -Adjustment for prior years under/(over) provision | - | 1,003 | | - |
| | **2,447,131,190** | **2,849,924,830** | **2,355,224,588** | **2,788,102,452** |
| **-deferred tax expense** | | | | |
| -Origination and reversal of temporary differences | 356,794,738 | (180,265,744) | 374,710,858 | (216,936,058) |
| -Change in tax rates | - | - | | - |
| -Recognition of previously unrecognized tax losses | - | - | | - |
| | **356,794,738** | **(180,265,744)** | **374,710,858** | **(216,936,058)** |
| **Total income tax expenses** | **2,803,925,927** | **2,669,659,086** | **2,729,935,446** | **2,571,166,394** |

## 4.41.1: RECONCILIATION OF TAX EXPENSE AND ACCOUNTING PROFIT

Amount in NPR

| | Group | | Bank | |
|---|---|---|---|---|
| | Current Year | Previous Year | Current Year | Previous Year |
| Profit before tax | | | 8,867,389,707 | 9,265,524,189 |
| Tax Amount @ 30% | | | **2,660,216,912** | **2,779,657,257** |
| Add: Tax effect of expenses that are not deductible for tax purpose | | | (128,786,900) | 164,897,134 |
| Less: Tax effect on exempt income | | | (41,833,298) | (27,906,400) |
| Less: Tax effect of expenses that are deductible for tax purpose | | | (134,372,127) | (128,545,539) |
| Total Income tax | - | - | 2,355,224,587 | 2,788,102,452 |
| Effective tax rate | | | **26.56%** | **30.09%** |

## 4.42EARNINGS PER SHARE

Bank presents basic and diluted Earning per Share (EPS) for its ordinary shares. Earning per share (EPS) is calculated dividing the net profit for the year attributable to equity holders of Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted Earning per Share is determined by adjusting both the profit attributable to the equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any. The Bank did not have any dilutive potential ordinary shares as at 15th July 2024.

**a. Earnings per Share: Basic**

| | Bank | |
|---|---|---|
| | Current Year | Previous Year |
| **Amount used as the numerator** | | |
| Profit after tax for the year attributable to equity holder (Rs) | 6,137,454,261 | 6,694,357,795 |
| **No. of ordinary shares used as the denominator** | | |
| Weighted average number of ordinary shares | 361,287,703 | 303,408,889 |
| Basic earnings per ordinary shares (Rs) | **16.99** | **22.06** |

**b. Earnings per Share: Diluted**

| | Bank | |
|---|---|---|
| | Current Year | Previous Year |
| **Amount used as the numerator** | | |
| Profit after tax for the year attributable to equity holder (Rs) | 6,137,454,261 | 6,694,357,795 |
| **No. of ordinary shares used as the denominator** | | |
| Weighted average number of ordinary shares | 361,287,703 | 303,408,889 |
| Basic earnings per ordinary shares (Rs) | **16.99** | **22.06** |

**c. Weighted average Number of Ordinary Shares for basic/Diluted EPS**

| | Current Year | Previous Year |
|---|---|---|
| Number of Shares held at 17th of July | 357,710,597 | 237,957,533 |
| Add: Number of shares issued due to final bonus | 3,577,106 | 7,138,726 |
| Add: Number of shares issued to merged entity | - | 58,312,629 |
| Adjusted Number of Shares eligible EPS calculation | **361,287,703** | **303,408,889** |

## 4.43 PROPOSED AND DISTRIBUTED DIVIDEND

Dividends are recognised at the time it is recommended by the Board of Directors and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year. According to Section 47 (Ka) (5) of Income Tax Act, 2058, tax on dividend is exempt for period of 2 years from the date of merger. The Bank has availed this tax provisions due to the merger with erstwhile Bank of Kathmandu which was completed on 8th January, 2023.

Amount in NPR

| | Current Year | Previous Year |
|---|---|---|
| **Final dividend paid for the years 2079-80 & 2078-79 respectively** | | |
| Bonus shares distributed | 357,710,597 | 713,872,600 |
| Cash dividend paid | 2,861,684,772 | 2,522,349,854 |
| | **3,219,395,369** | **3,236,222,454** |
| Dividend paid per ordinary share of NPR 100 each | **9.00** | **13.60** |
| **Final dividend proposed for the years 2080-81 & 2079-80 respectively** | | |
| Bonus shares Proposed | 1,987,082,364 | 357,710,597 |
| Cash dividend proposed | - | 2,861,684,772 |
| | **1,987,082,364** | **3,219,395,369** |
| Dividend proposed per ordinary share of NPR 100 each | **5.50** | **9.00** |



## ADDITIONAL DISCLOSURES AND INFORMATION

### 5.1. RISK MANAGEMENT

In the current evolving financial environment, banks are exposing to a broad spectrum of risks, including credit risk, liquidity risk, operational risk, information security risk, compliance risk, reputational risk, and regulatory risk. Likewise other many risk factors to be taken in to consideration to address the changing economic scenario and technological changes in the market. The effective management of these risks is crucial for maintaining the Bank's financial stability and fostering a strong risk culture throughout the organization. The Bank's commitment to balancing risk and return is reflected in its comprehensive policies, systems, and practices designed to identify, monitor, and manage these risks across multiple domains.

### Risk Governance

The Bank's risk governance system plays a vital role in overall risk management strategy. The Board of Directors, as the apex authority, is responsible for ensuring that the Bank has the necessary framework, systems, and resources to manage risks effectively. Through the Risk Management Committee (RMC) and other independent departments and committees, the Board ensures that prudent risk management practices are implement across all functions of the bank. This robust governance structure enables the Bank to effectively oversee, monitor, and respond to risk events, safeguarding its financial health and long-term sustainability in an increasingly complex operating environment.

The Bank recognizes that common values, attitudes, and cultural norms to play a critical role in shaping risk awareness and decision-making. Consequently, the Bank has adopted a "zero tolerance" policy toward actions that could harm reputation of the bank, such as regulatory violations, fraudulent activities or unethical market behavior. To strengthen its risk management framework, the Bank has implemented several key strategies which includes development of competent human resources through extensive training and capacity-building programs, investment in digitization and development of robust Management Information Systems (MIS), continuous upgradation of its Information Technology Monitoring Systems, regular reviews and updates of risk appetite statements and tolerance levels of the Bank alongside the development of enhanced systems for continuous risk monitoring.

The Bank has set up following structure with defined roles, responsibilities and accountability to look mainly after Risk Management areas:

a. Integrated Risk Management Department (IRMD)
b. Integrated Risk Management Committee-Management Level (IRMC)
c. Risk Management Committee-Board Level (RMC)

The Bank has established a Management Level Integrated Risk Management Committee (IRMC), consisting of senior management, to bloster its risk management system and processes, and thereby supporting sustainable business growth. The Integrated Risk Management Department (IRMD) oversees the Bank's routine functions across various areas, including credit risk, operational risk, information security risk, and market and liquidity risk. Its role is to ensure that the Bank consistently adheres to its standard risk cultures and values and to ensure that all observed risks remain within the Bank's established risk appetite. The IRMD is an independent unit, headed by the Chief Risk Officer (CRO), who reports to the Board Level Risk Management Commitee.

### a. Credit Risk:

Credit risk at bank involves the potential for financial loss due to borrowers or counterparties failing to meet their obligations. The Bank manages this risk through a comprehensive framework that includes a rigorous credit appraisal and approval process, segmentation of the credit portfolio, continuous monitoring, and the use of risk mitigation measures. The Bank also conducts stress testing and scenario analysis to assess the impact of adverse conditions, ensures adequate provisioning and capital allocation, and adheres to regulatory standards set by the regulator. These measures help the Bank minimize credit risk while maintaining financial stability and supporting its diverse customer base and business growth.

The Bank has embedded a well managed defense system and has multiple layer for screening, assessment and identification of credit risk both at pre-approval and post-approval level. It has set of experienced team across credit functions which forms a key strength in managing credit risk of the Bank which is continuously strengthened through training, interaction, tests etc.

CCU provides an independent view, highlights the risks associated while assessing Risk Assets of the Bank and suggests necessary mitigating measures/covenants. Risk Officers under CCU do not have any lending authority and the Risk Officers reports to CRO.

The portfolio of the Bank has been diversified in terms of loan segments, industries, top borrowers as well as geographies to manage overall risk arising from credit function. In addition, Stress testing results are also conducted periodically to assess the impact during adverse scenario. The Bank has laid down rigorous provision to ensure periodic onsite/offsite inspection of the borrowers through formation of separate Credit Monitoring Unit which serves as a proactive measure

to identify credit risks and adopt proper mitigating measures.

Adequate policies, guidelines, etc. are in placed to guide the Bank's credit function which facilitates better credit risk functions. As a result of comprehensive credit risk management system, the Bank has been able to maintain sound health of its portfolio.

**Credit Approval and Implementation Process** - The Bank's credit assessment is based on risk perspective. Each borrower is rated under different parameters to assess the risk associated with the relationship. Approved loans are forwarded to Credit Administration Department that administers the post approval processes including review of security documentation, contracts and other legal paper, Bank's Credit Policy and Credit Guidelines, Product Papers and as per the approved terms and conditions. Credit Administration Department verifies the certification and ensures completion of necessary formalities and disburses the loan in the system.

**Credit Risk Appetite** across various parameters are set to diversification of portfolio concentration. Credit Risk Management Policy (CRMP) of the Bank defines overall risk tolerance/risk appetite level in relation to credit risk under various parameters (sector wise, product wise, borrower concentration, NPA, industry wise etc.) which are reviewed at least on quarterly basis by RMC and the board.

**Credit Monitoring**- Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Even after the loan disbursal, credit monitoring is highly emphasized by the Bank to ensure changes and risk levels are periodically monitored. Business/ real estate inspections, drawing power calculation, customer visits are conducted by Corporate office, Credit Administration Department, Credit Control Unit, Province Office as well as Internal audit team, in addition to the lending units. The role of Province Offices is strengthened in particular, in relation to credit monitoring functions. Credit monitoring includes the activities like business / assets inspection, customer calls, drawing power calculation, fixed assets collateral inspection etc.

In addition to the Bank's current credit monitoring system, the establishment of a dedicated Credit Monitoring Unit (CMU) highlights the Banks commitment to continous monitoring of credit porffolio. The unit has been resourced with specialized staffs in each provice offices who conduct scheduled onsite/offisite visit to identify accounts with Early Warning Signals and esure corrective action is taken before they deteriorate.

### b. Market & Liquidity Risk

Market and Liquidity Risk Management Unit (MLRMU), oversight overall market and liquidity risks of the Bank. It is an independent unit, reporting to CRO. The market and liquidity risk management functions are guided by Liquidity Risk Management Policy, Market Risk Management Policy, Contingency Funding Plan, Interest Risk Management Policy, which are developed to provide basic market & liquidity risk management tools/techniques, monitor liquidity ratios, analyze liquidity gap reports etc. The unit is primarily responsible for ensuring the Bank has adequate policy and procedural framework for managing Market & Liquidity Risk and ensure existing policies and procedures are adhered. It also performs the role of treasury middle office and oversees bank's treasury related activities in terms of compliances of guidelines.

The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan. Treasury is mandated to manage the overall liquidity and funding position of the Bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO. These decisions of ALCO is regularly escalated to RMC for review.

### c. Operational Risk

Operational risk refers to the potential of loss resulting from inadequate or failed internal processes and systems, human error or sudden external events. It encompasses a wide range of risks, such as those arising from fraud, human error, technology failures, legal and compliance issues, and natural disasters.

Operation Risk Management Unit (ORMU), a unit reporting to CRO, has been formed to carry oversight function of operational issues/activities of the Bank and is also responsible to review policies/ manuals/ guidelines/standard operating procedures etc. for identification, assessment, monitoring and control of operational risk in the Bank. ORMU reviews the overall operational activities of the Bank through exception reports, onsite inspection, off site inspection, data from branches, system and process oversite etc. on continuous basis and communicates with central relevant departments for resolution.

Various policies and manuals related with operation risk have been circulated to mitigate the risk associated with day to day operational activities of bank, Operation Risk Appetite Statement (Policy) has been developed by the Bank, which helps to drive more informed decisions and consistency in understanding of risk and their measurement. The trigger/tolerance points and standard control measures are clearly defined which facilitates consistent understanding of risk events, ultimately facilitating continuous tracking and monitoring of operation risk events. These triggers and control measures shall be gradually enriched. In order to ensure efficient control mechanism, the Bank has also developed Risk Control Assessment (RCA) for Branches which is a self-evaluation of the standards and key processes that need to be complied with to ensure that risks are managed effectively within the branches. In order to ensure uninterrupted banking services, the Bank has developed Business Continuity Plan (BCP) which helps to ensure that business processes can continue during a time of emergency or disaster which also describes about different business interruption elements, prevention strategy, containment strategy, recovery strategy etc. ultimately ensuring the smooth operations of the major critical banking activities.

### d. Information Security Risk

The Bank may have to bear immense financials and reputational losses due to unauthorized access of the Bank's and its customers' information. Therefore, information security risk has become significantly important in recent times, due to increased digitization in process and products, use of various social and communication platforms, cyber security issues (increased cyber frauds) demanding requirement for adequate measures for security of the Bank's information. Along with safeguarding information from unauthorized access, it is also essential to prevent unauthorized access, use, disclosure, disruption, modification, inspection, recording or destruction of information.

The Bank has a separate Information Security Unit (ISU), which reports to CRO. ISU oversees overall information security aspect and works closely with IT department, operation risk management unit and other digital units/department of the bank to ensure utmost IT security. ISU is responsible for implementing and maintaining organization-wide information security policies, standards, guidelines, and procedures. ISU provides security awareness education and ensure that everyone knows his or her role in maintaining security. ISU coordinates with department/branches/users to develop securities policies, standards and procedures to help protect the assets of Bank.

The Bank has upgraded to Finacle 10.2.25 which is more secured and informative compared to previous version which the Bank to capture wider range of data and thus facilitating with more MIS essential for risk management. Similarly information security risk has been regularly monitored through various system & software like, Payment Control System(PCS) for secure SWIFT system, Privilege Access Management System(PAM) and Security Information and Event Management Software(SIEM) for regular monitoring of threats. Bank has opted two factor authentication in emails & VPN access and practice of security risk assessment and taking advice of Information staffs is required before launching any products and services. IS Audit is also being carried out at least once in a year and suggestions/recommendations provided by Audit is duly addressed/taken care of.

### e. Environment and Social Risk Management

The Bank is committed to contribute towards sustainable banking practices and shall continue to strengthen Environment and Social Risk Management System (ESMS) with adherence to national laws and regulations as well as global E&S standards/practices as applicable. It has established "E & S Risk Management (ESRM) Unit" and has also appointed E&S Risk Officer with the same academic background for assessment of E & S Risk. The Bank has implemented E&S Risk Management Policy and Guidelines based on which integration of ESMS with Credit Risk Management system of the Bank is done. The Unit is responsible for identification, quantification and assessment, monitoring and reporting of E&S risk associated with proposed borrower during credit appraisal process. The corrective action plan and covenants are recommended as per ESDD and site visit checklist by the ESRM unit. In addition, the unit facilitates in smooth implementation of ESMS as well as capacity building of staffs in relation to environment and social risk management. Furthermore, the Bank is planning to fully digitize ESMS for proper recording, review and reporting.

ESMS monitoring and reporting are fully digitized through its integration into CBS and Loan Operating System. The loan tagging status for ESMS remains progressive for proper recording, review, and reporting after the merger. The process of digitalization of the ESDD checklist in the Loan Operating System is in process.

### f. Compliance Risk

Compliance Risk is the risk resulting from non-compliance with laws of land, inability to comply with financial reporting standards, failure to fulfill agreements/contract, non-compliance of regulatory requirements etc. The non-compliance can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation.

The Bank has established General Compliance Unit that looks after the compliances status of the Banks. Several departmental checklists have been prepared in order to ensure that the compliance aspects by departments and by the Banks as a whole are fully met.

### g. AML/CFT Risk

Money Laundering and Financial Terrorism Risk Assessment is an important task in Banking with regards to strengthening overall risk management framework. For sound AML/CFT Program and to minimize the ML/TF risk, the Bank has prepared Policy and Guideline on AML/CFT, in accordance with the AML Act, Rules, NRB Directive and FATF recommendation. and also ensured these are implemented across all branches. The Bank has established a dedicated AML/CFT unit to strengthen the AML regime of the Bank which is equipped with adequate resources and experience and reports to Board Level Asset (Money) Laundering Prevention Committee. The Bank has also established a separate AML/CFT committee at Management Level headed by Deputy Chief Executive Officer.

Branch Compliance Officer has been assigned at each Branch to ensure KYC/AML/CFT activities are properly implemented across each branch. In addition, the Branch Compliance Officer reports suspicious activities/transactions and AML/CFT related issues directly to Money Laundering Reporting Officer (MLRO) at AML/CT Unit.

### h. Legal Risk

Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

### i. Human Risk

Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets.

## 5.2. CAPITAL MANAGEMENT

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel III) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel II ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and internal Control Review. It further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, GIBL is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

An appropriate identification and measurement of risks to which the Bank is or might be exposed to.

An appropriate level of internal capital in relation to Bank's risk profile; and

Application and further development of suitable risk management systems for the Bank.

## 1. CAPITAL STRUCTURE AND CAPITAL ADEQUACY

Tier 1 Capital and breakdown of its componenets

Amount in Thousand

| Particulars | Current Year | Previous Year |
|---|---|---|
| **Tier 1 Capital [Core Capital (CET 1 + AT 1)]** | | |
| **Common Equity Tier 1 (CET 1)** | | |
| Paid Up Capital | 36,128,770 | 35,771,060 |
| Share Premium | - | - |
| Proposed Bonus Equity Shares | - | - |
| Statutory General Reserve | 12,555,713 | 11,328,222 |
| Retained Earning | 506,718 | 3,243,362 |
| Capital Redemption Reserve | 516,667 | 1,833,333 |
| Capital Adjustment Reserve | 1,500,000 | - |
| Dividend Equalization Reserve | - | - |
| Other Free Reserve | - | - |
| Less: Intangible Assets | (216,240) | (235,296) |
| Less: Deferred Tax Asset | - | - |
| Less: Investment in equity of institutions with financial interests | (2,127,250) | (1,690,264) |
| Less: Purchase of land & building in excess of limit and unutilized | (31,356) | (31,356) |
| **Adjustment under Pillar II** | **48,833,022** | **50,219,061** |
| Less: Loans & Facilities extended to related parties and restricted lending | - | - |
| **Common Equity Tier 1 (CET 1)** | **48,833,022** | **50,219,061** |
| **Additional Tier I Capital (AT1)** | | |
| Perpetual Non-Cumulative Preference Share Capital | - | - |
| Perpetual Debt Instruments | - | - |
| **Total Additional Tier I Capital (AT1)** | **-** | **-** |
| **Tier 1 Capital [Core Capital (CET 1 + AT 1)]** | **48,833,022** | **50,219,061** |

### Tier 2 Capital and breakdown of its componenets

Amount in Thousand

| Supplementary Capital (Tier 2) | Current Year | Previous Year |
|---|---|---|
| Cumulative and/or Redeemable Preference Share | - | - |
| Subordinated Term Debt | 4,100,000 | 4,100,000 |
| Hybrid Capital Instruments | - | - |
| Stock Premium | - | - |
| General Loan Loss Provision | 5,329,643 | 6,711,053 |
| Exchange Equalization Reserve | 332,212 | 331,161 |
| Investment Adjustment Reserve | 10,133 | 6,260 |
| Assets Revaluation Reserve | - | - |
| Other Reserves | - | - |
| **Total Tier 2 Capital** | **9,771,988** | **11,148,474** |
| **Total Capital [Tier 1 Capital + Tier 2 Capital]** | **58,605,010** | **61,367,535** |

### Information about the Subordinated Term Debts.

| Particulars | 8.5% Debenture | 10.5% Debenture |
|---|---|---|
| Issue Size | 3,000,000,000 | 1,100,000,000 |
| Issue Date | 5th April 2021 | 30-Aug-22 |
| Maturity Date | 4th April 2031 | 29-Aug-29 |
| Interest Rate per annum | 8.50% | 10.50% |
| Term from date of Issue | 10 Years | 7 Years |
| **Debenture Redemption Reserve up to July 2024** | **333,333,333** | **183,333,333** |
| **Amount Considered for Capital fund** | **3,000,000,000** | **1,100,000,000** |

| Particulars | 10.25% Debenture | 8.5% Debenture | 11.25% Debenture |
|---|---|---|---|
| Issue Size | 1,500,000,000 | 1,600,000,000 | 5,000,000,000 |
| Issue Date | 11-Apr-19 | 23-Dec-20 | 24-Feb-23 |
| Maturity Date | 8-Apr-24 | 22-Dec-30 | 23-Feb-28 |
| Interest Rate per annum | 10.25% | 8.50% | 11.25% |
| Term from date of Issue | 5 Years | 10 Years | 5 Years |
| **Debenture Redemption Reserve up to July 2024** | **-** | **-** | **-** |
| **Amount Considered for Capital fund** | **-** | **-** | **-** |

### Capital adequacy Ratios

| Particulars | Current Year | Previous Year |
|---|---|---|
| Common Equity Tier 1 Capital to Total Risk Weighted Exposures | 10.32% | 10.92% |
| Tier 1 Capital to Total Risk Weighted Exposures | 10.32% | 10.92% |
| Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures | 12.39% | 13.34% |



## 2. RISK EXPOSURES

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk

Amount in Thousand

| Particulars | Current Year | Previous Year |
|---|---|---|
| Risk Weighted Exposure for Credit Risk | 426,371,457 | 421,989,627 |
| Risk Weighted Exposure for Operational Risk | 26,282,377 | 23,501,268 |
| Risk Weighted Exposure for Market Risk | 465,399 | 677,421 |
| **Total Risk Weighted Exposures** | **453,119,233** | **446,168,316** |
| Add: 3% of the total RWE as per NRB directives (6.4 a 9) (2% in previous year) | 13,593,577 | 8,923,366 |
| Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10) | - | - |
| Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7) | 6,377,726 | 4,973,775 |
| **Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)** | **473,090,536** | **460,065,457** |

Risk Weighted Exposures under each of 11 categories of Credit Risk

Amount in Thousand

| Particulars | Current Year | Previous Year |
|---|---|---|
| a) Claims on government & central bank | - | - |
| b) Claims on other official entities | 979,136 | 434,070 |
| c) Claims on banks | 9,151,393 | 6,373,632 |
| d) Claims on corporate & securities firms | 207,181,778 | 219,037,045 |
| e) Claims on regulatory retail portfolio | 52,727,219 | 39,182,514 |
| f) Claims secured by residential properties | 21,929,546 | 17,042,022 |
| g) Claims secured by commercial real state | - | 5,924,589 |
| h) Past due claims | 17,479,030 | 18,760,700 |
| i) High risk claims | 17,945,510 | 44,254,012 |
| j) Other assets | 56,099,793 | 27,701,492 |
| k) Off balance sheet items | 42,878,051 | 43,279,552 |
| **Total Risk Weightage Assets** | **426,371,457** | **421,989,627** |

Details of Non-Performing loan (NPL)

Amount in Thousand

| Particulars | Current Year | Previous Year |
|---|---|---|
| Restructured and rescheduled loan | 1,614,956 | 248,305 |
| Substandard loan | 3,136,336 | 2,861,716 |
| Doubtful loans | 2,372,131 | 3,908,051 |
| Bad loan | 9,185,295 | 4,769,794 |
| **Gross NPL** | **16,308,718** | **11,787,867** |
| Provision For Loss | 11,082,353 | 7,396,671 |
| **Net NPL** | **5,226,365** | **4,391,196** |
| **Gross NPL/ Total Loan** | **4.17%** | **3.15%** |

NPR In Million

| A. Balance Sheet Exposures | Book Value | Specific Provision | Eligible CRM | Net Value | Risk Weight | Risk Weighted Exposures | Previous Year |
|---|---|---|---|---|---|---|---|
| | a | b | c | d=a-b-c | e | f=d*e | |
| Cash Balance | 7,133 | - | - | 7,133 | 0% | - | - |
| Balance With Nepal Rastra Bank | 21,315 | - | - | 21,315 | 0% | - | - |
| Gold | - | - | - | - | 0% | - | - |
| Investment in Nepalese Government Securities | 54,051 | - | - | 54,051 | 0% | - | - |
| All Claims on Government of Nepal | 325 | - | - | 325 | 0% | - | - |
| Investment in Nepal Rastra Bank securities | 78,675 | - | - | 78,675 | 0% | - | - |
| All claims on Nepal Rastra Bank | - | - | - | - | 0% | - | - |
| Claims on Foreign Government and Central Bank (ECA 0-1) | - | - | - | - | 0% | - | - |
| Claims on Foreign Government and Central Bank (ECA -2) | - | - | - | - | 20% | - | - |
| Claims on Foreign Government and Central Bank (ECA -3) | - | - | - | - | 50% | - | - |
| Claims on Foreign Government and Central Bank (ECA-4-6) | - | - | - | - | 100% | - | - |
| Claims on Foreign Government and Central Bank (ECA -7) | - | - | - | - | 150% | - | - |
| Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework | - | - | - | - | 0% | - | - |
| Claims on Other Multilateral Development Banks | - | - | - | - | 100% | - | - |
| Claims on Domestic Public Sector Entities | 979 | - | - | 979 | 100% | 979 | 434 |
| Claims on Public Sector Entity (ECA 0-1) | - | - | - | - | 20% | - | - |
| Claims on Public Sector Entity (ECA 2) | - | - | - | - | 50% | - | - |
| Claims on Public Sector Entity (ECA 3-6) | - | - | - | - | 100% | - | - |
| Claims on Public Sector Entity (ECA 7) | - | - | - | - | 150% | - | - |
| Claims on domestic banks that meet capital adequacy requirements | 19,678 | - | 18 | 19,660 | 20% | 3,932 | 3,505 |
| Claims on domestic banks that do not meet capital adequacy requirements | 33 | 33 | - | - | 100% | - | - |
| Claims on foreign bank (ECA Rating 0-1) | 7,172 | - | - | 7,172 | 20% | 1,434 | 1,277 |
| Claims on foreign bank (ECA Rating 2) | 3,580 | - | - | 3,580 | 50% | 1,790 | 1,116 |

NPR In Million

| A. Balance Sheet Exposures | Book Value | Specific Provision | Eligible CRM | Net Value | Risk Weight | Risk Weighted Exposures | Previous Year |
|---|---|---|---|---|---|---|---|
| Claims on foreign bank (ECA Rating 3-6) | 33 | - | - | 33 | 100% | 33 | 8 |
| Claims on foreign bank (ECA Rating 7) | - | - | - | - | 150% | - | - |
| Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement | 9,809 | - | - | 9,809 | 20% | 1,962 | 468 |
| Claims on Domestic Corporates (Credit rating score equivalent to AAA) | - | - | - | - | 50% | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-) | - | - | - | - | 70% | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-) | - | - | - | - | 80% | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below) | - | - | - | - | 100% | - | - |
| Claims on Domestic Corporates (Unrated) | 207,208 | - | 26 | 207,182 | 100% | 207,182 | 219,037 |
| Claims on Foreign Corporates (ECA 0-1) | - | - | - | - | 20% | - | - |
| Claims on Foreign Corporates (ECA 2) | - | - | - | - | 50% | - | - |
| Claims on Foreign Corporates (ECA 3-6) | - | - | - | - | 100% | - | - |
| Claims on Foreign Corporates (ECA 7) | - | - | - | - | 150% | - | - |
| Regulatory Retail Portfolio (Not Overdue) | 72,578 | - | 2,275 | 70,303 | 75% | 52,727 | 39,183 |
| Claims fulfilling all criterion of regularity retail except granularity | - | - | - | - | 100% | - | - |
| Claims secured by residential properties | 35,192 | - | - | 35,192 | 60% | 21,115 | 16,276 |
| Claims not fully secured by residential properties | - | - | - | - | 150% | - | - |
| Claims secured by residential properties (Overdue) | 1,120 | 305 | - | 814 | 100% | 814 | 766 |
| Claims secured by Commercial real estate | - | - | - | - | 100% | - | 5,925 |
| Past due claims (except for claims secured by residential properties) | 22,820 | 10,568 | - | 12,253 | 150% | 18,379 | 18,761 |
| High Risk claims | 11,438 | 110 | 53 | 11,274 | 150% | 16,911 | 44,254 |
| Real Estate loans for land acquisition and development (Other than mentioned in Capital Adequacy framework 2015-point 3.3(j)(1)(k)) | 8,665 | - | - | 8,665 | 125% | 10,832 | - |
| Lending against Shares(above NPR 5 Million) | 5,966 | - | - | 5,966 | 125% | 7,457 | - |
| Lending against securities (bonds) | - | - | - | - | 100% | - | - |

NPR In Million

| A. Balance Sheet Exposures | Book Value | Specific Provision | Eligible CRM | Net Value | Risk Weight | Risk Weighted Exposures | Previous Year |
|---|---|---|---|---|---|---|---|
| Lending against Shares(upto NPR 5 Million) | 1,450 | - | - | 1,450 | 1 | 1,450 | - |
| Trust Receipt Loans for Trading Firms | 1,514 | - | - | 1,514 | 1.2 | 1,817 | 2,826 |
| Real Estate loans for land acquisition and development (For institutions/projects registred/ licensed and approved by Government of Nepal for land acquisition and development purposes) | 2,456 | - | - | 2,456 | 100% | 2,456 | - |
| Personal Hirepurchase/Personal Auto Loans | 5,190 | - | - | 5,190 | 100% | 5,190 | - |
| Investments in equity and other capital instruments of institutions listed in stock exchange | 2,342 | - | - | 2,342 | 100% | 2,342 | 2,061 |
| Investments in equity and other capital instruments of institutions not listed in the stock exchange | 90 | - | - | 90 | 150% | 135 | 106 |
| Staff loan secured by residential property | 4,462 | - | - | 4,462 | 50% | 2,231 | 2,139 |
| Interest Receivable/claim on government securities | 1,182 | - | - | 1,182 | 0% | - | - |
| Cash in transit and other cash items in the process of collection | - | - | - | - | 20% | - | - |
| Other Assets | 30,303 | 7,978 | - | 22,325 | 100% | 22,325 | 20,569 |
| **TOTAL (A)** | **616,757** | **18,994** | **2,372** | **595,391** | | **383,493** | **378,710** |

| B. Off Balance Sheet Exposures | | | | | | | |
|---|---|---|---|---|---|---|---|
| Revocable Commitments | - | - | - | - | 0% | - | - |
| Bills Under Collection | - | - | - | - | 0% | - | - |
| Forward Exchange Contract Liabilities | 11,068 | - | - | 11,068 | 10% | 1,107 | 443 |
| LC Commitments With Original Maturity Upto 6 months domestic counterparty | 10,053 | - | 728 | 9,326 | 20% | 1,865 | 1,508 |
| Foreign counterparty (ECA Rating 0-1) | - | - | - | - | 20% | - | - |
| Foreign counterparty (ECA Rating 2) | - | - | - | - | 50% | - | - |
| Foreign counterparty (ECA Rating 3-6) | - | - | - | - | 100% | - | - |
| Foreign counterparty (ECA Rating 7) | - | - | - | - | 150% | - | - |
| LC Commitments With Original Maturity Over 6 months domestic counterparty | 1,549 | - | 145 | 1,405 | 50% | 702 | 1,282 |
| Foreign counterparty (ECA Rating 0-1) | - | - | - | - | 20% | - | - |
| Foreign counterparty (ECA Rating 2) | - | - | - | - | 50% | - | - |
| Foreign counterparty (ECA Rating 3-6) | - | - | - | - | 100% | - | - |
| Foreign counterparty (ECA Rating 7) | - | - | - | - | 150% | - | - |
| Bid Bond, Performance Bond and Counter guarantee domestic counterparty | 36,279 | - | 1,158 | 35,121 | 40% | 14,048 | 13,988 |
| Foreign counterparty (ECA Rating 0-1) | - | - | - | - | 20% | - | 2 |
| Foreign counterparty (ECA Rating 2) | - | - | - | - | 50% | - | - |
| Foreign counterparty (ECA Rating 3-6) | - | - | - | - | 100% | - | - |
| Foreign counterparty (ECA Rating 7) | - | - | - | - | 150% | - | - |
| Underwriting commitments | - | - | - | - | 50% | - | - |
| Lending of Bank's Securities or Posting of Securities as collateral | - | - | - | - | 100% | - | - |
| Repurchase Agreements, Assets sale with recourse | - | - | - | - | 100% | - | - |
| Advance Payment Guarantee | 6,910 | - | 70 | 6,839 | 100% | 6,839 | 5,888 |
| Financial Guarantee | - | - | - | - | 100% | - | - |
| Acceptances and Endorsements | 11,498 | - | - | 11,498 | 100% | 11,498 | 11,698 |
| Unpaid portion of Partly paid shares and Securities | - | - | - | - | 100% | - | - |
| Irrevocable Credit commitments (short term) | 18,849 | - | 484 | 18,365 | 20% | 3,673 | 4,088 |
| Irrevocable Credit commitments (long term) | 4,663 | - | - | 4,663 | 50% | 2,332 | 3,490 |
| Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement | - | - | - | - | 20% | - | - |
| Other Contingent Liabilities | 491 | - | 75 | 416 | 100% | 416 | 416 |
| Unpaid Guarantee Claims | 207 | - | 8 | 199 | 200% | 397 | 478 |
| TOTAL (B) | 101,568 | - | 2,668 | 98,900 | | 42,878 | 43,280 |
| **Total RWE for credit Risk Before Adjustment (A) +(B)** | **718,325** | **18,994** | **5,041** | **694,290** | | **426,371** | **421,990** |

Adjustments under Pillar II

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| Add 10% of the loans & facilities in excess of Single Obligor Limits to RWE | | | | | - | | |
| Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE | | | | | - | | |
| Total RWE for Credit Risk after Bank's adjustments under Pillar II | 718,325 | 18,994 | 5,041 | 694,290 | 426,371 | | 421,990 |

Eligible Credit Risk Mitigants

NPR In Million

| Credit exposures | Deposits with Bank | Deposits with other banks/FI | Gold | Govt.& NRB Securities | G'tee of Govt. of Nepal | Sec/G'tee of Other Sovereigns | G'tee of domestic banks | G'tee of MDBs | Sec/ G'tee of Foreign Banks | Current Year Total | Previous Year Total |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | (a) | (b) | (c) | (d) | (e) | (f) | (g) | (h) | (i) | | |
| **Balance Sheet Exposures** | | | | | | | | | | | |
| Claims on Foreign government and Central Bank (ECA -2) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign government and Central Bank (ECA -3) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign government and Central Bank (ECA-4-6) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign government and Central Bank (ECA -7) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Other Multilateral Development Banks | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Public Sector Entities | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Public Sector Entity (ECA 0-1) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Public Sector Entity (ECA 2) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Public Sector Entity (ECA 3-6) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Public Sector Entity (ECA 7) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on domestic banks that meet capital adequacy requirements | 18 | - | - | - | - | - | - | - | - | 18 | 18 |
| Claims on domestic banks that do not meet capital adequacy requirements | - | - | - | - | - | - | - | - | - | - | - |
| Claims on foreign bank (ECA Rating 0-1) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on foreign bank (ECA Rating 2) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on foreign bank (ECA Rating 3-6) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on foreign bank (ECA Rating 7) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to AAA) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Domestic Corporates (Unrated) | 26 | - | - | - | - | - | - | - | - | 26 | 244 |
| Claims on Foreign Corporates (ECA 0-1) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign Corporates (ECA 2) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign Corporates (ECA 3-6) | - | - | - | - | - | - | - | - | - | - | - |
| Claims on Foreign Corporates (ECA 7) | - | - | - | - | - | - | - | - | - | - | - |
| Regulatory Retail Portfolio (Not Overdue) | 2,275 | - | - | - | - | - | - | - | - | 2,275 | 1,908 |
| Claims fulfilling all criterion of regularity retail except granularity | - | - | - | - | - | - | - | - | - | - | - |
| Claims secured by residential properties | - | - | - | - | - | - | - | - | - | - | - |
| Claims not fully secured by residential properties | - | - | - | - | - | - | - | - | - | - | - |
| Claims secured by residential properties (Overdue) | - | - | - | - | - | - | - | - | - | - | - |
| Claims secured by Commercial Real Estate | - | - | - | - | - | - | - | - | - | - | - |
| Past due claims (except for claims secured by residential properties) | - | - | - | - | - | - | - | - | - | - | - |
| High Risk claims | 53 | - | - | - | - | - | - | - | - | 53 | 513 |
| Lending against securities (bonds) | - | - | - | - | - | - | - | - | - | - | - |
| Trust Receipt Loans for Trading Firms | - | - | - | - | - | - | - | - | - | - | - |
| Investments in equity and other capital instruments of institutions listed in stock exchange | - | - | - | - | - | - | - | - | - | - | - |
| Investments in equity and other capital instruments of institutions not listed in the stock exchange | - | - | - | - | - | - | - | - | - | - | - |
| Other Assets | - | - | - | - | - | - | - | - | - | - | - |
| **Total** | **2,372** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **2,372** | **2,683** |
| **Off Balance Sheet Exposures** | | | | | | | | | | | |

| | | |

## 5.3 CLASSIFICATION OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount In NPR

| | | As on 15th July 2024 | | | |
|---|---|---|---|---|---|
| | Note | At Amortized Cost | At FVTPL | At FVTOCI | Total |
| **Financial Assets** | | | | | |
| Cash and Cash Equivalents | 4.1 | 49,795,637,083 | | | 49,795,637,083 |
| Due from Nepal Rastra Bank | 4.2 | 21,314,921,137 | | | 21,314,921,137 |
| Placement with B/FIs | 4.3 | - | | | - |
| Derivative financial instruments | 4.4 | | 4,525,346,887 | | 4,525,346,887 |
| Other trading assets | 4.5 | | - | | - |
| Loan and advances to B/FIs | 4.6 | 13,763,656,546 | | | 13,763,656,546 |
| Loans and Advances to Customers | 4.7 | 369,424,519,435 | | | 369,424,519,435 |
| Investment Securities | 4.8 | 117,608,383,187 | | 3,692,515,894 | 121,300,899,081 |
| Investment in subsidiaries | 4.9 | 728,395,250 | | | 728,395,250 |
| Investment in associates | 4.10 | 1,372,623,033 | | | 1,372,623,033 |
| Investment property | 4.12 | 4,847,527,889 | | | 4,847,527,889 |
| Other Assets | 4.16 | 2,708,942,422 | | | 2,708,942,422 |
| **Total Financial Assets** | | 581,564,605,982 | 4,525,346,887 | 3,692,515,894 | 589,782,468,763 |
| **Financial Liabilities** | | | | | |
| Due to Banks and Financial Institutions | 4.17 | 17,433,530,258 | | | 17,433,530,258 |
| Due to Nepal Rastra Bank | 4.18 | 373,324,105 | | | 373,324,105 |
| Derivative financial instruments | 4.19 | - | 4,516,341,578 | | 4,516,341,578 |
| Due to Customers | 4.20 | 487,455,854,812 | | | 487,455,854,812 |
| Borrowings | 4.21 | 12,100,951,389 | | | 12,100,951,389 |
| Other Liabilities | 4.23 | 3,904,987,709 | | | 3,904,987,709 |
| Debt Securities Issued | 4.24 | 10,684,657,109 | | | 10,684,657,109 |
| **Total Financial Liabilities** | | **531,953,305,382** | **4,516,341,578** | **-** | **536,469,646,960** |

Amount In NPR

| | | As on 16th July 2023 | | | |
|---|---|---|---|---|---|
| | Note | At Amortized Cost | At FVTPL | At FVTOCI | Total |
| **Financial Assets** | | | | | |
| Cash and Cash Equivalents | 4.1 | 28,531,853,793 | | | 28,531,853,793 |
| Due from Nepal Rastra Bank | 4.2 | 18,649,052,888 | | | 18,649,052,888 |
| Placement with B/FIs | 4.3 | 668,727,450 | | | 668,727,450 |
| Derivative financial instruments | 4.4 | | 996,239,429 | | 996,239,429 |
| Other trading assets | 4.5 | | - | | - |
| Loan and advances to B/FIs | 4.6 | 13,660,224,854 | | | 13,660,224,854 |
| Loans and Advances to Customers | 4.7 | 354,466,748,244 | | | 354,466,748,244 |
| Investment Securities | 4.8 | 85,550,548,627 | | 2,041,124,936 | 87,591,673,563 |
| Investment in subsidiaries | 4.9 | 650,695,250 | | | 650,695,250 |
| Investment in associates | 4.10 | 1,840,164,899 | | | 1,840,164,899 |
| Investment property | 4.12 | 1,733,323,553 | | | 1,733,323,553 |
| Other Assets | 4.16 | 3,037,530,222 | | | 3,037,530,222 |
| **Total Financial Assets** | | **508,788,869,781** | **996,239,429** | **2,041,124,936** | **511,826,234,146** |
| **Financial Liabilities** | | | | | |
| Due to B/FIs | 4.17 | 13,023,623,863 | | | 13,023,623,863 |
| Due to Nepal Rastra Bank | 4.18 | 470,715,561 | | | 470,715,561 |
| Derivative financial instruments | 4.19 | - | 946,946,972 | | 946,946,972 |
| Due to Customers | 4.20 | 426,325,446,161 | | | 426,325,446,161 |
| Borrowings | 4.21 | 3,282,545,590 | | | 3,282,545,590 |
| Other Liabilities | 4.23 | 3,946,562,776 | | | 3,946,562,776 |
| Debt Securities Issued | 4.24 | 12,181,589,400 | | | 12,181,589,400 |
| **Total Financial Liabilities** | | **459,230,483,351** | **946,946,972** | **-** | **460,177,430,322** |

## 5.4 OPERATING SEGMENT INFORMATION

1. General Information.

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank has established the province offices in all provinces which monitor their respective branches.

## 2. The following table shows the operating segment information:

Amount In NPR

| Particulars | Koshi Province | Madhesh Province | Bagmati Province | Gandaki Province | Lumbini Province | Karnali Province | Sudur Paschim Province | Head/ Corporate Office | Total |
|---|---|---|---|---|---|---|---|---|---|
| Revenue from external customers | 4,467,532,377 | 3,997,472,063 | 15,213,512,807 | 2,495,755,801 | 5,658,037,133 | 566,151,550 | 1,734,784,250 | 21,814,771,647 | 55,948,017,628 |
| Intersegment revenues | 319,496,495 | 181,780,896 | 9,346,443,707 | 976,146,998 | 1,687,966,210 | 193,325,880 | 348,001,174 | 7,061,964,173 | 20,115,125,532 |
| **Gross Revenues** | **4,787,028,872** | **4,179,252,959** | **24,559,956,514** | **3,471,902,798** | **7,346,003,342** | **759,477,430** | **2,082,785,425** | **28,876,735,820** | **76,063,143,161** |
| Interest Revenue | 4,552,338,339 | 3,998,081,404 | 23,345,266,996 | 3,308,551,113 | 6,987,209,635 | 714,397,206 | 1,965,960,892 | 26,923,343,580 | 71,795,149,165 |
| Interest Expenses | 2,991,963,469 | 2,562,748,532 | 16,231,515,768 | 2,300,228,022 | 4,918,701,963 | 420,310,206 | 1,238,906,616 | 24,274,447,683 | 54,938,822,259 |
| **Net Interest Revenue** | **1,560,374,870** | **1,435,332,872** | **7,113,751,228** | **1,008,323,090** | **2,068,507,673** | **294,087,000** | **727,054,276** | **2,648,895,897** | **16,856,326,906** |
| Depreciation and amortization | 91,632,417 | 46,271,655 | 363,687,765 | 62,678,193 | 119,930,848 | 21,253,052 | 53,655,206 | 215,634,731 | 974,743,866 |
| **Segment profit/(loss)** | **1,456,006,279** | **866,598,715** | **4,721,728,504** | **580,307,793** | **(306,427,982)** | **9,363,756** | **313,095,021** | **1,226,717,622** | **8,867,389,707** |
| Entity's interest in the profit or loss of associates accounted for using equity method | - | - | - | - | - | | | | - |
| **Other material non-cash items** | **-** | **-** | **-** | **-** | **-** | | | | **-** |
| **Impairment of assets** | 1,722,797,385 | 1,414,986,351 | 5,132,739,550 | 585,040,229 | 4,262,686,061 | 365,093,894 | 1,044,238,625 | 3,085,518,096 | **17,613,100,191** |
| Segment assets | 35,707,259,385 | 31,452,853,640 | 119,646,802,464 | 21,641,703,817 | 45,949,278,383 | 4,492,168,397 | 13,399,483,456 | 116,804,147,414 | **389,093,696,957** |
| **Segment liabilities** | 27,259,504,882 | 22,256,456,268 | 252,040,042,945 | 33,460,232,251 | 59,300,815,367 | 6,389,927,677 | 15,219,642,098 | 88,962,763,582 | **504,889,385,070** |

3. Any transactions that occurred between the reportable segments are recorded using interbranch transaction account. This account is used mainly for accounting the inter branch revenue. These reveneus are cancelled out at the reporting date. There is no difference between the measurement of reportable segment's assets and Bank's assets.

4. Reconciliations of reportable segment revenues, profit or loss, assets and liabilities.

a. Revenue

| | Amount In NPR |
|---|---|
| **Total Revenues for reportable segments** | **76,063,143,161** |
| Elimination of intersegment revenues | (20,115,125,532) |
| **Bank's revenues** | **55,948,017,628** |

b. Profit or Loss

| | Amount In NPR |
|---|---|
| **Total profit/loss for reportable segments** | **8,867,389,707** |
| Elimination of intersegment revenues | - |
| **Profit before Income Tax** | **8,867,389,707** |

c. Assets

| | Amount In NPR |
|---|---|
| Total assets for reportable segments | 389,093,696,957 |
| Other assets | 6,077,615,580 |
| Unallocated amounts- Staff Loans & Interest Receivable | 10,145,511,386 |
| Unallocated amounts- Cash and Balance with NRB | 63,977,221,528 |
| Unallocated amounts- Investment Securities | 123,401,917,364 |
| Unallocated amounts- Current Tax Assets | 2,449,279,483 |
| Unallocated amounts- Investment Property | 4,847,527,889 |
| Unallocated amounts- Derivative financial Instruments | 4,525,346,887 |
| Unallocated amounts- Deferred Tax Assets | - |
| **Bank's Assets** | **604,518,117,074** |

d. Liabilities

| | Amount In NPR |
|---|---|
| **Total liabilities for reportable segments** | **504,889,385,070** |
| Other liabilities | 7,660,881,745 |
| Unallocated amounts-Due to Nepal Rastra bank | 373,324,105 |
| Unallocated amounts- Current tax liabilities & Deferred Tax Liabilities | 2,885,428,435 |
| Unallocated amounts- Derivative financial Instruments | 4,516,341,578 |
| Unallocated amounts-Debt Securities and Borrowing | 22,785,608,498 |
| **Bank's Liabilities** | **543,110,969,431** |

## 5. INFORMATION ABOUT PRODUCTS AND SERVICES

| | Amount In NPR |
|---|---|
| Loans and advances | 45,801,045,160 |
| Investment securities | 7,211,514,104 |
| Remittance | 276,838,001 |
| Card services | 1,214,479,502 |
| Others | 1,444,140,861 |
| **Total Bank's Revenue** | **55,948,017,628** |

## 6. INFORMATION ABOUT GEOGRAPHICAL AREAS

| | Amount In NPR |
|---|---|
| **Domestic** | |
| Koshi Province | 4,467,532,377 |
| Madhesh Province | 3,997,472,063 |
| Bagmati Province | 15,213,512,807 |
| Gandaki Province | 2,495,755,801 |
| Lumbini Province | 5,658,037,133 |
| Karnali Province | 566,151,550 |
| Sudur Paschim Province | 1,734,784,250 |
| Head/Corporate Office | 21,814,771,647 |
| **Foreign** | |
| **Total** | **55,948,017,628** |

## 7. INFORMATION ABOUT MAJOR CUSTOMER.

The bank does not have any customer, which generates more than 10% of the entity's revenue.

### 5.5 SHARE OPTIONS AND SHARE BASED PAYMENT

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

### 5.6 CONTINGENT LIABILITIES AND COMMITMENT

Details of contingent liabilities and commitments have been explained in Note 4.28.

### 5.7. RELATED PARTY DISCLOSURES

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

| Name | Type | Relationship with Bank | Date of Joining/ (Resignation) |
|---|---|---|---|
| Mr. Chandra Prasad Dhakal | Key Management Personnel | Chairman | |
| Mr. Cabinet Shrestha | | Director | vacated w.e.f. 14th Dec,2023 |
| Mr. Radhesh Pant | | Director | |
| Mr. Ram Bahadur Bhandari | | Director | |
| Mr. Krishna Prasad Sharma | | Director | |
| Mr. Madan Lal Joshi | | Director | |
| Mr. Devendra Pratap Shah | | Director | vacated w.e.f. 14th Dec,2023 |
| Mr. Narayan Prasad Paudel | | Director | w.e.f. 14th Dec,2023 |
| Mr.s. Bhagirathi Bhattarai Gnyawali | | Director | w.e.f. 17th Aug,2023 |
| Mr. Ratna Raj Bajracharya | | CEO | vacated w.e.f. 16th Aug, 2024 |
| Mr. Surendra Raj Regmi | | CEO | w.e.f. 17th Aug, 2024 |
| Global IME Laghubitta Bittiya Sanstha Ltd | Entities where control exists | Subsidiary | |
| Global IME Capital Ltd | | Subsidiary | |
| JBNL Securities Ltd | | Subsidiary | |
| Mero Microfinance Bittiya Sanstha Ltd | Entities where significant influence exists | Associate | |
| First Microfinance Laghubitta Bittiya Sanstha Ltd | | Associate | |
| Chhimek Laghubitta Bittiya Sanstha Ltd | | Associate | |
| RSDC Laghubitta Bittiya Sanstha Ltd | | Associate | |
| National Banking Training Institute Ltd | | Associate | |
| Smart Choice Technologies Ltd | | Associate | |
| Nepal Infrastructure Bank Ltd | | Associate | |
| Banking Insurance and Financial Institution Ltd | | Associate | |
| IME Ltd. | Entities Controlled by the KMPs and their Close Family Members | | |
| IME Travels Pvt. Ltd | | | |
| Global IME Retirement Fund | | Approved Retirement Fund | |

## Parent and ultimate controlling party

The bank does not have an identifiable parent of its own.

## Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of Bank.

A person is not considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of Bank). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount In NPR

| | Current Year | Previous Year |
|---|---|---|
| Employment benefits | | |
| -salaries and allowances | 21,406,248 | 20,792,056 |
| -provident fund | 759,600 | 759,600 |
| Director's fees and expenses | 9,557,042 | 4,621,978 |
| | **31,722,890** | **26,173,633** |

In addition to above, the bank has paid non cash-benefits such as Vehicle facility, telephone, other post employment benefits to Chief Executive Officer of the bank in line with the contract/approved benefit plans of the bank.

## Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's spouse, children and dependents of the KMP and their spouse. Any transactions carried out with the CFM are conducted in arm's lenghth price. For the reported period there have been no payments or transactions with CFM of KMP except in the normal course of banking business like loans,deposits and interest on the same.

## Entities Controlled by the Key Management Personnel and their Close Family Members

The Bank has conducted transaction with entities associated with IME Group where, Mr. Chandra Prasad Dhakal Chairperson of the Bank is Co-Founder and Chairman of the IME Group. Transaction with the entities which are controlled by KMPs and CFM of KMPs are conducted in arm's length price and the details are provided below with nature of services.

| Entity | Nature of Service | Transaction Amount (NPR) | Outstanding Balance |
|---|---|---|---|
| IME Travels Pvt Ltd. | Air Ticket Purchase | 10,523,842 | - |

| IME Ltd. | Bought Amount | Sold Amount | |
|---|---|---|---|
| USD Purchase against NPR | 1,161,900,200 | 154,657,520,658 | - |
| AED Purchase against USD | 57,150,000 | 15,558,577 | - |
| AUD Purchase against NPR | 30,439,850 | 2,660,987,718 | - |



## Subsidiaries and associates

The bank has subsidiaries with an equity interest of 81.50%, 57.48% and 100% in Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, and JBNL Securities Ltd respectively. The subsidiaries' nature of business are mentioned in Note 1.1. The equity interest of the Bank in its associate entities are mentioned in Note 4.11.3.

Transactions with Related Parties

Amount In NPR

| | Current Year | Previous Year |
|---|---|---|
| **Key Management Personnel** | | |
| -loans and receivables | - | |
| -deposits | 155,932,204 | 139,890,426 |
| For the year ended | | |
| -interest paid on deposit | 14,281,641 | 11,814,139 |
| -interest received on loans | - | |
| **Global IME Capital Limited** | | |
| -loans and receivables | | |
| -deposits | 306,676,600 | 161,814,986 |
| For the year ended | | |
| -interest paid on deposit | 10,539,730 | 12,876,346 |
| -dividend received | 16,630,695 | - |
| -other commission paid by Subsidiary | 2,568,082 | 2,568,082 |
| -other commission received by Bank | 7,120,424 | 2,568,082 |
| **Global IME Laghubitta Bittiya Sanstha Limited** | | |
| -loans and receivables | 3,178,431,578 | 2,658,802,771 |
| -deposits | 45,562,832 | 110,210,629 |
| For the year ended | | |
| -interest received on loans | 263,778,990 | 219,499,790 |
| -interest paid on deposit | - | 126,515 |
| -dividend received | 33,795,651 | 25,410,270 |
| **JBNL Securities Limited** | | |
| -deposits | 131,844,308 | 204,171,411 |
| -additional investment | 140,000,000 | 140,000,000 |
| For the year ended | | |
| -interest paid on deposit | - | 3,369,216 |
| **BOK Capital Market Limited** | | |
| -loans and receivables | - | |
| -deposits | - | 265,805,634 |
| For the year ended | | |
| -interest paid on deposit | - | 13,440,928 |
| **Mero Microfinance Bittiya Sanstha Limited** | | |
| -loans and receivables | 1,082,737,303 | 913,618,567 |
| -deposits | 9,605,349 | 14,682,953 |
| For the year ended | | |
| -interest received on loans | 103,974,182 | 114,801,620 |
| -interest paid on deposit | 69,213 | 348,920 |
| -dividend received | 15,120,000 | 15,120,000 |
| **First Microfinance Laghubitta Bittiya Sanstha Limited** | | |
| -loans and receivables | 1,167,435,546 | 1,314,782,083 |
| -deposits | 438,389,854 | 69,866,490 |
| For the year ended | | |

| | | |
|---|---|---|
| -interest received on loans | 125,332,510 | 112,295,471 |
| -interest paid on deposit | 1,014,698 | 318,541 |
| -dividend received | - | - |
| **IME Life insurance co. Ltd.** | | |
| -deposits | 656,589,957 | 43,836,325 |
| -additional investment | 200,000,000 | 200,000,000 |
| **For the year ended** | | |
| -interest paid on deposit | 59,509,396 | 15,269,794 |
| **Smart Choice Technologies Ltd** | | |
| **For the year ended** | | |
| service fees paid | 14,991,373 | 18,867,086 |
| **Banking Finance And Insurance Institution Ltd.** | | |
| **For the year ended** | | |
| -Training Expenses Paid | 4,754,145 | 729,613 |
| -dividend received | 460,845 | 460,845 |
| **National Banking Training Institute Ltd** | | |
| **For the year ended** | | |
| Revenue Sharing Expenses | 5,402,319 | 1,359,931 |
| -dividend received | - | 243,485 |
| **RSDC Laghubitta Bittiya Sanstha Ltd** | | |
| -loans and receivables | 388,736,202 | 498,770,087 |
| -deposits | 2,655,830 | 4,243,610 |
| **For the year ended** | | |
| -interest received on loans | 50,120,842 | 27,997,469 |
| -interest paid on deposit | - | - |
| **Chhimek Laghubitta Bittiya Sanstha Ltd** | | |
| -loans and receivables | 504,640,471 | 704,234,596 |
| -deposits | - | - |
| **For the year ended** | | |
| -interest received on loans | 63,173,240 | 81,862,139 |
| -interest paid on deposit | - | - |
| **Nepal Infrastructure Bank Ltd** | | |
| **For the year ended** | | |
| -dividend received | 47,303,704 | 47,303,704 |
| **Global IME Retirement Fund** | | |
| -loans and receivables | - | - |
| -deposits | 6,331,227,736 | - |

## 5.8 MERGER AND ACQUISITION

During the current financial year two subsidiaries of the Bank namely Global IME Capital Ltd with equity interests of 75% and Bank of Kathmandu Ltd with equity interest of 100% have merged with each other to form a single entity. The equity interest of the Bank after the merger is 81.50%.

## 5.9 ADDITIONAL DISLOSURE OF NON CONSOLIDATED ENTITIES

All the subsidiaries of the bank are consolidated and presented as a single entity and referred to as Group.

## 5.10 EVENTS AFTER REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. After the reporting date, Chief Executive Officer Mr. Ratnaraj Bajracharya's 4 years office term has come to end with effect from 16th August, 2024(16th August 2024). Mr. Surendra Raj Regmi, Senoir Deputy Chief Executive Officer has assumed the position of Chief Executive Officer with effect from 1st Bhadra 2081( 17th August 2024). No circumstances other than mentioned here have arised except proposed dividend as disclosed in Note 4.43 since the reporting date which would require adjustments to, or disclosure in the financial statements.

### Comparison of Unaudited and Audited financial statement as of financial year 2023/24

| | Unaudited Financial Statement | Audited Financial Statements | Variance | | Reason for Variance |
|---|---|---|---|---|---|
| | NPR | NPR | NPR | % | |
| **Assets** | | | | | |
| Cash and Cash Equivalents | 49,795,644 | 49,795,637 | (7) | 0.00% | |
| Due from Nepal Rastra Bank | 21,314,921 | 21,314,921 | (0) | 0.00% | |
| Placement with B/FIs | - | - | - | 0.00% | |
| Derivative financial instruments | 4,519,350 | 4,525,347 | 5,997 | 0.13% | |
| Other trading assets | - | - | - | 0.00% | |
| Loan and advances to B/FIs | 13,764,012 | 13,763,657 | (356) | 0.00% | |
| Loans and advances to customers | 369,458,044 | 369,424,519 | (33,524) | -0.01% | |
| Investment securities | 120,793,833 | 121,300,899 | 507,066 | 0.42% | |
| Current Tax Assets | 2,449,131 | 2,449,279 | 148 | 0.01% | |
| Investment in subsidiaries | 728,395 | 728,395 | - | 0.00% | |
| Investment in associates | 1,419,623 | 1,372,623 | (47,000) | -3.42% | |
| Investment property | 5,040,340 | 4,847,528 | (192,812) | -3.98% | Note 1 |
| Property and equipment | 7,300,227 | 8,028,729 | 728,502 | 9.07% | Note 2 |
| Goodwill and intangible assets | 888,967 | 888,967 | - | 0.00% | |
| Deferred Tax Assets | - | - | - | 0.00% | |
| Other Assets | 6,923,358 | 6,077,616 | (845,743) | -13.92% | Note 3 |
| **Total Assets** | **604,395,845** | **604,518,117** | **122,272** | **0.02%** | |
| | | | | | |
| **Liabilities** | | | | | |
| Due to Banks and Financial Institutions | 17,433,530 | 17,433,530 | - | 0.00% | |
| Due to Nepal Rastra Bank | 373,324 | 373,324 | - | 0.00% | |
| Derivative financial instruments | 4,510,344 | 4,516,342 | 5,997 | 0.13% | |
| Deposit from customers | 487,462,540 | 487,455,855 | (6,685) | 0.00% | |
| Borrowings | 12,100,951 | 12,100,951 | - | 0.00% | |
| Current tax liabilities | 2,578,844 | 2,363,652 | (215,192) | -9.10% | Note 4 |
| Provisions | - | - | - | 0.00% | |
| Deferred Tax Liabilities | 191 | 521,776 | 521,586 | 99.96% | Note 5 |
| Other Liabilities | 8,263,571 | 7,660,882 | (602,690) | -7.87% | Note 6 |
| Debt securities issued | 10,684,657 | 10,684,657 | - | 0.00% | |
| Subordinated Liabilities | - | - | - | 0.00% | |
| **Total Liabilities** | **543,407,954** | **543,110,969** | **(296,984)** | **-0.05%** | |
| **Equity** | | | | | |
| Share capital | 36,128,770 | 36,128,770 | - | 0.00% | |
| Share premium | - | - | - | 0.00% | |
| Retained earnings | 1,104,566 | 506,718 | (597,848) | -117.98% | Note 7 |
| Reserves | 23,754,556 | 24,771,659 | 1,017,104 | 4.11% | Note 7 |
| **Total equity attributable to equity holders** | **60,987,892** | **61,407,148** | **419,256** | **0.68%** | |
| **Total Liabilities and Equity** | **604,395,845** | **604,518,117** | **122,272** | **0.02%** | |

| | Unaudited Financial Statement | Audited Financial Statements | Variance | | Reason for Variance |
|---|---|---|---|---|---|
| | NPR | NPR | NPR | % | |
| Interest Income | 51,461,621 | 51,680,019 | 218,397 | 0.42% | |
| Interest Expenses | 34,823,697 | 34,823,692 | (5) | 0.00% | |
| **Net interest income** | **16,637,925** | **16,856,327** | **218,402** | **1.30%** | |
| Fees, charges and commission income | 3,435,090 | 3,447,295 | 12,204 | 0.35% | |
| Fees, charges and commission expenses | 758,401 | 765,000 | 6,598 | 0.86% | |
| **Net fee and commission income** | **2,676,689** | **2,682,295** | **5,606** | **0.21%** | |
| **Net interest, fee and commission income** | **19,314,613** | **19,538,622** | **224,008** | **1.15%** | |
| Net Trading Income | 580,853 | 580,853 | 0 | 0.00% | |
| Other Operating Income | 549,302 | 534,456 | (14,846) | -2.78% | |
| **Total operating income** | **20,444,768** | **20,653,930** | **209,162** | **1.01%** | |
| Impairment charge/(reversal) for loans and other losses | 3,743,301 | 3,616,608 | (126,692) | -3.50% | Note 8 |
| **Net Operating Income** | **16,701,467** | **17,037,322** | **335,855** | **1.97%** | |
| **Operating Expenses** | | | | | |
| Personnel Expenses | 4,726,101 | 4,782,108 | 56,007 | 1.17% | |
| Other Operating Expenses | 2,256,811 | 2,245,001 | (11,810) | -0.53% | |
| Depreciation and Amortization | 974,744 | 991,255 | 16,511 | 1.67% | |
| **Operating profit** | **8,743,811** | **9,018,958** | **275,147** | **3.05%** | |
| Non-operating income | 7,344 | 7,344 | (0) | 0.00% | |
| Non-operating expense | 183,676 | 158,913 | (24,763) | -15.58% | Note 9 |
| **Profit before income tax** | **8,567,480** | **8,867,390** | **299,910** | **3.38%** | |
| Income Tax Expense | | | | | |
| Current tax | 2,570,417 | 2,355,225 | (215,192) | -9.14% | Note 10 |
| Deferred tax | (19,153) | 374,711 | 393,864 | 105.11% | Note 11 |
| **Profit for the period** | **6,016,216** | **6,137,454** | **121,238** | **1.98%** | |

| | |
|---|---|
| Note 1 | Reclassification of Non-banking assets to Banking Assets |
| Note 2 | Reclassification of Non-banking assets to Banking Assets & Adjustment of ROU Assets of new Lease agreement during the year |
| Note 3 | Adjustment of amount transferred to Approved retirement fund against provision for gratuity |
| Note 4 | Cumulative effect on tax liability due to change in loan loss provision and other income and expenses |
| Note 5 | Adjustment of Fair value of Investment through OCI and discharge of liability on Gratuity Payable |
| Note 6 | Adjustment of Lease liability of new Lease agreement during the year and adjustment of discharge of Gratuity liability |
| Note 7 | Debenture Redemption Reserve of the matured Debenture transfer to Capital adjustment reserve |
| Note 8 | Additional Loan Loss Provision provided |
| Note 9 | Reclassification of Employee VRS expenses to Restructuring Expenses |
| Note 10 | Tax Adjustment for changes in income and expenses |
| Note 11 | Reversal Deferred Tax Assets on gratuity liability which has been transferred to retirement fund |

## PRINCIPAL INDICATORS

| Particulars | Indicators | F.Y. 2023/24 | F.Y. 2022/23 | F.Y. 2021/22 | F.Y. 2020/21 | F.Y. 2019/20 | F.Y. 2018/19 | F.Y. 2017/18 | F.Y. 2016/17 | F. Y. 2015/16 | F. Y. 2014/15 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 1. Percentage of Net Profit / Gross Income | % | 29.72 | 33.71 | 38.03 | 34.85 | 28.44 | 40.72 | 41.24 | 43.41 | 35.03 | 30.32 |
| 2. Earnings Per Share | NPR | 16.99 | 22.06 | 20.84 | 19.25 | 17.99 | 23.47 | 23.64 | 25.51 | 19.33 | 15.58 |
| 3. Market Value per Share | NPR | 194.20 | 186.00 | 251.40 | 441.00 | 239.00 | 293.00 | 290.00 | 388.00 | 515.00 | 479.00 |
| 4. Price Earnings Ratio | Ratio | 11.43 | 8.43 | 12.06 | 22.90 | 13.29 | 12.48 | 12.27 | 15.21 | 26.64 | 30.74 |
| 5. Stock Dividend on share capital (Bonus Share) | % | 5.50 | 1.00 | 3.00 | 10.00 | 14.00 | 12.75 | 16.00 | 10.00 | 16.00 | 23.00 |
| 6. Cash Dividend on share Capital | % | 0.00 | 8.00 | 10.60 | 3.50 | 2.00 | 12.75 | 0.00 | 10.00 | 0.00 | 0.00 |
| 7. Interest Income/Loans & Advances | % | 11.51 | 13.29 | 9.89 | 0.12 | 12.02 | 12.29 | 12.88 | 10.20 | 8.98 | 10.00 |
| 8. Employee Expenses/Total Operating Expenses | % | 59.64 | 61.36 | 61.11 | 65.01 | 61.44 | 59.00 | 56.54 | 59.13 | 44.26 | 46.10 |
| 9. Interest Expenses to Total Deposits and Borrowings | % | 7.39 | 8.30 | 6.59 | 4.92 | 6.99 | 7.18 | 7.26 | 4.24 | 3.06 | 4.21 |
| 10. Exchange Fluctuation Gain/Total Income | % | 2.83 | 2.48 | 4.98 | 6.46 | 6.61 | 7.38 | 6.91 | 5.89 | 6.36 | 6.41 |
| 11. Staff Bonus/ Total Staff Expenses | % | 20.60 | 24.31 | 23.73 | 20.95 | 18.71 | 24.90 | 22.16 | 26.92 | 29.77 | 22.02 |
| 12. Total Operating Expenses/Total Assets | % | 1.33 | 1.31 | 1.49 | 1.41 | 1.47 | 1.77 | 1.85 | 1.54 | 1.70 | 1.99 |
| 13. Net Profit/Loans & Advances | % | 1.57 | 1.84 | 1.75 | 1.65 | 1.40 | 2.42 | 2.25 | 2.62 | 2.27 | 1.91 |
| 14. Net Profit/ Total Assets | % | 1.02 | 1.30 | 1.38 | 1.20 | 1.06 | 1.82 | 1.67 | 1.75 | 1.58 | 1.39 |
| 15. Credit to Deposit Ratio | | | | | | | | | | | |
| a. Total Credit / Deposit | % | 77.40 | 85.21 | 94.99 | 85.59 | 88.25 | 91.62 | 84.70 | 79.30 | 81.47 | 83.47 |
| b. CD/CCD Ratio as per NRB Directives* | % | 75.87 | 83.47 | 89.21 | 72.65 | 73.18 | 78.69 | 75.35 | 71.24 | 72.96 | 74.41 |
| **16. Adequacy of Capital Fund on Risk Weightage** | | | | | | | | | | | |
| **Assets** | | | | | | | | | | | |
| a. CET1 | % | 10.32 | 10.92 | 10.17 | 10.55 | 10.81 | 10.56 | 10.32 | 10.23 | 11.01 | - |
| b. Core Capital | % | 10.32 | 10.92 | 10.17 | 10.55 | 10.81 | 10.56 | 10.32 | 10.23 | 11.01 | 11.24 |
| c. Total Capital Fund | % | 12.39 | 13.34 | 12.67 | 13.20 | 12.48 | 12.31 | 11.47 | 11.37 | 12.35 | 12.69 |
| 17. Liquidity | % | 37.11 | 30.34 | 23.55 | 29.89 | 24.58 | 22.13 | 25.34 | 33.54 | 35.14 | 30.12 |
| 18. Non-Performing Loans/Total Loans | % | 4.17 | 3.15 | 1.28 | 1.41 | 1.74 | 0.55 | 0.77 | 1.60 | 1.89 | 2.23 |
| 19. Weighted Average Interest Rate Spread | % | 4.19 | 4.66 | 4.26 | 4.51 | 4.43 | 4.47 | 4.86 | 3.36 | 4.52 | 4.11 |
| 20. Book Net worth ( NPR in Mio) | NPR | 61,407 | 59,054 | 37,739 | 33,439 | 28,834 | 16,332 | 13,579 | 12,376 | 8,706 | 7,323 |
| 21. Total Employees | Number | 3,789 | 3,678 | 2,966 | 2,961 | 3,059 | 1,696 | 1,638 | 1,348 | 1,107 | 1,117 |

* CCD Ratio Revised to CD Ratio from FY 2021/22

**Principal Indicators before financial year 2073/74 have been calculated based on the audited financials as per GAAP.

# FINANCIAL STATEMENT OF THE SUBSIDIARIES

## GLOBAL IME CAPITAL LTD

### Global IME Capital Limited
### Statement of Financial Position
As at 31 Ashad 2081 (July 15, 2024)

In NPR

| Particulars | Note | Current Year July 2024 | Previous Year July 2023 |
|---|---|---|---|
| **Assets** | | | |
| Cash and Cash Equivalents | 5.1 | 362,580,671 | 180,069,108 |
| Investment in Securities | 5.2 | 1,318,475,957 | 1,171,720,653 |
| Financial Investment-Held for Maturity | 5.3 | 74,850,000 | - |
| Other Financial Assets | 5.4 | 32,729,335 | 227,482,214 |
| Other Assets | 5.5 | 1,442,767 | 1,513,163 |
| Property & Equipment | 5.6 | 57,277,952 | 46,795,816 |
| Intangible Assets & Goodwill | 5.6 | 929,387 | 669,875 |
| Current Tax Assets | 5.7.1 | 71,609,905 | 54,067,987 |
| Deferred Tax Assets (net) | 5.7.2 | 97,908,127 | 84,729,252 |
| **Total Assets** | | **2,017,804,099** | **1,767,048,069** |
| **Liabilities** | | | |
| Due to Public | 5.8 | 1,266,369,706 | 863,741,132 |
| Other Financial Liabilities | 5.9 | 55,045,987 | 360,100,947 |
| Other Liabilities | 5.10 | 21,648,673 | 17,054,545 |
| Provisions | 5.11 | 11,735,468 | 14,545,370 |
| **Total Liabilities** | | **1,354,799,834** | **1,255,441,994** |
| **Equity** | | | |
| Share Capital | 5.12 | 493,915,000 | 365,500,000 |
| Retained Earnings | 5.13 | (70,783,975) | 7,796,977 |
| Reserve & Surplus | 5.14 | 239,873,240 | 138,309,098 |
| **Total Equity** | | **663,004,265** | **511,606,075** |
| **Total Liabilities and Equity** | | **2,017,804,099** | **1,767,048,069** |
| Net Assets Value | | 134.23 | 139.97 |

As per our report on even date
For N.B.S.M & Associates
Chartered Accountants

Usha Upreti
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by:

Prem Raj Joshi
Chairman

Sudarsun Krishna Shrestha
Director

Pradip Adhikari
Director

Kamal Prasad Aryal
Director

Place: Kathmandu, Nepal
Date: 2081.06.18



### Global IME Capital Limited
### Statement of Profit or Loss
For the period ended 31 Ashad, 2081 (July 15, 2024)

In NPR

| Particulars | Note | Current Year July 2024 | Previous Year July 2023 |
|---|---|---|---|
| **Income** | | | |
| Fees and Management Income | 6.1 | 143,906,185 | 106,048,932 |
| Income from Merchant Banking Activities | | 126,558,289 | 77,885,943 |
| Income from Mutual Fund Operations | | 17,347,896 | 28,162,989 |
| Interest Income | 6.2 | 25,011,940 | 12,324,259 |
| Other Income | 6.3 | 13,002,821 | 5,761,058 |
| Net (loss)/gain on financial investments FVTPL | 6.4 | (138,179,077) | 117,225,073 |
| | | **43,741,868** | **241,359,322** |
| **Expense** | | | |
| Personnel Expense | 6.5 | (41,117,662) | (55,949,448) |
| Depreciation on Property and Equipment | 5.6 | (14,466,216) | (9,080,614) |
| Amortization of Intangible Assets | 5.6 | (493,553) | (319,133) |
| Other Operating Expenses | 6.7 | (56,869,899) | (39,192,804) |
| Interest Expense | 6.6 | (5,534,459) | (2,818,422) |
| Non-Operating expenses | 6.8 | - | (275,729) |
| **Total Expenses** | | **(118,481,791)** | **(107,636,151)** |
| **(Loss)/Profit Before Tax from Continuing Operations** | | **(74,739,922)** | **133,723,171** |
| Income Tax Expense | 5.7 | 11,143,910 | (39,574,458) |
| Current Tax Expenses | | - | - |
| Deferred Tax Income | | 11,143,910 | (39,574,458) |
| **(Loss)/Profit For the Year** | | **(63,596,012)** | **94,148,714** |
| Basic Earning Per Share | | (12.88) | 25.76 |
| Diluted Earning Per Share | | (12.88) | 25.76 |

As per our report on even date
For N.B.S.M & Associates
Chartered Accountants

Usha Upreti
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by:

Prem Raj Joshi
Chairman

Sudarsun Krishna Shrestha
Director

Pradip Adhikari
Director

Kamal Prasad Aryal
Director

Place: Kathmandu, Nepal
Date: 2081.06.18

## Global IME Capital Limited
## Statement Of Other Comprehensive Income
For the period ended 31 Ashad, 2081 (July 15, 2024)

In NPR

| Particulars | Current Year July 2024 | Previous Year July 2023 |
|---|---|---|
| **(Loss)/Profit For the Year** | **(63,596,012)** | **94,148,714** |
| | | |
| (Loss)/Gain on FVTOCI | (387,000) | (1,650,500) |
| Realized Gain on Disposal of Investment | 664,512 | |
| Actuarial Gain/(Loss) on Defined Benefit Obligation | (5,500) | |
| | | |
| Total other comprehensive income /(loss) | 272,012 | (1,650,500) |
| | | |
| Income tax income /(expense) relating to components of other comprehensive income | (22,650) | 495,150 |
| | | |
| **Other comprehensive (loss)/income for the year, net of tax** | **249,362** | **(1,155,350)** |
| | | |
| **Total comprehensive (loss)/income for the year, net of tax** | **(63,346,649)** | **92,993,364** |

As per our report on even date
For N.B.S.M & Associates
Chartered Accountants

Usha Upreti
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by:

Prem Raj Joshi
Chairman

Sudarsun Krishna Shrestha
Director

Pradip Adhikari
Director

Kamal Prasad Aryal
Director

Place: Kathmandu, Nepal
Date: 2081.06.18



## Global IME Capital Limited
## Statement of Changes in Equity
For the period ended 31 Ashad, 2081 (July 15, 2024)

| Particulars | Share Capital | Retained Earnings | Fair Value Reserve | Deferred Tax Reserve | Capital Reserves | General Reserve (10%) | CSR (1%) | Total Shareholders' Funds |
|---|---|---|---|---|---|---|---|---|
| **Balance as at Ashadh end 2080** | **365,500,000** | **7,796,977** | **(1,650,500)** | **84,729,253** | **-** | **50,908,978** | **4,321,368** | **511,606,075** |
| **Additional from merger** | **128,415,000** | **(2,447,927)** | | | **81,585,000** | **7,136,230** | **695,391** | **215,383,695** |
| **Adjustments** | | | | | | | | **-** |
| Issue of Share Capital | | | | | | | | - |
| Issue of Bonus Share | - | | | | | | | - |
| Distribution of Dividend | | - | | | | | | - |
| Net profit for the period | | (63,596,012) | 249,362 | | | | | (63,346,649) |
| Transfer to General Reserve | | - | | | | - | | - |
| Adjustment to Fair Value Reserve | | | | | | | | - |
| Deferred tax reserve | | (13,201,525) | 22,650 | 13,178,875 | | | | (0.00) |
| Gain/ Loss on Disposal of FA at FVTOCI | | 664,512 | (664,512) | | | | | - |
| Transfer to CRS Reserve | | - | | | | | - | - |
| CSR expenses | | | | | | | (638,855) | (638,855) |
| **Balance as at Ashad End 2081** | **493,915,000** | **(70,783,975)** | **(2,043,000)** | **97,908,128** | **81,585,000** | **58,045,208** | **4,377,904** | **663,004,265** |

As per our report on even date
For N.B.S.M & Associates
Chartered Accountants

CA. Durga Prasad Gnawali
Senior Partner

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by:

Usha Upreti
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

Prem Raj Joshi
Chairman

Sudarsun Krishna Shrestha
Director

Pradip Adhikari
Director

Kamal Prasad Aryal
Director

Place: Kathmandu, Nepal
Date: 2081.06.18

## Global IME Capital Limited
## Statement of Cash Flows
For the period ended 31 Ashad, 2081 (July 15, 2024)

| Particulars | Current Year July 2024 | Previous Year July 2023 |
|---|---|---|
| **(a) Cash Flow from Operating Activities** | | |
| **1. Cash Received from Income** | **87,263,951** | **95,583,911** |
| 1.1 Income from Merchant Banking Operation | 126,558,289 | 77,885,943 |
| 1.2 Income from Assets Management and Depositary | 17,347,896 | 28,162,989 |
| 1.3 Interest Income | 25,011,940 | 12,324,259 |
| 1.4 Other Income | (81,654,174) | (22,789,279) |
| 1.5 Non-Operating Income | - | - |
| **2. Cash Payment** | **121,702,794** | **137,017,405** |
| 2.1 Personnel Expenses | 41,117,662 | 41,730,168 |
| 2.2 Office Operating Expenses | 56,869,899 | 42,011,226 |
| 2.3 Non Operating Expenses | - | 275,729 |
| 2.4 Interest Expenses | 5,534,459 | - |
| 2.5 Income Tax Paid | 17,541,918 | 52,860,792 |
| 2.6 CSR Expenses | 638,855 | 139,490 |
| **Cash Flow before changes in Working Capital** | **(34,438,843)** | **(41,433,494)** |
| **(Increase)/Decrease in Current Assets** | **35,538,695** | **(313,230,721)** |
| 1. (Increase)/Decrease in Held for Trading Investments | (190,277,386) | (145,475,434) |
| 2. (Increase)/Decrease in Other Financial Assets | 225,745,685 | (167,718,040) |
| 3. (Increase)/Decrease in Other Assets | 70,397 | (37,246) |
| **Increase/(Decrease) in Current Liabilities** | **99,357,840** | **275,395,855** |
| 1. Increase/(Decrease) in Public Dues | 402,628,574 | (38,904,098) |
| 2. Increase/(Decrease) in Other Financial Liabilities | (305,054,960) | 322,916,896 |
| 3. Increase/(Decrease) in Other Liabilities | 1,784,226 | (8,616,944) |
| **(b) Cash Flow from Investment Activities** | **(133,329,824)** | **(44,271,019)** |
| 1. (Increase)/Decrease in HTM Investment | (107,628,408) | (11,233,425) |
| 2. (Increase)/Decrease in Fixed Assets | (24,948,351) | (32,924,594) |
| 3. (Increase)/Decrease in Intangible Assets | (753,065) | (113,001) |
| **(c) Cash Flow from Financing Activities** | **215,383,695** | **-** |
| 1. Increase/(Decrease) in Share Capital | 128,415,000 | - |
| 2. Increase/(Decrease) in other reserve | 86,968,695 | - |
| 3. Increase/(Decrease) in securities premium | - | - |
| **(d) Net increase/(decrease) in cash and cash equivalents** | **182,511,563** | **(123,539,379)** |
| **(e) Cash and cash equivalents at the beginning of the year** | **180,069,108** | **303,608,487** |
| **(f) Cash and cash equivalents at the end of the year** | **362,580,671** | **180,069,108** |

As per our report on even date
For N.B.S.M & Associates
Chartered Accountants

| | | |
|---|---|---|
| Usha Upreti<br>Head-Account & Finance | Mandip Luitel<br>Chief Executive Officer | CA. Durga Prasad Gnawali<br>Senior Partner |

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by:

| | | | |
|---|---|---|---|
| Prem Raj Joshi<br>Chairman | Sudarsun Krishna Shrestha<br>Director | Pradip Adhikari<br>Director | Kamal Prasad Aryal<br>Director |

Place: Kathmandu, Nepal
Date: 2081.06.18





## Global IME Laghubitta Bittiya Sanstha Ltd
## Statement of Financial Position
As at 31st Ashadh 2081 (15th July 2024)

Figures in NPR

| Particulars | Note | As at July 2024 | As at July 2023 |
|---|---|---|---|
| **Assets** | | | |
| Cash and Cash equivalent | 4.1 | 275,190,838 | 1,090,502,676 |
| Statutory Balances and Due from Nepal Rastra Bank | 4.2 | 39,980,334 | 39,980,334 |
| Placement with Bank and Financial Institutions | 4.3 | 25,000,000 | - |
| Derivative Financial Instruments | 4.4 | - | - |
| Other Trading Assets | 4.5 | - | - |
| Loans & Advances to MFIs & Cooperatives | 4.6 | - | - |
| Loans and Advances to Customers | 4.7 | 8,501,959,959 | 7,263,343,423 |
| Investment securities | 4.8 | 1,000,000 | 1,000,000 |
| Current tax assets | 4.9 | - | 55,624,068 |
| Investment property | 4.10 | 11,445,644 | 11,445,644 |
| Property and Equipment | 4.11 | 77,700,973 | 82,762,440 |
| Goodwill and Intangible assets | 4.12 | 560,439 | 957,560 |
| Deferred Tax Assets | 4.13 | 20,133,006 | 13,350,026 |
| Other Assets | 4.14 | 11,699,774 | 6,420,974 |
| **Total Assets** | | **8,964,670,966** | **8,565,387,144** |

| Particulars | Note | As at July 2024 | As at July 2023 |
|---|---|---|---|
| **Liabilities** | | | |
| Due to Bank and Financial Institutions | 4.15 | 4,396,133,358 | 4,123,651,136 |
| Due to Nepal Rastra Bank | 4.16 | - | - |
| Derivative Financial Instrument | 4.17 | - | - |
| Deposits from customers | 4.18 | 3,070,490,825 | 3,120,659,826 |
| Borrowing | 4.19 | - | - |
| Current Tax Liabilities | 4.9 | 9,151,022 | - |
| Provisions | 4.20 | - | - |
| Deferred Tax Liabilities | 4.13 | | - |
| Other Liabilities | 4.21 | 389,186,233 | 248,160,683 |
| Debt securities issued | 4.22 | - | - |
| Subordinated Liabilities | 4.23 | - | - |
| **Total liabilities** | | **7,864,961,439** | **7,492,471,645** |
| **Equity** | | | |
| Share Capital | 4.24 | 618,900,045 | 618,900,045 |
| Share Premium | | - | - |
| Retained Earnings | | 39,296,512 | 81,275,710 |
| Reserves | 4.25 | 441,512,970 | 372,739,744 |
| **Total equity attributable to equity holders** | | | |
| **Non-controlling interest** | | | |
| **Total Equity** | | **1,099,709,527** | **1,072,915,499** |
| **Total Liabilities and Equity** | | **8,964,670,966** | **8,565,387,144** |
| Contingent Liabilities and commitment | 4.26 | - | - |
| Net Assets Value Per share | | 178 | 173 |

The accompanying notes are integral part of these financial statements.

As per our report of even date

| | | | | |
|---|---|---|---|---|
| **Sushovan Devkota**<br>Director | **Anamika Kunwar**<br>Director | **Rupendra Wagle**<br>Director | **Buddhi Akela**<br>Chairman | **Rajan Adhikari, FCA**<br>NARS Associates |
| **Min Prasad Gyawali**<br>Director | **Pitambar Sapkota**<br>Director | **Sajani Nepal**<br>Director | **Hari Krishna Joshi**<br>CEO | **Khem Raj Lamsal**<br>Account Head |

# Global IME Laghubitta Bittiya Sanstha Ltd
## Statement of Profit or Loss
For the year ended 31st Ashadh 2081 (15th July 2024)

Figures in NPR

| Particulars | Note | Year ended July 2024 | Year ended July 2023 |
|---|---|---|---|
| Interest income | 4.27 | 1,216,059,511 | 1,196,491,062 |
| Interest expense | 4.28 | 584,596,088 | 730,246,421 |
| **Net interest income** | | **631,463,423** | **466,244,641** |
| Fees and commission income | 4.29 | 75,145,213 | 75,655,856 |
| Fees and commission expense | 4.30 | 2,202,283 | 3,643,100 |
| **Net fee and commission income** | | **72,942,930** | **72,012,756** |
| **Net interest and commission income** | | **704,406,353** | **538,257,397** |
| Net trading income | 4.31 | - | - |
| Other operating income | 4.32 | - | - |
| **Total operating income** | | **704,406,353** | **538,257,397** |
| Impairment charge/(reversal) for loans and other losses | 4.33 | 150,947,163 | 72,146,213 |
| **Net operating income** | | **553,459,190** | **466,111,185** |
| **Operating expense** | | | |
| Personnel expense | 4.34 | 295,059,315 | 256,689,450 |
| Other Operating expense | 4.35 | 43,560,015 | 44,543,890 |
| Depreciation and Amortisation | 4.36 | 23,814,531 | 26,184,466 |
| **Operating Profit** | ` | **191,025,328** | **138,693,379** |
| Non operating Income | 4.37 | - | - |
| Non operating Expense | 4.38 | 1,186,255 | - |
| Impairment loss for assets | | 6,016,268 | - |
| **Profit before income tax** | | **183,822,806** | **138,693,379** |
| Income tax expense | 4.39 | | |
| Current Tax | | 84,259,242 | 46,141,130 |
| Deferred Tax | | (6,731,031) | (3,961,409) |
| Profit for the period | | 106,294,595 | 96,513,658 |
| **Profit attributable to:** | | | |
| Equity holders | | 106,294,595 | 96,513,658 |
| Non-controlling interests | | - | |
| **Profit for the period** | | **106,294,595** | **96,513,658** |
| **Earnings Per Share (EPS)** | | | |
| Basic EPS | | 17.17 | 15.59 |
| Diluted EPS | | 17.17 | 15.59 |

The accompanying notes are integral part of these financial statements.

As per our report of even date

**Sushovan Devkota**
Director

**Anamika Kunwar**
Director

**Rupendra Wagle**
Director

**Buddhi Akela**
Chairman

**Rajan Adhikari, FCA**
NARS Associates

**Min Prasad Gyawali**
Director

**Pitambar Sapkota**
Director

**Sajani Nepal**
Director

**Hari Krishna Joshi**
CEO

**Khem Raj Lamsal**
Account Head



# Global IME Laghubitta Bittiya Sanstha Ltd
## Statement of Comprehensive Income
For the year ended 31st Ashadh 2081 (15th July 2024)

Figures in NPR

| Particulars | Note | Year ended July 2024 | Year ended July 2023 |
|---|---|---|---|
| **Profit for the year** | | **106,294,595** | **96,513,658** |
| **Other Comprehensive Income, net of income tax** | | | |
| **a. Items that will not be reclassified to Profit or Loss** | | | |
| Gains / (Losses) from investment in equity instruments measured at fair value | | - | - |
| Gains / (Losses) on revaluation | | | |
| Actuarial Gains / (Losses) on defined benefit plans | | (173,164) | (24,848) |
| Income tax relating to above items | | 51,949 | 7,454 |
| **Net other Comprehensive Income that will not be reclassified to Profit or Loss** | | **(121,215)** | **(17,393.60)** |
| **b. Items that are or may be reclassified to Profit or Loss** | | | |
| Gains (Losses) on cash flow hedge | | - | - |
| Exchange gains (Losses) arising from translationg financial assets of foreign operation | | - | - |
| Income tax relating to above items | | - | - |
| Reclassify to Profit or Loss | | - | - |
| **Net other Comprehensive Income that are or may be reclassified to Profit or Loss** | | **-** | **-** |
| **Other Comprehensive income for the year, net of income tax** | | **(121,215)** | **(17,394)** |
| **Total Comprehensive income for the year** | | **106,173,380** | **96,496,265** |
| **Total Comprehensive income for the period** | | **106,173,380** | **96,496,265** |

The accompanying notes are integral part of these financial statements.

As per our report of even date

**Sushovan Devkota**
Director

**Anamika Kunwar**
Director

**Rupendra Wagle**
Director

**Buddhi Akela**
Chairman

**Rajan Adhikari, FCA**
NARS Associates

**Min Prasad Gyawali**
Director

**Pitambar Sapkota**
Director

**Sajani Nepal**
Director

**Hari Krishna Joshi**
CEO

**Khem Raj Lamsal**
Account Head

## Global IME Laghubitta Bittiya Sanstha Ltd
## Attributable to equity holders of the Micro Finance Company

Figures in NPR

| Particulars | Share Capital | General reserve | Regulatory Reserve | Retained earning | Other reserves | Client Protection Fund | CSR Reserve | Actuary Reserve | Restrucutred and Rescheduled Reserve | Deferred Tax Reserve | Total |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Balance at 1 Shrawan 2079** | **552,589,326** | **156,081,714** | **59,369,159** | **200,934,014** | **11,246,209** | **33,959,782** | **2,186,563** | **636,783** | | **9,388,616** | **1,026,392,166** |
| Adjustment/Restatement | - | | - | - | | | | | | - | |
| **Adjusted/Restated balance at 1 Shrawan 2079** | **552,589,326** | **156,081,714** | **59,369,159** | **200,934,014** | **11,246,209** | **33,959,782** | **2,186,563** | **636,783** | | **9,388,616** | **1,026,392,166** |
| **Adjustment from Sparsha Laghubitta** | | | | | | | | | | | |
| **Comprehensive income for the year** | | | | | | | | | | | |
| **Profit for the year** | | | | 96,513,658 | | | | | | | |
| **Other comprehensive income, net of tax** | | | | | | | | | | | |
| Remeasurement of defined benefit liability (asset) | | | | - | | | | | | | |
| Fair Value reserve (Investment in equity instrument) | | | | | | | | | | | |
| Net change in Fair value | | | | | | | | | | | |
| Net amount transferred to profit or loss | | | | | | | | | | | |
| Net gain ( loss) on revaluation | | | | (24,848) | | | | | | | |
| **Cash flow hedges** | | | | | | | | | | | |
| Effective portion of changes in fair value | | | | | | | | | | | |
| Net amount reclassified to profit or loss | | | | | | | | | | | |
| **Total Comprehensive income for the year** | | | | **96,488,810** | | | | | | | |
| Transfer to reserve during the year | | 19,302,732 | 15,582,254 | 1,802,984 | | 965,137 | 965,137 | (17,394) | 66,672,957 | 3,961,410 | |
| Transfer from reserve during the year | | | | (107,432,234) | | (5,758,331) | (1,802,984) | | | | |
| Transactions with owners, directly recognised in equity | | | | | | | | | | | |
| Deferred tax impact of respective reserve | | | | | | | | | | | |

| Particulars | Share Capital | General reserve | Regulatory Reserve | Retained earning | Other reserves | Client Protection Fund | CSR Reserve | Actuary Reserve | Restrucutred and Rescheduled Reserve | Deferred Tax Reserve | Total |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Right share issued | | | | | | | | | | | |
| Share based payment | | | | | | | | | | | |
| Dividends to equity holders | | | | | | | | | | | |
| Bonus shares issued | 66,310,719 | | | (66,310,719) | | | | | | | |
| Cash dividend paid | | | | (44,207,146) | | | | | | | |
| Other | | | | | - | | | | | | |
| **Total contributions by and distributions to owners** | | | | | | | | | | | |
| **Balance at 31 Asadh 2080** | **618,900,045** | **175,384,446** | **74,951,413** | **81,275,710** | **11,246,209** | **29,166,588** | **1,348,716** | **619,389** | **66,672,957** | **13,350,026** | **1,072,915,499** |
| | | | | | | | | | | | |
| **Balance at 1 Shrawan 2080** | **618,900,045** | **175,384,446** | **74,951,413** | **81,275,710** | **11,246,209** | **29,166,588** | **1,348,716** | **619,389** | **66,672,957** | **13,350,026** | **1,072,915,499** |
| **Comprehensive income for the year** | | | | | | | | | | | |
| **Profit for the year** | | | | 106,294,595 | | | | | | | |
| **Other comprehensive income, net of tax** | | | | | | | | | | | |
| Gains/(losses) from investment in equity instruments measured at fair value | | | | | | | | | | | |
| Gains/(losses) on revaluation | | | | | | | | | | | |
| Actuarial gains/(losses) on defined benefit plans | | | | - | | | | | | | |
| Gains/(losses) on cash flow hedges | | | | | | | | | | | |
| Exchange gains/(losses) (arising from translating financial assets of foreign operation) | | | | | | | | | | | |
| **Total Comprehensive income for the year** | | | | **106,294,595** | | | | | | | |
| Transfer to reserve during the year | | 21,258,919 | 15,547,023 | 1,157,458 | | 1,062,946 | 1,062,946 | (121,215) | 27,041,029 | 6,782,980 | |
| Transfer from reserve during the year | | | - | (72,755,843) | | (2,842,554) | (1,157,458) | | - | | |
| Deferred tax impact of respective reserve | | | | | | | | | | | |
| Tax liability of bargain purchase | | | | (14,646,794) | | | | | | | |

| Particulars | Share Capital | General reserve | Regulatory Reserve | Retained earning | Other reserves |
|---|---|---|---|---|---|
| Acturial loss transferred | | | 121,215 | (121,215) | |
| Other Prior period adjustment | | | 17,394 | (17,394) | |
| **Transactions with owners, directly recognised in equity** | | | | | |
| share issued | | | | | |
| Share based payment | | | | | |
| Dividends to equity holders | | | | | |
| Bonus shares issued | - | | | | |
| Cash dividend paid | | | | (61,890,005) | |
| Other | | | | | |
| Total contributions by and distributions | | | | | |
| **Balance at 31 Asadh 2081** | **618,900,045** | **196,643,365** | **90,637,045** | **39,296,512** | **11,246,209** |

| Particulars | Client Protection Fund | CSR Reserve | Actuary Reserve | Restrucutred and Rescheduled Reserve | Deferred Tax Reserve | Total |
|---|---|---|---|---|---|---|
| Acturial loss transferred | | | | | | |
| Other Prior period adjustment | | | | | | |
| **Transactions with owners, directly recognised in equity** | | | | | | |
| share issued | | | | | | |
| Share based payment | | | | | | |
| Dividends to equity holders | | | | | | |
| Bonus shares issued | | | | | | |
| Cash dividend paid | | | | | | |
| Other | | | | | | |
| Total contributions by and distributions | | | | | | |
| **Balance at 31 Asadh 2081** | **27,386,980** | **1,254,204** | **498,174** | **93,713,986** | **20,133,006** | **1,099,709,527** |



## Global IME Laghubitta Bittiya Sanstha Ltd
## Statement of Cash Flows
For the year ended 31st Ashadh 2081 (15th July 2024)

Figures in NPR

| Particulars | Year ended July 2024 | Year ended July 2023 |
|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | |
| Interest received | 1,191,381,697 | 1,171,757,325 |
| Fees and other income received | 75,145,213 | 75,655,856 |
| Dividend received | | |
| Receipts from other operating activities | | |
| Interest paid | (210,632,479) | (218,779,362) |
| Commission and fees paid | (2,202,283) | (3,643,100) |
| Cash payment to employees | (265,811,756) | (225,764,469) |
| Other expense paid | (57,393,544) | (57,178,392) |
| **Operating cash flows before changes in operating assets and liabilities** | **730,486,848** | **742,047,858** |
| | | |
| **(Increase)/Decrease in operating assets** | | |
| Due from Nepal Rastra Bank | | |
| Placement with Bank and Financial Institutions | | |
| Other trading assets | | |
| Loans and advances to bank and financial institutions | | |
| Loans and advances to customers | (1,215,096,207) | 977,883,362 |
| Other assets | (5,278,800) | (1,739,878) |
| **Increase/(Decrease) in operating liabilities** | | |
| Due to bank and financial institutions | 272,482,222 | (510,487,756) |
| Due to Nepal Rastra Bank | | |
| Deposit from customers | (50,169,002) | 159,389,219 |
| Borrowings | | |
| Other liabilities | (213,243) | (75,095,110) |
| **Net cash flow from operating activities before tax paid** | | |
| Income taxes paid | (50,057,738) | (55,262,691) |
| **Net cash flow from operating activities** | **(317,845,919)** | **1,236,735,004** |
| | | |
| **CASH FLOW FROM INVESTING ACTIVITIES** | | |
| Purchase of investment securities | | |
| Receipts from sale of investment securities | - | - |
| Purchase of property and equipment | (5,977,147) | (3,759,862) |
| Receipt from the sale of property and equipment | | |
| Short term investments | (25,000,000) | - |
| Acquisition of intangible assets | | |
| Receipt from the sale of intangible assets | | |
| Purchase of investment properties | | |
| Receipt from the sale of investment properties | | |
| Interest received | - | - |

| Particulars | Year ended July 2024 | Year ended July 2023 |
|---|---|---|
| Dividend received | | |
| **Net cash used in investing activities** | **(30,977,147)** | **(3,759,862)** |
| | | |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | |
| Receipt from issue of debt securities | | |
| Repayment of debt securities | | |
| Reciepts from issue of subordinated liabilities | | |
| Repayment of subordinated liability | | |
| Receipts from issue of shares | | |
| Dividends paid | (61,890,005) | (44,207,146) |
| Interest paid | (364,618,433) | (517,690,422) |
| Other recepit/payment | | |
| **Net cash from financing activities** | **(426,508,437)** | **(561,897,568)** |
| **Net increase (decrease) in cash and cash equivalents** | **(775,331,504)** | **671,077,574** |
| Cash and cash equivalents at begenning of the period | 1,090,502,676 | 459,405,435 |
| Effect of exchange rate fluctuations on cash and cash equivalents held | | |
| **Cash and cash equivalents at the end of the period** | **315,171,172** | **1,130,483,010** |

The accompanying notes are integral part of these financial statements.

As per our report of even date

| | | | | |
|---|---|---|---|---|
| **Sushovan Devkota**<br>Director | **Anamika Kunwar**<br>Director | **Rupendra Wagle**<br>Director | **Buddhi Akela**<br>Chairman | **Rajan Adhikari, FCA**<br>NARS Associates |
| **Min Prasad Gyawali**<br>Director | **Pitambar Sapkota**<br>Director | **Sajani Nepal**<br>Director | **Hari Krishna Joshi**<br>CEO | **Khem Raj Lamsal**<br>Account Head |



## Statement of Distributable profit or loss
## For the year ended 31st Ashadh 2081
As per NRB Regulation

Figures in NPR

| Particulars | Year ended July 2024 | Year ended July 2023 |
|---|---|---|
| Retained Earning as at 1st Shrawan, 2080 | **81,275,710** | **200,934,014** |
| Cash dividend paid | (61,890,005) | - |
| Fair value reserve transfer/reversal | | |
| Corporate social responsibility tf from fund to Retained Earning | 1,157,458 | 1,802,984 |
| Tax on Bargain Purchase | (14,646,794) | |
| **Retained Earning before appropriation and regulatory adjustments** | **5,896,370** | **202,736,998** |
| | | |
| **Net Profit or (loss) as per Statement of Profit or Loss** | **106,294,595** | **96,513,658** |
| **Appropriation** | | |
| a. General Reserve | (21,258,919) | (19,302,732) |
| b. Foreign Exchange Fluctuation fund | | |
| c. Capital redemption reserve | | |
| d. Corporate social responsibility fund | (1,062,946) | (965,137) |
| e. Employees training fund | | |
| f. Client Protection Fund | (1,062,946) | (965,137) |
| g. Transfer from Restructured and Rescheduled Reserve | - | |
| h. Other | - | - |
| | | |
| **Adjusted Profit or (loss) before regulatory adjustment** | **88,806,153** | **278,017,650** |
| **Regulatory Adjustments:** | | |
| a. Interest Receivable (-)/previous accrued interest received(+) | (15,547,023) | (15,582,254) |
| b. Short loan loss provision in accounts(-)/reversal(+) | - | |
| c. Short provision for possible losses on investment(-)/reversal(+) | - | |
| d. Short provision for possible losses on Non-Banking Assets (-)/ reversal(+) | - | |
| e. Deferred Tax Assets recognized(-)/reveral(+) | (6,782,980) | (3,961,410) |
| f. Goodwill recognized (-)/Impairment of Goodwill(+) | - | |
| g. Bargain purchase gain recognized (-)/reversal(+) | - | - |
| h. Actuarial Loss recognized (-)/reversal(+) | (121,215) | (24,848) |
| i. Bonus share issued (-)/proposed bonus share (+) | - | (66,310,719) |
| j. Cash dividend proposed (+)/ paid (-_ | - | (44,207,146) |
| k. Other (+/-) | (17,394) | 17,394 |
| l. Restrucutred and Rescheduled Reserve | (27,041,029) | (66,672,957) |
| **Distributable Profit or (Loss)** | **39,296,512** | **81,275,710** |

The accompanying notes are integral part of these financial statements.

As per our report of even date

| | | | | |
|---|---|---|---|---|
| **Sushovan Devkota**<br>Director | **Anamika Kunwar**<br>Director | **Rupendra Wagle**<br>Director | **Buddhi Akela**<br>Chairman | **Rajan Adhikari, FCA**<br>NARS Associates |
| **Min Prasad Gyawali**<br>Director | **Pitambar Sapkota**<br>Director | **Sajani Nepal**<br>Director | **Hari Krishna Joshi**<br>CEO | **Khem Raj Lamsal**<br>Account Head |

## JBNL Securities Ltd
## Statement of Financial Position
As at 31 Ashad 2081 (15 July 2024)

Figures in NPR

| Assets | Notes | Current Year | Previous Year |
|---|---|---|---|
| **Non Current Assets** | | | |
| Property, Plant and Equipment | 3.1 | 2,628,862.23 | 226,000.00 |
| Intangible Assets | 3.2 | 632,800.00 | - |
| Investment Property | 3.3 | - | - |
| Deferred-tax Assets | 3.4 | | - |
| **Total Non-Current Assets** | | **3,261,662.23** | **226,000.00** |
| **Current Assets** | | | |
| Trade and other receivables | 3.5 | 82,237,772.75 | - |
| Income tax receivable | | 20,894.00 | 641,070.00 |
| Cash and cash equivalents | 3.6 | 131,855,692.25 | 204,171,410.87 |
| **Total Current Assets** | | **214,114,359.00** | **204,812,480.87** |
| **Total Assets** | | **217,376,021.23** | **205,038,480.87** |
| **Equity** | | | |
| Share Capital | 3.7 | 200,000,000.00 | 200,000,000.00 |
| Reserves | 3.8 | (566,626.55) | 4,314,991.00 |
| **Total Equity** | | **199,433,373.45** | **204,314,991.00** |
| **Liabilities** | | | |
| **Non Current Liabilities** | | | |
| Loans and Borrowings | 3.9 | - | - |
| Deferred Tax Liabilities | 3.4 | 15,732.85 | 4,960.87 |
| **Total Non-Current Liabilities** | | **15,732.85** | **4,960.87** |
| **Current Liabilities** | | | |
| Loans and borrowings | 3.9 | - | - |
| Income Tax Liability | | - | 620,179.00 |
| Trade and other payables | 3.10 | 17,926,914.94 | 98,350.00 |
| **Total Current Liabilities** | | **17,926,914.94** | **718,529.00** |
| **Total Liabilities** | | **17,942,647.79** | **723,489.87** |
| **Total Equity and Liabilities** | | **217,376,021.23** | **205,038,480.87** |

As per our attached report of even date

**Teknath Pokhrel**
Managing Director

**Hari Gyawali**
Chairman

**Jagdish Devkota**
Proprietor
J.D. Associates
Chartered accountants

**Subrat Dhakal**
Director

Date: 28/04/2080
Place: Kathmandu, Nepal



## JBNL Securities Ltd
## Profit or Loss Statement
For the year ended 31 Ashad 2081 (15 July 2024)

Figures in NPR

| Particulars | Notes | Current Year | Previous Year |
|---|---|---|---|
| Service income | 3.11 | 6,470,349.85 | - |
| Direct expenses | 3.12 | (1,332,891.18) | - |
| **Gross Profit** | | **5,137,458.67** | **-** |
| Other Income | 3.11 | - | 2,307,154.00 |
| Administrative Expenses | 3.13 | (8,010,793.83) | (220,850.00) |
| Other Operating Expenses | 3.14 | - | - |
| Staff Costs | 3.15 | (1,525,235.71) | - |
| Depreciation on PPE | 3.1 | (314,076.17) | (2,504.00) |
| Amortization on IA | 3.1 | (158,200.00) | - |
| **Profit From Operations** | | **(4,870,847.04)** | **2,083,800.00** |
| Finance Costs | 3.16 | - | - |
| **Profit Before Tax** | | **(4,870,847.04)** | **2,083,800.00** |
| Income Tax Expense | 3.17 | (10,770.52) | (626,143.00) |
| **Net Profit for the year** | | **(4,881,617.55)** | **1,457,657.00** |

As per our attached report of even date

**Teknath Pokhrel**
Managing Director

**Hari Gyawali**
Chairman

**Jagdish Devkota**
Proprietor
J.D. Associates
Chartered accountants

**Subrat Dhakal**
Director

Date: 28/04/2080
Place: Kathmandu, Nepal

## JBNL Securities Ltd
## Statement of Comprehensive Income
For the year ended 31 Ashad 2081 (15 July 2024)

Figures in NPR

| Particulars | Notes | Current Year | Previous Year |
|---|---|---|---|
| Net Profit for the year as per Profit or Loss Statements | | (4,881,617.55) | 1,457,657.00 |
| **Other Comprehensive Income** | | | |
| Loss on Revaluation | | - | - |
| Available-for-sale Investments | | - | - |
| Exchange Gain/Loss arising on translation of foreign operations | | - | - |
| **Total Other Comprehensive Income (OCI)** | | **-** | **-** |
| **Total Comprehensive Income (TCI)** | | **(4,881,617.55)** | **1,457,657.00** |
| **Earning Per share:** | | | |
| **Net Profit Available to shareholder** | | **(4,881,617.55)** | **1,457,657.00** |
| **No of share** | | **2,000,000.00** | **2,000,000.00** |
| **EPS** | | **(2.44)** | **0.73** |

As per our attached report of even date

**Teknath Pokhrel**
Managing Director

**Hari Gyawali**
Chairman

**Jagdish Devkota**
Proprietor
J.D. Associates
Chartered accountants

**Subrat Dhakal**
Director

Date: 28/04/2080
Place: Kathmandu, Nepal

# JBNL Securities Ltd
## Statement of Cash Flows
For the year ended 31 Ashad 2081 (15 July 2024)

Figures in NPR

| Particulars | Note | Current Year | Previous Year |
|---|---|---|---|
| **Cash Flows from Operating Activities** | | | |
| **Profit for the Year** | | (4,870,847.04) | 1,462,618.00 |
| **Adjustment for:** | | | |
| Depreciation on Property, Plant and Equipment | | 314,076.17 | 2,504.00 |
| Amortization of Intangible Assets | | 158,200.00 | - |
| Income Tax Expense charged to profit or loss statement | | - | - |
| Increase / Decrease in Trade and other receivables | | (81,617,596.75) | (39,064.13) |
| Increase / Decrease in Trade and other payables | | 17,208,385.94 | |
| **Cash generated from Operations.** | | **(68,807,781.68)** | **1,426,057.87** |
| Interest Paid | | - | - |
| Income Tax Paid | | - | - |
| **Net Cash Flows from Operating Activities** | | **(68,807,781.68)** | **1,426,057.87** |
| Cash Flow from Investing Activities | | | |
| Acquisition of Property, plant and Equipment | | (2,716,936.94) | (228,500.00) |
| Purchase of Intangibles | | (791,000.00) | - |
| **Net Cash flows from Investing Activities** | | **(3,507,936.94)** | **(228,500.00)** |
| **Cash Flow from Financing Activities** | | | |
| Proceeds from the issue of share capital | | - | 140,000,000.00 |
| Proceeds from other non- current borrowings | | - | |
| Repayment of Borrowings | | - | - |
| **Net Cash Flows from Financing Activities** | | **-** | **140,000,000.00** |
| **Net Increase in Cash and Cash Equivalents** | | **(72,315,718.62)** | **141,197,557.87** |
| **Cash and Cash Equivalents at the beginning** | | **204,171,410.87** | **62,973,853.00** |
| **Cash and Cash Equivalents at the end** | | **131,855,692.25** | **204,171,410.87** |

As per our attached report of even date

**Teknath Pokhrel**
Managing Director

**Hari Gyawali**
Chairman

**Jagdish Devkota**
Proprietor
J.D. Associates
Chartered accountants

**Subrat Dhakal**
Director

Date: 28/04/2080
Place: Kathmandu, Nepal



# JBNL Securities Ltd
## Statement of Changes in Equity
For the year ended 31 Ashad 2081 (15 July 2024)

Figures in NPR

| Particulars | Notes | Share Capital | Share Premium | Capital Redemption Reserve | Revaluation Reserve | Other Reserve | Retained Earnings | Total |
|---|---|---|---|---|---|---|---|---|
| Balance at 1 Shrawan 2080 | | 200,000,000.00 | - | - | - | - | 4,314,991.00 | 204,314,991.00 |
| | | | | | | | | - |
| **Restated Balance at 1 Shrawan 2078** | | **200,000,000.00** | **-** | **-** | **-** | **-** | **4,314,991.00** | **204,314,991.00** |
| Profit for the year | | - | - | - | - | - | (4,881,617.55) | (4,881,617.55) |
| Other Comprehensive Income | | - | - | - | - | - | - | - |
| Issue of Share Capital | | - | - | - | - | - | - | - |
| **Balance at 31 Ashad 2081** | | **200,000,000.00** | **-** | **-** | **-** | **-** | **(566,626.55)** | **199,433,373.45** |

As per our attached report of even date

**Teknath Pokhrel**
Managing Director

**Hari Gyawali**
Chairman

**Jagdish Devkota**
Proprietor
J.D. Associates
Chartered accountants

**Subrat Dhakal**
Director

Date: 28/04/2080
Place: Kathmandu, Nepal

# ADDITIONAL DISCLOSURES

## CLASSIFICATION AND VALUATION OF INVESTMENTS

At Global Ime, we have built a well-diversified investment portfolio that spans a wide range of assets, including subsidiaries, associates, and other investment securities such as government-issued development bonds, equity shares, and mutual fund units. We carefully select and manage these investments to align with our long-term strategic goals, always prioritizing the financial well-being of our stakeholders. The classification and valuation principles we follow in recognizing each of these assets are clearly outlined in the paragraphs below, reflecting our commitment to transparency, consistency, and responsible financial stewardship.

### Classification and Valuation of Subsidiaries

At Global Ime, subsidiaries are entities where we hold the majority of voting rights, either directly or indirectly, and have the ability to influence their financial and business policies. This control allows us to benefit from their activities. We continuously reassess our control over each subsidiary at every reporting date, ensuring that any changes in facts or circumstances that affect control are properly evaluated.

From the moment we gain control of a subsidiary, it is fully consolidated in our financial statements, in line with the provisions outlined in NFRS 3 Business Combinations and NFRS 10 Consolidated Financial Statements. Similarly, subsidiaries are de-consolidated when we no longer hold control over them.

We eliminate intercompany transactions, balances, and any intergroup gains on transactions between our group companies to ensure accurate reporting. Any intergroup losses are also eliminated, unless the transaction indicates that an asset transfer may have been impaired.

Investments in subsidiaries are recorded at amortized cost, less any impairment, by the parent company. During the reporting period, no impairment has been recognized for any of our investments in subsidiaries, reflecting their continued value and alignment with our long-term goals.

**The Bank has following subsidiaries each with distinct nature of operation:**

| Name | % of Holding |
|---|---|
| Global IME Laghubitta Bittiya Sanstha Ltd. | 57.48% |
| Global IME Capital Ltd. | 81.50% |
| Global IME Securities Ltd. | 100% |

### Classification and Valuation of Associates

At Global Ime, we define an associate as an entity over which we have significant influence, meaning we have the power to participate in key financial and operational policy decisions, though we do not exercise full control or joint control over those policies. Typically, holding 20% or more of the voting power, whether directly or through our subsidiaries or having representation on the board of the investee signals significant influence. However, we carefully assess each relationship, recognizing that influence may exist even below this threshold, or conversely, that it may not exist despite holding 20% or more, depending on specific circumstances. Similarly, substantial or majority ownership by another party does not automatically rule out our ability to exert significant influence.

In our standalone financial statements, investments in associates are recognized at cost. Regardless of our ownership percentage, if we have at least one representative serving on the board of an investee company, we classify the investment as an associate.

We account for these investments using the equity method, as prescribed by Nepal Accounting Standards (NAS) 28 on "Investments in Associates and Joint Ventures." Under this method, we initially recognize the investment at cost and subsequently adjust it based on the profits reported by the associate entities, as reflected in their audited or unaudited financial statements, following the policies disclosed in our financial statements.

For more detailed information about our associate entities, please refer to Note 4.11.3 of this report.

### Classification and Valuation of Other Investments

At Global Ime, we classify and account for our investments in securities in accordance with the principles outlined in NFRS 9 Financial Instruments and NFRS 13 Fair Value Measurement. Our approach ensures consistency, transparency, and adherence to international standards. Detailed information regarding these classifications and valuation methods can be found in Notes 4.5 and 4.8 of this report.

i. **Valuation of Listed Shares and Mutual Funds.**
At Global Ime, all listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 inputs, in line with NFRS 13 Fair Value Measurement. Level 1 inputs refer to quoted prices in active markets readily available and unadjusted, that we can access on the measurement date. This approach ensures transparency and reliability in how we value these investments, reflecting real-time market conditions.

ii. **Valuation of Unlisted Shares.**
At Global Ime, for all equity securities whose fair value cannot be determined using Level 1 or Level 2 inputs, we adopt a prudent approach by valuing them based on the most recently available net worth per share. This method ensures that the fair value of these investments is reasonably represented as of the reporting date. Such valuations fall under Level 3 inputs, as defined by NFRS 13 Fair Value Measurement, which involve significant unobservable inputs. This approach reflects our commitment to accurate and transparent financial reporting, even in the absence of active market data.

iii. **Investment in Securities and Bonds**
At Global Ime, all investments in securities and bonds are initially recognized at their fair value, inclusive of any directly attributable transaction costs. After initial recognition, these investments are subsequently measured at amortized cost using the Effective Interest Rate (EIR) method, adjusted for any impairment. Any gains or losses arising from financial assets measured at amortized cost, provided they are not part of a hedging relationship but are recognized in our profit or loss statements. These gains or losses are reflected over time through the amortization process, or upon the de-recognition, impairment, or reclassification of the investments. This approach ensures a consistent, transparent, and prudent treatment of our investment portfolio.

iv. **Disclosure on Loans and Advances Portfolio Classification**
At Global Ime, we adhere to the regulatory requirements set forth by Nepal Rastra Bank and the principles of sound financial management. Banks and financial institutions are mandated to maintain loan loss provisions in line with Unified Directive No. 2 issued by Nepal Rastra Bank, alongside provisions calculated under the incurred loss model as outlined in NFRS 9. To ensure prudence and adequate risk coverage, we recognize the higher of the two calculated provisions. The classification of loans, along with corresponding details as per Nepal Rastra Bank's directive, is presented below:

| Loan Category | Regulatory Provision | Loan Amount | |
|---|---|---|---|
| | | Current Year | Previous Year |
| Good Loans | 1.30% | 319,445,347,621 | 310,094,131,590 |
| Watch list Loans | 5.00% | 55,012,931,674 | 52,474,359,299 |
| Restructured Loans | 12.50% | 1,614,955,630 | 248,305,203 |
| Sub Standard Loans | 25.00% | 3,136,336,289 | 2,861,715,947 |
| Doubtful Loans | 50.00% | 2,372,131,329 | 3,908,051,382 |
| Bad Loans | 100.00% | 9,185,294,676 | 4,769,794,433 |
| **Total** | | **390,766,997,219** | **374,356,357,854** |

## DISCLOSURE ON NON-PERFORMING ASSETS

### Non-Performing Loans

| Loan Category | NPA Loans | |
|---|---|---|
| | Current Year | Previous year |
| Restructured Loans | 1,614,955,630 | 248,305,203 |
| Sub Standard Loans | 3,136,336,289 | 2,861,715,947 |
| Doubtful Loans | 2,372,131,329 | 3,908,051,382 |
| Bad Loans | 9,185,294,676 | 4,769,794,433 |
| **Total** | **16,308,717,924** | **11,787,866,966** |
| **NPA %** | **4.17%** | **3.15%** |

# ADDITIONAL DISCLOSURES

### Movement of Non- Performing Loans

| Particulars | Amount | |
|---|---|---|
| | Current Year | Previous year |
| Opening Balance of Non-Performing Loans | 11,787,866,966 | 3,487,639,368 |
| Add: Transfer from Merger | - | 6,191,782,145 |
| Less: Cash recoveries during year | (411,287,899) | (135,850,704) |
| Less: Upgradation during year | (1,240,136,734) | (3,272,164,051) |
| Less: Settled through collateral takeover | (3,353,338,355) | (1,160,790,760) |
| Less: Write off during year | | (138,132,816) |
| Add: Degradation during the year | 9,525,613,946 | 6,815,383,785 |
| **Closing Balance of Non-Performing Loans** | **16,308,717,924** | **11,787,866,966** |

## COMPLIANCE WITH INTERNATIONAL FINANCIAL REPORTING STANDARDS

At Global Ime, we are fully committed to maintaining transparency, consistency, and comparability in our financial reporting. As mandated, all Nepalese banks, including us, comply with the Nepal Financial Reporting Standards (NFRS), which are closely aligned with the International Financial Reporting Standards (IFRS). This alignment ensures that our financial statements meet internationally recognized benchmarks and reflect best practices within the banking sector. For your reference, the table provided below offers a comprehensive overview of the specific Nepal Financial Reporting Standards (NFRS) and Nepal Accounting Standards (NAS) applicable to the accounting policies we follow.

| Principle Notes | Accounting Policies | NFRS/ NAS |
|---|---|---|
| 2.8 | Statement of Cash Flows | NAS 7 |
| 2.9 | Fair Valuation | NFRS 13 |
| 3.1 | Basis of Consolidation | NFRS 10, NAS 28 |
| 3.2 | Business Combinations | NFRS 3 |
| 3.3 | Foreign Currency Transactions and Balances | NAS 21 |
| 3.4 | Initial Recognition, Classification and Measurement of Financial Instruments | NFRS 9/ NFRS 13 |
| 3.5 | Trading Assets | NFRS 9/ NFRS 13 |
| 3.6 | Derivative Assets and Liabilities | NFRS 9/ NFRS 13 |
| 3.7 | Property and Equipment | NAS 16 |
| 3.8 | Leases | NFRS 16 |
| 3.9 | Goodwill and Intangible Assets | NAS 38 |
| 3.10 | Investment Property | NAS 40 |
| 3.11 | Income Taxes | NAS 19 |
| 3.12 | Provisions | NAS 37 |
| 3.15 | Earnings Per Share | NAS 33 |
| 3.16 | Segment Reporting | NFRS 8 |
| 3.17 | Impairment of Non-Financial Assets | NAS 36 |
| 3.19 | Revenue recognition | NFRS 9/ NFRS 15 |
| 3.20 | Interest Expenses | NFRS 9/ NFRS 15 |
| 3.20 | Employee Benefits | NAS 19 |

## DISCLOSURE OF RATINGS

ICRA Nepal Limited has assigned Global Ime an Issuer Rating of "[ICRANP-IR] A-" as of February 2024. This rating reflects an adequate degree of safety regarding the timely servicing of our financial obligations. An "[ICRANP-IR] A-" rating signifies that we carry a very low credit risk, underscoring our strong financial position and commitment to maintaining stability and reliability for all our stakeholders.



# MEDIA HIGHLIGHTS

## SOME HIGHLIGHTS FROM THE 17TH ANNUAL GENERAL MEETING




Board of Directors, Chief Executive Officer, Company Secretary, and senior management officials present at the 17th Annual General Meeting.



Esteemed shareholders participating in the 17th Annual General Meeting.

## SNAPSHOTS OF THE BANK'S VARIOUS ACTIVITIES

1

Bank Chairman Mr. Chandra Prasad Dhakal, along with the bank's Chief Executive Officer Mr. Surendra Raj Regmi, receiving the EuroMoney Award for Excellence 2024 under the categories of Best Bank in Nepal and Best Bank in ESG (Environmental, Social, and Governance) Nepal, presented by EuroMoney Magazine.




2

Bank Chairman Mr. Chandra Prasad Dhakal, along with the bank's Deputy Chief Executive Officer Mr. Suman Pokharel, receiving the Best Bank Award 2024 from Global Finance Magazine.




3

Present at the signing ceremony of the mutual cooperation agreement on banking services between Global IME Bank and ICICI Bank Canada were the bank's Chief Executive Officer Mr. Surendra Raj Regmi and Deputy Chief Executive Officer Mr. Suman Pokharel, along with ICICI Bank Canada's Business Head Mr. Himdar Madipathla and ICICI Bank Nepal's Chief Resident Representative Mr. Ranjan Thapa.

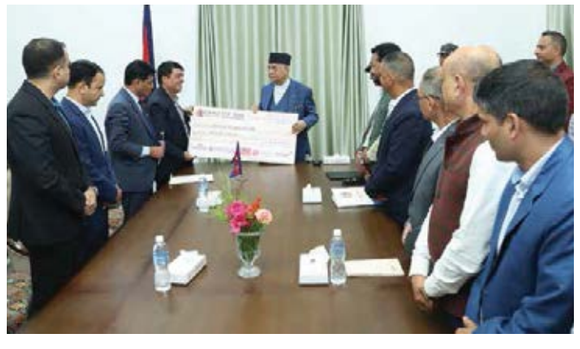







4

Bank Chairman Mr. Chandra Prasad Dhakal handing over a cheque of NPR 5 crore from Global IME Bank and IME Group to the Prime Minister's Disaster Relief Fund, as aid for the victims of floods, landslides, and inundation, to the Honorable Prime Minister Mr. KP Sharma Oli.



5

Governor of Nepal Rastra Bank, Mr. Maha Prasad Adhikari, honoring Global IME Bank as the bank and financial institution that remitted the highest amount of remittance.



6

The bank's participating team celebrating the victory in both the women's and men's categories of the Inter-Bank Futsal 2081.



# BRANCH DETAILS

## HEAD OF PROVINCE

| Mr. Sulav Hari Joshi | Mr. Dhoj Saud | Mr. Rupendra Wagle | Mr. Sushovan Devkota | Ms. Shanta Shiwakoti | Mr. Nawaraj Dahal | Mr. Pukar Subedi |
|---|---|---|---|---|---|---|
| Koshi Province | Madhesh Province | Bagmati Province | Gandaki Province | Lumbini Province | Karnali Province | Sudur Pashchim Province |

## BRANCH AND BRANCH MANAGER - KOSHI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Bhadrapur Branch | Bodha Nath Pandey | 9802261277 |
| Bhojpur Branch | Pramod Khatry | 9802261146 |
| Bhotkhola Branch | Shekhar Chaudhary | 9843557642 |
| Biratchowk Branch | Chhatra Prasad Adhikari | 9802261120 |
| Biratnagar Branch | Nischal Adhikari | 9802261015 |
| Birtamod Branch | Manoj Bohara | 9802261058 |
| Buddhabare Branch | Umesh Gautam | 9820126306 |
| Chainpur Branch | Aakash Karki | 9802261069 |
| Charali Branch | Pitambar Khadka | 9802261077 |
| Damak Branch | Narayan Kumar Puwar Magar | 9802261115 |
| Dangihat | Bhim Prasad Bhandari | 9802261199 |
| Dharan Branch | Hafijulla Ansari | 9802261068 |
| Dhulabari Branch | Saroj Kumar Jha | 9802261023 |
| Faktanglung | Santosh Neupane | 9847397946 |
| Gaighat Branch | Lok Nath Paudel | 9802261022 |
| Hile Branch | Anup Shakya | 9802261144 |
| Ilam | Raju Dhimal | 9802261231 |
| Inaruwa | Binod Kumar Yadav | 9802261164 |
| Itahari Branch | Binod Karki | 9802261051 |
| Jhumka Branch | Sanjay Dhar Joshi | 9802261270 |
| Jirikhimti | Kumar Dahal | 9802261178 |
| Kakarvitta Branch | Rudra Prasad Gautam | 9820126307 |
| Kanchanbari Branch | Om Prakash Bhandari | 9802261276 |
| Katari Branch | Birodh Neupane | 9802261288 |
| Khadbari Branch | Chiranjibi Shah | 9802261287 |
| Khotang Branch | Biplab Kafle | 9802261142 |
| Okhaldhunga Branch | Prabin Ghimire | 9802261154 |
| Pakhribas | Krishna Prasad Luitel | 9802261175 |
| Phidim Branch | Aman Sundas | 9802261074 |
| Phikkal Branch | Manish Pokharel | 9802261027 |
| Solukhumbu Branch | Kamal Acharya | 9802261143 |
| Taplejung Branch | Himalaya Bhattarai | 9802261054 |
| Teenpaini Branch | Parash Adhikari | 9802261243 |
| Terhathum Branch | Binaya Dhakal | 9802261076 |
| Traffic Chowk Biratnagar | Mukesh Kumar Shah | 9802261165 |
| Urlabari Branch | Prabesh Lamsal | 9820126302 |





## BRANCH AND BRANCH MANAGER - MADHESH PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Amlekhgunj Branch | Bishwa Pratap Tripathi | 9820126308 |
| Bardibas Branch | Purushottam Acharya | 9802261141 |
| Belwa Branch | Rup Narayan Prasad Mahato | 9802261131 |
| Birgunj Branch | Sabin Rajbhandari | 9802261011 |
| Bypass Road-Birgunj Branch | Surendra Chalise | 9802261166 |
| Chandrapur | Iswar Kattel | 9802261218 |
| Chhinamasta Branch | Roshan Yadav | 9820126314 |
| Dakneshwari Branch | Basant Kumar Chaudhary Tharu | 9802261127 |
| Dhalkebar Branch | Roshan Kumar Panjiyar | 9802261272 |
| Fatuwa Branch | Sanjib Kumar Shah | 9802261130 |
| Feta Branch | Bidhyananda Chaudhary | 9802261129 |
| Gadhimai Branch | Dhirendra Raj Dhakal | 9820126312 |
| Gaur | Kishwor Chaudhary | 9802261163 |
| Gaushala - Mahottari, Branch | Bhesh Bahadur Neupane | 9820126340 |
| Golbazar Branch | Sandeep Gautam | 9802261055 |
| Hariwon | Ramhari Bhattarai | 9802261217 |
| Janakpur Branch | Lokendra Bhandari | 9802261044 |
| Janakpur Station Road Branch | Reeshi Lohani | 9820126313 |
| Jitpur | Amrit Prasad Sapkota | 9802261223 |
| Kalaiya Branch | Anshu Verma | 9820126309 |
| Kalikamai Branch | Satish Kumar Singh | 9820126311 |
| Lahan Branch | Suresh Yadav | 9802261016 |
| Lahan Ghantaghar Chowk Branch | Amrit Shrestha | 9820126315 |
| Lakhan Park Ghorahi Branch | Umang Adhikari | 9820126365 |
| Lalbandi Branch | Rabindra Prasad Nepal | 9802261073 |
| Malangawa Branch | Nabin Kumar Gupta | 9820126346 |
| Mirchaiya Branch | Anil Raj Das | 9802261056 |
| Mithila Bihari Branch | Hari Narayan Sah | 9802261128 |
| Nawalpur Branch | Santosh Kumar Shah | 9802261149 |
| Nijgadh Branch | Maheshwor Parajuli | 9802261121 |
| Rajbiraj Branch | Mohan Prasad Sah | 9802261063 |
| Rupani | Trikanta Mani Yadav | 9802261233 |
| Simraungadh Bara | Janendra Chaudhary | 9802261225 |
| Siraha Branch | Suresh Kumar Shrestha | 9802261060 |
| Sukhipur Branch | Sanjay Adhikari | 9802261271 |

## BRANCH AND BRANCH MANAGER - BAGMATI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Aason Branch | Nisha Shrestha | 9802261095 |
| Anamnagar Branch | Dipendra Bahadur Singh | 9802261039 |
| Bafal Kalanki Branch | Chitra Gupta Ranabhat | 9802261168 |
| Baireni Branch | Sayar Upreti | 9802261081 |
| Balaju | Binod Lamsal | 9802261169 |
| Balaju Branch | Bhupal Ghimire | 9820126334 |
| Balaju Chowk Branch | Kabi Ghimire | 9802261286 |
| Balkumari Branch | Basanta Babu Karki | 9820126351 |
| Baluwapati Branch | Manish Raj Regmi | 9802261260 |
| Banasthali Branch | Nabin Acharya | 9802261010 |
| Banepa Branch | Prakash K. C. | 9802261089 |
| Barhabise Branch | Krishna Prasad Sapkota | 9802261078 |
| Battar | Dipak Pokhrel | 9802261216 |
| Belchowk Branch | Yubaraj Poudel | 9802261104 |
| Bethanchowk Branch | Ramesh Dahal | 9802261111 |
| Bhaisepati Branch | Priyanka Karki | 9802261281 |
| Bhakundebeshi | Ujwal Pokharel | 9802261194 |
| Bhandara | Sushma Poudel | 9802261234 |
| Bharatpur | Khem Nath Sharma Paudel | 9802261188 |
| Budanilkantha Branch | Ashma Regmi | 9820126345 |
| Chabahil Branch | Peshal Kumar Dahal | 9802261037 |
| Chabahil Chowk Branch | Bishnu Prasad Pokhrel | 9820126333 |
| Chandol Branch | Sandhya Mahat | 9802261291 |
| Charikot Branch | Diwas Rajbhandari | 9802261152 |
| Charkhal Dillibazar Branch | Dakshyata Gyawali | 9802261177 |
| Chautara | Navin Shrestha | 9802261162 |
| Chhetrapati Branch | Suresh Sharma | 9802261025 |
| Corporate Branch | Deepa Neupane | 9802261116 |
| Dahachowk Branch | Sabita Aryal | 9820126305 |
| Dhadingbesi Branch | Janak Neupane | 9802261283 |
| Dhapasi Branch | Bijju Subedi | 9802261008 |
| Dhobighat Branch | Anup Mangal Joshi | 9802261280 |
| Dhulikhel Branch | Suman Shrestha Byanju | 9820126322 |
| Dhunche | Subash Ghale | 9802261160 |
| Dhunge Adda Branch | Raju Kumar Kashyap | 9820126331 |
| Dillibazar Branch | Rithee Shahi | 9802261032 |
| Doramba | Dipak Raj Sedai | 9860829158 |
| Ekantakuna Branch | Srijana Karki | 9820126339 |
| Galcchi Branch | Bikash Pokhrel | 9820126336 |
| Gathaghar | Poonam Prasai | 9802261282 |
| Geetanagar | Ramesh Niroula | 9802261184 |
| Gongabu Branch | Bibekananda Aryal | 9802261035 |
| Gothatar Branch | Shailaja Rajya Laxmi Shah | 9802261114 |
| Gwarko Branch | Niraj Khanal | 9802261088 |
| Gyaneshwor Branch | Pankaj Man Shrestha | 9802261107 |
| Hakim Chowk Branch | Heera Kumar Moktan | 9820126318 |



## BRANCH AND BRANCH MANAGER - BAGMATI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Hattigauda Branch | Khagaraj Acharya | 9802261124 |
| Hetauda Branch | Rabin Raj Dahal | 9802261046 |
| Imadol Branch | Pramod Shrestha | 9820126326 |
| Imakhel Thankot Branch | Yogendra Rayamajhi | 9802261255 |
| Indrachowk Branch | Jeetendra Bade Shrestha | 9820126344 |
| Indrasarovar Branch | Shankar Muktan | 9820126323 |
| Itachhen Branch | Pushkar Bala | 9820126325 |
| Jorpati Branch | Subodh Adhikari | 9802261117 |
| Jyatha | Sudhir Prasad Dhakal | 9802261173 |
| Kalanki Branch | Laxmi Dumre | 9802261038 |
| Kalikasthan | Ramesh Paneru | 9802261174 |
| Kamaladi Branch | Prabhu Narayan Pradhan | 9802261075 |
| Kamalbinayak Branch | Kalpana Devi Sharma | 9802261261 |
| Kamane Branch | Pratima Pokhrel | 9845029024 |
| Kandaghari Kathmandu | Surya Prasad Sedai | 9802261257 |
| Kantipath Branch | Bipul Devkota | 9802261001 |
| Kapan Branch | Rabin Paudel | 9802261265 |
| Khadichaur Branch | Laxman Kumar Regmi | 9802261147 |
| Khaniyabas Branch | Ganesh Sharma | 9820126335 |
| Kharibot Banasthali Kathmandu | Rajendra Dhakal | 9802261254 |
| Kholesimal Branch | Devendra Raj Adhikari | 9802261103 |
| Khumaltar Lalitpur | Shristi Pradhan | 9802261258 |
| Khusibu Branch | Ramhari Bhandari | 9802261284 |
| Kirtipur Branch | Gunjita Sharma | 9802261005 |
| Koteshwor Branch | Pratiksha Shakya | 9802261036 |
| Kuleshwor Branch | Shruti Hada Shrestha | 9802261006 |
| Kumaripati | Alina Ghimire | 9802261167 |
| Kuntabeshi | Alice Budhathoki | 9802261196 |
| Kupondole Branch | Bimal Parajuli | 9802261028 |
| Kurintar Branch | Nawaraj Rimal | 9802261110 |
| Lagankhel Branch | Rubina Ranjit Karmacharya | 9802261007 |
| Lanku Branch | Prakash Sharma | 9820126319 |
| Lokanthali Branch | Bidur Adhikari | 9820126316 |
| Madi | Pravin Karkee | 9802261187 |
| Maharajgunj Branch | Pushpa Adhikari | 9802261289 |
| Manamaiju Branch | Pitamber Pokharel | 9802261123 |
| Mangalbazar Branch | Kanchan Shrestha | 9802261285 |
| Manthali Branch | Saroj K.C. | 9802261100 |
| Mid - Baneshwor Branch | Nabin Subedi | 9802261029 |
| Nagarjun Branch | Deepak Dhakal | 9802261150 |
| Nakhu Branch | Pratap Kumar Tamang | 9802261085 |
| Narayanghat Branch | Dipesh Raj Shakya | 9802261018 |
| Narephat Branch | Santosh Prasad Dhungel | 9802261290 |
| Naukunda | Dwarika Sandha | 9802261237 |
| Naxal Branch | Pawan Kumar Poudyal | 9820126329 |
| Nayabazar Kirtipur Branch | Jaya Maharjan | 9802261253 |

## BRANCH AND BRANCH MANAGER - BAGMATI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| New Baneshwor Branch | Prabin Chandra Subedi | 9820126341 |
| New Road Branch | Sachin Neupane | 9802261002 |
| Old Baneshwor Branch | Deepa Shrestha | 9820126332 |
| Panauti | Badri Kumar Acharya | 9802261193 |
| Panipokhari Branch | Arjun Paudel | 9802261033 |
| Parsa | Mukunda Tripathee | 9802261183 |
| Pragatipath Branch | Laxmi Upadhyay | 9820126321 |
| Pulchowk Branch | Saroja Hada Nyachhyon | 9802261080 |
| Putalisadak | Hemanta Acharya | 9802261204 |
| Raksirang Branch | Rudra Raj Ghalan | 9820126324 |
| Rampur | Nagendra Raj Gautam | 9802261182 |
| Ruby Valley Branch | Lokendra Sthapit | 9841420086 |
| Sahid Chowk Branch | Dhirendra Shrestha | 9802261179 |
| Sanagaon Branch | Bhawana Shrestha | 9802261264 |
| Sankhamul Branch | Shova Neupane | 9802261232 |
| Sankhu Branch | Sagar Lamichhane | 9820126330 |
| Sano Gaucharan Branch | Reshu Shrestha | 9802261004 |
| Satdobato Branch | Nabin Kadariya | 9802261040 |
| Shantinagar Branch | Ganga Bahadur Roka | 9802261268 |
| Sharadpur, Chitwan Branch | Manju Adhikari | 9820126389 |
| Sinamangal Branch | Achala Poudel | 9802261084 |
| Sindhuli Branch | Bijay Kumar Shah | 9802261140 |
| Sitapaila Branch | Kabita Bartaula | 9802261003 |
| Sukedhara Branch | Karna Bahadur Shahi | 9802261091 |
| Sundhara Ii Branch | Sanat Acharya | 9802261099 |
| Sundhara Lalitpur | Pallabi Rajbhandari | 9802261252 |
| Suryabinayak Branch | Dipak Khanal | 9802261061 |
| Swayambhu Branch | Mahendra Khatiwada | 9820126342 |
| Tandi Branch | Keshab Prasad Woli | 9802261042 |
| Tatopani Branch | Janga Bahadur Jhyari Magar | 9841265272 |
| Thamel Branch | Shusil Kumar Budhathoki | 9802261009 |
| Thankot Branch | Yek Raj Bartaula | 9802261090 |
| Thapathali | Merina Shrestha | 9802261195 |
| Thimi Bhaktapur | Suresh Oli | 9802261251 |
| Timure | Deependra K.C. | 9802261181 |
| Tinkune | Shambhu Karki | 9802261215 |
| Tinpatan Branch | Bishnu Raut | 9820126328 |
| Tokha Branch | Nabina Sharma | 9802261269 |
| Tripureshwor Branch | Dinesh Bahadur Thapa | 9802261034 |
| Trishuli Branch | Ishwor Dhakal | 9802261101 |

## BRANCH AND BRANCH MANAGER - GANDAKI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Aabukhaireni Branch | Shat Kumar Paudel | 9820126391 |
| Amarapuri Branch | Keshav Raj Adhikari | 9820126317 |
| Amarsingh Chowk Branch | Purnima Ale | 9802261125 |
| Bagar Branch | Dharma Raj Gurung | 9820126348 |
| Baglung Branch | Hem Raj Sharma | 9802261012 |
| Balewa Branch | Bishnu Prasad Poudel | 9802261292 |
| Bandipur Branch | Diwakar Gautam | 9802261153 |
| Begnas Branch | Ram Chandra Kandel | 9802261106 |
| Beni Branch | Sokendra Thapa Magar | 9802261048 |
| Besisahar Branch | Nirajan Shrestha | 9802261092 |
| Bhorletar Branch | Bikash Thapa | 9802261097 |
| Bhotewodar Branch | Janmabhumi Gurung | 9802261096 |
| Birauta Branch | Pradeep Baral | 9802261263 |
| Budhibazar Kaski | Jeevan Gurung | 9802261227 |
| Bungdikali | Yadav Raj Dhungana | 9802261246 |
| Burtibang Branch | Samundra Adhikari | 9802261098 |
| Chipledhunga Branch | Arun Bhat | 9802261159 |
| Daldale | Prakash Timalsina | 9802261185 |
| Damauli Branch | Santosh Thapa | 9802261093 |
| Dordi | Sandip Sedhai | 9802261220 |
| Dulegauda Branch | Anish Karki | 9802261266 |
| Dumkibas | Darshan Bahadur Gharti Magar | 9802261229 |
| Dumre Branch | Dinesh Adhikari | 9802261108 |
| Gaidakot Branch | Kishan Shrestha | 9802261136 |
| Galkot Branch | Sanjeev Basnet | 9802261094 |
| Gorkha Bazar Branch | Deepak Basnet | 9802261119 |
| Gorkha Siranchowk Branch | Yuba Raj Sharma | 9802261109 |
| Kawasoti Branch | Sunil Paudel | 9802261052 |
| Khairenitar Branch | Yojan Thapa | 9820126349 |
| Kushmishera Branch | Pushpa Mani Sharma | 9802261045 |
| Kusma Branch | Shyam Prasad Dhakal | 9802261066 |
| Lakeside Pokhara | Jyoti Kafle | 9802261219 |
| Lekhnath | Raju Shiva Bhakti | 9802261214 |
| Manakamana Branch | Gautam Kaji Shrestha | 9802261079 |
| Manang Branch | Saroj Adhikari | 9802261275 |
| Mustang Branch | Sambidhan K.C. | 9802261263 |
| Pame Branch | Ratna Thapa Magar | 9802261098 |
| Pokhara (New Road) Branch | Mandip Baral | 9802261014 |
| Pokhara Branch - Sabhagriha Chowk | Bhuwan Wagle | 9802261065 |
| Powerhouse Branch | Ganga Aryal | 9820126347 |
| Sulikot Gorkha | Nabin Shrestha | 9802261224 |
| Sundar Bazar Branch | Santosh Bhandari | 9802261105 |
| Udipur Branch | Chandra Kala Ghale Gurung | 9802261148 |
| Waling | Ashish Tiwari | 9802261230 |

## BRANCH AND BRANCH MANAGER - LUMBINI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Arghakhanchi Branch | Pradip Adhikari | 9802261049 |
| Bangain | Manoj Sharma | 9802261207 |
| Bardaghat Branch | Sangam G.C. | 9802261200 |
| Bhairahawa Branch | Sudip Bhakta Wagle | 9802261026 |
| Bhairahawa Branch-Iii | Bishnu Prasad Acharya | 9820126359 |
| Bhairahawa Sez Branch | Sushma Sharma | 9802261157 |
| Bhaluwang Branch | Bimal Dhakal | 9820126364 |
| Bhalwari | Raju Bhandari | 9802261208 |
| Bhumahi Branch | Bimlesh Chaudhary | 9802261102 |
| Bhurigaun Bardiya | Subodh Jnawali | 9802261228 |
| Bijuwar | Dilip Bista | 9802261211 |
| Butwal - Ram Mandir Line Branch | Manish Shrestha | 9802261017 |
| Butwal Branch | Ratna Bahadur Khadka | 9820126360 |
| Butwal Main Branch | Sanjay Bagale | 9802261186 |
| Butwal-Milanchowk | Anil Bhandari | 9802261047 |
| Chandrauta | Madhav Upadhyay | 9802261205 |
| Chhahara | Pralhad Neupane | 9802261198 |
| Devinagar | Kashi Raj Bhandari | 9802261212 |
| Duikholi | Tachman Chand | 9802261244 |
| East Rukum Branch | Sagar Thapa | 9802261273 |
| Ghorahi Branch | Thek Raj Binadi | 9802261041 |
| Gulariya Branch | Subash Kandel | 9802261158 |
| Gulmi Durbar Branch | Krishna Prasad Nepal | 9802261112 |
| Holeri Branch | Himal Poudel | 9802261151 |
| Isma Branch | Kamal Kunwar | 9820126356 |
| Kapilvastu Branch | Pawan K.C. | 9802261086 |
| Kerwani | Basanta Shrestha | 9802261209 |
| Khaireni | Ajaya Kumar Shrestha | 9802261256 |
| Kohalpur Branch | Praveen Shah | 9802261083 |
| Kohalpur Main Bazar Branch | Virat Bikram Verma | 9820126367 |
| Krishnanagar Branch | Madhav Belbase | 9802261156 |
| Lamahi Branch | Renu Ghimire | 9802261274 |
| Liwang Branch | Dinesh Kumar Gharti | 9802261050 |
| Lumbini | Sharad Sharma | 9802261202 |
| Maharajgunj Kapilvastu | Kamal Poudel | 9802261210 |
| Majuwa Branch | Lok Bahadur Bakabal Thapa | 9802261071 |
| Malika Branch | Buddha Mani Kharal | 9820126357 |
| Manigram Branch | Tej Narayan Neupane | 9820126363 |



## BRANCH AND BRANCH MANAGER - LUMBINI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Motipur | Baburam Lamsal | 9802261197 |
| Murgiya | Bishnu Gyawali | 9802261189 |
| Naya Mill | Uma Gyawali | 9802261221 |
| Nepalgunj Branch | Dilli Raj Bhusal | 9820126368 |
| Nepalgunj Branch - Puspalal Chowk | Mukunda Prasad Bhatta | 9802261062 |
| Nepalgunj Branch - Tribhuwan Chowk | Nimesh Puri | 9802261021 |
| Parasi Branch | Dilli Raj Khanal | 9802261278 |
| Pipara | Anil Karki | 9802261206 |
| Pokharathok | Bikram Shah | 9802261192 |
| Pratappur | Santosh Bhakta Pant | 9802261176 |
| Pravash | Madhav Prasad Gyawali | 9802261203 |
| Purba Khola Branch, Palpa | Narayan Sharma | 9802261135 |
| Rajapur Branch | Ashok Pant | 9820126369 |
| Rampur Palpa | Krishna Prasad Bhattarai | 9802261222 |
| Saljhandi | Hari Pant | 9802261201 |
| Sarai | Hari Bhattarai | 9802261190 |
| Sarawal Branch | Dadhiram Belbase | 9802261013 |
| Sukidaha | Anandamani Adhikari | 9802261245 |
| Sulichaur Branch | Raj Kumar Thapa | 9802261082 |
| Tahu | Jeetendra Agrahari | 9802261191 |
| Tamaghas Hospital Line Branch | Uma Panthi | 9820126358 |
| Tamghas Branch | Padam Raj Pokharel | 9802261070 |
| Tansen Branch | Bir Bahadur Saru | 9802261118 |
| Taulihawa Kapilvastu | Lok Narayan Neupane | 9802261242 |
| Thawang Branch | Gehendra Bohara | 9802261259 |
| Tulsipur Branch | Dhurba Khanal | 9802261057 |
| Wami Branch | Bishnu Kunwar | 9802261072 |

## BRANCH AND BRANCH MANAGER - KARNALI PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Adanchuli | Kirpa Charya Bhatt | 9802261247 |
| Chankheli | Binod Kumar Acharya | 9802261248 |
| Chhedagad | Hemant Giri | 9855080982 |
| Dailekh Branch | Ranjeet Bhatta | 9802261145 |
| Dunai Branch | Lokendra Bahadur Shahi | 9802261293 |
| Gurbhakot | Bhupendra Devkota | 9802261235 |
| Jumla Branch | Dipendra Kumar Joshi | 9820126352 |
| Kalikot Branch | Bhakta Raj Jaishi | 9802261087 |
| Mugu Branch | Bharat Raj Timilsina | 9802261262 |
| Patarasi Branch | Netra Bahadur Chand | 9820126353 |
| Raskot Branch | Sujal Kumar Malla | 9802261126 |
| Rukum Branch | Vikash Shrestha | 9802261053 |
| Salyan Branch | Krishna Sodari | 9802261138 |
| Surkhet Branch | Kedar Vasistha | 9802261030 |
| Surkhet-B Branch | Padam Timilsena | 9820126350 |
| Tajakot | Bhelen Bohara | 9802261249 |
| Tatopani Jumla Branch | Shridhar Man Shrestha | 9858024816 |
| Tharmare | Anil Chaudhary | 9802261213 |

## BRANCH AND BRANCH MANAGER - SUDUR PASCHIM PROVINCE

| Name of Branch | Name | CUG Number |
|---|---|---|
| Achham | Arjun Bahadur Batala | 9802261171 |
| Ajayameru Branch, Dadeldhura | Sushil Pant | 9802261133 |
| Attariya Branch | Abinash Sapkota | 9802261137 |
| Baitadi Branch | Bharat Singh Bhull | 9802261031 |
| Bajhang Branch | Hari Chandra Regmi | 9802261267 |
| Bajura Branch | Bhesh Raj Devkota | 9802261279 |
| Baliya | Bishal Bhatta | 9802261250 |
| Belauri Branch | Toyanath Joshi | 9820126375 |
| Bogtan Branch | Paresh Bista | 9802261122 |
| Dadeldhura Branch | Birendra Kumar Shahi | 9802261019 |
| Darchula | Govind Singh Thagunna | 9802261172 |
| Dhangadhi Main Road Branch | Rajendra Prasad Bhatt | 9820126371 |
| Dhangadi Branch | Nirmal Raj Budhathoki | 9802261024 |
| Dogada Kedar Branch, Baitadi | Laxman Datt Joshi | 9802261134 |
| Gokuleshwor | Dipendra Singh Thagunna | 9802261180 |
| Lamki Branch | Harish Chandra Bhatt | 9802261020 |
| Mahendranagar Branch | Bhuban Prasad Bhatt | 9802261043 |
| Naugad | Bharat Bahadur Saud | 9802261240 |
| Patan Branch, Baitadi | Upendra Bahadur Chand | 9820126387 |
| Pipalla Bazar Dipayal Branch | Kabi Raj Bhatta | 9802261155 |
| Purbi Chauki Branch, Doti | Dabal Bahadur Bohara | 9802261132 |
| Purchoudi Branch | Pushpa Raj Ghimire | 9802261113 |
| Setopul Dhangadi | Gaurav Singh K.C. | 9802261170 |
| Tikapur Branch | Yubak Ojha | 9802261226 |

THE
BANK
FOR सबैका
ALL लागि बैंक

**Global IME Bank Limited**
Kamaladi, Kathmandu
P.O.Box.: 19327
Tel.: +977-01-5326247/5328671 (Corporate Office)
+977-1-5970600 (Global Connect)
Email: globalconnect@gibl.com.np
www.globalimebank.com

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

GLOBAL CONNECT
Call Us: +977-1-5970600
globalconnect@gibl.com.np